

IFB Industries (IFBIND)

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Call: Jun 2023

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The Manager

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The Manager

The National Stock l')xchange of India Ltd.

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Plot No-C/L, G Block,

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The Secretary

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Dear Sir,

Snb: 'l'ranscript of the earnings conference call for the quafter and year ended March 31,2023 pursuant to l{egulation 30 of the SIIBI (l.isting Obligations and Disclosure ltequiremcnts) l{egulations, 2015.

Please find enclosed the transcript of the conference call for the quarter and year ended March 31,2023 for your information and records.

'l'he abovc information is also available on the wcbsite of the Cornpany at www. ifbindustries.com.

'fhc audio recording of the conference call is also made available on the Company's website, at www. i fbindustries. com.

Yours faithfully

I.'or lIrB Industries Ltd.

Ritesh Agarwal

Company Secretary

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Industries Limited

"IFB Industries Limited

Q4 FY'23 Earnings Conference Call"

June 06,2023

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MR. R.l.rsH,tNKAR Rq.y - MANAGTNG DrRncroR AND

CHrnR Exncurrvn OrrrcER, Hovrn Appr,rnlqcns

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MR. Anup Das - Hn.q.n M,l,mnuNG, ENCrNnnRrNG

DrvrsoN - IFB INuusrnrns Lrvrrnu

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June 06, 2023

Ladies and gentlemen, good day, and welcome to the IFB Industries Limited Fourth Quarter FY'23 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prasheel Gandhi from Nirmal Bang Institutional Equities.

Thank you, and over to you, sir.

Thanks, Zico and good afternoon, everyone. Nirmal Bang Institutional Equities welcomes you all to 4Q FY'23 Earnings Conference Call for IFB Industries. On the onset of the call, I would like to thank the management of IFB Industries for giving us the opportunity to host the call. So on the management team here today, we have Mr. Prabir Chatterjee, Director and CFO; Mr. Rajshankar Ray, MD and CEO, Home Appliance; Mr. Arup Das, Head of Marketing and Engineering Division; and Mr. Anand Reddy, CEO of Motor Division.

I now hand over the call to management for opening remarks, post which we can take questions from participants. Thank you, and over to you, sir.

Good afternoon, everyone. I welcome you all for IFB Industries investors call for the Fourth Quarter FY'23. Joining with me today are Mr. Rajshankar Ray, MD and CEO of Home Appliances Division; Mr. Arup Das, Head of Marketing and Engineering Division; and Mr. Anand Reddy, CEO of Motor Division.

Growth during this quarter was 11.8%. YTD growth for the period ending March 31, 2023, was 22.9%. Growth during the quarter 4 was not as per expectations because of lower revenue in Appliances division in February and March. The company has reported a total income of INR 994 cro

res compared to INR 889 crores during the same quarter last year.

During the fourth quarter, EBITDA was INR 37 crores against a loss of INR 7 crores for the same quarter last year. As a result of lower commodity price, material cost reduced by 3%, which has resulted in higher gross margins. YTD revenue of the fourth quarter ending March '23 was INR 4,126 crores compared to INR 3,357 crores for the same period last year. YTD growth in revenue compared to last year was 22.9%.

EBITDA margin during the period was significantly higher at NR183 crores compared to INR68 crores for the same period last year. Major reason for higher growth in EBITDA was higher revenue and lower material costs and which was partially offset by the higher operating expense.

With this, I will request you to start the question-answer session.

Thank you very much. Our first question is from the line of Amish Thakkar from SG India.

Sir, I just want to understand in terms of your guidance on the margins in the air conditioning division. If you can just speak about the various steps you have taken in terms of improving the Industries Limited

Moderator:

Prasheel Gandhi:

Prabir Chatterjee:

Moderator:

Amish Thakkar:

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bond. And if we can also break it down a level further in terms of where you see the maximum improvement coming from, which is the plastic components, sheet metal components. Is it the motor and the compressor and the electronics on top of that. Where do you see the major cost improvement areas have been. And I know your presentation mentions that by Q2 you expect to see the AC division to run profitable. But if you can just give us granular details of why it has taken so long?

Yes. Rajshankar here. So your question was on the steps for the AC profitability. Did I understand it correctly?

Yes, sir

Okay. So in terms of the profitability, it comes from two areas. One is the material cost, for which there was a complete program in place, which has been completed. And there's a second program, which has started. Now the reduction areas are primarily in the area of electronics, which would be, let's say, 60% to 65% of the total planned reduction and the remaining come from areas like compressors and basic efficiencies based on volumes. So the material cost area for profitability is the biggest lever. And the second is, of course, the volumes and our extraction from the network, etcetera, which we have. So these are the two areas based on which the profitability targets have been set for the business.

Okay. Can you give us a breakup in terms of all the cost reductions you've done until now. I'm assuming that electronics is still a major driver going forward. So I'm assuming plastics and sheet metal components, you could have extracted most of the savings already there and there is not much there in terms of saving going forward?

Yes, that's right. As far as areas like plastics and sheet metal are concerned, those are not very

large contributors per se. And there, the costs are optimized from very early stages. So assuming you have the press and sheet metal partway running, whatever efficiencies you would get would primarily come because of volumes. So the savings on account of alternate purchases, negotiated purchases, etcetera. The strength is coming out of electronics and electrics, followed by negotiations and compressors.

And compressors I am assuming that will be completely imported?

Yes, completely imported. But in terms of where you get cost reductions, one is, of course, consolidated purchases. So let's say, what we have been doing over the last, let's say, a year or so is consolidating the purchases across washers and air conditioners together. So you would have a source, which would be supplying motors as well as compressors. And then when you're talking about the whole bundle, the cost efficiencies are that much better. So that is what we've been doing and that entire program has been completed. And

now as inventories move out, that cost reduction will come in.

And with regards to electronics, sir, I just want to understand what is the level of backward integration there in terms of overall electronics. Are you importing components and assembling it here? Or how far are you in terms of your backward integration in terms of overall electronics?

Industries Limited
Rajshankar Ray:

Amish Thakkar:

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Amish Thakkar:

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So over the last 3-odd years, we have built up complete back-end depth in electronics. So the hardware, software complete design is done by us internally. In terms of the purchase process, we have a handle on all the inputs into the controller board in terms of component level pricing. And we have also localized the manufacturing of the controller into India. So it's been localized for washers about 2.5, 3 years back and for air conditioners for the last 1.5. So we are doing everything within India.

These further cost savings that you're seeing on the electronics side, which will be 2/3 of your overall cost reduction going forward. This will be on account of better design or better volume discounts based on higher volumes? Or where are you seeing [inaudible 0:09:08]?

Actually -- yes. So the bulk of it is coming because we have consolidated the purchases and redone the sourcing strategy in terms of the manner in which we discussed or we have discussed the whole bundle as opposed to one part. And also because of ongoing design-led processes that are sort of routine, but the bulk of it is coming through basically the purchase efficiency.

Okay. And the other question on your go-to-market strategy replacement. So you've been talking about institutional sales, and I think your report mentions you've hired 12 people. So currently, I'm assuming there are hardly any institutional sales coming. And I just want to understand what kind of institutions are you targeting? Is it modern retail shops? Is it ATMs? Is it offices? How are you going about building institutional business there?

So if you look at direct sales that we do, then this comes from 2, 3 types of segments. So CSD CPC channels are one segment. Then you have typically, the program of purchase that the central government has, which is called GEM, which are sort of tender-based purchases. And the third is institutions like, let's say, an IT industry, or a hotel or a restaurant. So when we talk institutional sales, we mean all 3. And by the end of the quarter 2, we will have about 25 people working on this. As on date, it's about 12. And this is a team that we've been building up for the last 5, 6 months, basically.

And as of now, what is the contribution of institutional channel? And...

So it is presently running at the rate of about INR13 crores to INR14 crores a month. It was practically nil about a year back. So...

And what is the projection [inaudible 0:11:05] as per fair market share if you were to take in this channel, what number can this be by Q2 or let's say end of next year?

So INR20 crores to INR5 crores is what you would say in the short term is possible.

Okay. And the range that is going there will be compatible in the market in terms of pricing and in terms of quality of products and everything?

Sorry, can you just repeat that?

The range of ACs that you will be placing in this channel will be very similar to your direct channels, right, in terms of... Industries Limited

Rajshankar Ray:

Amish Thakkar:

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Amish Thakkar:

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Yes, yes, yes. There is no product difference, per se. It is the same product, but it's the fact that we need to be present. So if, let's say, a small corporate setup somewhere is buying ACs, then IFB needs to be represented. And we will wi

n some, we will lose some, but that is business to be had there.

Are you going to distributors, or are you directly building like especially when it comes to government tenders and all that stuff

So -- yes. So as far as the direct sales channel is concerned, most of it is direct from IFB to that respective channel there.

Thank you. Our next question is from the line of Aviran Jain from SG India. Please go ahead.

My question was based on the disclosures that you've given in the quarterly investor update. The -- still the numbers suggest that the AC business is still running at mid-7%, 7.5% EBITDA margin loss. What I wanted to understand was, given the material cost reduction program has been completed, with the current cost base for ACs, where do you see this margin heading because there'll be -- substantial gross margin improvement is what I am assuming will happen. So will it tend it towards the rest of the appliances business EBITDA margin?

Yes, it will. The gross margins, as far as the air conditioners are concerned, will improve with this material cost program. And once we get the volumes that this business should deliver, we will have similar margins. It will not be as high as, let's say, a front loader margin. But overall, on a business basis, it will be quite similar.

Sir, if I were to just say for the volumes that were delivered in Q4...

Sorry to interrupt, Mr. Jain, maybe we request you to use the handset for optimum audio quality

Okay, sir. Sir, my question was that if we were to use the same cost base as what has been achieved and apply it on the volumes that were delivered in Q4, will the AC business EBITDA margin would look -- would fall into positive territory? Or it is still dependent on the volume?

Rajshankar Ray: No, it would fall into positive territory

Aviran Jain: So that's a very big swing, sir. Basically, what I'm trying to infer is that there was old inventories, which led to high cost of production per unit, but with the old inventory of components or finished goods left out, then the business is tracking towards a profitable margin territory at EBITDA level.

Rajshankar Ray: Yes. So actually, if you see over the last 2 years on the margin side, on an overall business basis, the AC business has led the P&L a lot. So the cost reduction program with the inventory that will be fully with the new bill of material, let's say from Q2 onwards, will make the business basically profitable. And that helps the overall P&L as well.

Aviran Jain: As far as Q1 has gone, I think some bit of volume or entire volume will be able to do...

Yes. Some effect will also come in Q1, but the larger impact will come from Q2 onwards.

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Industries Limited

Rajshankar Ray:

Amish Thakkar

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Moderator:

Aviran Jain:

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Moderator

Aviran Jain:

Rajshankar Ray:

Industries Limited

Aviran Jain: IFB industries Limited

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Because, sir, in Q2, then there will be seasonality, which would kick in, the volumes will fall.

And I would assume you still have [inaudible 0:15:58] variable costs in the business, but you

will still have sales promotion people and marketing expenses.

Rajshankar Ray: Yes, yes. Yes, you're right. I was answering you more from the point of view of the material cost profile basically in terms of the percent.

Aviran Jain: So would it be fair to say that on a steady-state basis, you would be targeting, say -- again, I'm not trying to get the right number, but at least a 5% to 7% p/lts EBITDA margins on the whole appliances business, including ACs?

Rajshankar Ray: Yes. Normally, we don't give an estimate in that sense. It would be almost a forward guidance, but in these calls itself Mr. Chatterjee and I have spoken about our internal targets more than the figures we gave. So that is something that we need to deliver as well. And we -- profitability in the AC business is definitely one of the biggest levers. I hope that answers your question.

Aviran Jain: Yes, sir, it

does. Obviously, there has always been -- it always has been a few quarters away phenomenon. That's why I was asking. Otherwise [inaudible 0:17:17]

Rajshankar Ray: Yes, That's a fair thing to say from your side.

Okay. And there is no other market share. So - but you are able to get AC volumes, which is a very impressive number, I must say, on the AC revenue side. What's the breakup between third-party OEM business versus IFB branded sales? I mean, are they both tracking to your expectations in terms of volume?

Yes. Both are more or less in line with expectations. We would, of course, want the IFB brand volumes to be much more than where they are today. And that has a lot to do with our channel extraction. So if you look till the last season, the larger accounts were still sort of -- a lot of haggling was going on in terms of basically placement of the IFB AC. So this year, even though it has been for a shorter period, but the IFB ACs are now entering into all accounts barring maybe 4, 5 of the larger accounts. So going forward, we see the placement improving and with the placement the volumes improving. So the OEM volumes are more or less where we thought they would be, but the brand volumes, definitely, we need to do much better.

Aviran Jain: Okay. Sure. That's it. And one more question on the -- and this is on the motor division. So is there -- has there been any delay on the motor side in terms of your [inaudible 0:19:01] because there is some commentary again on the investor report that says that most of the sales of the Motor division right now are internal sales?

R. Anand Yes. This is Anand here. As you rightly said, to start with, the sales will be from -- will be coming more from the internal captive consumption. But going forward, we aim to have at least 50% of our sales from external sources. There are challenges in getting customers from external sources because most of the appliances have their own captive motor units either in Asia or in Europe, but we are trying to find more customers outside of our captive requirements. ni'll

Aviran Jain:

Rajshankar Ray:

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Okay. So how much are the sales right now? The reported sales in the investor report are all internal sales then or these are? [inaudible 0:20:02] Sorry, I'm not very clear from the report per The motor sales you are talking about?

Yes.

The motor sales you are talking about? Yes. Yes, the motor sales, we have two divisions. One is appliances motor division, the other one is the automotive motor division. As because appliances motor division is the captive consumption, the sales is not reported separately and it is netted off from the core of the financial. But as far as the automotive motor division is concerned, we are selling to all other Tier 1 customers and what is reported here is only external sales.

Okay. And as you mentioned that you are trying to find customers and most of the customers you have an in-house appliance as a motor manufacturing unit. Does that push your plans again by a [inaudible 0:20:59] because BLDC still is an evolving technology. So I'm again, again, I'm just conjecturing that some of the large OEM, which some of them have been mentioned in the investor report as well, they're not be focusing as much on the BLDC manufacturing.

See, most of them have already have their own motor factories either in China or in Slovenia or in Korea. So they are all aggressively pushing the BLDC technology, which we are also doing. So they don't have BLDC motor manufacturing in India but they are importing it from.

Yes. None of the appliances manufacturers have their own motor industry in India. They are all importing either from China, Korea or Slovenia.

And a related question would be, sir, what would be the penetration of BLDC motors in the overall appliances side? Obviously, you have ACs, you have refrigerators and you have other appliances where motors would be used. But is the BLDC penetration a lot

, which makes it a

very large addressable market? And do they get any advantage sourcing it from IFB versus

importing it from their factories in China or Slovenia?

Okay. First thing is above the advantages of the BLDC technology, it is, say, like noise is very less in the first instance. Second one is life is like 3x to 4x of the existing technology, and it is very reliable and durable.

Second point of people sourcing it in India versus their own company imports like, they have advantage of getting just-in time deliveries. And any supply chain disruptions that can happen in import are all taken care of, if they source it locally.

And sir, one was - the first question was actually the penetration of BLDC motors versus traditional motors in these appliances.

People are aggressively moving towards energy efficient solutions, and that energy-efficient solution today is offered only by BLDC technology to start with. So within the next two years

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Aviran Jain:

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Indstris Industries Limited

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to three years, I think most of these appliances will be using BLDC motors or rather BLDC drives.

Sure. That's it from my side sir. Thank you so much.

Thank you.

Thank you. Our next question is from the line of Amish Thakkar from SG India. Please go ahead.

Yes, your presentation, this time, you mentioned on both microwaves and front loaders about that microwaves entering 28-liter segment where you were not previously present. And similarly on front loader, you have mentioned 9 kgs to 10 kgs, where I don't know if you were previously present or not. So just want to get your perspective on both these categories or among the top three players for the last so many years. Are there still like, what is the reason for entering certain segments like 28-liters in microwave and 9 kgs in front loader at this stage? And are there still more subcategories, in terms of weight or volume sub-categories where we are still not present? And what are your thoughts in terms of entering those capacities going forward?

Okay. So as far as the microwave segment is concerned, the two main competitors we have in the market, which is the two Korean companies, have dominated this segment called 28 liters where we did not have a product. And this contributes to roughly between 15% to 20% of the market segment. And this was almost fully monopolized by them. So we've been looking at a product configuration for this segment for quite some time. And that has now been plugged. So from, let's say, this month onwards, those products are rolling out. So we believe that those volumes will be -- with the plus and minus. So additional modules on the segment plus maybe some cannibalization with existing models, but overall, it will be a plus for us.

So with this, by and large, our -- in terms of segments in the market, we would be represented across all segments as far as the microwave thing is concerned. There is an upper end of the segment where we've launched a product called an advanced cooking device, which combines four, five functions into one. And the response to that has been good. So we are looking at further increasing products in that high-end range. So that will be more about creating a segment, specifically whatever volumes there are they largely IFB volumes. This is as far as the microwaves are concerned.

As far as the frontload segment is concerned, the 9 kg and 10 kg segment was where we did not have a product actually. And we've introduced it over the last three-odd months, and these have been ramped up. And we expect just from this introduction alone, our volume increased to the extent of 10% to 20%. That is a growing segment. And it was a gap we had. Now that gap has been bridged.

So are there any other gaps remaining at least in terms of microwaves and front loaders where you have been market leaders for the last

few years?

No. So now for this financial year, it is about basically, now with these all segments in place, now it is about getting the volume. Indstris Limited

Aviran Jain:

R. Anand

Moderator:

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

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Okay. And sir, last question on your refrigeration plans. Do you see any application of BLDC motors there? Or will that still be industrial motor-driven?

So let's say, the equivalent of BLDC motors is compressors. So fixed-speed compressors and inverter compressors. And as far as the refrigerator industry is concerned today, it is a mix of inverter compressors and fixed-speed compressors. It is more about price points and placements with respect to mid-end, high-end models, etcetera. So that is how the industry is playing it. In IFB Refrigeration Limited will also have a similar sort of a mix of fixed-speed and inverter compressor products. So in washers, for example, it is about motor. In ACs, it is compressors and motors. In the refrigerators, it is largely the compressor.

Okay. And what are the time lines and any guidance in terms of what are you targeting in terms of -- both in terms of your product placement, price positioning channels and overall markets that you want to capture there?

You're talking about washers?

Refrigerators, s

So refrigerators, Mr. Chatterjee, would you like to answer that?

Yes. Refrigerators we have acquired 44.4% shue. It's a different company. They have started just producing.

Okay. But in terms of time lines, when do you expect the first launch to be?

So their production started last week of May, basically

Okay. So in the next couple of quarters, I'm assuming?

Yes.

And in terms of positioning, it will be a similar premium positioning similar to what we've seen in the ACs, or you will be playing across prices?

So their positioning will be in the basket of the three main competitors, which is the LG, Samsung and Whirlpool. So they will be in that basket.

Okay. Thank you so much.

Thank you. Our next question is from the line of Ravish Mehta from Plutus Wealth Management LLP. Please go ahead.

Wanted to understand that in terms of the margin improvement, if you are expecting going forward in case you were to bucket it in two or three aspects in terms of lower input cost, operational efficiencies with your volumes improvement and the cost reduction program that you have taken, in which bucket do you expect would be the margin improvement bulk of it would be coming from? Industries Limited

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

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Amish Thakkar:

Rajshankar Ray:

Prabir Chatterjee:

Amish Thakkar:

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Rajshankar Ray:

Amish Thakkar:

Moderator:

Ravish Mehta:

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If I've understood you correctly, you're talking about where will the various contributions come from, right?

In terms of the improvement from here on, whether it will be volume-driven or lower input costs or the other efficiencies that you are putting in place?

So I would say that going forward, maybe 60% will be material cost-driven. 30yo, 35yo -- 30% would be volume-driven and 5%, 10% are the other cost areas.

Okay. And so in terms of say the AC segment that you talked about specifically, how do you see the demand ramping-up versus Q1. Whether it is about [inaudible 0:31:32] what utilization levels are we expecting it to reach the breakeven level?

I'm struggling to hear you a little bit, but if you look at overall the AC industry volume, then in the March and April month, it was sort of subdued because of the unseasonal rains across India. However, I don't think that changes the essential demand pattern. So we would probably see a good uptake in June because now the rains, etcetera have sort of receded. As far as IFB is concerned, we have made a plan for this year, which is a combination of brand sales and OEM sales.

es. And we would expect to be at roughly about 75%, 80% capacity utilization basically from Q3 onwards.

So how confident are we on this volume utilization? Like previously, there were certain headwinds, we understand, but going forward now things have stabilized, inputs have largely, in terms of cost, have largely stabilized. How much is confident we are going in this next fiscal year about the volumes and the margin in the AC segment?

Yes. So our volume confidence on the brand sales is much higher than before, primarily because our spread in the market has improved over the last three, four months. The OEM volumes are still difficult to predict because they sort of go up and down based on stocking at the OEM end, but our confidence on the IFB brand volume is much higher than before. As far as the material cost profile, etcetera, is concerned, that program is complete. So it is just about the figures accruing on the P&L now. So in terms of the profitability and the stability of the business, we are at a much better place as compared to the previous two years. Does that answer your question?

Yes, sir, and just expanding a bit, the improvement in the AC segment, would they be only reason to improve the overall performance, or there are improvement areas in the home appliances segment as well in terms of both volumes and the profitability that we are targeting?

Yes. So there are improvement areas in the other parts of the business as well. It is a good point of that you have. So the material cost reduction program that we were running on the AC was also accompanied by a material cost reduction program on the washer segment. And that has also completed. And as far as our network expansion, there is scope for improvement in both front loaders and top loaders. So while there is work to do in ACs, there is also an equal amount of work to do in products like washers, cooking products, which also is being done. So improvement will come from all segments, not just the ACs.

Rajshankar Ray:

Ravish Mehta:

Rajshankar Ray:

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Rajshankar Ray:

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Ravish Mehta: IFB Industries Limited

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But in terms of timelines, so in the past there were a few mentions of timelines and going forward apart from ACs, the other areas that you mentioned, are we on track to achieve those timelines?

Rajshankar Ray: I couldn't hear you, please.

Ravish Mehta: In terms of various time lines that you have mentioned of launching new products or achieving the efficiencies of all those time lines, which have been mentioned a couple of quarters and here also. In terms of our progress at ground level, how are we...

Rajshankar Ray: So if you look at the washing machine range, the washing machine range in terms of product segments, etcetera, is now complete. I just shared a little while earlier that the 9 kgs and 10 kgs front loaders was a gap. We plugged the gap. In top loaders, there is a high-end segment of 10 kgs, 11 kgs and 12 kgs. So we have introduced models in that segment as well over the last three, four months. So that is complete. So as far as the washer segment is concerned, in terms of the product range required for the market, we are complete. Ongoing developments for products are a routine thing. They will continue to happen.

On the cooking side, in microwaves, we just discussed a few minutes ago, there was a gap in the segment that has been plugged. On the other cooking products like hobs, chimneys, ovens, etcetera the range is complete. And on the cooling side, it is about us getting more volume out of the AC segment. So these are the broad areas. There aren't any major product gaps as on date.

Ravish Mehta: Okay. Sir, last point on the IFB Points improvement, the renovations etcetera, that's going on. In terms of the capex or the O&M spend, would it be material to understand from the P&L or the capex perspective?

Rajshankar R

ay: I'm sorry, I'm not able to hear you. Could you just repeat, please?

Mr. Meht4 we request you to use your handset, please?

So in case of the IFB Points of improvement that you have been taking on since last year, is it a material aspect from the P&L or the capex point of view? And how much volume improvement we expect from that improvement, which is -- which will be concluded by FY '24 and/or FY '25?

Rajshankar Ray: You're talking about IFB Points, right?

Ravish Mehta: Yes.

Rajshankar Ray: Yes. So in IFB points, what we have been redoing the ambience and the design of the IFB Points. So we've completed 80 out of 500-odd, and that is an ongoing month-on-month activity. And over the next 12 months to 15 months, we expect to change over all the IFB Points to this new design. The feedback on the changes we have made has been in terms of the conversion ratios inside the store increasing because the design is better, the products are better placed. So whatever footfall we've been getting, the conversion ratios have increased.

In terms of overall contribution of the IFB Points to the company's sales, we would expect it to remain around the 140/o to 160/o mark because overall sales from other channels will also

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Moderator:

Ravish Mehta:

Industries Limited

Ravish Mehta:

Rajshankar Ray:

Moderator:

Aviran Jain

Rajshankar Ray:

Aviran Jain:

Rajshankar Ray:

Prabir Chatterjee: Yes, not decided yet.

Aviran Jain:

Prabir Chatterjee:

Aviran Jain:

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improve. IFB Points will also improve, so it will remain in the 14% to 16% of sales broad range basically.

Okay. And sir, your spending towards the improvement in the IFB Points stores.

These are normal revenue expenses. These are not treated as capex. So if you were to redo an IFB point, there is some amount that the franchisee would invest, some amount that the company would invest and this is all revenue expenses of an ongoing nature. This is not capex.

Sir, the line from Mr. Ravish Mehta has dropped. May I request that we move to the next participant. Thank you. Our next question is from the line of Aviran Jain from SG India. Please go ahead.

Yes, sir, this was on the refrigeration business -- refrigerators business rather. So is there a separate commercial team, which would be deployed to take care of sales and marketing there?

So it would not have any overlap with IFB Industries on the AC or on the regular appliances business, sir?

So the full details on that are being worked out, and they will be completed within this quarter. But the essential sales and service parts, the thinking is that, it will be a common force. There will, of course, be dedicated people for product management and network specialists, etcetera. The broad details, are being worked out. I think, by end of this quarter, it will be done, so we'll be able to give you a full picture in the next conference, we have.

Sure. So broadly, again, just trying to understand, would there be any transfer pricing involved that, IFB Refrigeration will sell its unit to IFB Industries, which, in turn, will market it? Or there would be some sort of commission, which would be paid to IFB Industries for selling and distribution of IFB refrigerators?

Would you like to answer that. . . ?

Okay. [inaudible 0:41:48] in terms of, it's a 100% overlap in my view on IFB Industries what it does on the home appliance side versus what IFB Refrigeration would want to do for their refrigerators?

That is what I said. Actually, it's a different company that, the commercial process is being evaluated at their end. So like Mr. Ray said, we would come to know about it more, maybe by end of this quarter.

Sure. Okay

Thank you. Our next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Yes. Thanks for the opportunity. Sir, my question would be on the margin side. So, if you look at over the years, we have been talking about, taking a number of initiatives with regards to Pa

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Manoj Gori:
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margin improvement. However, when we look at the performance barring a couple of quarters here or there, we have been relatively, if you look at the margin performance has been very weak.

And in fact, over the last few quarters, the uncertainty is so high. And in home appliances, we have been reporting losses. So can you throw some light, like what structurally in fact can change for us? Because whatever you highlighted probably, we have taken those efforts for washing machines, as well. So whether we talk about electronics that we used to do, we were dependent on imports, and then, we started building our own capabilities. Still, if you look at, we have not been able to make any significant inroads towards higher margins. So can you throw some light over there?

Yes. So Manoj, that's a very good point because at the end of the day, if the actions are not resulting in an overall margin profile that, we want, then those individual initiatives are not adding up. So your observation is absolutely correct. If we specifically look at the last two years, '21-'22 and '22-'23, the problem that, we've had is a significant increase in material costs from January '21 onwards and the inability to pass it into the market because that was how the market was. And added to that was, this problem that we had about the AC business actually losing money. So if you look at, what has to be delivered, other than this aspect of higher revenues and volumes, even material costs back in line with, let's say, quarter 3 of '20-'21 and having this AC business not lose money.

So one of the main reasons, why we have not been able to deliver the profitability over the last two years that, we should deliver is sitting on these two ends. Now over and above that is the revenue related, which is the additional bonus. So going forward, with the material cost program complete, the AC business is generating money and realization of better sales, these are the three main levers basically for us to deliver the profitability that, we should be delivering. Right...

Does that answer your point, Manoj?

Yes, to some extent. My question here was on the following this. So if you look at, we obviously invested behind room AC capacities. And when we look at this category, the seasonality aspect is very high. So if there are - like, obviously, even you would have taken those things into your consideration by evaluating the new factory setup. But when we look at probably even today, after doing volumes, probably this is the second year of operation, and we still are making losses here. So don't you think like, probably the outsourcing model would have been far better, which would have definitely, if you look at the fixed overheads were definitely not a concern for you and probably, it would have been more of a variable in nature and that would have been feasible for you?

Yes. So that's a fair point. But how I would look at it is that, the air conditioners that, we are manufacturing and presenting as the IIFB brand air conditioners, if you seek feedback on the performance, it is better than almost everyone. So, at the end of the day, we've got an excellent product out there. Now the problem that, we had as far as the business is concerned on breaking Industries Limited

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray

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Rajshankar Ray:

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Manoj Gori:

Rajshankar Ray:

Prabir Chatterjee Can I add something?

Rajshankar Ray:

Prabir Chatterjee:

Manoj Gori:

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray: IIFB industries Limited

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through in the market, finding placement and getting volumes quickly, that problem would not have been solved even if we had outsourced because that is a sales-related issue.

But wherever we got placement and got share encounters has been because the product has been so good. And this product, to have outsourced, would not have been possible. So let's say, two

quarters

from now or a year from now, with the business having done well, then we would have got the project where it was supposed to be. But an air conditioner in line, with the IFB brand in terms of quality, durability, premiums, etcetera that we would not have been able to outsource. Okay. So this understanding -- like probably, is this understanding correct that if we - normally, when we outsource, probably the desired features or probably quality, so there would be some compromise and that's the reason that we wanted to develop a...?

Yes, I wouldn't basically use the word compromise, but you can outsource anything. But if we were to basically outsource the specifications, the performance that, we have presently, we would have run through the same set of problems because today, the outsourcing industry in India is based on a standard platform being bought by everyone, whereas, what we've created is a completely different performance platform. So if somebody had to develop that platform in the middle of the pandemic and all the associated issues, probably they would have gone through the same cycle. IFIT

Yes, please.

In addition to that, you will always have the number limitations, how many models you can have. Then if you are importing, the fluctuation of exchange will always affect you. Third, in such cases, availability of spares over a longer period of time is always an issue. These are the additional issues that, we always face, whenever we import products for trading.

Right. So sir, currently, if you look at the branded IFB AC sales, what portion would be coming from South and probably from non-South markets?

So currently, the South is a total of maybe about 20%, 25%. Non-South is about 75%. That is a ratio, which we need to fix because our sales from the South has to be much higher than, where it is today.

Okay. And sir, last question, if I may. If we look at the AC placements in the channel. So -- like how the channel mix would be currently? And whether, we are into some of the national chains like Vijay Sales, Croma or Reliance Digital, so how, are we approaching things over there?

Sorry, could you just repeat that, please?

I just wanted to understand the channel mix for room ACs and also, how we are looking to get into deeper into modern format retail. So, probably with national chains like Vijay Sales, Croma or Reliance Digital? Manoj Gori

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Industries Limited IFB industries Limited

June 06, 2023

Rajshankar Ray: So Manoj, this time,, we consciously decided to stay away from the three channels that you spoke about simply because we do think, it was worth the volume versus the cost of sale. So we have focused ourselves on other larger accounts and a lot on the distribution networks across India. So, I don't think in the near future, we would need these three chains for the volumes that we need to target. And we'd go there, if the cost of sales was looking right. As on date, it doesn't look right.

Manoj Gori: Got it, sir. Thank you and wish you all the best, sir

Rajshankar Ray: Thank you.

Moderator: Thank you. Our next question is from the line of Amish Thakkar from SG India. Please go ahead

Amish Thakkar: Sir, I just want to double-click on that comment, you made about modern retail. Even in our microwave, front load, top-load segments, we are not selling anything through Croma or Reliance Digital. Is that...?

Rajshankar Ray: No, we are. We are quite well placed actually. It's just that, there is something peculiar about this AC segment, in terms of the manner, in which people structure their schemes around some of the accounts. And it was our call that, for this category, we would essentially stay away, looking at the cost profile basically. But for the other categories, we are quite well placed, and it is an ongoing agenda to improve our share in these accounts.

Amish Thakkar: Okay. Can you just give a breakup of your overall channels in IFB Points about 14% to 160%. Now, excluding ACs, what will be the split of

the modern retail, e-commerce and other distribution channels that you have...?

Prabir Chatterjee: E-commerce for the year was around 14%. Key dealers was around 34%, distributors around 20%, trades 3%, IFB Points around 120%. Rest others.

Amish Thakkar: Okay. Just a request you, if you can start putting these numbers in your investor presentations again. You used to have these numbers earlier, but I think, you discontinued at some point. So it will be very useful, if you can have these included?

Prabir Chatterjee: For the numbers -- I would request you to call me separately, I will give you the numbers.

Amish Thakkar: Okay. And sir, on IFB Points again, any plans of expansion adding more IFB Points this year?

Rajshankar Ray: So, the additions are on an ongoing basis, but what we had said last year, as well, and that is for this year as well that, redoing these IFB Points, improving ambience, conversion ratios and

franchisee profitability, those are bigger agendas than the expansion.

Amish Thakkar: Okay. And all of these IFB stores are franchisee-driven or [inaudible 0:52:57] your going to take up?

No, about 187 -odd are operated by the company and the remaining are franchisees. Rajshankar Ray:

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Okay. And any guidance on your kitchen -- modular kitchen business. It's only seven stores that we speak and your presentation mentions. Are you planning to increase the footprint of your modular kitchen business. So any guidance there in terms of how many stores, you are looking to add here?

So, we put it into the investor report because this is a segment that, we have not been doing well in, in terms of scaling the segment. So therefore, we put the commitment into the investor report specifically. The current focus is that, we are opening one store in Mumbai. And we are enhancing store presence in Bangalore, and there is a specific business target, we've taken. And then for Goa also, we are taking a target. So let's say, over the next three months to four months, once we've got to these levels, then we've identified a list of stores, where we can expand this business too. That is about 100 across the country, but our first target is to deliver the numbers that, we've put into the investor report this time.

Of course. And sir, in your kitchen appliances division, you have products like chimneys and hobs, which I'm assuming, you're selling only through that channel and is there any plan you take it, outside the IFB Points and your modular kitchen business and launch some of those products, who depend on -- I'm assuming a channel will be very different from the channel you have for washers and ACs. But is there any thought about entering new categories like kitchen appliances? Or...

So, we are not entering any further categories. Right now, chimneys, hobs and built-in ovens and the focus is around this. We've taken a target of taking more business from the typical IFB Points stores that, we have. And in terms of expansion into multibrand format, we've taken a target of 1,000 stores over and above the IFB Points we have to be completed within Q1 and Q2. And the overall internal target for this business is to reach a level of basically INR5 crores a month, followed by INR10 crores a month, and this will come through the expansion in the channel.

And these multi-brand format stores will be different from the ones you have [inaudible 0:55:34] machines, will be kitchen appliance focused, multi-brand stores?

Yes, That's right. They are more in a kitchen appliance focused, multi-brand stores.

Okay. Thank you so much.

Thank you. Our next question is from the line of Sai Kiran, who is an Individual investor. Please go ahead.

Hi. Thanks for taking my question. Just trying to understand, in terms of the cash flow, I guess, for a long time, you guys turned EBITDA positive? And then, what are your thoughts going ahead for the next two years to three years, how do you look at those in terms

of cash utilization?

Cash utilization - as of now we are using it for meeting our capex needs & additional working capital requirements. We are also looking for acquisition & M&A opportunities. Industries Limited

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar

Moderator:

Sai Kiran:

Prabir Chatterjee:

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But do you foresee any major capex in the next two years to three years, sir?

No. As of now, We have only routine capex which is around INR16 crores, also INR17 crores of balance capex that is required to finish BLDC motor project. The other capex are being evaluated & not finalised yet.

Got it, sir. Sir, I have a board level question. If I look at for the past 10 years of the IFB's journey, there were many products, which have been added and the new segments, what you intend to enter are also more or less done. Do you think, still there are any new segments, which you could consider probably in the next three years to five years as a company, I suppose?

So I'll answer that. The evaluation of new segments is a continuous exercise. But if you look at

our priority for this fiscal year and the next fiscal year, it is to get the revenue profile and the margin profile that, we need to deliver, which, quite honestly, we have not done over the last quite a few years. So if you're looking at this fiscal year and the next fiscal year, I do not think that, we will enter any new category as such. There may be new models, new segments, etcetera, within a product category. But our aim now is to, get the revenue profile and the margin profile in place. I hope that answers your question.

Sir, that answers the question. Sir, but I understand the near term that, broadly as a company if you look at as a whole, do you see any kind of adjacencies in terms of product categories from what you have already apart from the refrigeration?

Yes. So there are lots of adjacencies that, we could look at. So for example, if you look at the air conditioner category, currently, we are only in home ACs, split ACs. Now there are adjacent categories of semi-commercial ACs. There are these tower residential ACs, which are very popular, for example, in China. Now those are adjacencies in terms of seeing manufacturing processes, but a little bit of design and development effort. So if you look at the three-year, five-year horizon, yes, we will definitely extend into these, once we've fixed the profitability of the present business.

Similarly, if you look at a clothes dryer, today IFB has, what is called as a Tumble dryer, Hot air dryer and there is another adjacency, which is a Condenser dryer, which is in almost like a mirror image of a washing machine. So in the three year to five year horizon, IFB will also extend into that. So there are, of course, lots of adjacencies, but like I said, right now, we are very focused on delivering with, what we have, what we should be delivering in terms of revenue and margin. Once this is done, that will lay the platform for many other things. I hope, I have been able to explain this to you.

Yes, sir, you are able to. So just one question, sir. One of the earlier participants, when he asked, you were explaining about some sort of inefficiencies or whatever you could call on the sales side because the product you guys have got the best. Maybe in hindsight, if you have to look back and then think about, how do you see, what has gone right or wrong on your sales engine? And how do you intend to fix probably in the next one year or two years because that has been the focus for you, especially on the AC side? Thank you. That's it from my side.

Sai Kiran:

Prabir Chatterjee:

Sai Kiran

Rajshankar Ray

Sai Kiran

Rajshankar Ray:

Sai Kiran:

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Yes. So that's a good question, you've asked. And that is the priority area to be fixed by us, which is the sales engine

. Now if you ask me what has gone right, then I think, what has gone right is that, in terms of the network we've created over the last two years, 2.5 years or so, there has been a significant spread, in terms of the IFB presence. India is a very large distribution market. For many years, IFB sort of stayed away from distribution. A very large distribution base has now been laid over the last two years. So that is, what has gone right.

What has gone wrong is the fact that, for the expansion that we've done in the network, we have not been able to realize revenue in line with what we should be realizing. And in terms of getting the team together, getting the productivity fixed and just ensuring that, at the end of the day, the result in terms of sales is delivered, that is a large area to be fixed. So it is not a one year, two year agenda it is an agenda on, which we are already late, quite frankly by. So, if you were to ask me plus and minus, this would be my answer.

In terms of corrective actions, sir, what is that, you're trying to do to fix this, if you can explain that, sir?

So, what we are doing is, on two levels. One is, we are spending a lot of time having senior people move in the market, look at the nitty-gritties and fix areas related to the sales process. This is one thing that, we are doing. The second is that at the end of the day, the sales is about people. So structural changes were required. The company is very actively doing that now for the last, let's say, two quarters or so.

Got it. Thanks for, sir. That's really helpful. I would appreciate it. Thank you.

Thank you. Our next question is from the line of Ankit Shah, who is an Individual investor

Please go ahead.

Yes. Hi, so my question is on refrigerators in company, right? So first thing, is there any plan to sort of consolidate this in the future? Secondly, what percentage of your BOM will be imported? And third is in terms of - since this will be a -- I'm just trying to understand, how transfer pricing will work, like will they sell to us and we'll sell to consumers, or they'll use our sales infra -- so

how is that going to work?Industries Limited

Rajshankar Ray:

Sai Kiran

Rajshankar Ray:

Sai Kiran:

Moderator:

Ankit Shah

Rajshankar Ray: Mr. Chatterjee, would you like to answer that?

Prabir Chatterjee: Yes. As I have already explained, the IFBRL is evaluating the commercial part

Ankit Shah: Okay. So maybe the platform price is also not clear yet, in terms of, how is this going to work?

Prabir Chatterjee: Sorry, I couldn't hear you clearly

Ankit Shah: No, I am saying, will they sell to us and we will sell to our - like, will they sell directly and they'll pay us a charge for using our sales infra and all of that.

Prabir Chatterjee: They are in the process of finalising the details.

Ankit Shah: Ok. Got it. Thanks.

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Thank you. That brings us to the end of the question-and-answer session. I would now like to hand the conference over to the management for closing comments.Indr, Istries LImItéd

Moderator:

Prabir Chatterjee: Thank you all for joining.

Moderator: Thank you. On behalf of Nirmal Bang Institutional Equities, that concludes this conference.

Thank you for joining us, and you may now, disconnect your lines.

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"IFB Industries Limited

Q4 FY'23 Earnings Conference Call"

June 06,2023

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Drvrsox - IFB INuusrRrns Lrvrrnn

MR. Anup D,q,s - Hnan M,q.RKnuNG, EncrivnnRrNc

Drvrson - IFB INuusrnrrns Lrvrrnn

MR. AN.tNu Rnnoy - Cnmr Exncurrvn OrrrcER,

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June 06, 2023

Ladies and gentlemen, good day, and welcome to the IFB Industries Limited Fourth Quarter FY'23 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prasheel Gandhi from Nirmal Bang Institutional Equities.

Thank you, and over to you, sir.

Thanks, Zico and good afternoon, everyone. Nirmal Bang Institutional Equities welcomes you all to 4Q FY'23 Earnings Conference Call for IFB Industries. On the onset of the call, I would like to thank the management of IFB Industries for giving us the opportunity to host the call. So on the management team here today, we have Mr. Prabir Chatterjee, Director and CFO; Mr. Rajshankar Ray, MD and CEO, Home Appliance; Mr. Arup Das, Head of Marketing and Engineering Division; and Mr. Anand Reddy, CEO of Motor Division.

I now hand over the call to management for opening remarks, post which we can take questions from participants. Thank you, and over to you, sir.

Good afternoon, everyone. I welcome you all for IFB Industries investors call for the Fourth Quarter FY'23. Joining with me today are Mr. Rajshankar Ray, MD and CEO of Home Appliances Division; Mr. Arup Das, Head of Marketing and Engineering Division; and Mr. Anand Reddy, CEO of Motor Division.

Growth during this quarter was 11.8%. YTD growth for the period ending March 31,2023,was 22.9%. Growth during the quarter 4 was not as per expectations because of lower revenue in Appliances division in February and March. The company has reported a total income of INR 994 crores compared to INR 889 crores during the same quarter last year.

During the fourth quarter, EBITDA was INR 37 crores against a loss of INR 7 crores for the same quarter last year. As a result of lower commodity price, material cost reduced by 3%,which has resulted in higher gross margins. YTD revenue of the fourth quarter ending March '23 was INR4,126 crores compared to INR3,357 crores for the same period last year. YTD growth in revenue compared to last year was 22.9%.

EBITDA margin during the period was significantly higher at INR183 crores compared to INR68 crores for the same period last year. Major reason for higher growth in EBITDA was higher revenue and lower material costs and which was partially offset by the higher operating expense.

With this, I will request you to start the question-answer session.

Thank you very much. Our first question is from the line of Amish Thakkar from SG India.

Sir, I just want to understand in terms of your guidance on the margins in the air conditioning division. If you can just speak about the various steps you have taken in terms of improving the,ndustries Limited

Moderator:

Prasheel Gandhi:

Prabir Chatterjee:

Moderator:

Amish Thakkar:

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bond. And if we can also break it down a level further in terms of where you see the maximum improvement coming from, which is the plastic components, sheet metal components. Is it the motor and

the compressor and the electronics on top of that. Where do you see the major cost improvement areas have been. And I know your presentation mentions that by Q2 you expect to see the AC division to run profitable. But if you can just give us granular details of why it has taken so long?

Yes. Rajshankar here. So your question was on the steps for the AC profitability. Did I understand it correctly?

Yes, sir

Okay. So in terms of the profitability, it comes from two areas. One is the material cost, for which there was a complete program in place, which has been completed. And there's a second program, which has started. Now the reduction areas are primarily in the area of electronics, which would be, let's say, 60%, 65% of the total planned reduction and the remaining come from areas like compressors and basic efficiencies based on volumes. So the material cost area for profitability is the biggest lever. And the second is, of course, the volumes and our extraction from the network, etcetera which we have. So these are the two areas based on which the profitability targets have been set for the business.

Okay. Can you give us a breakup in terms of all the cost reductions you've done until now. I'm assuming that electronics is still a major driver going forward. So I'm assuming plastics and sheet metal components, you could have extracted most of the savings already there and there is not much there in terms of saving going forward?

Yes, that's right. As far as areas like plastics and sheet metal are concerned, those are not very large contributors per se. And there, the costs are optimized from very early stages. So assuming you have the press and sheet metal partway running, whatever efficiencies you would get would primarily come because of volumes. So the savings on account of alternate purchases, negotiated purchases, etcetera. The strength is coming out of electronics and electrics, followed by negotiations and compressors.

And compressors I am assuming that will be completely imported?

Yes, completely imported. But in terms of where you get cost reductions, one is, of course, consolidated purchases. So let's say, what we have been doing over the last, let's say, a year or so is consolidating the purchases across washers and air conditioners together. So you would have a source, which would be supplying motors as well as compressors. And then when you're talking about the whole bundle, the cost efficiencies are that much better. So that is what we've been doing and that entire program has been completed. And now as inventories move out, that cost reduction will come in.

And with regards to electronics, sir, I just want to understand what is the level of backward integration there in terms of overall electronics. Are you importing components and assembling it here? Or how far are you in terms your backward integration in terms of overall electronics? Industries Limited

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

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So over the last 3-odd years, we have built up complete back-end depth in electronics. So the hardware, software complete design is done by us internally. In terms of the purchase process, we have a handle on all the inputs into the controller board in terms of component level pricing. And we have also localized the manufacturing of the controller into India. So it's been localized for washers about 2.5, 3 years back and for air conditioners for the last 1.5. So we are doing everything within India.

These further cost savings that you're seeing on the electronics side, which will be 21% of your overall cost reduction going forward. This will be on account of better design or better volume discounts based on higher volumes? Or where are you seeing [inaudible 0:09:08]?

Actually -- yes. So the bulk of it is coming because we have consolidated the purchases and redone the sourcing strategy in term

s of the manner in which we discussed or we have discussed

the whole bundle as opposed to one part. And also because of ongoing design-led processes that are sort of routine, but the bulk of it is coming through basically the purchase efficiency.

Okay. And the other question on your go-to-market strategy replacement. So you've been talking about institutional sales, and I think your report mentions you've hired 12 people. So currently, I'm assuming there are hardly any institutional sales coming. And I just want to understand what kind of institutions are you targeting? Is it modern retail shops? Is it ATMs? Is it offices? How are you going about building institutional business there?

So if you look at direct sales that we do, then this comes from 2, 3 types of segments. So CSD CPC channels are one segment. Then you have typically, the program of purchase that the central government has, which is called GEM, which are sort of tender-based purchases. And the third is institutions like, let's say, an IT industry, or a hotel or a restaurant. So when we talk institutional sales, we mean all 3. And by the end of the quarter 2, we will have about 25 people working on this. As on date, it's about 12. And this is a team that we've been building up for the last 5, 6 months, basically.

And as of now, what is the contribution of institutional channel? And...

So it is presently running at the rate of about INR13 crores to INR14 crores a month. It was practically nil about a year back. So...

And what is the projection [inaudible 0:11:05] as per fair market share if you were to take in this channel, what number can this be by Q2 or let's say end of next year?

Okay. And the range that is going there will be compatible in the market in terms of pricing and in terms of quality of products and everything?

Sorry, can you just repeat that?

The range of ACs that you will be placing in this channel will be very similar to your direct channels, right, in terms of...Industries Limited

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray

Amish Thakkar:

Rajshankar Ray: Rajshankar Ray: So INR0 crores to INR25 crores is what you would say in the short term is possible.

Amish Thakkar:

Amish Thakkar:

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Yes, yes, yes. There is no product difference, per se. It is the same product, but it's the fact that we need to be present. So if, let's say, a small corporate setup somewhere is buying ACs, then IFB needs to be represented. And we will win some, we will lose some, but that is business to be had there.

Are you going to distributors, or are you directly building like especially when it comes to government tenders and all that stuff?

So -- yes. So as far as the direct sales channel is concerned, most of it is direct from IFB to that respective channel there.

Thank you. Our next question is from the line of Aviran Jain from SG India. Please go ahead.

My question was based on the disclosures that you've given in the quarterly investor update. The

- still the numbers suggest that the AC business is still running at mid-7%, 7.5% EBITDA margin loss. What I wanted to understand was, given the material cost reduction program has been completed, with the current cost base for ACs, where do you see this margin heading because there'll be -- substantial gross margin improvement is what I am assuming will happen.

So will it tend it towards the rest of the appliances business EBITDA margin?

Yes, it will. The gross margins, as far as the air conditioners are concerned, will improve with this material cost program. And once we get the volumes that this business should deliver, we will have similar margins. It will not be as high as, let's say, a front loader margin. But overall, on a business basis, it will be quite similar.

Sir, if I were to just say for the volume s that were delivered in Q4...

Sorry to interrupt, Mr. Jain, maybe we request you to use the handset for optimum a

udio quality

Okay, sir. Sir, my question was that if we were to use the same cost base as what has been achieved and apply it on the volumes that were delivered in Q4, will the AC business EBITDA margin would look -- would fall into positive territory? Or it is still dependent on the volume?

Rajshankar Ray: No, it would fall into positive territory

Aviran Jain: So that's a very big swing, sir. Basically, what I'm trying to infer is that there was old inventories, which led to high cost of production per unit, but with the old inventory of components or finished goods left out, then the business is tracking towards a profitable margin territory at EBITDA level.

Rajshankar Ray: Yes. So actually, if you see over the last 2 years on the margin side, on an overall business basis, the AC business has led the P&L a lot. So the cost reduction program with the inventory that will be fully with the new bill of material, let's say from Q2 onwards, will make the business basically profitable. And that helps the overall P&L as well.

Aviran Jain: As far as Q1 has gone, I think some bit of volume or entire volume will be able to do...

Yes. Some effect will also come in Q1, but the larger impact will come from Q2 onwards.

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Industries Limited

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

Moderator:

Aviran Jain:

Rajshankar Ray:

Aviran Jain:

Moderator:

Aviran Jain

Rajshankar Ray:

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Aviran Jain:

Rajshankar Ray: Aviran Jain: Because, sir, in Q2, then there will be seasonality, which would kick in, the volumes will fall. And I would assume you still have [inaudible 0:15:58] variable costs in the business, but you will still have sales promotion people and marketing expenses.

Rajshankar Ray: Yes, yes. Yes, you're right. I was answering you more from the point of view of the material cost profile basically in terms of the percent.

Aviran Jain: So would it be fair to say that on a steady-state basis, you would be targeting, say -- again, I'm not trying to get the right number, but at least a 5% to 7% plus EBITDA margins on the whole appliances business, including ACs?

Rajshankar Ray: Yes. Normally, we don't give an estimate in that sense. It would be almost a forward guidance, but in these calls itself Mr. Chatterjee and I have spoken about our internal targets more than the figures we gave. So that is something that we need to deliver as well. And we - profitability in the AC business is definitely one of the biggest levers. I hope that answers your question.

Aviran Jain: Yes, sir, it does. Obviously, there has always been - it always has been a few quarters away phenomenon. That's why I was asking. Otherwise [inaudible 0:17:17]

Rajshankar Ray: Yes, That's a fair thing to say from your side.

Okay. And there is no other market share. So - but you are able to get AC volumes, which is a very impressive number, I must say, on the AC revenue side. What's the breakup between third-party OEM business versus IFB branded sales? I mean, are they both tracking to your expectations in terms of volume?

Yes. Both are more or less in line with expectations. We would, of course, want the IFB brand volumes to be much more than where they are today. And that has a lot to do with our channel extraction. So if you look till the last season, the larger accounts were still sort of -- a lot of haggling was going on in terms of basically placement of the IFB AC. So this year, even though it has been for a shorter period, but the IFB ACs are now entering into all accounts barring maybe 4, 5 of the larger accounts. So going forward, we see the placement improving and with the placement the volumes improving. So the OEM volumes are more or less where we thought they would be, but the brand volumes, definitely, we need to do much better.

Aviran Jain: Okay. Sure. That's it. And one more question on the -- and this is on the motor division. So is there -- has there been any delay on the motor side in terms of your [inaudible 0:19:01] because

there is some commentary again on the investor report that says that most of the sales of the Motor division right now are internal sales?

R. Anand: Yes. This is Anand here. As you rightly said, to start with, the sales will be from -- will be coming more from the internal captive consumption. But going forward, we aim to have at least 50% of our sales from external sources. There are challenges in getting customers from external sources because most of the appliances have their own captive motor units either in Asia or in Europe, but we are trying to find more customers outside of our captive requirements.

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Okay. So how much are the sales right now? The reported sales in the investor report are all internal sales then or these are? [inaudible 0:20:02] Sorry, I'm not very clear from the report per the motor sales you are talking about?

Yes.

The motor sales you are talking about? Yes. Yes, the motor sales, we have two divisions. One

is appliances motor division, the other one is the automotive motor division. As because appliances motor division is the captive consumption, the sales is not reported separately and it is netted off from the core of the financial. But as far as the automotive motor division is concerned, we are selling to all other Tier I customers and what is reported here is only external sales.

Okay. And as you mentioned that you are trying to find customers and most of the customers you have an in-house appliance as a motor manufacturing unit. Does that push your plans again by a [inaudible 0:20:59] because BLDC still is an evolving technology. So I'm again, again, I'm just conjecturing that some of the large OEM, which some of them have been mentioned in the investor report as well, they're not be focusing as much on the BLDC manufacturing.

See, most of them have already have their own motor factories either in China or in Slovenia or in Korea. So they are all aggressively pushing the BLDC technology, which we are also doing. So they don't have BLDC motor manufacturing in India but they are importing it from.

Yes. None of the appliances manufacturers have their own motor industry in India. They are all importing either from China or Korea or Slovenia.

And a related question would be, sir, what would be the penetration of BLDC motors in the overall appliances side? Obviously, you have ACs, you have refrigerators and you have other appliances where motors would be used. But is the BLDC penetration a lot, which makes it a very large addressable market? And do they get any advantage sourcing it from IFB versus importing it from their factories in China or Slovenia?

Okay. First thing is above the advantages of the BLDC technology, it is, say, like noise is very less in the first instance. Second one is life is like 3x to 4x of the existing technology, and it is very reliable and durable.

Second point of people sourcing it in India versus their own company imports like, they have advantage of getting just-in time deliveries. And any supply chain disruptions that can happen in import are all taken care of if they source it locally.

And sir, one was -- the first question was actually the penetration of BLDC motors versus traditional motors in these appliances.

People are aggressively moving towards energy efficient solutions, and that energy-efficient solution today is offered only by BLDC technology to start with. So within the next two years

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Aviran Jain:

R. Anand:

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IFB Industries Limited

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to three years, I think most of these appliances will be using BLDC motors or rather BLDC drives.

Sure. That's it from my side sir. Thank you so much.

Thank you.

Thank you. Our next question is from the line of Amish Thakkar from SG India. Please go ahead.

Yes, your presentation, this time, you m

entioned on both microwaves and front loaders about

that microwaves entering 28-liter segment where you were not previously present. And similarly on front loader, you have mentioned 9 kgs to 10 kgs, where I don't know if you were previously present or not. So just want to get your perspective on both these categories or among the top three players for the last so many years. Are there still like, what is the reason for entering certain segments like 28-liters in microwave and 9 kgs in front loader at this stage? And are there still more subcategories, in terms of weight or volume sub-categories where we are still not present? And what are your thoughts in terms of entering those capacities going forward?

Okay. So as far as the microwave segment is concerned, the two main competitors we have in the market, which is the two Korean companies, have dominated this segment called 28 liters where we did not have a product. And this contributes to roughly between 75% to 20% of the market segment. And this was almost fully monopolized by them. So we've been looking at a product configuration for this segment for quite some time. And that has now been plugged. So from, let's say, this month onwards, those products are rolling out. So we believe that those volumes will be -- with the plus and minus. So additional modules on the segment plus maybe

some cannibalization with existing models, but overall, it will be a plus for us.

So with this, by and large, our -- in terms of segments in the market, we would be represented across all segments as far as the microwave thing is concerned. There is an upper end of the segment where we've launched a product called an advanced cooking device, which combines four, five functions into one. And the response to that has been good. So we are looking at further increasing products in that high-end range. So that will be more about creating a segment, specifically whatever volumes there are they largely IFB volumes. This is as far as the microwaves are concerned.

As far as the frontload segment is concerned, the 9 kg and 10 kg segment was where we did not have a product actually. And we've introduced it over the last three-odd months, and these have been ramped up. And we expect just from this introduction alone, our volume increased to the extent of 15% to 20%. That is a growing segment. And it was a gap we had. Now that gap has been bridged.

So are there any other gaps remaining at least in terms of microwaves and front loaders where you have been market leaders for the last few years?

No. So now for this financial year, it is about basically, now with these all segments in place, now it is about getting the volume. Industries Limited

Aviran Jain:

R. Anand:

Moderator:

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray:

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Okay. And sir, last question on your refrigeration plans. Do you see any application of BLDC motors there? Or will that still be industrial motor-driven?

So let's say, the equivalent of BLDC motors is compressors. So fixed-speed compressors and inverter compressors. And as far as the refrigerator industry is concerned today, it is a mix of inverter compressors and fixed-speed compressors. It is more about price points and placements with respect to mid-end, high-end models, etcetera. So that is how the industry is playing it. In IFB Refrigeration Limited will also have a similar sort of a mix of fixed-speed and inverter compressor products. So in washers, for example, it is about motor. In ACs, it is compressors and motors. In the refrigerators, it is largely the compressor.

Okay. And what are the time lines and any guidance in terms of what are you targeting in terms of - both in terms of your product placement, price positioning channels and overall markets that you want to capture there? Industries Limited

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray: You're talking about washers?

Amish Thakkar: Refrige

rators, s

Rajshankar Ray: So refrigerators, Mr. Chatterjee, would you like to answer that?

Prabir Chatterjee: Yes. Refrigerators we have acquired 44.4% share. It's a different company. They have started just producing.

Amish Thakkar: Okay. But in terms of time lines, when do you expect the first launch to be?

Rajshankar Ray: So their production started last week of May, basically

Okay. So in the next couple of quarters, I'm assuming?

And in terms of positioning, it will be a similar premium positioning similar to what we've seen in the ACs, or you will be playing across prices?

So their positioning will be in the basket of the three main competitors, which is the LG, Samsung and Whirlpool. So they will be in that basket.

Okay. Thank you so much.

Thank you. Our next question is from the line of Ravish Mehta from Plutus Wealth Management LLP. Please go ahead.

Wanted to understand that in terms of the margin improvement, if you are expecting going forward in case you were to bucket it in two or three aspects in terms of lower input cost, operational efficiencies with your volumes improvement and the cost reduction program that you have taken, in which bucket do you expect would be the margin improvement bulk of it would be coming from? Amish Thakkar:

Rajshankar Ray: Yes-

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Moderator:

Ravish Mehta:

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If I've understood you correctly, you're talking about where will the various contributions come from, right?

In terms of the improvement from here on, whether it will be volume-driven or lower input costs or the other efficiencies that you are putting in place?

So I would say that going forward, maybe 60% will be material cost-driven. 30%, 35% -- 30% would be volume-driven and 5%, 10% are the other cost areas.

Okay. And so in terms of say the AC segment that you talked about specifically, how do you see the demand ramping-up versus Q1. Whether it is about [inaudible 0:31:32] what utilization levels are we expecting it to reach the breakeven level?

I'm struggling to hear you a little bit, but if you look at overall the AC industry volume, then in the March and April month, it was sort of subdued because of the unseasonal rains across India. However, I don't think that changes the essential demand pattern. So we would probably see a good uptake in June because now the rains, etcetera have sort of receded. As far as IFB is concerned, we have made a plan for this year, which is a combination of brand sales and OEM sales. And we would expect to be at roughly about 75%, 80% capacity utilization basically from Q3 onwards.

So how confident are we on this volume utilization? Like previously, there were certain headwinds, we understand, but going forward now things have stabilized, inputs have largely, in terms of cost, have largely stabilized. How much is confident we are going in this next fiscal year about the volumes and the margin in the AC segment?

Yes. So our volume confidence on the brand sales is much higher than before, primarily because our spread in the market has improved over the last three, four months. The OEM volumes are still difficult to predict because they sort of go up and down based on stocking at the OEM end, but our confidence on the IFB brand volume is much higher than before. As far as the material cost profile, etcetera, is concerned, that program is complete. So it is just about the figures accruing on the P&L now. So in terms of the profitability and the stability of the business, we are at a much better place as compared to the previous two years. Does that answer your question?

Yes, sir, and just expanding a bit, the improvement in the AC segment, would they be only reason to improve the overall performance, or there are improvement areas in the home appliances segment as well in terms of both volumes and the profitability that we are targeting?

Yes. So there are improvement areas in the other parts of the business as

well. It is a good point

of that you have. So the material cost reduction program that we were running on the AC was also accompanied by a material cost reduction program on the washer segment. And that has also completed. And as far as our network expansion, there is scope for improvement in both front loaders and top loaders. So while there is work to do in ACs, there is also an equal amount of work to do in products like washers, cooking products, which also is being done. So improvement will come from all segments, not just the ACs.

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Rajshankar Ray:

Ravish Mehta:

Rajshankar Ray:

Ravish Mehta:

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Ravish Mehta:

Rajshankar Ray:

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But in terms of timelines, so in the past there were a few mentions of timelines and going forward apart from ACs, the other areas that you mentioned, are we on track to achieve those timelines?

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Ravish Mehta:

Rajshankar Ray: I couldn't hear you, please.

Ravish Mehta:

Rajshankar Ray:

Ravish Mehta:

Rajshankar Ray:

Moderator:

Ravish Mehta:
Rajshankar Ray
Ravish Mehta:

Rajshankar Ray: In terms of various time lines that you have mentioned of launching new products or achieving the efficiencies of all those time lines, which have been mentioned a couple of quarters and here also. In terms of our progress at ground level, how are we...

So if you look at the washing machine range, the washing machine range in terms of product segments, etcetera, is now complete. I just shared a little while earlier that the 9 kgs and 10 kgs front loaders was a gap. We plugged the gap. In top loaders, there is a high-end segment of 10 kgs, 11 kgs and 12 kgs. So we have introduced models in that segment as well over the last three, four months. So that is complete. So as far as the washer segment is concerned, in terms of the product range required for the market, we are complete. Ongoing developments for products are a routine thing. They will continue to happen.

On the cooking side, in microwaves, we just discussed a few minutes ago, there was a gap in the segment that has been plugged. On the other cooking products like hobs, chimneys, ovens, etcetera the range is complete. And on the cooling side, it is about us getting more volume out of the AC segment. So these are the broad areas. There aren't any major product gaps as on date.

Okay. Sir, last point on the IFB Points improvement, the renovations etcetera, that's going on. In terms of the capex or the O&M spend, would it be material to understand from the P&L or the capex perspective?

I'm sorry, I'm not able to hear you. Could you just repeat, please?

Mr. Mehta, we request you to use your handset, please?

So in case of the IFB Points of improvement that you have been taking on since last year, is it a material aspect from the P&L or the capex point of view? And how much volume improvement we expect from that improvement, which is - which will be concluded by FY '24 and/or FY '25?

You're talking about IFB Points, right?

Yes.

Yes. So in IFB points, what we have been redoing the ambience and the design of the IFB Points.

So we've completed 80 out of 500-odd, and that is an ongoing month-on-month activity. And over the next 12 months to 15 months, we expect to change over all the IFB Points to this new design. The feedback on the changes we have made has been in terms of the conversion ratios inside the store increasing because the design is better, the products are better placed. So whatever footfall we've been getting, the conversion ratios have increased.

In terms of overall contribution of the IFB Points to the company's sales, we would expect it to remain around the 14% to 16% mark because overall sales from other channels will also

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improve. IFB Points will also improve, so it will remain in the 14% to 16% of sales broad range basically.

Okay. And sir, your spending towards

the improvement in the IFB Points stores.

These are normal revenue expenses. These are not treated as capex. So if you were to redo an IFB point, there is some amount that the franchisee would invest, some amount that the company would invest and this is all revenue expenses of an ongoing nature. This is not capex.

Sir, the line from Mr. Ravish Mehta has dropped. May I request that we move to the next participant. Thank you. Our next question is from the line of Aviran Jain from SG India. Please go ahead.

Yes, sir, this was on the refrigeration business -- refrigerators business rather. So is there a separate commercial team, which would be deployed to take care of sales and marketing there?

So it would not have any overlap with IFB Industries on the AC or on the regular appliances business, sir?

So the full details on that are being worked out, and they will be completed within this quarter. But the essential sales and service parts, the thinking is that, it will be a common force. There will, of course, be dedicated people for product management and network specialists, etcetera. The broad details, are being worked out. I think, by end of this quarter, it will be done, so we'll be able to give you a full picture in the next conference, we have.

Sure. So broadly, again, just trying to understand, would there be any transfer pricing involved that, IFB Refrigeration will sell its unit to IFB Industries, which, in turn, will market it? Or there would be some sort of commission, which would be paid to IFB Industries for selling and distribution of IFB refrigerators?

Rajshankar Ray: Would you like to answer that. . . ?

Prabir Chatterjee: Yes, not decided yet.

Aviran Jain

Prabir Chatterjee:

Aviran Jain:
Moderator:rFlt
Industries Limited
Ravish Mehta
Rajshankar Ray:
Moderator:
Aviran Jain:
Rajshankar Ray:
Aviran Jain

Okay. [inaudible 0:41:48] in terms of, it's a 100% overlap in my view on IFB Industries what it does on the home appliance side versus what IFB Refrigeration would want to do for their refrigerators?

That is what I said. Actually, it's a different company that, the commercial process is being evaluated at their end. So like Mr. Ray said, we would come to know about it more, maybe by end of this quarter.

Sure. Okay

Thank you. Our next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Yes. Thanks for the opportunity. Sir, my question would be on the margin side. So, if you look at over the years, we have been talking about, taking a number of initiatives with regards to

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margin improvement. However, when we look at the performance barring a couple of quarters here or there, we have been relatively, if you look at the margin performance has been very weak.

And in fact, over the last few quarters, the uncertainty is so high. And in home appliances, we have been reporting losses. So can you throw some light, like what structurally in fact can change for us? Because whatever you highlighted probably, we have taken those efforts for washing machines, as well. So whether we talk about electronics that we used to do, we were dependent on imports, and then, we started building our own capabilities. Still, if you look at, we have not been able to make any significant inroads towards higher margins. So can you throw some light over there?

Yes. So Manoj, that's a very good point because at the end of the day, if the actions are not resulting in an overall margin profile that, we want, then those individual initiatives are not adding up. So your observation is absolutely correct. If we specifically look at the last two years, '21-'22 and '22-'23, the problem that, we've had is a significant increase in material costs from January '21 onwards and the inability to pass it into the market because that was how the market was. And added to that was, this problem that we had about the AC business actually losing money. So if you look at, what has to be delivered

red, other than this aspect of higher revenues and volumes, even material costs back in line with, let's say, quarter 3 of '20-'21 and having this AC business not lose money.

So one of the main reasons, why we have not been able to deliver the profitability over the last two years that, we should deliver is sitting on these two ends. Now over and above that is the revenue related, which is the additional bonus. So going forward, with the material cost program complete, the AC business is generating money and realization of better sales, these are the three main levers basically for us to deliver the profitability that, we should be delivering.

Right..

Rajshankar Ray: Does that answer your point, Manoj?

Manoj Gori Yes, to some extent. My question here was on the following this. So if you look at, we obviously invested behind room AC capacities. And when we look at this category, the seasonality aspect is very high. So if there are -- like, obviously, even you would have taken those things into your consideration by evaluating the new factory setup. But when we look at probably even today, after doing volumes, probably this is the second year of operation, and we still are making losses here. So don't you think like, probably the outsourcing model would have been far better, which would have definitely, if you look at the fixed overheads were definitely not a concern for you and probably, it would have been more of a variable in nature and that would have been feasible for you?

Yes. So that's a fair point. But how I would look at it is that, the air conditioners that, we are manufacturing and presenting as the IFB brand air conditioners, if you seek feedback on the performance, it is better than almost everyone. So, at the end of the day, we've got an excellent product out there. Now the problem that, we had as far as the business is concerned on breaking into

Industries Limited

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray:

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Manoj Gori

Rajshankar Ray:

Prabir Chatterjee: Can I add something?

Rajshankar Ray

Prabir Chatterjee:

Manoj Gori

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray: IFB industries Limited

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through in the market, finding placement and getting volumes quickly, that problem would not have been solved even if we had outsourced because that is a sales-related issue.

But wherever we got placement and got share encounters has been because the product has been so good. And this product, to have outsourced, would not have been possible. So let's say, two quarters from now or a year from now, with the business having done well, then we would have got the project where it was supposed to be. But an air conditioner in line, with the IFB brand in terms of quality, durability, premiums, etcetera that we would not have been able to outsource. Okay. So this understanding -- like probably, is this understanding correct that if we -- normally, when we outsource, probably the desired features or probably quality, so there would be some compromise and that's the reason that we wanted to develop a...?

Yes, I wouldn't basically use the word compromise, but you can outsource anything. But if we were to basically outsource the specifications, the performance that, we have presently, we would have run through the same set of problems because today, the outsourcing industry in India is based on a standard platform being bought by everyone, whereas, what we've created is a completely different performance platform. So if somebody had to develop that platform in the middle of the pandemic and all the associated issues, probably they would have gone through the same cycle. I'll

Yes, please.

In addition to that, you will always have the number limitations, how many models you can have. Then if you are importing, the fluctuation of exchange will always affect you. Third, in such cases, availability of spares over a longer period of time is always an issue. These are the additional issues that, we always face, when

ever we import products for trading.

Right. So sir, currently, if you look at the branded IFB AC sales, what portion would be coming from South and probably from non-South markets?

So currently, the South is a total of maybe about 20%, 25%. Non-South is about 75%. That is a ratio, which we need to fix because our sales from the South has to be much higher than, where it is today.

Okay. And sir, last question, if I may. If we look at the AC placements in the channel. So -- like how the channel mix would be currently? And whether, we are into some of the national chains like Vijay Sales, Croma, or Reliance Digital, so how, are we approaching things over there?

Sorry, could you just repeat that, please?

I just wanted to understand the channel mix for room ACs and also, how we are looking to get into deeper into modern format retail. So, probably with national chains like Vijay Sales, Croma or Reliance Digital? Manoj Gori:

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Industries Limited IFB industries Limited

June 06, 2023

Rajshankar Ray: So Manoj, this time,, we consciously decided to stay away from the three channels that you spoke about simply because we do think, it was worth the volume versus the cost of sale. So we have focused ourselves on other larger accounts and a lot on the distribution networks across India. So, I don't think in the near future, we would need these three chains for the volumes that we need to target. And we'd go there, if the cost of sales was looking right. As on date, it doesn't look right.

Manoj Gori Got it, sir. Thank you and wish you all the best, sir

Rajshankar Ray: Thank you.

Moderator: Thank you. Our next question is from the line of Amish Thakkar from SG India. Please go ahead.

Amish Thakkar: Sir, I just want to double-click on that comment, you made about modern retail. Even in our microwave, front-load, top-load segments, we are not selling anything through Croma or Reliance Digital. Is that...?

Rajshankar Ray: No, we are. We are quite well placed actually. It's just that, there is something peculiar about this AC segment, in terms of the manner, in which people structure their schemes around some

of the accounts. And it was our call that, for this category, we would essentially stay away, looking at the cost profile basically. But for the other categories, we are quite well placed, and it is an ongoing agenda to improve our share in these accounts.

Amish Thakkar: Okay. Can you just give a breakup of your overall channels in IFB Points about 14% to 16%. Now, excluding ACs, what will be the split of the modern retail, e-commerce and other distribution channels that you have...?

Prabir Chatterjee: E-commerce for the year was around 14%; Key dealers was around 34%, distributors around 21%, trades 13%, IFB Points around 12%. Rest others.

Amish Thakkar: Okay. Just a request you, if you can start putting these numbers in your investor presentations again. You used to have these numbers earlier, but I think, you discontinued at some point. So it will be very useful, if you can have these included?

Prabir Chatterjee: For the numbers -- I would request you to call me separately, I will give you the numbers.

Amish Thakkar: Okay. And sir, on IFB Points again, any plans of expansion adding more IFB Points this year?

Rajshankar Ray: So, the additions are on an ongoing basis, but what we had said last year, as well, and that is for this year as well that, redoing these IFB Points, improving ambience, conversion ratios and franchisee profitability, those are bigger agendas than the expansion.

Amish Thakkar: Okay. And all of these IFB stores are franchisee-driven or [inaudible 0:52:57] your going to take up?

No, about 187 -odd are operated by the company and the remaining are franchisees. Rajshankar Ray:

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Okay. And any guidance on your kitchen -- modular kitchen business. It's only seven stores that we speak and your presentation mentions. Are you planning to increase the foot

print of your

modular kitchen business. So any guidance there in terms of how many stores, you are looking to add here?

So, we put it into the investor report because this is a segment that, we have not been doing well in, in terms of scaling the segment. So therefore, we put the commitment into the investor report specifically. The current focus is that, we are opening one store in Mumbai. And we are enhancing store presence in Bangalore, and there is a specific business target, we've taken. And then for Goa also, we are taking a target. So let's say, over the next three months to four months, once we've got to these levels, then we've identified a list of stores, where we can expand this business too. That is about 100 across the country, but our first target is to deliver the numbers that, we've put into the investor report this time.

Of course. And sir, in your kitchen appliances division, you have products like chimneys and hobs, which I'm assuming, you're selling only through that channel and is there any plan you take it, outside the IFB Points and your modular kitchen business and launch some of those products, who depend on -- I'm assuming a channel will be very different from the channel you have for washers and ACs. But is there any thought about entering new categories like kitchen appliances? Or...

So, we are not entering any further categories. Right now, chimneys, hobs and built-in ovens and the focus is around this. We've taken a target of taking more business from the typical IFB Points stores that, we have. And in terms of expansion into multi-brand format, we've taken a target of 1,000 stores over and above the IFB Points we have to be completed within Q1 and Q2. And the overall internal target for this business is to reach a level of basically INR5 crores a month, followed by INR10 crores a month, and this will come through the expansion in the channel.

And these multi-brand format stores will be different from the ones you have [inaudible 0:55:34] machines, will be kitchen appliance focused, multi-brand stores?

Yes, That's right. They are more in a kitchen appliance focused, multi-brand stores.

Okay. Thank you so much.

Thank you. Our next question is from the line of Sai Kiran, who is an Individual investor. Please go ahead.

Hi. Thanks for taking my question. Just trying to understand, in terms of the cash flow, I guess, for a long time, you guys turned EBITDA positive? And then, what are your thoughts going ahead for the next two years to three years, how do you look at those in terms of cash utilization?

Cash utilization - as of now we are using it for meeting our capex needs & additional working capital requirements. We are also looking for acquisition & M&A opportunities. Industries Limited

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Rajshankar Ray

Amish Thakkar:

Rajshankar Ray:

Amish Thakkar:

Moderator:

Sai Kiran:

Prabir Chatterjee:

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June 06, 2023

But do you foresee any major capex in the next two year to three years, sir?

No. As of now, We have only routine capex which is around INR16 crores, also INR17 crores of balance capex that is required to finish BLDC motor project . The other capex are being evaluated & not finalised yet.

Got it, sir. Sir, I have a board level question. If I look at for the past 10 years of the IFB's journey, there were many products, which have been added and the new segments, what you intend to enter are also more or less done. Do you think, still there are any new segments, which you could consider probably in the next three years to five years as a company, I suppose?

So I'll answer that. The evaluation of new segments is a continuous exercise. But if you look at our priority for this fiscal year and the next fiscal year, it is to get the revenue profile and the margin profile that, we need to deliver, which, quite honestly, we have not done over the last quite a few years. So if you're looking at this fiscal year and the next

fiscal year, I do not think

that, we will enter any new category as such. There may be new models, new segments, etcetera within a product category. But our aim now is to, get the revenue profile and the margin profile in place. I hope that answers your question.

Sir, that answers the question. Sir, but I understand the near term that, broadly as a company if you look at as a whole, do you see any kind of adjacencies in terms of product categories from what you have already apart from the refrigeration?

Yes. So there are lots of adjacencies that, we could look at. So for example, if you look at the air conditioner category, currently, we are only in home ACs, split ACs. Now there are adjacent categories of semi-commercial ACs. There are these tower residential ACs, which are very popular, for example, in China. Now those are adjacencies in terms of seeing manufacturing processes, but a little bit of design and development effort. So if you look at the three-year, five-year horizon, yes, we will definitely extend into these, once we've fixed the profitability of the present business.

Similarly, if you look at a clothes dryer, today IFB has, what is called as a Tumble dryer, Hot air dryer and there is another adjacency, which is a Condenser dryer, which is in almost like a mirror image of a washing machine. So in the three year to five year horizon, IFB will also extend into that. So there are, of course, lots of adjacencies, but like I said, right now, we are very focused on delivering with, what we have, what we should be delivering in terms of revenue and margin. Once this is done, that will lay the platform for many other things. I hope, I have been able to explain this to you.

Yes, sir, you are able to. So just one question, sir. One of the earlier participants, when he asked, you were explaining about some sort of inefficiencies or whatever you could call on the sales side because the product you guys have got the best. Maybe in hindsight, if you have to look back and then think about, how do you see, what has gone right or wrong on your sales engine?

And how do you intend to fix probably in the next one year or two years because that has been the focus for you, especially on the AC side? Thank you. That's it from my side.

Industries Limited
Sai Kiran:

Prabir Chatterjee:

Sai Kiran

Rajshankar Ray:

Sai Kiran:

Rajshankar Ray:

Sai Kiran

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Yes. So that's a good question, you've asked. And that is the priority area to be fixed by us, which is the sales engine. Now if you ask me what has gone right, then I think, what has gone right is that, in terms of the network we've created over the last two years, 2.5 years or so, there has been a significant spread, in terms of the IFB presence. India is a very large distribution market. For many years, IFB sort of stayed away from distribution. A very large distribution base has now been laid over the last two years. So that is, what has gone right.

What has gone wrong is the fact that, for the expansion that we've done in the network, we have not been able to realize revenue in line with what we should be realizing. And in terms of getting the team together, getting the productivity fixed and just ensuring that, at the end of the day, the result in terms of sales is delivered, that is a large area to be fixed. So it is not a one year, two year agenda it is an agenda on, which we are already late, quite frankly by. So, if you were to

ask me plus and minus, this would be my answer.

In terms of corrective actions, sir, what is that, you're trying to do to fix this, if you can explain that, sir?

So, what we are doing is, on two levels. One is, we are spending a lot of time having senior people move in the market, look at the nitty-gritties and fix areas related to the sales process. This is one thing that, we are doing. The second is that at the end of the day, the sales is about people. So structural changes were required. The company is very act

ively doing that now for

the last, let's say, two quarters or so.

Got it. Thanks for, sir. That's really helpful. I would appreciate it. Thank you.

Thank you. Our next question is from the line of Ankit Shah, who is an Individual investor

Please go ahead.

Yes. Hi, so my question is on refrigerators in company, right? So first thing, is there any plan to sort of consolidate this in the future? Secondly, what percentage of your BOM will be imported?

And third is in terms of -- since this will be a -- I'm just trying to understand, how transfer pricing will work, like will they sell to us and we'll sell to consumers, or they'll use our sales infra -- so how is that going to work? Industries Limited

Rajshankar Ray

Sai Kiran:

Rajshankar Ray:

Sai Kiran:

Moderator:

Ankit Shah

Rajshankar Ray: Mr. Chatterjee, would you like to answer that?

Prabir Chatterjee: Yes. As I have already explained, the IFBRL is evaluating the commercial part

Ankit Shah: Okay. So maybe the platform price is also not clear yet, in terms of, how is this going to work?

Prabir Chatterjee: Sorry, I couldn't hear you clearly

Ankit Shah No, I am saying, will they sell to us and we will sell to our - like, will they sell directly and they'll pay us a charge for using our sales infra and all of that.

Prabir Chatterjee They are in the process of finalising the details.

Ankit Shah: Ok. Got it. Thanks.

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June 06, 2023

Thank you. That brings us to the end of the question-and-answer session. I would now like to hand the conference over to the management for closing comments. Industries Limited

Moderator:

Prabir Chatterjee: Thank you all for joining.

Moderator: Thank you. On behalf of Nirmal Bang Institutional Equities, that concludes this conference.

Thank you for joining us, and you may now, disconnect your lines.

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Call: Aug 2023

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16m August,2023II-II Industries Limited
Coroorate Office

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Dear Sir,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2023 pursuant to Regulation 30 of the SEBI
(Listing Obligations and Disclosure Requirements) liegulations,
201s.

Please find enclosed the transcript of the conference call for the quarter ended June 30, 2023 for your
information and records.

The above information is also available on the website of the Company at www.ifbindustries.com

Yours faithfully

For IFB Industries Ltd.

Ritesh Agarwal

Company Secretary

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"IFB Industries Limited

QI FY2024 Results Conference Call"

August 10,2023

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Industries Limited

Moderator:

Prasheel Gandhi

Prabir Chatterjee:

Moderator:IFB Industries Limited

August 10,2023

Ladies and gentlemen, good day and welcome to the IFB Industries Limited's Q1 FY2024 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. fl-^~r- -.^- ^-^ 4^ -,^., o:-lrrasllccltjalrulllllulll 1\lilrarbail8rjqurtlEs. rtrall\juddruuvvl ruJUUrri

Thank you Lizaan and good evening everyone. Nirmal Bang Institutional Equities welcomes you all to Q1 FY2024 Earnings Conference Call for IFB Industries. On the onset of call, I would like to thank the management for giving us the opportunity to host the call. The management team here today is represented by Mr. Prabir Chatterjee, Director and CFO; Mr. Rajshankar Ray, MD and CEO, Home Appliance Division; Mr. Arup Das, Head of Marketing and Engineering Division; and Mr. Anand Reddy, CEO of Motor Division. I now hand over the call to management for opening remarks post which we can take questions from participants. Thank you and over to you Sir!

Thank you Prasheel. Good evening everyone. I welcome you all for IFB Industries investors call for the First Quarter FY2024. Joining with me today are Mr. Rajshankar Ray, MD & CEO of Home Appliances Division; Mr. Arup Das, Head of Marketing and Engineering Division; Mr. Anand Reddy, CEO of Motor Division. Now I will give you a brief overview of the company's performance during the first quarter FY2024. Growth during this quarter is marginally higher than last year, but below expectation. Low revenue growth is mainly in appliance division; however, engineering division made single digit growth. The company has reported a total income of Rs.163 Crores compared to 149 Crores during the same quarter last year. During the first quarter EBITDA was 40.65 Crores compared to 38.4 Crores for the same period last year. Despite improved gross margins, and marginal growth in revenues gross margin improvement is mainly because of the reduction in material cost and better model mix. However, increase in gross margin was to a large extent was offset by higher operating expenses and staff cost. Increase in operating expenses was mainly in the area of sales promotion expenses, traveling and other expense. With this I will request you to start the question-and-answer session.

Thank you. Ladies and gentlemen we will now begin with the question-and-answer session.

The first question is from the line of Aviral Jain from SG India. Please go ahead.

I have three lines of questions basically one is and we have been asking this question for the past few quarters I just wanted to understand basis the current or the realized sales of ACs in Aviral Jain:

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IFB

Industries Limited

Rajshankar Ray:

Aviral Jain

Rajshankar Ray:

Aviral Jain:IFB Industries Limited

August 10,2023

the last quarter, what is the gross margin and EBITDA margin differential between AC sales and

rest of the home appliances division as a whole and the second question I have is if you can give the breakup of AC sales by value between contract manufacture, third party brand sales and own brand sales for the quarter?

In terms of the gross margin structure on the air conditioner if we look at the Q1 then with respect to the company it is lower and we do not specifically give figures in terms of product category figures, but just to give you an idea if the company level gross margins are X then the air conditioner gross margin would probably be around 30% to 40% lower as on date.

As a company as a whole this includes the engineering division as well?

No, I am only talking home appliances. Now in terms of the work that is being done to fix this the work is essentially led by a material cost reduction program and if you see in Q1 there has been an improvement in the material cost percentage, which you will see in the results and the second part of this program is going to end in November this year. So in terms of the gross margin structure on the air conditioner coming closer to the overall company average we will get close to that in Q4 of this year so that was the first question you asked. You also asked about the differential between the gross margin and the EBITDA level. The EBITDA is essentially the overhead distributed across product categories. So I think what is more meaningful for us in terms of the profitability issues getting addressed is being able to address this gross margin of the air conditioner. The two questions you asked is breakup by volumes

that I think Mr. Chatterjee can give it to you separately in terms of the breakup between the OEM and the brand, etc., and you said that there were three questions, so what would be the third question.

Third basically it is being reported the PBT loss for the AC division is being reported now if you could just help us understand what is the quarterly interest and depreciation attributed only for the AC business then we can work backwards from our numbers, in our view gain I would just let, if you can just give us those two numbers on a quarterly basis only attributed to the AC division?

Prabir Chatterjee: I will give it to you separately

Rajshankar Ray: Mr. Jain, does that answer your question please?

Partially yes, partially no, in fact we will get in touch with Mr. Chatterjee, and second thing there is some sales or some mention about the refrigerator sales so have the commercial

Aviral Jain

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Industries Limited

Rajshankar Ray:

Aviral Jain:

Rajshankar Ray

Aviral Jain

Moderator:

Vivek Kumar:IFB Industries Limited

August 10,2023

understanding been arrived at with IFB refrigeration between transfer pricing or sales booking, so what is the commercial arrangement?

That is under discussion in terms of the OEM arrangement between IFB Refrigeration Limited and IFB Industries Limited it will be completed within this quarter. So I think in the next investor call we should be able to give you a very clear picture in terms of the buying

What I am gathering from your words, so IFB Refrigeration would be sort of OE manufacturer for IFB Industries, is that how it is being envisaged?

Yes, that is what is under discussion. I think it is best to treat this subject comprehensively once everything is fully signed off and then to formally make a presentation to everybody.

So I think we will do that once this quarter is over. These discussions are ongoing basically.

Sure. Thank you so much.

Thank you. The next question is from the line of Vivek Kumar from Best Pals Advisory LLP Please go ahead.

Thanks for the opportunity. I am new to the company in the sense I have just started following recently in the last one month, so my doubt is regarding the home appliances division. General understanding of how management of the promoter things before entering any new level because I see you are leaders in front load, you have a good market share in mic

rowave oven

and you are introducing new player, where you have gaps you are introducing and filling it up, so how do you think about getting into 'A' series where there are always too many players and then also refrigeration, see I am not saying you should not or you should but what is the thinking that goes behind and what are the strengths of the DNA of the company that you think that is giving us the confidence to put in capex, do some kind of backward integration, and represent across channels, so you keep on writing in your annual report that boss we are not getting the sales, we want from this but we want to extract more from the channel, so what is the comment in terms of the DNA of the company that is giving you confidence that we can enter refrigeration also, ACs also, when there are already so many players, when I say confidence in terms of making good ROCE in the long run I am not talking about one to three years, but I just wanted to understand how IFB thinks in terms of selecting and introducing new categories especially when this market is like modular kitchens you are doing, so many people are doing, going on there so how to understand and appreciate what you are doing and comprehend what you are what you are trying to create for the future so if I can make myself clear?

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Industries Limited

Rajshankar Ray:IFB Industries Limited

August 10,2023

Yes, I have understood your question, and I will try and answer this. It is a very interesting question you have asked. Now, if you look at it from the management point of view or the Board point of view as far as the appliances sector is concerned it rests on three pillars. One is what you would call as laundry washing, the second is what you would call as cooking, and the third is what you would call as cooling. So, whether India or globally the entire sector

actually rests on these three verticals. So, laundry is the washing machines, the dryers either front loads or the top loads and the cooking is products like microwaves, hobs, chimneys, built-in ovens, you would also add a dishwasher either into washing or in cooking depending upon how you classify it and cooling is the Air Conditioner and the Refrigerator. Now I am glad you asked this point about the long-term angle in this, but if you look at the dominant players in this sector, which are primarily the two Korean companies and all the three verticals and IFB's intent is to also basically be significantly and strongly present in all the three. Now you asked about this question of DNA, so under washing IFB has a DNA and we have strength there both in terms of product configuration and on legacy and the brand power. We are also very strong in cooking, we go head-to-head with the two Korean companies in the markets in which we compete, and the cooling segment was one that was essentially very weak. So, air conditioners now will be manufacturing from 2020, but we are ourselves very unhappy with the kind of progress we have made, and it remains a weak vertical to be fixed, and refrigerator sort of completes the story in terms of the market presence. Now why the three verticals are important is that if you look at the physical attribute, which is the store and you see a salesperson who enters that store to extract business from that store. Then that story is actually displaying products in washing, displaying products in cooking, and displaying products in cooling, and unless you are able to span all three effectively you lose something in terms of the market placement power and what we see happening in the short-term is that this channel presence that we have written about in previous reports, which we have expanded over the last 2-3 years, we still think that we have not got the extraction that we want from this. The channel itself is significantly increased when we ramp up, you see the way we should be doing and with the introduction of the refrigerators, and the placement of those products actually help

position the pool of the other products. So for example if you have a counter, which has air conditioners and refrigerators placed, then the next product that goes into that is a top loader or a microwave followed then by dishwasher or a front-loading washing machine. So, over the long-term the IFB presence in all the three is something that the management and the Board feels is very important in terms of equal strength in all the three verticals, and for IFB specifically across these three verticals we also have a horizontal line, which is our service. So that is another area to be strengthened in the company in terms of the service connect with consumers and the related revenue opportunity that comes from all the three verticals whether it is washing, whether it is cooking or whether it is cooling. Have I been able to answer your questions?

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Industries Limited

Vivek Kumar:

Rajshankar Ray: IFB Industries Limited

August 10, 2023

If I can ask just a follow on like let us take the cooling, just for my understanding I am not trying to take the weak point, just to probe, but just for my deeper understanding if you take AC and you have entered it, so in the long run what is giving you the confidence that we will have a reason, I am not saying you become the leader but reasonable return from these and reasonable market share because by presenting it because there are many people doing this so that is where the doubt is coming, I agree that you want to be everywhere, but there are areas where you are not. I am not saying you become the leader but reasonable return from these and reasonable market share because by presenting it because there are many people doing this so that is where the doubt is coming, I agree that you want to be everywhere, but there are areas where you are not.

the confidence in next 2, 3, 4, 5, 6, 7, 8, 9 years that you have a reasonable market share in ACs or refrigerator when there are the strengths that you have because I see too many people there that is the confusion I think if you can address?

I will tell you; the confidence can come from three areas. One is we are confident because we have done it, and we are able to tell you that we have done it. I think that is the simplest thing that we can do, which unfortunately we have not been able to deliver and we have discussed this in previous call as well. So our confidence going forward currently is coming from another set of three points. One is do we have a product that is good and is it better than most. So the answer to that we believe is a yes, and whatever presence we have in the market today and the customer feedback or the channel feedback that we have tells us that yes we have a good product, so our confidence for the future comes from this first point. The second point is that we have the gross margin profile and the material cost profile of the product, right, because you have a good product, you need the right material cost before you actually reach the market. Now this is an area where we have failed till last year because our material costs are high when we benchmarked it to the market, we have made 50% progress in this quarter and we are fully confident of achieving the right material cost profile by the end of Q3 for full impacting Q4. So the second area of confidence is the material cost profile for the product that we want to make and the third comes from being able to get it right in the market, which

is in terms of placement, having the people who can run this thing and properly ensuring that we are able to get extraction from the corinter once we have placed. Third area is the area where we have not been able to deliver what we have ourselves wanted and we have also not delivered things that we have been discussing during call. Now this is the area that we have to fix, but this point needs to be fixed not just for AC but it also needs to be fixed for the other products that IFB service, and this is related to people and getting processes right and our entire attention from the senior team today is on getting this third angle fixed. I hope I have been able to explain to you where our confidence comes from.

mes from.

Yes, I got it, Sir, but are you targeting any market share in each of these products or no you just take care of the products quality and you just be present in the channel and I am not Vivek Kumar:

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Industries Limited

Rajshankar Ray:

Vivek Kumar:

Rajshankar Ray

Vivek Kumar:

Moderator:

Madhur Rath: IFB Industries Limited

August 10, 2023

saying assume, but you wish that this will turn into some market share in the long run so did I understand it right or I will not understand?

No, we know that for a sustainable play in air conditioners we need to be 10% plus of the market and that is the figure that we are working with. So it is not like, we will just take whatever comes, we need to be at 10% plus to have a meaningful footprint.

So that is where my question was coming, but how are you confident that you will reach there because of the competition so I think you are saying this costing, distribution, and marketing. Also since you have asked this so specifically if we look around India and you look at places where we got our sales management right, we have got our network addressability and connect right. Actually today IFB is logging market share in excess of 10%, so at all India level today there is a lot of work we need to do, but in the pockets where our sales team has been right, we have got our processes right, we have actually got the share and hence our commitment internally as well that we need to make this product category a success because it is very helpful in terms of gross margin overhead absorption and also in helping in general network reach to improve.

I think I will join back in the queue. Thank you very much for detailed answers

Thank you. The next question is from the line of Madhur Rath from Counter-Cyclical Investments. Please go ahead.

Thank you for the opportunity. I have a few questions what will be your current capacity utilization and what kind of revenue can we generate at full capacity utilization in both divisions, the home appliances as well as the fine region division and going forward what kind of steady state operating margin that we can expect once since Q3 things are moving in our direction in the refrigeration as you said so if you could answer these I will ask my other questions afterwards?

Prabir Chatterjee: Can you repeat the question please?

Madhur Rath: Yes Sir. What will be our current capacity utilization in both our divisions and what will be the revenue that we can expect at full capacity utilization in these divisions, and what will be the steady state operating margin that we can maintain once since Q3 our refrigeration unit kicks in full?

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Industries Limited

Prabir Chatterjee:

Madhur Rath:

Rajshankar Ray:

Madhur Rath:

Rajshankar Ray:

Madhur Rath:

Moderator:

Narendra Shah

Prabir Chatterjee: IFB Industries Limited

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Washing machine capacity utilization is around 85% to 90%, AC capacity utilization is slightly lower now, engineering division capacity utilization is around 90% plus, revenue will increase with better capacity utilization & you are aware that we do not give any revenue

guidance.

Just wanted to understand the rationale behind buying only 44% in IFB Refrigeration and are

In terms of the holding structure in IFB Refrigeration Limited this question that you were seeking I think it would right if this is addressed as a part of the overall discussion on the refrigerator business including the question which was asked earlier so it is okay with you if this is done comprehensively in the next investor call would that be okay because then not just this point the other points could also be discussed.

Yes, sir, that is okay and just one final question. When I look at the trade schemes and discount for FY2023 versus FY2022 it has gone up materially so are we giving out more discounts and offerings or can you help me understand this so that would be very

helpful?

There has been no change in the discount structure as far as the market is concerned. The figure that you see at the overall company level is a blended figure that is coming from discount structures on air conditioners, microwave, and washers, all put together. So if the AC sales rise like we did the last year then the air conditioners are at a higher discount structure. So the company's overall percentage increases, but on a given product category or for a particular channel that there has been no change as far as the discount structure is concerned.

Thank you Sir. That was very helpful and all the best.

Thank you. The next question is from the line of Narendra Shah from Robo Capital. Please go ahead.

Thanks for the opportunity. I was asking about the margin. So are we working on improving our margin or are we happy with the current level if you can throw some light on that?

We are not at all happy with the current margin. The areas to improve margin, one is increasing the revenue, second is we are also taking a number of steps in terms of material cost reduction, reduction of other fixed expenses to improve the margin.

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Industries Limited

Rajshankar Ray: IFB Industries Limited

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I am sorry I am just interrupting. There was a number in Singapore that was being connected could you please connect that once again please?

Bikramjit Nag: Mr. Ray can you hear me now

Rajshankar Ray Yes, we can hear you.

Bikramjit Nag:

Rajshankar Ray: Yes, December

Bikramjit Nag: I have gone through the conference call minutes for the last few quarters and I am very well aware of the fact that we have not delivered on what we have said especially in air conditioners and I have had a clear chat with the management which is Mr. Ray, Mr.

Chatterjee and others and a lot of work is being done to put things right. However it is taking a lot of time because state-by-state when we are going to restructure sales team wherever required that is really taking much, much longer than I would have liked it. There is no excuse for this, but that is what is happening and I think a significant portion of the sales structure has to be changed, which Mr. Ray is doing. Mr. Ray and Raj are doing this it is just taking longer than what we thought it would take us. I missed the part of the thing, but the question is on AC is absolutely valid. There was no reason to get into this and then having the issue that we have had. Having said that the product has been received well, which is the most important thing, but if you have a very good product then you cannot sell it, then that is absolute disaster. So this is being put right state-by-state and unfortunately in some of the states we really had an issue with people understanding distribution requirements and we are certain before the season starts again, which is normally in AC I think. Mr. Ray, the dealer start picking up stock by December, January, right, January I think.

So that I think issues will be fixed. More importantly the material cost exceptional which has an impact on pricing will also be fixed. We have this review every Saturday morning I attended the review and huge amount of work has been done and I think the effect of that will be very, very visible. To a question I heard on refrigerator the last speaker was talking about it regarding why did we buy 44% and, all of that and I think the major reason there was strategically IFB Industries should not get into it from the point of view of taking debt on its balance sheet and hence we derisk that part and I think the rest have started being accepted well, it is just started I think two, two-and-a-half months back it just started now we are doing about. . . Mr. Ray how much you are looking, you take about 100 a day.

Rajshankar Ray Yes.

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Moderator: *Industries Limited IFB Industries Limited

August 10, 2023

Bikramjit Nag About 1100 a day and I think it will be ramped up. Regarding the point on capacity utilization I thin

k air conditioners by the fourth quarter I think should be fully utilized, I thiil. on India this is fully utilized. Mr. Ray if I am wrong anyway you please come again and regarding Mr. Chatterjee's point on washer it is not fully accurate of the point of view. We are still working one single sift, so we have a lot more we can do, we have put in the decision to do, to look at exports, etc., including OEM, etc., and we will see how to increase capacity utilization we ,--:rr r-- -.^r-,-.-:L +l-^ :- +L^ -^-.+ f^.,. *^--+L^ I L^.,^ -:.,^-. ^l^--:--+.,.^+:^+ +L^+ ^--^il, wrll ug tEduJ/ wllll Llus ltl Llt! r!^t 1!w llrullrltr. r rr4vv tsrv!r! !r!d rlruiulrrurr.r^sr vuPolrlj

must be fully utilized and that is where overall cost will fall and we become much higher and that is all that I appreciate. Rest Mr. Ray can you catw on Please.

Rajshankar Ray: Yes please. You can go back to the question sequence please

Thank you. The next question is from the line of Vivek Kumar from Best Pals Advisory LLP Please go ahead.

Vivek Kumar: Thanks for giving opportunity. Sir this is continuation of my previous question I did not want to take time so I will just put in that. Sir you told that you wanted to be, there are two Korean players Samsung and LG I am not asking to name them but given their share and given their number of years of experience how do you normally think about when you take on these people because the competitive intensity is also very high and when you get into retigieration, when you get into ACs, so this is the way I am coming from that and my first question was related to this when we see these two players being across the segments and you are also trying to take on these big guys when I say take on I am not saying you will destroy them but get market share where these guys have inherent strength or age old strength, how do you go ahead and be there and get your share of market in the long run because the competitive intensity is so high in each area of your home appliances division?

Rajshankar Ray: Thcrc is no perfect answer to this, but the way we look at it is that we like to do our own thing which is in terms of our product, which is true to the IFB product deals that customers have our position and our customer connect and our effort in the field. So I do not think it is in our mind so much on IFB versus on LG or Samsung but it is more about IFB and what potential it can realize for itself. I would assume that if you were to scan the market and visit some stores you would see that there is a distinct customer base for IFB given our reputation for product quality and our presence in India over many years and we want to leverage that strength. We do not per se in our discussions think so much of \$owth in terms of taking somebody else's growth to grow ourselves it is not about realizing what market potential exists for the company. I hope I have been able to answer your questions.

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IndustriEs Limited

Rajshankar Ray

Vivek Kumar:

Rajshankar Ray: I think so, yes.

Vivek Kumar:

Moderator:

Manoj Gori: IFB Industries Limited

August 10, 2023

I think for us, LG, Samsung is actually two very, very inspiring stories because you look at these companies you see what they come out with so fast, you see how this channel the market. You see their designing, competence, etc., etc., vis-d-vis the Europeans, and I think you should learn from them and hence we took the decision to bring in Koreans into our company and it is very difficult to be competing with them, but I think they have too very, very inspiring stories to learn from and this is what I tell my team day in and day out you do the best that you can. The problem today that we are facing is in many markets or segments we are not doing the best that we can and that is where we are favorite; I do not think we are failing on the product side per se. I think in certain cases we failed in bringing out products fast enough and hence Mr. Ray has rejigged our entire project m

anagement team, etc. I think

these are things that we need to grapple with, but I think the market is big enough for everyone to be doing well and for us to be doing well and I think we started getting market share back in ourselves and we have a clear strategy to get back to a significant market share lead over others and I think you will see that by Q4.

So you are saying there is enough market and there are things that we can do to improve ourselves and not maybe like them but though near them and some areas be better than them and the market is large enough for us to have our share of market right can I take it like that?

Thank you Sir. Thank you very much for answering.

Thank you. The next question is from the line of Manoj Gori from Equirus Securities. Please go ahead.

Thank you for the opportunity and thanks to Bikram Ji for sharing his views on this call. My question first would be if you look at the home appliances over last three, four years we will definitely be in off track with regards to growth historically when we look at we have consistently delivered 15% kind of CAGR growth in the home appliances, but over last three, four years we have somehow missed that part and probably whatever growth we have seen in last couple of years has been largely because of the room AC side and probably some contribution would have been from the price hikes as well so can you throw some light like what are we seeing here because in terms of product position and everything we are well placed?

Manoj the answer to that is that we should have grown much more than what we have grown and we have just not done a good enough job as far as extraction is concerned and growth can come from two ways, it can come from increasing extraction from the same counter and Rajshankar Ray:

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Industries Limited

Manoj Gori:

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Manoj Gori: IFB Industries Limited

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it can come by just increasing the reach and therefore getting more growth, and the reason why over the last 2-3 years we have not got the growth that we should get because we need to do a much better job as far as market extraction is concerned in terms of reach and this is the point that Mr. Nag is also making in terms of we giving the sales approach ensuring that we have people who understand distribution better, those are the areas where a lot of work is being done now to ensure that those type of growth percentage is come back. Your point is right and there is no explanation for it. We will try to do a much better job.

Mr. Ray can you please explain regarding our data which talks about counters where we have CSRs and counters where we do not have CSRs and how the thing works?

Yes, if you recall in one of the earlier investor calls we have spoken about this menu in counters, which the industry calls as in-shop demonstrators and our terminology is counter sales representatives and our data shows that currently we are about 30%, 35% of odd of counters which would be typically the large counters, which could be the chain stores or a modern retail formats where we are currently not placed people and therefore we lose sales there, but where IFB is placed and we have a person basically representing the product and delivering it to consumers our shares within the counter has significantly raised, so one of the key agenda that we set for ourselves is by end of September or probably October to ensure that each of these gaps are breached and that itself if you do the math is pretty good growth. But this do not have any incremental impact on the employee cost, right?

No it does not because the counter sales representative has a salary cost yes, but they also operate on a variable one based on the sales, in terms of per unit cost actually it is not much, so as long as we get the sales.

If you take a person in a counter and the person does not sell the amount you should sell.

Then it

is an added cost, we have to get the productivity and then that cost is very good cost for the company, but the sales opportunity is far in excess of the cost basically.

So probably this is one area like placing our employees or promoters on the counters would be link better sales can you throw some light in a detailed manner probably what are the efforts we are taking to improve the gross margin because off late I would like to appreciate that during AGM and even today we have emphasized and even in the previous con call we have emphasized the lot on margin improvement so we have identified the areas can you throw some light like what was the measures that we would be taking to improve that?

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Rajshankar Ray: Yes, we are committed to that and that for us I think is 80% of our priority

Manoj Gori: Industries Limited

Rajshankar Ray:

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Rajshankar Ray:
Manoj Gori:IFB Industries Limited
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There are two specific measures and we have committed this internally to the Board and it is also shared for example product platforms at the AGM and the two specific measures for the gross margin improvement or a) the material cost and some part of that we have already shown in Q1 but there is significantly higher percentage which will be completed by end of Q3 we are fully committed to this and the third which is more specific to IFB Appliances for us is a reduction in the fixed cost and we have set a target for that and that is also being reviewed at Mr. Nag and the Board's level and that is something that we have to complete by Q3. So the impact of both will begin to serve from Q3 and full realization in Q4 and that will keep this gross margin percentage that we were talking about.

So probably now from a trend point of view from Q4 onwards on a sequential basis or probably at least in the directional manner we should see improvement in margin gradual from Q4 onwards?

Lastly on the capacity utilization so if I am not wrong Prabir Sir just shared that you are operating at 80%, 85% for washing machines is that correct?

It is actually lower because like Mr. Nag just pointed out the plants are running at single shift from SMB line if some of the backend running two shifts so if we are able to generate the sales support then the plants can actually produce much more so it may not be 85% maybe we can increase capacity from whatever we are delivering now by as much as 50% or 60% more so capacity is something that is very quickly upgradable and it does not call for much capex per se, it is just supplier capacity getting upgraded. So if I look at washers overall which is top load and front load put together then if we get the sales the plants could go up by 50%, 60% from wherever they are today.

On the refrigerator part you just mentioned like you are doing on DBOs 1000 to 1500 units so if I do account like proper math probably we are somewhere around...

No, we are not going that, that is being done by IFB Refrigeration Limited, not by us, that has to be corrected some amount will sell through IFB Industries and so that is still being worked out.

Thanks for that clarity Sir. Thanks and wish you all the best.

Thank you. The next question is from the line of Sumil Sethi from SG India. Please go ahead. Moderator:

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Industries Limited

Sumil Sethi:IFB Industries Limited

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Thanks for the opportunity. I just wanted to check a few things. In the investor presentation you have given sales split by product categories so is this split based on gross sales or net sales, net of promotion discounts?

Prabir Chatterjee: You are talking about the pie graph?

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Prabir Chatterjee: That is on the gross sales.

Sumil Sethi:

Rajshankar Ray

Sumil Sethi

Rajshankar Ray

Sumil Sethi: just a followup question here. You earlier mentioned that you are giving

a higher promotional

discount on ACs as compared to your other home appliances so is this bound to converge towards the home appliance number any time in the future as your price realization improves as in general the industry ACs are operated at a higher discount as compared to other home appliances?

If you typically see the structure in the market ACs do operate at higher discount percentages, but ultimately I think what really matters is irrespective of what that percentage is are we being able to generate a healthy gross margin so I would look at it more like that.

You mentioned that currently you are making a 13% or 14% lower gross margin on ACs as compared to your home appliances and a large part of that recovery will be done through material cost reduction program which will be done through the end of this year so I just wanted to understand would improvement in pricing realization going forward will also be a big portion or do you think that in the ACs our price value in the market as of now?

Whatever internal targets we are setting for ourselves are minus any increase in price realization. For a specific answer to what you have asked, given the sort of dynamics in the AC market over the last six, seven months there is scope for any price realization improvement as of now looks quite half-edged we do not anticipate any increases from price

realization as of now whatever we are doing is purely led either by material cost or by getting the sales that we should be delivering. Does that answer your question?

Yes. Just one other small question. Can you give me the capacity utilization for the AC plant this quarter?

The AC plant capacity is 500000 per annum on the SMB line running at single shift basis and the rest of the plant which would be let us say the feeder lines, making the coils, evaporator, Rajshankar Ray
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Industries Limited

Sumil Sethi:

Rajshankar Ray

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Rajshankar Ray:

Sumil Sethi: IFB Industries Limited

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etc., all of them running at on three shift basis and those we translated that comes to roughly about 40000 per month that is the actual capacity.

Any data points on what is the capacity utilization for this quarter?

For this quarter it is much lesser, it is not that and Mr. Chatterjee can give you the figure separately. We are working on is how to get 100% capacity utilization by third quarter or latest 100% by fourth quarter.

Just wanted to understand what is the strategy around contract manufacturing is this something that we will continue to do for the longer run and just wanted to understand is we supplying to the brands which will be settled by the competitor or we are supplying that completely different range of ACs for the contract manufacturing?

That is a good question and what we have explained in some of the earlier calls is that the way we look at it is that the OEM supply that we are doing help plant capacity utilization so let us say if we were to do 500000 per annum in the short-term and with that 300000 brand sales and 200000 OEM it has the plant to cover overheads, it also helps purchasing power because volumes are ramping up, that was the intent which we began the OEM supplies. Going forward we still see that the selective OEM supplies will continue. The product that is being supplied is seems to be similar but there are differences in terms of features and statics based on whatever the OEM suppliers want, and the DNA is the same but it would be minus some features, some performance areas, etc., that is the customer requirement.

So you think it is the same platform basically?

Rajshankar Ray: Yes, the platform is the same.

Sumil Sethi: Thanks so much Sir.

Prabir Chatterjee: Mr. Ray one thing I think what he is trying to get that is what is our strategy for OEM etc., and I think the strategy must be much more robust for us to get a much higher share of the OEM business and I think we have discussed that point, whether in India or outside I think now that we

have got a person fully dealing with this I think you get positive results in the coming months, but I think you have to set a target for OEM and then early chase that and to make definitely margin in that just like we make an engineering business we are in the OEM business so that is why we supply to OEMs in engineering division and I do not think this is different.

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Industries Limited

Moderator:

Madhur Rathi

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Madhur Rathi: Exactly a timeline?

Company Speaker:

Madhur Rathi

Company Speaker: IFB Industries Limited

August 10, 2023

Thank you. The next question is from the line of Madhur Rathi from Counter-Cyclical Investments. Please go ahead.

Sir what will be our operating margins in a steady state environment going forward and when can we achieve a double-digit operating margin?

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the states regarding the material cost reduction tu:d other fixed cost reduction steps that we have taken these are all implemented will be in a better position and the margins would be better.

No I do not think we would like to give guidance, hrtt I am being very emphatic on this. So

we as the principle shareholder are ofcourse not happy about the fact that margins have been low or the fact that we have not achieved numbers, we are the most affected by this. So all the discussion within the company day-in, day-out is to ensure we have a robust team in place which can deliver on what we discussed point number one state-by-state I am like emphasizing this point on state-by-state because that is very, very important and it is our intent that in applying division we hit over double digit margin that is what we would like this is what a guidance statement but that is what we would like and of course for engineering division which is now operating at decent level margins we need far more growth and a much higher margin also. I would like or I would like to think at least that by end of Q3 or thereabout November, December I think we should be in a much, much better place, the double digit I think to be steady that is your question. I think from Q4 onwards should be Mr. Ray and Mr. Chatterjee's drive that is where we would also like as principle shareholders.

Thank you so much, Sir, that is very assuring and just a followup question with increasing EV penetration on our engineering business, so the fine rating divisions can you just highlight what are our plans going ahead and are we looking for some kind of acquisition instead of setting up our own capacity in this segment?

I think the existing capacities that we have and cater to sizable EV business whatever little capex we need to do we can do internally I think we will get orders of nearly 50, 60 Crores of EV business this will significantly improve because marketing has been directed to get more EV business, IC engine neutral business, sorry, and I think a significant amount of work is being done, we have started supplying buyer media to people like Tesla etc., and I think a lot more work on this will be done. As far as acquisitions go in the auto component space we are on the lookout at this point itself we are talking to some companies and these are all IC

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IIFIL

Industries Limited

Madhur Rathi:

Company Speaker:

Madhur Rathi

Moderator

Keshav Garg:

Company Speaker: IIFIL Industries Limited

August 10, 2023

engine neutral businesses and I feel that is for engineering business to grow our strategic decision has ease we cannot grow by being capex led because it takes a long, long time, we have fully acquisition led but we need capex in the existing plant whatever little that we need and therefore we need to purchase a sizable business, now what that what sizable can mean that is still being discussed within the company and how we will finance it, etc., the engineering division which is fine blanking and stamping together has debt of only around

30 or 32 Crores and we are inefficient inventory on debtors of around 30 Crores. So we can take off tomorrow, and we can easily leverage and I think by Q3 maybe by October, November I think we will stabilize at about 76% OI, ITY margin and therefore for us to finance the takeover should not be ensure.

Just a final question is the IIFIL brand held in the name of our company or the promoter that will give us some more questions?

We have nothing we only have shares in the company held through other companies which is disclosed to SEBI it is very clearly disclosed to SEBI just like everybody else has done. Promoter does not own the IIFIL brand at all in his personal loan. No, not at all.

Thank you Sir and all the best. Hope we will get your margins very soon.

Thank you. The next question is from the line of Keshav Garg from Counter-Cyclical PMS Please go ahead.

I wanted to get your views and do not you think that we are pointed between things instead of focusing either on the marketing side or on the manufacturing side we are trying to do too much and the management bandwidth will be distributed in lots of small, small divisions and hence we are not able to ramp up our business?

If this question is for me, which like division is small, because if you look at it for example engineering division. Engineering division with fine blanking and stamping is sizable now and I think we will soon make it much, much, much bigger. It is a very good cash generating business and it does not take away bandwidth for me per se because the engineering division has its own full-time management in place, appliance division has its own full-time management in place. So per se I do not think management has ensured in terms of time as far as my team goes I take decisions for capital allocation, etc. In the case of AC as on date it has not gone up well and I am very concerned about it and we spend a lot of time on it but I think these things happen and we will put it right. We need to put it right, but the management of appliances does not spend a single second in engineering as well as vice versa I do not

think there is an issue on that.

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Industries Limited

Keshav Garg:

Company Speaker

Keshav Garg|FB Industries Limited

August 10, 2023

My question was not that I am saying that our engineering business is doing just fine the problem is in the consumer appliances business and which we are getting into chimneys, hobs everything instead of focusing on the major segment and now for example we have got into motor so for promoter we are losing, now for automotive motor also we are trying to make, so their specialists which are only do automotive motor and also we will compete with that first time basically?

I think the appliance motor division and the automotive motor division both have been there for 15, 20 years nothing new we have done what the only thing we have done in the appliance motor is we have gone into BLDC motors which is required by the washing machine division and air conditioning motors which is required by the air conditioning division nothing else we have done. Air conditioning motor is only new thing that we have done, otherwise everything has been there and if you see the advent of EVs that clearly tells us that motor is the most important thing there surely strategically we think motor is at a time that we trust in and I do not see an issue with that per se but I have understood the question.

Now the thing is that there is a contract manufacturing company Dixon our revenues were more than this company in FY2016 and now their revenues are four times our revenues and soon they will do brand fortune what we will do annually, now they are contract manufacturer Company Speaker: so their market capital is like nine, ten times our market capital, they can dilute 10% equity on base annual capital as our market cap and the huge plant from which you can get huge promise of sales and whereas we are sitting with other small plants and trying

to market our

own product and even the OEMs even at times between IFB and Dixon they would surely try to have from Dixon rather than have this IFB is competing also and down the line one the own AC sales pickup then the question will arise that will you first cater to your own AC sales or will you cater to the third-party?

I think if you look at any Chinese company including midea etc., Brantl and OEM have gone handling and I do not think any of the Chinese companies have ever fail the OEM customer and neither have they fail the market. So we have seen that for example we buy microwaves from one company Galanz it is only now that we have started buying some amount from like media. Galanz is very strong in microwave brand in China but they also do a sizable OEM business, if you see Beko Voltas has done a tie-up with Voltas Beko they have grown through OEM; however, our OEM strategy needs a rejig and we really need to look at the volume side of OEM business and we are doing this and we will rejig this and make it extremely viable. So I think that ramp up rate we are getting firstly we have scaled up their contract manufacturing business and then they started their own business whereas we are trying to do the regular.

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Industries Limited

Keshav Garg

Moderator:

Company Speaker: IFB Industries Limited

August 10, 2023

Best of luck to you. Thank you.

Thank you. Ladies and gentlemen that was the last question. I now hand the conference over to the management for the closing comments.

Mr. Ray this point on the contract manufacturing thing we discuss it tomorrow, but I think this is the point and we really need to step on this and have a proper strategy for it, for the AC as well as for others, refrigerator you already got an order of 100000, but in AC and all we really need to fix this.

Prabir Chatterjee: Thank you all for joining on this first quarter FY 24 call.

Rajshankar Ray: Thank you.

Moderator: Thank you members of the management team. Ladies and gentlemen on behalf of Nirmal Bang Equities that concludes this conference call. We thank you for joining us. You may now disconnect your lines.

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Call: Nov 2023

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Dear Sir,

Sub: Transcript of the earnings conference call for the quarter ended September 3A,2023 pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 20ts.

Please find enclosed the transcript of the conference call for the quarter ended September 3A,2023 for your information and records.

The above information is also available on the website of the Company at www.ifbindustqi.gq.cg+r

Yours faithfully

For IFB Industries Ltd.

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Company Secretary and Compliance Officer

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"IFB Industries Limited Q2 FY-24 Earnings

Conference Call"

November 13, 2023Indu*trles Limited

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Mn. Ra.ISHANKAR Ray - MD & CEO (Honnn

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Moderator:

Natasha Jain:

Probir Chatterjee:IFB Industries Limited

November 13, 2023

Ladies and gentlemen, good day and welcome to the Q2 FY24 Earnings Conference Call of IFB Industries Limited hosted by Nirmal Bang Equities Private Limited.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities. Thank you and over to you.

Thank you, Yashashri and good afternoon, everyone. Nirmal Bang Institutional Equities welcomes you all to the Second Quarter FY24 Results Conference Call of IFB Industries.

I would like to thank the management of IFB Industries for giving us an opportunity to host the call. Management is represented by Mr. Prabir Chatterjee - Director and CFO, Mr. Rajshankar Ray - MD and CEO Home Appliance Division, Mr. Arup Das - Head of Marketing, Engineering Division and Mr. Anand Reddy - CEO of Motor Division.

I now handover the call to the management for opening remarks, post which we will take questions from participants. Thank you and over to you sir.

Thank you Natasha. Good afternoon, everyone. I welcome you all for IFB Industries investors call for the Second Quarter FY24. Joining with me today are Mr. Rajshankar Ray - MD and CEO of Home Appliance Division, Mr. Arup Das - Head of Marketing, Engineering Division and Mr. Anand Reddy - CEO of Motor Division.

I will now start with the Result of this quarter:

During the quarter revenue was below our expectation and marginally was in the same quarter last year. The company has reported a total income of 1074.12 crores compared to Rs. 101.92 crores during the same quarter last year. During the second quarter EBITDA was Rs. 74.83 crores with a margin of 6.97% compared to Rs. 73.98 crores with

6.71% for the same period last year.

The margin was marginally higher than last year. Despite lower revenue, the gross margin improved mainly because of the reduction of material cost but was partially offset by the higher sales promotion, staff and our operating expenses. We have already initiated a number of cost reduction actions to further reduce the other operating expenses to improve the margin. For the first half of the year, the company has reported a total income of Rs. 2136.97 crores of revenues compared to 2151.19 crores for the same period last year. EBITDA margin for the first half was 15.54 crores, 5.41% compared to 112.42 crores, 5.23% of the same period last year. EBITDA margin during the period was marginally higher compared to last year. The improvement in

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Industries Limited

Moderator:

Manoj Gori

Rajshankar Ray:

Manoj Gori

Rajshankar Ray:

Manoj Gori: IFB Industries Limited

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margin is mainly due to the reduction in material cost. During the current year company's net cash position improved.

With this I will request you to start the question answer session please.

Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Manoj Gori from Equirus Securities.

We went through the presentation very detailed one and what you have highlighted probably the cost savings that you would be doing during Q3 and Q4 on account of RM benefits and probably if you look at secondly on the fixed cost operating expenses. So, can you throw some light, when we say about benefit of COGS of roughly around 44 Cr in Q4, so what do we refer here? Is it basically from the lower RM prices or we are doing some value engineering? Can you throw some light over here?

The estimate of the cost reduction on the material cost side is based on three factors. One is of course the lower commodity baselines. The second and the third are the consolidation in the purchases where we had independent purchases from two different suppliers for washers and air conditioners and we are combining those purchases. The third is the redesign including VAV. So, the bulk of this estimate of 44 Cr benefit is from the second and the third which is related to consolidation in purchases and VAV and redesign. About maybe 20% to 30% will be a result of the reductions in the commodities overall.

The reason why I asked this question was basically if you look at if competitive intensity moves on the higher side, probably peer companies will also pass on the RM benefit. So that was the key reason, just to understand where we would be saving on the gross margin side. Secondly if you look at we have also highlighted about 8 crores of savings on monthly basis on the fixed operating. Can you throw some light over here?

So, these are on 7 or 8 heads and these relate to areas of nonproductive manning. They relate to areas of freight, warehousing costs. They are in office expenses in terms of better organized travel. They are in terms of the cost of let us say these e-waste related area where we're having costs and we put a different process in place in terms of realizing more from machines that we scrap. So, there are about 8 or 10 heads on the fixed cost areas and the work that we are doing on them, our committed target is to reduce 8 crores a month on that. This will be on the same level of sales as last year base March.

So here we are not assuming any sales growth, just basis on the last year figure we are expecting the savings.

Yes, that's right. The internal brief is on the same base level as March. These savings have to be made. Rajshankar Ray:

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Manoj Gori:

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Lastly on the demand side, so even in the festive season we have got a very mixed feedback. During the discount period sales have been very robust. But during non-discounted have dipped

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and accordingly probably the entire festive season might not be as healthy as industry was expecting. Can you throw some light like what's happened in the washing machine category and probably on the overall categories that you are present into?

So, I'll answer this with three points Manoj. The first is that your feedback is right. The sales that happened during the events period of e-commerce, I wouldn't call that a discount period but they were an online event. Let me put it that way. The sales were actually very good. But post that in terms of general sales over the last 3 weeks or if I can add up October-November together, even though they have been better than the initial period of the end of Q1 and Q2 middle, the sales have still been subdued. It's not typically what you would expect in a season. So those are the first two points. The third point is that, how we look at it internally is that we still feel that given the network that we have, we are not doing a good enough job as far as sales is concerned. So, in terms of our performance on the AC category or what we can get out of washers given the network and position we have, we still feel that we have a lot of headroom for growth but we're not just doing simply a good job on the sales side as we should be doing. So, in terms of restructuring the sales force, making the changes that are required, we think that on point three, the plus side is much more than any market-related conditions on point one and point two. Have I been able to explain this?

Yes. And so, all the efforts that we are taking for better extraction, probably by when should we see this flowing into our revenues?

So, Manoj, our internal commitment is that we have been doing this for about two-three quarters now and in a much more intense manner over the last 3-4 months in terms of changes in the sales team restructuring. There is a lot of effort we are making on the distribution network that we have in terms of rationalizing distribution, changing distribution and also in terms of the large account extractions etc. So, our internal commitment is that we will finish whatever we have to do by end of this quarter. So that starting the fourth quarter, ending this year and full benefit next year, we need to complete whatever is on the agenda in terms of sales effectiveness.

One last question. If you look at in the refrigerator probably, we have highlighted in the profit and loss from associates which was more than 7 crores. Can you throw some light like what should be the normal steady run rate that we can expect here? So, in this quarter it was roughly around 7.5-7.83. So, what should be the steady rate that we can expect over here?

I'll sort of give you a market view on this and then Mr. Chatterjee can sort of answer the financial side of it. IFR Refrigeration Limited, the company is servicing some markets directly and IFR Industries Limited is servicing some markets. Both combined, the estimate that there is that we will reach sales of roughly about 50,000 a month from the Q4 in the first phase. And as far as IFR Industries Limited is concerned, that figure will be in the range of 15,000 to 20,000

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Probir Chatterjee:

Moderator:

Nisarg Vakharia:

Rajshankar Ray:

Nisarg Vakharia:IFB Industries Limited

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refrigerators a month. That you could call as a Phase I. As far as the commercials around this are concerned, I would request Mr. Chatterjee if you could please answer that.

During this quarter, we sold around 11,419, revenue of 14.62. We made a PBIT of 0.94 crores.

And for IFBRL, I think they are revamping the products and other things. It will stabilize over a period of the next 3 to 6 months.

We have our next question from the line of Nisarg Vakharia from NV Alpha Fund Management LLP.

At the outset let me just say that, this is one of the best corporate governance standards that we have seen across companies in the market on how firmly the company wants to wal

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and has given in extreme detail on the cost savings that the company will sort of do over the next two-three quarters. Never seen such a guidance in any consumer company for that matter. I have a slightly broader question, that we have had effective sales growth for the last 10 years but have never focused on sustainable margins. Just want to understand the broader thought process on why there is a certain emphasis on margins now and were there so many cost inefficiencies when we have sort of drilled down into why we were not making margins? I hope I sort of expressed my question clearly.

This is Rajshankar here. I will try and answer that. And then Mr. Chatterjee can also add. The third quarter of FY2021 was when we actually registered a very healthy financial performance. Then from the fourth quarter of that year onwards when the material cost indices really went up and we couldn't pass the input side increases onto the market side, since then actually the financial performance was well below whatever we would have been happy with. Now given the investments that we have made, for example in the air conditioner related area. IFB Industries Limited, the investment it has made in IFB Refrigeration the new company and also investments that we are making in terms of a range overhaul on the washer side, the need for us to be sustainable in terms of profit margins and the need to ensure that we get the market revenue right. I will not say that we have not been doing this earlier but yes, definitely over the period of the last two odd quarters the focus on getting the material cost profile to the best level possible and getting the sales side right where we are actually quite unhappy with the kind of revenue side that we have been registering for some time. The amount of detailing focus, regularity of internal reviews has definitely been much more before that. Have I been able to answer the question that you asked?

Yes broadly, I was looking at your sales growth right from 2015-16. We have never delivered more than 3.5% to 4% operating margin in any single year. And now within two quarters we are sort of guiding towards almost 9% to 10% sort of operating margins. So, I'm just trying to understand how has this shift sort of happened overnight? Of course, not taking away from the fact that you have worked really hard in sort of these cost efficiencies.

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Rajshankar Ray:

Nisarg Vakharia:IFB Industries Limited

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I think when sometime around mid of last year when the material cost detailing had really reached a mature level in terms of what is possible for us on the cost side, simply by consolidating, resourcing, renegotiating that figure was a very large figure. So, we delivered part last year which you can see in the gross margin improvement this year but there is still a (+50%) to be delivered by the end of this year. And now that we've also detailed the fixed cost side which definitely is something that we've done only over the last 3-4 months, getting our cost profile right for the same level of sales is priority number one right now within the company.

Does this also mean that now going ahead, we will have base case high single digit EBITDA margins and sustainable margins that we have guided for over the next two-three quarters as we build on the organization in the future?

Rajshankar Ray: Mr. Chatterjee would you like to answer that please?

Probir Chatterjee: Depending upon the consistency on the revenue and our efforts that action that we have initiated in terms of operating expenses and the material cost, we are expected to do well. And with the increase in the revenue in all products, especially in the AC in the fourth quarter.

Nisarg Vakharia: My last question on this is that have we employed some consultant to sort of work on these efficiencies for us or have we done all these things internally?

Rajshankar Ray: This is all done by internal database.

Probir Chatterj

ee: In-house.

Moderator:

Sumil Sethi:

Rajshankar Ray:

Sumil Sethi:

Rajshankar Ray: We have a next question from the line of Sumil Sethi from Sigular Guff India Advisors.

I have questions across three categories. One, I wanted to understand a few things on the gross margin side. So, you mentioned that you are doing cost improvement to the extent of 12 crores and 46 crores in the respective quarters. I just wanted to understand what's the base which we are referring to while calculating these improvements? Is it on the expected sales that we are about to do in Q3-Q4 or is it on the sales that happening over last year?

So, all the savings targets which are given here are on the base of March '23. So, these are on the same level of sales. Whatever is additional by higher sales is separate.

And these cost improvements will be largely from a particular product let's say EC or it's kind of blended across from appliances?

They are coming across all products.

Till last quarter you used to give a cumulative PBT loss for ACs. Any sense of what that number is in this quarter?

Sumil Sethi:

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Probir Chatterjee: Overall till this thing is around 45 crores during the first half.

Sumil Sethi: Do we have numbers around what depreciation or interest cost we are looking to....?

Probir Chatterjee: The interest for this thing is 5.51 crores for the quarter and depreciation is 6.75 crores for the quarter.

Sumil Sethi: This is as allocated to air conditioner

Probir Chatterjee: Only AC. Half year is 11 crores is for the interest and the depreciation is 13.49 crores.

Sumil Sethi: What I understand from the previous calls as well that we have been giving slightly higher sales promotion for air conditioners versus the home appliances. Can I get a sense of what that differential is? Is it a 10%-12% kind of a differential or is it a 20% or 25% kind of a differential?

Just an indicative range.

Rajshankar Ray: So, in the first half of the year in terms of promotions, we invested behind two categories. One was the air conditioner and the second was a new range of front loaders under umbrella platform called Deep Clean that we had introduced. And in the first half in terms of what we've invested in news print in digital etc., it is an incremental expense of about 11 to 12 Cr for the year so far. In terms of the results, we feel that in air conditioners we've still underperformed. So, the investment hasn't really returned results for the company so far. As far as the new front loader platform under the umbrella Deep Clean, we feel that campaign or that investment has had an impact in terms of the traction that we are seeing in September-October and November, and we have to sustain that kind of growth that we are getting from this new platform.

Sumil Sethi: And do you think we are getting good realization of our ACs on a market operating price vis-à-vis competition or do you think there's still some gaps regarding that?

Rajshankar Ray: So, we are more or less, the market is segmented in two sorts of categories. One could be the entry or the lower level of pricing which is operated by some players and the other is the set of players who we benchmark which would be used our LG liking, so vis-à-vis them our price in the market in terms of customer price is more or less benchmarked.

Sumil Sethi: Just one last question. We witnessed a significant degrowth in our front loaders over H1 of last year in sales terms, so some 6%-7% of degrowth. I just wanted to understand, is this because of a delay in the festive season by 2 or 3 weeks and consequently is the entire industry affected here or are we losing market share in this category?

So, we have lost market share and we specifically lost market share in two places. One was that the capacity segment of 9 and 10 kgs is a segment that has been expanding and that was a segment till last year we had no representation in. And this year when we sort of introduced

models for the 9 and 10 kg segment and they have now ramped up to a volume of roughly about 20,000 in a month and the segment size right now is about 25,000 a month. We expect it to go to about 35,000-40,000 a month. So that is one area we've lost share and till about September we have also lost share in the 8 kg capacity in front loaders. That was because there was a price undercutting which was being done from LG and Samsung. We have answered that now sort of in terms of rejigging the range and ensuring that the price differential reduces. That segment we still have to regain the share. So,

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Sumil Sethi:

Bikram Nag: IFB Industries Limited

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12,000 14,000 in a month, our agenda is to take it to about 20,000 in a month and the segment size right now is about 25,000 a month. We expect it to go to about 35,000-40,000 a month. So that is one area we've lost share and till about September we have also lost share in the 8 kg capacity in front loaders. That was because there was a price undercutting which was being done from LG and Samsung. We have answered that now sort of in terms of rejigging the range and ensuring that the price differential reduces. That segment we still have to regain the share. So,

the degrowth that we are having is because of loss of share in these two segments. Also, on the overall point that I said in the beginning to Manoj, that in terms of sales effectiveness we are quite unhappy with what we are delivering to the company as on date. So given the network we have even though we may have issues on 9 and 10 kg, we should be doing far higher numbers overall. That we have to complete within this fiscal year to work on that.

We're really impressed to see the improvement in margin in your engineering division and it continues to put profitability on a quarter-on-quarter on an annual basis. Just wanted to understand is this margin growth, is this margin profile stable for the quarters or years to come or is there a onetime kind of an impact?

I will answer that. This is Bikram Nag here. I think the margin thing as far as the company is concerned, we are very clear. As far as the engineering division goes, we should be operating at a higher margin than whatever we have achieved in Q2. We are not happy with Q2 numbers. The reason we are not happy with Q2 numbers you will see, there's hardly any growth in Q2. And on the sales front, we have not done well at all and we have taken up this point. Margin growth is one thing sales the growth is equally important. Anything sub 20%, the board is not at all happy with and the board is absolutely clear on this. We have spoken to the division and by end of Q4 our numbers have to be in place. Getting those numbers in place on top line will further expand bottom line. If you see the stamping business, also our internal target is to do about 7.5 Cr or so a month and we have done like below that. We are not happy with that as well. Engineering and Appliance division we are very clear, the board is clear, we need double digit margin which means 107% at least we should hit and AC has to hit a certain number which is 300,000 plus washing machines have to be at a certain number also which the board is clear on which is about 65,000 per month. Top loader has to be at around 35,000-40,000 a month. Our sales team is being rejigged in order to meet these immediate ambition goals. As I said last time the sales team is being thoroughly rejigged and Mr. Ray is doing this state by state wherever requirements are there. The states are being looked at district wise to see where are weak in a district and changes are being made. We will do this meticulously in order to achieve our ambition. These questions are coming up quarter after quarter. The fact that we not kept pace with requirements is something that the management and I are not happy with and we will deliver as per street expectations. That is what we need to do. I am also saying on this call now I'm in Singapore because my father has been very unwell. He is in the hospital. I'm in the hospital here now. So, at some time I may just log off. He has been in the hospital since the 23'd of July. So, it's been a long time. He is in HDU, a high dependency ward. He is stable but his condition is serious. Having said that the company has to perform, and nothing is stopping and whatever we need to do in order to put margins and sales back on track we will do. Next question

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Moderator:

Vivek Kumar:

Rajshankar Ray: I F B Industries Limited

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We have a next question from the line of Vivek Kumar from Bestpals Research and advisory LLP.

My question is regarding the same thing that you've been repeating quarter after quarter, so pardon me because the sales and the extraction from the channel is what you're using that you're not able to get the sales. So, my doubt is that as the customer enters any big retail shop where these are sold every category has a fixed number of brands. Like if you take AC or washing machine or microwave or whatever you take 5 to 6 brands are there and retailer also beyond a point will not just put your products just for the discount that you give because he has to have the retail asset turnover for him that inventory turnover. So where are we lacking in the terms of product wise? Because retailer can't definitely have 20 brands like which can happen in small FMCG products. So definitely there is room for 5-6 products because of the space constraint and all in every retailer, so how do you go and take space for yourself with such a huge competition across categories? How are you thinking from a product perspective and ability to extract from this channel, ability to convince the distributor that you really can generate sales for them? So, what are the steps you're taking if you can go in more detail so that we can understand?

Rajshankar here, I'll try and answer this. As far as IFB is concerned you will see this action that we have to complete in two parts. So as far as washers is concerned, we have the placements and here it is not an issue of whether the channel will place us or not. We are placed and we need to ensure extraction. This extraction has to be on two heads. One is this point about the capacity segments that I just spoke about a little while back and the other has to be in terms of manning. So, you spoke about this point of entering a counter. So, when you enter a counter there are salespeople, who assist the customer to arrive at the decision. Our completing the manning gaps we have in those counters where we don't have a person to meet and greet a customer has a direct

bearing on our market shares overall for that count. So as far as washers is concerned, we just have to do a better job at ensuring that our marketing is right and that we don't leave any gaps in segments like it happened to us in the 9 and 10 kg. As far as ACs and refrigerators are concerned, we think that the two will actually help the aspect of distribution. If we look at distributors that we've had, largely the products on which they have had to have sustainable revenues have been the washers and on-air conditioners where we have still to get a proper market presence. But what is happening to the same distributors with the arrival of the refrigerators, is that the ability to reach a dealer with a basket has actually improved. So, in terms of being a company that has a product range basically across both washing, cooling and cooking segments, the range actually with the investment the company has made is quite complete now. With this range our need to finish action is that much more urgent. But it is also becoming easier because we are offering a full basket to a dealer. Now we just have to complete the job. You're right that we have been speaking about this for many quarters and we failed to actually deliver whatever we have been discussing. But this is the main job to be completed and we have completely committed to this. The range is actually going to help the sales team more than anything else. Because my doubt is every category has occupied like let's take refrigeration. So, you will have a limited space to put up 5 to 6 brands. How will we convince him? Because ultimately the Vivek Kumar:

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Rajshankar Rayl

Bikram Nag:

Vivek Kumar:

Rajshankar Ray: Yes, absolutely right.

Bikram Nag:

Vivek Kumar:

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ram Nag: IFB Industries Limited

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customer decides what will move. Because beyond the point discounts will not help. Because retailer will not put up just because you are giving more discounts, so how do you win that customer? And is it just the very range of products that will help? Just placement is enough with the distributor or something else to be done from the customer angle so that we start building a brand and growing. So, I was not able to understand that.

It's a good question because that doubt is a correct doubt to have. Now if you see as far as washers is concerned, the product and the position is accepted in the market. Like I said it's just our efficiency on how much we can extract. The experience we've had with the refrigerator introduction is that the product has been very well accepted and why somebody should buy an IFB refrigerator vis-a-vis the three major brands. That argument is quite clear on the floor. This point that you said about why IFB should be given space is a point that we are really having to deal with as far as the air conditioners are concerned because the product at the end of the day is like a box. Even if you have a very good air conditioner, people don't necessarily give you the realization that you want and it's a problem that we faced right since the beginning. So, the problem that we have to solve as well as why should I place IFB is true for air conditioners but for the rest actually it is purely dependent on our efficiency at how much quickly we can move into the market. So, what I was trying to explain to you is that the AC can actually ride on the other products as well. That is the basic thing that we think is possible in the market.

No but this point is correct Mr. Ray. It also depends on how we are going to communicate and educate the customer as to why they should buy either Ref or AC. That communication has to be improved further.

I was asking because ultimately distributors will not keep products which don't move for discounts and there's a limited space for every item.

Distributor will not keep product, so we have to improve on this part.

When will we see the results? When do you hope to see the real numbers flowing in terms of sales across categories like ACs and refrigeration and also increasing our share in washer? How many quarters or years do you think we will be able to see at least we are in the right direction?

I think we should be ready by February-March in totality because I think the sales rejig will be done and we should be ready by then fully. We are on course. We actually believe that by- is it January Mr. Ray that we should hit overall ref sales of around 40,000 to 50,000 a month?

Rajshankar Ray Yes, January

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Industries Limited

Bikram Nag:

Moderator:

Aviral Jain:

Rajshankar Ray:

Aviral Jain:

Rajshankar Ray:

Aviral Jain IFB Industries Limited

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So, we'll have to see whether we are on course or not. As far as AC goes, we sincerely hope that by January will stabilize at about 30,000. We are nowhere near that but by January we hope to do it.

We have a next question from the line of Aviral Jain from Singular Guff India Advisors

First of all, there's been a lot of discussion around revenue growth and what needs to be done.

At a fundamental level what is the share of the direct customer sales which are large format stores versus a distributor to dealer driven sales? So, what's the current breakup like for the company for appliances division as a whole? How is it different or similar in the AC segment?

So, the distribution that sales overall for the company as a whole is about 25% increase when we do well on air-conditioners and refrigerators because a lot of that sale is distribution led. If you look at the percentage of consumers directly you could look at the sales from our IFB points which hover between 10% to 15% or you could look at the e-commerce sales which is also essentially direct to consumers. That percentage depends

on the month of the year varies

between 15% to 20%. Is that the detail that you were looking for?

No, my question was more about there is a channel which is distributor led which goes to the dealer and in turn so it's a two-tier distribution net there, where as you mentioned the distributor once you have a bigger basket of product the ACs and refrigerators could ride on washers as well as on microwaves. But there are direct sales to large format stores where there is no distributor where there is actually a fight for space which are direct customer sales from IFB which in turn. So, it's a single-tier distribution structure. So, I'm not talking about e-commerce or IFB points where there is no middleman so to say or intermediary but between a distributor dealer at sales and direct customer to consumer sales. Customer I would mean as a chain. So, if you look at multi-brand sales directly serviced by IFB which includes the large chains and from our total sales we take out a distribution which is two tiers and IFB points and e-commerce. Then roughly around 45% to 50% of sales is what is going through the directly serviced brands. The multi brand sales directly serviced which includes the chain counters and the large format retail stores. From our total sales if you subtract distribution, IFB points and e-commerce then roughly around 45% to 50% of sales is to this channel. This is direct from IFB to a retailer and retailer to customer.

So, it's far more challenging for a newer product, our ACs or a refrigerator to create that space and to create and manning is that more important in this channel? Is this the channel where we are under indexed versus competition for ACs and the refrigerator is a new product as such. But is there where ACs were sort of not performing to your plan?

Yes, you're absolutely right. For air conditioner specifically the market segment or the market or the percentage of the market that this channel has versus what we are getting out of it, we are severely under indexed. Rajshankar Ray:

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Bikram Nag: Also, I think Mr. A you could just talk to him that there are about 50 of these retailers and we've now made a team to actually go out and target all of them. Out of 50, I think we've already got through to 15 for AC and the balance is in. Can you just expand on that Mr. Ray?

Rajshankar Ray: So we call them key accounts. These are accounts which have multiple counters and they could be within the same state or across states. So, the identified number is 50. We've put a process and a team in place to actually go and ensure that we get extraction. The discussion with them is that look at IFB as a full basket player and like Mr. Nag just shared, we have sign offs with about 15 of them done. And by end of this quarter, we would expect to be in at least 75% of them with all the product categories.

Aviral Jain: And how many counters do these 50 key accounts have?

Rajshankar Ray: These 50 accounts are about 2,600 to 2,700 individual store counters across the country

Aviral Jain: And would it be fair to say that, I am just trying to get that with ACs the presence is just say 20% or 30% and in the kind of quantities or stock weights that you would be happy with, till now which is what you're changing.

Rajshankar Ray: Can you just repeat that? I didn't understand it.

My question was out of these 2,600 individual touch points or counters; the AC penetration would be 20%-30% while washer could be 80-90%. Is that the kind of gap you are talking about here?

Effective presence in AC right now would be only 10%-15% or percent. And washers is yes, it is 75%-80%.

But on the other direct to consumer channel which is IFB point, e-commerce you mentioned and distributor led there the AC salience of sales is much better versus washers, fair to say? The salience in an IFB point for ACs has improved since last year. In e-commerce till now we have k

ept the ACs away from e-commerce. Our main concerns were on whether we'd be able to control pricing. But the decision we've taken is that in this season we will be having an effective presence of ACs on e-commerce. For ACs there is also a significant opportunity in terms of direct sales which is in terms of institutions, direct to customers, there are lots of sales and service channel partners that we can sell to. So, we've begun to put a team on this. We've had success this year but the numbers are still very low. That is also a segment for air conditioners that has to be expanded.

And this loss of market share which you mentioned on the washer side, that given IFB is the market leader in front loaders that is what our primary research had suggested. That's temporary in nature as in this is more indexed to primary but effectively there is no change in offtake Aviral Jain:

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percentage. Given the MOP, the market operating price for the end consumers or end purchasers is still pretty much well indexed. I mean there could be higher channel promotion so to say which is what led to some loss of sales in the first half, is my understanding correct?

No, so the loss in share came from product segment not represented which was the 9 and 10 kg higher end segment. And in terms of 8 kgs we had a particular price position. But LG and Samsung specifically undercut by a significant amount and that was effective price reduction for consumers. That problem we have addressed last month by introducing a new product which is appropriately priced. As far as IFB is concerned, there have been no reductions as far as the market operating prices are concerned. That position we still held; we've not discounted.

If we talk to volume wise, the overall market would have probably still grown by 10% odd from last year first half, value wise probably much more?

We don't have market figures per se but our understanding is as far as front loaders are concerned, it is flat or slightly less this year so far.

And your first half numbers take into account the festive season delay by two weeks this year or has it had any bearing on the reported numbers? If we were to take say primary till October end or first two weeks of November, is the fall still as stark or has some bit of recovery in terms of percentage decline in sales been addressed?

So, October plus November together will definitely be a recovery. But we have still two weeks to go for November and normally post Diwali the channel replenishes etc. So, we will know by end of November. But if we look at last year's base October plus November will definitely be better. My question was April to November this year versus April to November this year?

We'll have to wait for November to be able to answer that.

What you mentioned is you'll have to increase manning because obviously AC sales are only 10% of the counters as you mentioned. And one of your points of fixed cost expense reduction what you had mentioned was, you are also focusing on unproductive manning. While I understand there is a big difference between productive and unproductive manning but how much of this unproductive manning is constituted by sales staff not being able to deliver the kind of volume numbers that you would expect them to deliver on the counter? Is that a big number because these are two counterintuitive points that you've laid out? You need manning to improve sales and you need to cut manning to cut fixed costs.

So that's an interesting question and there are two parts to this. One is that there is one manning which is the in-counter manning which is when you walk into a store as a consumer somebody meets you and explains the product to you. We call them counter sales representatives and we have gaps there

. So, if you see in terms of these 2,600 key account counters that we were

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Industries Limited

Aviral Jain:

Rajshankar Ray:

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speaking about, currently we are only present with our representatives in about 75% of those counters. So, 250/o counters is effectively empty because if you don't have someone present you cannot sell. That is what happens on the shop floor. So, this manning is inherently a variable manning. There is of course a salary. But the component is that if you do well you earn an incentive, you sell more and you earn more. So we have only focused on making this manning productive. There is no focus on reducing these numbers per se. In fact, this is an area that we are investing in. As far as the other manning is concerned, which is the fixed manning in terms of people in the plants, people in sales, in service and warehousing, in logistics. So, there we think that there is definitely scope to reduce based on restructuring. So, for example, we would have people in warehouses. But when we move to CNX arrangements, the cost becomes variable and if negotiated well the costs actually reduce. So that is the agenda that is being pursued on the manning side.

I understood it very clearly. One final question is, what you mentioned about - sorry we've repeated this question many times - there's always been a big differential between the realized gross margin on AC side versus appliances as a category ex of ACs. So how is that looking like? I mean obviously we've given certain fixed or gross profit or material margin improvement numbers which is 12 crores and 44 crores for the next two quarters. But is ACs coming in line with the appliances in general or how do you at a steady state maybe two quarters from now or four quarters from now once all the older inventories flushed out and you will have the ideal cost structure from a sourcing efficiency or design perspective, what's the steady state gross margin profile would look like? The biggest point that we are saying is there is no pricing action or adverse pricing action in the market which the company will have to match.

If you look at the first phase, if I can use that word, when we have finished the material cost reduction within the fourth quarter, the gross margins on the air conditioner will improve. But they will still not be in line with the washer segment because the washers are also improving. So as far as the company is concerned between the average gross margin of the company to the air conditioner there will still be a gap. But this improvement in the air conditioner from where we are today to what will be completed by Q4 will improve the overall profitability of the company significantly. Now once we've completed that, essentially the largest job is in getting the sales that we should get and this is an area that we've failed in for many quarters now. Even though we have been internally talking about it and it's also been something discussed quite frequently in this investor call. We've just failed to deliver the results and we just have to go out and do it and show that in Quarter 4. So, if we get the sales right, the figure that was mentioned a while back was roughly to a level about 300,000 a year and the material cost works will be completed within Q4. I think both put together will give the company level double digit margins that to be accommodated to. I hope that answers your question.

We'll move on to the next question from the line of Keshav Garg from Counter Cyclical PMS.

My question is regarding; I want to know your thoughts about contract manufacturing that we already have some contract manufacturing plans for our AC division. So, what about the rest of

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Industries Limited

Rajshankar Ray:

Keshav Garg:

Rajshankar Ray: IIFIL Industries Limited

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the verticals? Can't we ramp up our capacity utilization by contract manufacturing and exports

so that our fixed costs can get distributed? That was the first question.

So it's a very correct point and as far as exports is concerned, we really didn't look at it the way we should for quite some time. And two quarters back we put a formal structure in place and specifically for the air conditioners and also the washers we are looking at opportunities for export markets and there is a lot of work happening on that. We are setting targets which we will also present to all of you from the next financial year onwards. As far as contract manufacturing is concerned, we are still talking to the same set of players. There is a projection we have on the air conditioners which will help in terms of capacity utilization. On washers we've really not discussed this option in terms of contract manufacturing. It is being evaluated but we haven't reached the conclusion as yet. With the new investments that we are making for the new platforms for a product like top loaders for example there will be an opportunity for contract

manufacturing. But we have to still evaluate it internally and conclude.

Secondly, I wanted to understand that why are we trying to get into modular kitchen which is not even clocking sales of 5 crores? It is not enough to move the needle for the company as a whole but it is diverting the management bandwidth and our time and effort. So instead, will it not be better to focus on the major categories like AC which can have a meaningful impact on the company even if we succeed? Whereas modular kitchen even if we succeed how much on an overall company basis will it move the needle for us?

It's a good point and the way we are thinking about it is that we have a lot at stake as far as the IFB points are concerned because that is the only channel where we have a complete range representation and there is a dedicated customer base we have and we have a need for them to see IFB and all that it offers in an IFB point. And it's a segment on which we've been very serious in terms of building a right retail presence. Now if you see the markets where we have the IFB points with modular, it actually significantly increases the way you represent your products to the consumer which is the modular kitchen itself and the products that go with the modular kitchens, so kitchen appliances because when someone does modular kitchens, they change a lot of the products in the kitchen. So, we think that the modular kitchen business actually has a great impact on the overall IFB point presence and in the markets that we are in it also contributes to the profitability of the various state level branches that we have. Because even though volumes may be small but realizations are high and it is very helpful to the gross margins. The point about it not having a significant impact on the company overall is a correct point. It may not be the case today but in future definitely this can be a segment which can grow quite significantly. That's why we are still committed to it.

And lastly all said and done sir your aspiration about reaching 10% margins of the home appliances business, by when do you foresee us reaching there? There must be some timeline in your mind that maybe in the first half of next financial year or second half of next financial year. Keshav Garg
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Rajshankar Ray Our internal commitments which we've given, like it was discussed just a little while back on the call, is to finish whatever work we have to do for these sustainable margins within Q4. So, our internal commitment is to be able to show these sorts of sustainable margins when the new fiscal year starts.

Moderator: We have a next question from the line of Sumil Sethi from Singular Guff India Advisors.

Sumil Sethi: Just a follow up question on contract manufacturing of air conditions. Can you throw some light on what percentage of AC revenues are from contract manufacturing of ACs versus our own brands?

Rajshankar Ray

: Mr. Chatterjee would you like to answer that?

Probir Chatterjee: Sorry I couldn't follow the question. Can you repeat?

Sumil Sethi: What percentage of our AC revenues are from contract manufacturing versus our own brands?

Probir Chatterjee: It is now 25% as of now up to first half.

Sumil Sethi: And this is for the first half.

Probir Chatterjee: Yes.

Sumil Sethi: And what kind of the volume split between the book?

Probir Chatterjee: Total we have done around 105,349

Sumil Sethi: Just one question on refrigerators. Last time you mentioned that since the refrigerators are being manufactured by the associate company IFB Refrigeration Limited, you are sort of finalizing the terms of transfer pricing arrangements with them now, that the commercial production has started to happen. I think there are roughly 20 crores of sales of refrigerators sitting in IFB Industries book. I just wanted to get a sense of what the commercial terms are with regard to transfer pricing arrangement with IFB Refrigeration Limited?

Probir Chatterjee: So that is all done on an arm's length basis as per norms. I don't think there is any issue there.

Sumil Sethi: And are we making a similar kind of a gross margin on refrigerators compared to others?

Rajshankar Ray: Refrigerator margin will be higher than ACs.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments. Over to you.

Thank you everybody for joining the call today Probir Chatterjee:

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Thank you, On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: Feb 2024

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8th February,2024

The Manager

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Exchange Plaza, 5tr Floor

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Mumbai -400051

The Secretary

The Calcutta Stock Exchange Association Ltd

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Kolkata-700001

Dear Sir,

Yours faithfully

For IFB Industries Ltd.

Ritesh Agarwal

Company Secretary and Compliance Officer

Encl : As aboveSub: Transcript of the earnings conference call for the quarter ended December 31,2023 pursuant toRegulation 30 of the SEBI (Listing obligations and Disclosure Requirements) Regulations,2015.

Please find enclosedthe transcript of the conference call for the quarter ended December 31,2023 foryour information and records.

The above information is also available on the website of the company at [www.IFB Industries Limited](http://www.IFBIndustriesLimited.com) Corporate Office

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MR. Anup Das - Hnao or M^q.RKETING, ENcrxnnRrNG

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February 02, 2024

Ladies and gentlemen, good day, and welcome to the IFB Industries Limited Earnings

Conference Call hosted by Nirmal Bang Institutional Equities Private Limited. As a reminder,

all participant lines will be in the listen-only mode, and there will be an opportunity for you to

ask questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing star then zero on your touchtone phone. Please note

that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Institutional Equities. Thank you, and over to You, ma'am.

Thank you, Viren, and good afternoon, everyone. Nirmal Bang Institutional Equities welcomes you all to the Third Quarter FY '24 Results Conference Call of IFB Industries. I would like to thank the management of IFB Industries for giving us an opportunity to host the call. Management is represented by: Mr. Prabir Chatterjee, Director and cFo; Mr. Rajshankar Ray, MD and cEo, Home Appliance Division; Mr. Arup Das, Head, Marketing, Engineering Division; Mr. Anand Reddy, cEo, Motor division; Mr. Bikranjit Nag, chairman of IFB Industries will also be joining us on the call.

I now hand over the call to the management for opening remarks, post which we will take questions from participants. Thank you, and over to you, sir'

Good afternoon, Natasha. Good afternoon, everyone. I welcome you all for IFB Industries investors call for the third quarter FY'24. Joining with me today are Mr. Rajshankar Ray, MD and cEo of Home Appliance division; Mr. Arup Das, Head of Marketing, Engineering Division; and Mr. Anand Reddy, CEO of Motor division.

Before we start, with profound grief and sorrow, we inform that our Founder and chairman, Mr' Bijon Nag passed away on 28th January. He was admitted to a hospital in Singapore for the treatment for past few months. He was 81 years and 6 months old. We have already communicated this to National stock Exchange of India on 28th

January 2024.

As the Founder and Executive Chairman of the company, he has played a pivotal role in the formation and growth of the company. Mr. Nag established Indian Fine Blanking Limited, which later changed to IFB Industries Limited and also the other companies that is IFB Agro Industries Limited, IFB Automotive Private Limited, etcetera. The company has immensely benefited from this vision and leadership.

He introduced fine blanking technology in India and also introduced state-of-the-art front-loading washing machine into India. He was the true visionary and firm believer of Make In India initiative from his early years. Mr. Nag's passing away is an irreparable loss to the company. We'll all remember him as an inventor and entrepreneur and a true business mentor' Now I'll start with the reporting.

The company has reported a total income of INR1,140.34 crores during the third quarter compared to INR980.29 crores during the same quarter last year. During the quarter, the revenue grew by 16%. During the third quarter, EBITDA was INR70.36 crores, 6.17% compared to INR33.07 crores for the same period last year, with an EBITDA percentage of 3.370% EBITDA

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Moderator:

Natasha Jain:

Prabir Chatterjee:

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was substantially higher than last year, mainly because of lower reduction in material costs and revenue growth, which resulted in higher gross margin.

For the period up to YTD December, the year company has reported a total income of INR3,277.31 crores compared to INR3,131.98 crores for the same period last year. YTD revenue growth for the year was 5%. EBITDA margin for the YTD period is INR 185.87 crores, 5.670% compared to INR145.49 crores, that is 4.65% for the same period last year. EBITDA during YTD FY '24 is significantly higher compared to the same period last year. Improvement in margin is mainly due to reduction in material costs, better mix and reduction in exchanges. During the year, company net cash position also has improved.

With this, I request you to start the question answer session, please.

The first question is from the line of Manoj Gori from Equirus Securities.

Condolences to Nag family and the entire IFB team. Sir, my question here would be on the presentation that you have uploaded, so where we have highlighted about the cost savings initiatives, which we would be seeing in the coming quarters. As highlighted in the second quarter earnings presentation, we were very number specific with regards to INR44 crores savings in input costs during fourth quarter and roughly around INR8 crores monthly savings from fourth quarter onwards. So can you -- now we are already into quarter 4.

So probably like are we on track on achieving this and probably what should be the benefit that we can expect in the current quarter and probably what it would be in the first quarter on the input cost and, secondly, even on the fixed operating cost that you have talked about, about INR6 crores to INR5 crores on a monthly basis and when it should be -- when it should flow? Whether it would be from the start of the quarter or we should expect somewhere around March onwards?

So that would be helpful, sir.

Rajshankar Ray: Mr. Chatterjee, would you like to answer that, please?

Prabir Chatterjee: Raj, you answer this.

Rajshankar Ray: So as far as the fixed cost reductions are concerned, where we had indicated INR6 crores to

INRS crores savings per month, so we are on track to complete the work by March. In fact even on a third quarter basis, we have saved money in this quarter from that head. So the full impact of this in Q1 of next year will be delivered. As far as the material cost reduction figure that we had given, maybe about 50%, 60% of that will accrue in quarter 4. And again, the full impact in quarter 1 of the next year.

Manoj Gori: Right. So probably, we continue to stick with the numbers that we have highlighted and probably on a trend basis, we'll continue to

see margin improvement even on a sequential basis. Is this understanding correct?

Moderator:

Manoj Gori:

Rajshankar Ray: Yes, yes.

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Yes, sir. My second question would be on the top line performance. So this quarter obviously, shift of festive season also would have aided to strong top line performance. Can you throw some light like how the things are progressing on the initiatives that we have taken with regards to placement of sales promoters and probably we have been targeting for better extraction in the existing outlets. Also, we were looking to scale up our presence into alternate channels like modern format retail, regional retailers and e-comm. Probably how things are panning out there? And when should we expect industry outperformance by IFB on a consistent basis?

So on the last part in terms of fixed time line on the completion of the actions resulting in the kind of performance that you have spoken about, as we have earlier committed our internal target was to complete everything by the end of this financial year, so that we are able to show the performance the way we want in the quarter 1 of the next year. As far as the progress is concerned, on the work on the key accounts, the large format retail, the distribution, all that is WIP.

So let's say, if we have to finish everything by March, we are on track. If there is a spillover, it will be completed within the quarter 1 of next year in any case. So those actions internally are on track and they are on a weekly review bucket now. They are being driven and changes in the sales team that need to be made to ensure that we get the results on the ground, those are also being made in parallel. Does that answer your question, Manoj? Or is there something specific that...

Sir, if you can throw some light probably how things are shaping up in room AC for our branded business and even for the other brands where we are doing contract manufacturing, so that would be my last question, sir.

So room AC in quarter 3, we actually did much better than the previous year in line with our own expectations. So after many quarters in terms of what we decided as volumes have been able to deliver that on the brand side, the OEM side has been lesser in quarter 3. As far as quarter 4 is concerned, we are quite confident of getting the numbers because the channel work is maturing and the introduction of the refrigerator is also helpful for the air conditioning channel related work.

So as I said, the numbers for the quarter 4 on air conditioners, we are confident of delivery because the channel related work on the AC piece is maturing and the channel for the refrigerator is also complementary to the air conditioning-related volume targets we have. So that is the result of the confidence that we have on the numbers for quarter 4.

The next question is from the line of Rakesh Wadhvani from Monarch AIS.

Like in the last few years, we have scaled up other businesses or other segments, other product categories like air conditioner, microwaves. In the last few years, we have scaled or grown those business very well, just wanted to know where are they on the -- with respect to profitability?

Because whatever profitability we are seeing currently, it is a combined profitability. We are not

Manoj Gori:

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray:

Moderator:

Rakesh Wadhvani

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able to know what is the profitability across the -- in each product segment. If you can give some color on that, that will be great, first question.

Rajshankar Ray: So actually, in our investor reports, if you see some of the previous investor reports -- we've

been -- we've actually put out the losses on the AC segment in terms of figures in the reports. And that segment till now is not profitable, so with the material cost reduction that is being made, one of the targets

that we've committed to is the profitability of the AC segments. And internally, we hope to deliver this in quarter 4 and that is very helpful to the overall company profitability. As on date, the AC segment for us has been losing money.

Rakesh Wadhvani: Okay. And what about other segment like microwave ovens that is also doing around INR300 crores sales, dish washer, but lower among the sale, but other segments like the microwave ovens,

Rajshankar Ray: Microwaves are profitable for the company. Microwaves is profitable for the company. And in fact" IFB sales has a very high percentage of convections in the market if you see the solo, grill and convection are the 3 categories. IFB's percentage of the convection series is much higher as compared to the industry and the convection series is quite profitable'

Rakesh Wadhvani: Okay. you can, sir, go ahead. Sorry, to disturb you. Sir, can I go for another question?

Rajshankar Ray: Yes, please?

Rakesh Wadhvani: Sir, one more point. Where do you see the margins on the room AC business in the coming years, not quarters, I'm not talking with respect to 1 quarter, 2, 3, 4 quarters. In next 2,3 years, where do we see -- because we see currently industry players, leading players are doing a\$%6or 8.5%o or 7o/o,97o operating margins. Do we also see that margins will go up for us also?

Rajshankar Ray: Mr. Chatterjee, would you like to answer that?

Prabir Chatterjee: Yes. Going forward, our effort is towards that only. The entire exercise of increasing revenue, material cost reductions and fixed cost reduction will lead us to grow towards that.

Rakesh Wadhvani: Okay. Any short-term nor near-term like the 1-year guidance on the AC business with margin?

Prabir Chatterjee: We normally do not give the guidance on margin. But see like Mr. Ray said a few moments back that this quarter will be better.

Rakesh Wadhvani And sir, coming to the capacity for the room AC business, what is the current capacity we have? How much more revenue we can do from the room AC business?

Rajshankar Ray: so this, the plant that we have here on a single shift basis can go up to 500,000 per annum. And incremental increases beyond that are in terms of additions of minor capacities at supplier end, running a second shift instead of a first shift. So that is the capacity that we have around.

You talked about INR500 crores to INR1,000 crores revenue potential from the plant in Goa for RAC.

Rakesh Wadhvani:

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So 500,000 numbers will translate to roughly around 1,500 crores, if you take roughly about 30,000 for each.

And sir, coming on to a new venture that is refrigeration business, so when are you expected to launch that product? And what will be the price and where we be pricing our product in the market: Entry level, mid-premium or premium? Like for washing machine, IFB is always considered as a premium. For rest, what we are thinking?

So the products are already in the market and the commercial launch of the product was in June last year. And currently, we have in the phase of the ramp-up and in terms of getting our share in the counters where we are placed and increasing replacement. The range that we have is from 193 liters to 306 liters currently in Phase I. This includes both direct cool and frost-free models.

The positioning of the products is benchmarked to the relevant competition in a counter. And I would call the positioning in the mid- to premium range. We will not be the least priced in the counter for sure. And we would be benchmarked to the good players that are there in the market. Does that answer your question, please?

The next question is from the time of Pritesh Chheda from Lucky Investments.

Amongst the appliances range that we have mentioned in the presentation, which are the categories where we today have a lower margin? So we have washers there, we have dryers, ACs, microwaves. so any category, which has a fairly lower margin for us, which pulls down

the company's level margin?

As we've shared previously, the single category that has the largest impact on the margin is the air conditioning category. So the rest of the all other categories are healthy and for us to fix profitability and report something, which is sustainable, the air conditioner category is the category that we have been..'

So that's a category where you're losing money? Industries Limited

Rajshankar Ray:

Rakesh Wadhvani:

Rajshankar Ray:

Rakesh Wadhvani: Yes.

Moderator:

Pritesh Chheda:

Rajshankar Ray:

Pritesh Chheda:

Prabir Chatterjee: Ray, we can't hear you.

Rajshankar Ray: So the air conditioning category is the category...

I got your answer, sir. Then in the AC today, we are largely oE supplier or we -- the number that you report includes largely brand sales?

Largely brand sales. And on specific numbers splits, etcetera, if you want some detail, you could speak to Mr. Chatterjee separately.

And the other question -- 2 questions that I have. One, when you are indicating this INRB crores per month saving, this INRS crores per month saving is under which head?Pritesh Chheda:

Rajshankar Ray:

Pritesh Chheda:

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Rajshankar Ray: So there were 2 heads of savings that we specifically put into the investor report a previous time, this INR6 crores to INR8 crores saving is on all the indirect expenses. There could be office costs, there could be logistics costs, there could be cost of compliances on the EPR regime. And the target that we took was a reduction on the average sales ofthe last year and a significant reduction, which is this amount. The remaining figure was the impact of the cost reduction on the material cost side.

Pritesh Chheda: Material cost side, I understood. So when you're saying referring to last year's sales, which means that ifyour sales are supposed to expand from here, then on the absolute basis, we'll still see rise in costs, but as a percentage of sales, we'll see drop in cost. That's how the interpretation should be?

Rajshankar Ray: Yes, so these are reductions on an absolute basis, basically, that...

Pritesh Chheda: Irrespective ofthe rise in sales?

Rajshankar Ray: Yes, that is the target that we have taken internally

Pritesh Chheda: And lastly, one clarification I wanted, the EBITDA that you report in the home appliances division in your presentation for the quarter at INR57 crores or the full year -- 9 months at INR137 crores is materially higher than what you report in your segmental performance for the Home Appliances division. So where you have the EBIT number, which is significantly different from the EBITDA, so what is the difference here, sir?

Prabir Chatterjee: I would come back to you on separately

The next question is from the line of Abhishek Ghosh from DSP

Sir, just in terms of - just picking up from your investor presentation, what you have spoken about that a lot ofthe new models both in front load and top load are getting introduced, and that should help you gain market share in - from 4Q and 1Q onwards. Ifyou can help us understand how has been the acceptability of these models and what's the confidence levels in terms of the market share gains in both these categories separately. That's my first question.

Rajshankar Ray: So the front load and the top load washing machine segment, new product introductions will start from April, and the transition is from April to let us say, June and July. So you will see the impact of those introductions in the next fiscal year. Currently, there are still not in the market, they're in various stages of field trials, ramp-up tests, etcetera. The new model range for the air conditioner is already out there in the market and the impact of that will be seen in the quarter 4 itself.

Abhishek Ghosh: Okay. Sir, is it fair to assume that FY '24, atleast in 9 months, your market shares have been largely stable and the increase will only be seen in '25. Is that one should work with

?

Yes, that's right. And as for the internal data that we've seen in the last 2, 3 months, we have been regaining shares on the front load segment. So we expect that to continue and that is definitely an internal target that we have.Moderator:

Abhishek Ghosh:

Rajshankar Ray:

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Abhishek Ghosh

Rajshankar Ray:

Abhishek Ghosh:

Rajshankar Ray:Abhishek Ghosh: Okay. So in front load, you have gained market share, top load is still flat?

Rajshankar Ray: Yes, top load is still flat' That's correct.

Okay. And sir, just to - you spoke about this material cost improvement, the fixed cost

reduction, all of that benefit, you're saying, it will come in by March end. so when you launch

these newer products, which we assume is of higher capacity and having much more product efficiencies. Should one assume higher gross margins on those products? How should one look at it?

I think the best answer to that is we still have to work out the final details on it. But as far as the washer segment is concerned, as I said, the final pricing details, etcetera, we still have to work out. But as far as the company is concerned, our gross margin structure on the washer is quite healthy.

So the challenge that we have to deliver is a complete plant utilization to full capacity and a gain in the market share or say there is no real need for the gross margin structure to be improved on the washer side. The profitability agenda on the air conditioner has definitely to do with increasing the gross margin and limiting the losses. Does that answer your question, please? yes, sir. Sir, just in terms of this market share gain, now there are 2 levers to it. Either you fill in a product gap by introducing higher capacity washers? Is that the only lever, which will help you gain market share? Or are there strategies beyond it in terms of pricing, product features, sales automation that will also drive market share?

There are 3 parts to the market share gain and I can share it with you. In terms of specifics, I think that will illustrate the agenda we have to drive. One is that in the front loader, there is a specific 9 and 10 kg capacity segment, which we would call the highest capacity segment as on date and we didn't have a product there.

We introduced a product roughly about 4 or 5 months back and that volume is ramping up. So just by introducing that product category, there is a market share that has to be delivered. And some part of the market share gain that we are seeing over the last 2, 3 months is on account of that. So this is the first Part.

The second part is that if you really go account by account every account has a specific action that needs to be taken. So in some case, it is a change in the products, which are displayed in some place. There is a manning that needs to be put into the counter, which will help the sales to consumers. So there is a ground level detailing account by account that has to be done by our sales team and that is the second agenda for the increase in the market share.

And the third agenda is the introduction of the new models from April onwards, which would cover gaps, which might be a price point gap or it might be a feature gap. And that third part is what enables the second part basically. So the market share gain agenda would be on these 3 specific action heads. Does that answer your question, please?

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Yes, sir. It's very helpful and very clear. Sir, just one other thing. what we have been seeing is commodity prices are on a downward trend for some time now and that's still kind of continuing at this moment. Given this, should the benefits also come in because the competitive intensity is also stable or are peers and you passing on this benefit of lower commodity prices, how should we look at it from that aspect, sir?

So some part of the material cost benefit that we have enjoyed in this fiscal year,

specifically

has been a result of the benefits of the lower commodity prices. So that's already in the material cost percentage reduction that you see. If you look at the last 2 quarters, the commodity prices have been, by and large, stable with a slight upward trend. So if you look at steel, for example, there is an agenda that the steel industry has to drive up the prices, even though they've not moved up significantly, but there is a pressure for them to move up.

Going forward, as far as we are concerned, we see commodity prices neither going up, not going down, but in a particular controlled range. The benefits that IFB has now, which is a part of the material cost agenda is that if we were buying a particular part with a related commodity price, and we were buying it for a front loader and then for an AC, if we combine the purchases of all the product categories that IFB have now, the consolidated purchasing power has significantly increased.

And therefore, the ability or the agenda to find alternate sources and hence, the related material cost reduction, which could also be a design-led reduction basically. So going forward, whatever material cost benefit we deliver, will not come so much from commodity prices, it will come from the other agenda items.

AU right. very helpful. so just one last question from my side. How are you seeing the overall demand at the ground level? Not just for you, just from the industry perspective? Is there any pickup that you see or is it still kind of muted?

Until December, the market has been either flat or has degrown, so the washer segment had degrown. Air conditioners has a growth in the range of about 10 to 15%. The refrigerators until, let's say, 2, 3 months back was having a significant degrowth. so the market is flat and stressed. That trend continues.

We don't anticipate a significant change in the quarter 4 on that. But the way we look at it internally is our own agenda at expanding our numeric reach and ensuring that we get much

better extraction because now as a sales team when we are going into the market to a particular counter, we are going with a much larger basket of products than what we were doing before. And therefore, it logically should be much easier for our teams to extract more out of the counter. So our revenue-related goals have lesser to do with what's happening in the market and more to do with how receptive and implementation we have of this increase in numeric reach and increasing extraction. That is the agenda that internal we are working on.

The next question is from the line of Natasha Jain from Nirmal Bang Institutional Equities. Industries Limited

Abhishek Ghosh:

Rajshankar Ray:

Abhishek Ghosh:

Rajshankar Ray:

Moderator:

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ITILIFB Industries Limited

February 02, 2024

Sir, you mentioned to the last participant that till December the growth -- there was a degrowth, and especially the washer category saw some kind of stress. Now when I look at your front load growth, it has been a healthy growth now. Do I assume that this growth was even if it is at 290/o. Now is this a tepid growth and had - could this growth be higher if the season was better? Internally, we believe that our growth needs to be much, much more and the opportunity is still there waiting to be harnessed. So we are not satisfied with the growth that you are seeing because we believe that there is much more that we can extract. So the answer to your question would be a yes.

The next question is from the line of Dhaval Mehta from Aditya Birla Asset Management Company.

Sir, my first question is with respect to the AC division. So out of INR 106-odd crores revenue which we did this quarter, would you like to quantify what was the OEM sales and what was our branded sales, which we did.

Mr. Chatterjee?

Prabir Chatterjee: 25% is around the OEM and 75% is the domestic.

Dhaval Mehta: Okay. And so I'm assuming the larger part of the losses will be on the domestic branded sales, the OEM business will be making

king profit for us, right? Industries Limited

Natasha Jain:

Rajshankar Ray:

Moderator:

Dhaval Mehta:

Rajshankar Ray:

Rajshankar Ray:

Prabir Chatterjee:

Dhaval Mehta:

Prabir Chatterjee:

Dhaval Mehta:

Rajshankar Ray:

Dhaval Mehta: Mr. Chatterjee, would you like to answer?

Yes, we are making marginal profit from OEM, but the major loss is in the domestic.

And what will be the losses in the domestic business?

The YTD EBITDA loss is around INR 42 crores.

Okay. So out of roughly around INR 250 crores business, which we did in domestic, we are losing around INR 42 crores. Now how this number will change, let's say, in FY '25 or let Q4 or, let's say, next 2 years because what changes we are going to do that we will be able to break even in the domestic business.

So this is Rajshankar here. The change in the profitability will come from 2 agenda items that we have. The first is the material cost and maybe 80% of the work to ensure profitability is on the material cost side. That is the first part. And the second part, which is the 20Y", 25Y" is the volume level to ensure that the plant runs to a minimum volume and, therefore, the overhead absorption is distributed over that many numbers.

Okay. So what is the overall value if you would like to share, like what is the plant capacity in terms of value?

So the plant capacity, like I shared a while back, is 500,000 with the assembly line running at a single shift with a little stretch. And if we are able to do volumes in the range of 350,000 to

Page 10 of 25 Rajshankar Ray:

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Industries Limited IFB Industries Limited

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400,000, then this segment will have healthy profitability along with the material cost reduction,

which we have to complete before March. Does that answer your question please?

Got it. But any thoughts on ramping up the plant via increasing our OEM shares? Any thoughts over there?

The oEM is an agenda that we have been working on. But per se, the oEM market has a particular price point expectation and the product quality and the product build that we have on the air conditioner is tuned to what the IFB brand requires.

So the platform per se is not an oEM platform in that sense. so we have people who have -- who still buy from us because that quality level and that build level, they are able to defend it in terms of price point in market. But how much the OEM segment will grow is difficult to commit because it is somebody else's call. I think for us, we have to keep looking for those 2, 3 selected OEM partners, who can pick volumes. We have to definitely do a lot on our own IFB branded sales and there is an opportunity of exports that we are looking at very seriously, especially for models like the hot and cold models, which we have introduced into the market starting last month.

And the expansion in that also gives us an export opportunity. So I think we have to continue to pitch, but whether we get it or not, not completely in our control. The second and third piece, which is our own volumes in India and the opportunity to harness exports, these 3 are the levers to load the plant full.

Got it. Got it. And is there any other category apart from AC in our portfolio where we are making losses?

No. No.

The next question is from the line of Vivekkumar from Bestpals Research and Advisory LLP Given that our platform is for mostly the domestic consumption when it comes to ACs, so how long do you think you will be able to fill the large capacity with branded sales and a related question is with respect to and you are also hinting that the major work is on the material reduction, so how far are we like...

The material cost work will be completely over by March this year, in line with what we have completed - committed, sorry. So the full benefits of that come from quarter I onwards. Hello, can you hear me? Dhaval Mehta:

Rajshankar Ray:

Dhaval Mehta:

Rajshankar Ray:

Moderator:

Vivekkumar:

Rajshankar Ray:

Moderator: He is disconnected, I think, sir

Rajshankar Ray: Okay. So I'll wait

Wait for him to join back.

Moderator: Okay. Okay.

We can continue with the other questions until he can come back. Rajshankar Ray:

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The next question is from the line of Keshav Garg from Counter Cyclical PMS.

Sir, I'm trying to understand that in our third quarter home appliance division revenue of INR 914 crores, approximately what was the percentage of revenue that came from contract manufacturing and exports.

Sir, so any plans to demerge the company into a branded business and a contract manufacturing side wherein the branded business can place orders just like any other OEM with the contract manufacturing side of the business? And to begin with, sir, why don't we start reporting another segment in our segment results showing EMS sales.

Because the real opportunity is on the EMS side and that opportunity is going by as we try to increase our own branded sales. And sir, it's a totally cluttered market with all kinds of multinationals behemoths. So whereas in the contract manufacturing side, we already have the infrastructure on the ground.

So we can just ramp it up if we get the orders like other players in the industry like Dixon, etcetera, who used to be far smaller than us have now become bigger than us, and so that is the main opportunity. So what are the plans to capitalize on that opportunity of contract manufacturing?

Okay, so that's an interesting viewpoint. And I would just share with you what we had explained some quarters back. Is that the way we look at it? Is that the primary opportunity is the brand sales? And even though the market is very cluttered, if we look back since we began production here in India, there is a set of customers who have given value to the air conditioner we produce for the price point we have and for the performance we've delivered.

And especially with the work that we are doing on the network side and the AC and the refrigerator riding together, the volume play is quite large. This is the primary goal because at

the end of the day, it is the IFB brand that we want to grow.

The OEM piece, the way we had wanted to execute it is that filling up the plant capacity is helpful to absorption of overheads and it also helps the material cost side because you purchase much more. So the agenda is that, let's say, if we have 500,000 as the current capacity, if 350,000-odd is filled by the brand and 100,000, 150,000 is filled by the OEM, not working with multiple players as buyers, but with 2, 3 players who lift sizable quantity from us, then it gives the plant the full volume.

But as far as IFB is concerned, we are not in the same play as far as, let's say, a Dixon would be an Amber would be because the ACs that we are producing are a completely different platform.

They are made for brand in terms of reliability, durability, performance, etcetera. So that is the Keshav Garg:

Rajshankar Ray: Mr. Chatterjee, would you like to answer that?

Prabir Chatterjee: The first quarter revenue was around INR 45 crores from the OEM. Indurtriss Limited

Moderator:

Keshav Garg:

Rajshankar Ray: Keshav Garg:

Rajshankar Ray: Any - this is Rajshankar, here. Any particular reason that you think that will help?

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Indurtriss Industries Limited

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pitch. Yes, an Amber or a Dixon has had terrific growth, but as of now, that is not the direction that we have. Does that answer your question?

Sir the point being that sir - sir, all said and done, we are still making 40% operating margin on our branded home appliance business, which Dixon is making on the same margin being contract manufacturing with stupendous growth. So I mean, had we been making some kind of double-digit margins, then also it would have been understandable.

And sir, in any case, we can continue with our marketing efforts on the IFB-branded business and we can still do the contract manufacturing part. Because in any case, we are not operating at full capacity utilization and I'm not talking a

bout only the AC division, I mean, even the rest

of the appliances. Sir, so what is stopping us from really ramping up the capacity utilization by doing contract manufacturing?

Yes, it's a fair point you have. And at the end of the day, if we don't deliver a healthy financial performance, the question that you have asked is quite valid. Therefore, our primary agenda of ensuring that we fix this profitability issue, which we have committed in terms of the actions, etcetera, which are also a part of the investor report, is a primary agenda we have.

Now a product approach or a product build approach for an OEM and a product build approach for a brand, especially the position that the IFB brand enjoys are actually quite different.

So theoretically, yes, you could fill the plant with either an OEM or brand, but practically, you can't because the product we build is built for the IFB brand. And therefore, a large chunk of the OEM market, which essentially wants a box at a particular price is not something that we can service. I think your question will be answered if we deliver good profitability and, therefore, then what's happening with the plant in terms of capacity is a question that gets settled. And hopefully, we'll do that soon.

Yes, sir. And sir, lastly, sir, in last call, you mentioned that we were planning to clock around 10% operating margin in the Home Appliances division by first quarter of FY'25. Sir, are we on track to achieve that goal?

Yes. As we've shared that is a commitment we have signed off internally as well. And the entire senior team is fully on this and we just have to deliver the agenda and which is something that you all should see as a result.

The next question is from the line of Ankit Minocha from MRLR Capital.

Firstly, my condolences on the passing away of Mr. Bijon Nag. I just wanted to firstly understand how involved was he in the strategic decision making of the company over the last 3 or 4 years?

I mean how was the responsibility managed between him and Mr. Bikramjit Nag over the last - say, the last 4 or 5 years?

I actually couldn't hear you clearly. Sorry Indurtriss Limited

Keshav Garg:

Rajshankar Ray:

Keshav Garg:

Rajshankar Ray:

Moderator:

Ankit Minocha:

Rajshankar Ray:

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Indurtriss Industries Limited

February 02, 2024

yes, so I wanted to understand how involved was Mr. Bijon Nag in the strategic decision-making

of the company over the last 4 or 5 years. And how were the responsibilities managed between him and Mr. Bikramjit Nag currently? And wanted to express my condolences on the passing away of Mr. Bijon Nag.

I think Mr. Bikram Nag is on the line. would you like to answer that, please? okay. so Rajshankar here, I'll try and answer that. As far as our operations are concerned, we have been led by Mr. Bikram Nag for quite some time. And therefore, the transition is quite smooth. And I think he was on the call, he's got a little disconnected. So once he connects back your condolences, I will definitely convey to him. Yes, Mr. Nag is on the line. Mr. Nag, the question was related to transition and...

Sorry, I did not hear the question. Would you like to repeat, please?

Yes, Mr. Nag, the question was that - firstly, condolences for the passing away of Mr. Bijon Nag. But...

Sorry, I can't hear you again. Can you just...

I wanted to understand that how involved was Mr. Bijon Nag in the strategic decision-making of the company over the last 3 or 4 years? And how were the responsibilities managed between him and you, Mr. Bikramjit Nag.

He was involved intermittently, not on a daily basis, but say, major strategic things, for example of, for example, buying off the industrial washing machine company or, let's say, the backward integration into steel, which still has to do better, etcetera. We had discussed everything with him and so he was involved from that angle, but not on a day-to-day matter. Refrigerator plant, he said, IFB should get into this product category, etcetera. So he was involv

ed but not in a detailed manner. He was involved more in a broader sense as to what needs to be done, but not the nitty gritty.

fight. Sure. And my second question is on the pricing environment anticipated when we see some -- are we seeing commodity costs kind of coming down for all players? And do we think that the pricing environment would be more competitive and the competition intensity would improve in terms of the Pricing?

This is Rajshankar here. If you look at the last two quarters, like I said a little while back, the commodity prices are in a range. We expect that flattish kind of a range to continue. As far as the pricing environment is concerned, over the last let's say, 2 odd years, both LG and Samsung have been extremely aggressive as far as pricing is concerned. We don't see any change in that going forward.

So we expect that aggression to continue. As far as the Air Conditioning segment specifically is concerned, it is a segment which has extreme aggression on the pricing side, and we expect that also to continue. So on a specific measure of what will happen going Industries Limited

Ankit Minocha:

Rajshankar Ray:

Bikramjit Nag:

Ankit Minocha:

Bikramjit Nag:

Ankit Minocha:

Bikramjit Nag:

Ankit Minocha:

Rajshankar Ray:

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forward compared to what has happened in the previous year, we expect it to be the same. We don't see any change. Does that answer your question, please?

Look, can I just say something? Mr. Ray? Industries Limited

Bikramjit Nag:

Rajshankar Ray: Yes, please.

Bikramjit Nag:

Moderator:

Nirvana Lah:

Rajshankar Ray:

Nirvana Lah:

Rajshankar Ray:

Nirvana Lah: I think the major issue is the point you raised earlier, I mean, the point that came out earlier on AC sales, etcetera. And my own view my own take on this is, unless we sell more, we'll have a lot more pressure on everything.

The basic question, are we going to face competitive pressure? Answer is, yes. But as I said in the earlier quarters also, our problem is that the sales team for what we want, a significant portion is not geared to deliver and the changes are being made. Only thing is getting people takes a lot of time because I'm being very, very -- we are being very, very specific in what we want in terms

of intellectual ability and that is taking time to fill up these sort of gaps.

And I think no company can shine unless the organization is up to the requirement that - and I think that's the gap. I think all the points that are being raised on competitive pressure on cost, etcetera, etcetera is all actually a function of management in the sense that if the management is very capable, you will overcome this.

And if the management is not very capable, then you'll have the issues that we are having. If you see, for example, engineering division also, we've done good on margin, but not at all good in terms of revenue growth. And we've taken steps on that. We are making changes, etcetera. So I think marketing sales across IFB is an issue. We have identified this as a key weakness, which we must fix. And I think if that is fixed, the other things will fall in place'

That's my view. And that this is a function of people and nothing else.

The next question is from the line of [Nirvana Lah], an individual investor

Yes. So my first question is what is the overall capacity utilization in the Appliances division for IFB. And how does it benchmark against the other leading branded players?

If we look at the Washer segment, then our capacity utilization will be in line with the other players - benchmark players. If we look at the Air Conditioning segment, we will be much lesser in terms of capacity utilization compared to the other players'

Can you quantify how much lesser?

Yes. So if I take the air conditioner for an example, and our current volumes in the range of, let's say, 250,000 to 300,000 on the capacity of 500,000, then we are roughly around 60%. Whereas benchmark capacity utilization

will be in the range of 85% and above.

And for Washers, where are we at?

Rajshankar Ray: For Washers..

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Nirvana Lah: IFB Industries Limited

February 02, 2024

80% okay. And therefore, what is the EBITDA that we do -- EBITDA margin that we do for the Washer segment because ACs we're clear, we discussed the numbers that we are still not EBITDA positive. For Washers, how are we sir?

So what we don't normally give out the figures by segment. But if you want some specific information, you could speak to, Mr. Chatterjee separately. I mean that is the better way to handle this.

Just a question from my side. For Q4, with the volumes going up in AC and with the material cost coming down because earlier stock has been used up by and large. The question is on that, would you be EBITDA positive in Q4 and in Q1 of '24, '25.

That is the commitment that we have made.

I think they are interested in knowing that.

So again, to continue. So this INR6 crores to INR8 crores per month fixed cost reduction that you've spoken about! I am not exactly clear on the exact nature of the intervention. You mentioned sales a couple of times. So I'm not exactly clear what part of the fixed costs are we reducing, can you explain this?

I can give you a few examples. So let's say, we have a head of cost for warehousing and logistics. And associated with that is a warehouse that we run ourselves versus a warehouse that is run basically by a CNS and the nature of the transportation agreement. So are we using vehicles - three-piece loadings or are we ensuring proper milk runs, are we combining freight and tendering it and negotiating it hard?

What sort of agreements do we have SLAs in place? So the agenda here to be completed is to really take every single warehouse we have, look at every agreement we have and just go through it a fresh, tender it and drive the cost down, including looking at usage of old vehicles with higher cost versus new vehicles with lesser cost. So if there is an x cost that we are incurring, which is our fixed nature in logistics, then we just reduce that. So that is one type of an example. So second type of an example are basic office-related costs in terms of the cost of travel and how well it has been planned, whether we are giving tickets in advance or not. And then there are office costs of the EPR regime. So are we just fulfilling the EPR regime, buying scraps from the market or are we actually taking machines back, recycling them properly and therefore saving money.

So this is typically those little heads under the head of indirect costs, which are very often ignored and definitely not optimized. So the internal project that was given to us was to take any single head of the indirect cost go through it, [inaudible] with a toothpick and drive the cost down and that is the commitment that we made, which we also put into the investor report.

Got it. And last time I said this was -- yes. So last time, I think you said that this was also done internally and you were not working with any outside consultant on this' right? Industries Limited

Nirvana Lah:

Rajshankar Ray:

Nirvana Lah:

Rajshankar Ray:

Management:

Nirvana Lah:

Rajshankar Ray:

Nirvana Lah:

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ITILFB Industries Limited

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Yes, that's right, that's right.

That's right. Sorry sir. So the question is to Mr. Nag here that do you think that's the right approach? And what's your view on getting external experts in for this versus letting the internal...

I'll tell you. We saw certain things on freight, for example over [thermometer] basis, say, between one hypothetically city and another city on the same vehicle. We've seen the rates can defer as much as 25% to 30%, for example. Now to fix this on an all-India basis, outside support is required to some extent, and we are talking to Accenture for this. But significant work we are doing in-house. Certain things like these where some intervention is needed for a short period, we are open to talking to others, and we've start

ed talking to Accenture for about the past 1.5 months.

Okay. And do you think that mandate might start sometime in FY '25?

The mandate meaning? Giving them the things? Giving them the mandate. No, no, no. This will start immediately. I think maybe in the next - all the negotiations are like going on. Once it's done, it will start immediately. It will be before March end.

Okay. Okay. All right. Clear. So I have two more questions. Can I ask or should I come back and...

No, no. You can ask.

So IFB point, I wanted to understand what percentage of total appliances sales are we driving through IFB point and do we calculate our ROCE on IFB point, the kind of sales you are doing what is the ROCE you are driving on IFB point?

Actually, on retail business, you should normally look at a return on net assets and not -- and ROCE we can look at also and we have -- I think in IFB point total Mr. Ray, we're doing about 10% to 12% or something like that about 10-odd percent.

And we need to improve throughput in this. And we need to have a proper team. Again, it comes out to organization building, we need to have a proper team to run IFB Point as a retail venture. That is still WIP for us, sadly. But this is a very, very key thing for us.

So for example, in many areas where we couldn't penetrate we opened an IFB point and people start coming and then the other dealers start like talking to us. So it's very, very lucrative for us from that angle. But at this point, our ROCE, I don't have the figure. We've not looked at it like that to the best of my knowledge. Mr. Ray?

Yes, the current -- so we have two types of IFB stores. One is which the company is running on a rented premises. The other is which is run by a franchisee. So ideally, our franchisee should get a 20% ROCE, but currently, that is not the case. Figures are between 10% to 15% currently. We have to work to give the franchisees the return in excess of 20%.

The next question is from the line of Sanjay Ladha from Bastion Research.

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Rajshankar Ray:

Nirvana Lah:

Bikramjit Nag:

Nirvana Lah:

Bikramjit Nag:

Nirvana Lah:

Bikramjit Nag:

Nirvana Lah:

Bikramjit Nag:

Rajshankar Ray:

Moderator:

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Industries Limited

Sanjay Ladha:

Prabir Chatterjee:

Sanjay Ladha:

Rajshankar Ray:

Sanjay Ladha:

Rajshankar Ray:

Sanjay Ladha:

Rajshankar Ray:

Sanjay Ladha:

Rajshankar Ray: That's right. That's right. IFB Industries Limited

February 02, 2024

I have two questions. So first is, sir, we are spending 670/o on the advertisement. So sir, can you throw some light on where we spend on marketing? And what is our strategy for that? And what are the benefits, will it be accruing in the coming years?

Actually expense for the qtr. was 6.780/o & YTD 7.2 Yo on revenue, out of that sales promotion is around 3.5%. And rest is on the counter sales representatives'

Sir sales promotion is 3.5%. Then sir -- so my question would be we also subtract from the sales amount the discount amount right? Sir then what is the difference between that discount amount and this sales promotion amount?

yes. So the scheme is what is subtracted to come to net sales. This head that you see is, as Mr. Chatterjee said, of two types. One is that you have people in the counters who are actually selling. That cost is also reported as a part of this head that is cost of basically the salaries and the incentives for the people who are explaining to customers about IFB products and making sales.

The remaining 3.5% are the - is the money that you spent on doing exhibitions, marketing IFB points, payments to agencies, those sort of hedges. So neither of the two which is reported in ad and promotion is related to the schemes. Does that answer your question please? Or do you want some other clarity?

So sir, I just wanted to have a clarification on that we also in the previous calls and presentation mentioned that we are looking to increase our sales guys in the direct channel, right? Because right now, we are not present

on direct channels. Our sales guys are not present. So for example, in the Vijay Sales if I talk about the sales guys from IFB is not present'

Yes, that's right. so what we have said is that we have gaps in many, in counters where we require a promoter to be inside the counter and currently the promoter is not there. Those are gaps and those gaps are to be filled up. And that is also something that generates incremental sales for us basically.

So sir, we are increasing on that front, right? And also, I will ask you that is the sales promotion that we see of 60/o to 770 would be maintained over a period of time as well going forward?

Yes, yes. Yes, yes. That percentage should reduce because if we get the proper extraction from the places where we have manpower, that percentage should reduce and you we need to reduce actually. So this percentage will not increase going forward.

So okay sir. The fixed amount will be maintained at a similar level of INR200 crores, INR250-odd crores. But since we get a higher sales, then this percentage will keep on reducing.

Sir, my second question would be on -- a bookkeeping question from the presentation. So in the Page 20, we see our quarterly product-wise spread. Sanjay Ladha:

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Indurajss Limited IFB Industries Limited

February 02, 2024

This is actually same as Q2, which we have reported. And if I go over and above 19, 18, we also mentioned product-wise sales in the figures, value of sales in crores. So if I match that figure and if I match that percentage because that does not come out the same numbers.

Condolences for the loss to the family and the company. First question would be on the air conditioner side. So just to understand it correctly, there is an INR42 crores loss in 9 months, right? Had that not been there, our EBITDA from home appliances segment would be close to INR180 crores, right, which is around 6.90/o kind of EBITDA margin. Is that a fair number? I am just clarifying that.

Okay. Okay. And secondly, you mentioned that the capacity that we have in plant is 500,000 units and we will reach breakeven at somewhere close to 350,000 to 400,000 units. And right now, we are at 60% capacity. Am I correct?

No, please. After the material cost reduction is over the breakeven drops substantially. So the breakeven will come to something like 240,000. The breakeven will drop significantly.

Okay. So breakeven will drop. So what is the current run rate? [It's say, for example, in Q4, what is the run rate at which we are producing here in this plant?

Our Q4 run rate is planned at roughly about 30,000 to 32,000 to 35,000 per month, it's about 110,000...

Okay. So this is more of a seasonal thing, right? Q1 would be the heaviest, right - if I understand it correctly.

Yes, I think one agenda we have is to deliver these Q4 numbers. And then the second agenda would be that typically in the Q2 and Q3 period, we have to be able to maintain a bare minimum volume.

Correct. So that's where I was coming from sir, that when you said that 80% of the work needs

to be done on the material side and you briefly mentioned about some of the contracts and tendering, right? So I mean, have we significantly changed the gross margin number for a unit of air conditioners because of all the changes that we are making in material costs, let's say, by the end of Q4, will we have achieved that significant and sustainable change in material cost? Yes, yes. That's right. That's right. Prabir Chatterjee: So I would request you to talk to me separately. I will clarify to you' Rajshankar Ray: We will get back to you.

Moderator: The next question is from the line of [Prolin Nandu], an individual investor

Prolin Nandu:

Prabir Chatterjee: Yes.

Prolin Nandu:

Rajshankar Ray:

Prolin Nandu:

Rajshankar Ray:

Prolin Nandu:

Rajshankar Ray:

Prolin Nandu:

Rajshankar Ray:

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IFILFB Industries Limited

February 02, 2024

What - can you double click a little bit on this material cost just to understand that whether i

t is

sustainable or not, not from the tendering part, is it something that we are sourcing it from India versus outside? Are we bringing something in-house -- can you give us some more...

The bulk of the air conditioning material cost reduction -' we had gone back to the drawing board and we are dealing with the electronics, and also redone the supply chain for the electronics. So it is design and sourcing lead, not so much consolidation or tendering. So it has nothing to do with commodities, and therefore, it is definitely sustainable'

Crreat. Crreat. And there was a question on Dixon and Amber and somebody told you to report the EMS segment differently. So just I mean, some of these companies like Amber also sell to some of the brands, right? So for us the way these have built up the plant or the way our customers are on the OEM side of the business, is it like significantly different, lesser example, we have an assembly line.

So in terms of material that goes into the AC which we make for our own brand versus what we do for an OEM is it like - I mean, does it start from material being different for what we do for our brand? How is the difference? I just want to understand how is the correlation or interdependence between the two segments within the Air Con.

So the basic material composition that we are making for the IFB brand or for the OEM is not different, but the features, etcetera, will be different. But the inherent quality that comes from the platform is the same. But if you compare the platform that IFB is making versus the platform that a traditional OEM supplier is making. Of course, there is a very large difference between the two platforms.

I understand. So it's like more about the features, right? Let's say, for example, hypothetically you would be making something which will be connected to a WiFi, right? I can connect it through a mobile and some of the other brands might not be doing it. This one feature, right? And sometimes.

I mean significant value add will come from something which is similar in both the segment of the business, right? So what we are trying to understand here is that until unless we don't increase our brand presence at the ground level or our market shares, is this not a route to increase our utilization in the plant right in terms of OEM because this segment is getting -- I mean, good traction.

And there are a lot of players in India who are branded, who are established, who have a very good market share. And they are now looking at backward integration, and they are now looking at partnering with some of the EMS player that we have already mentioned on the call. So what is your thought on that, that at least in the interim, will we reach a significant market share in the market to use this as a utilization tool so that our plant reaches utilization quicker rather than later?

So my answer to you will be on two heads. One like Mr. Nag just shared a few minutes back. At the end of the day, there is a sale that has to be delivered and it has to be delivered tomorrow and that is the primary agenda.

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Prolin Nandu:

Rajshankar Ray:

Prolin Nandu:

Rajshankar Ray:

Prolin Nandu:

Rajshankar Ray:
ITLIFB Industries Limited
February 02, 2024

Now having committed to that, which we have to deliver in any case, yes, for the partners who are wanting to buy from a source and if the IFB product platform fits in with their own requirements in terms of the platform quality that they want to represent. Yes, we have to go out and search for partners and fill the plant capacity.

So whichever way we do it, the primary agenda being the IFB brand sales and the complementary agenda is basically the supplies to partners and OEM capacity. At the end of the day, if we fill 450,000 next year for the plan! we've been able to deliver our agenda' Understood. Understood. Fair point.

I just want to reiterate the point that the primary agenda and the product platform we have, including the company's

level profitability, it is the brand sales that are the most important.

Sure, sure. Fair point. I take your point. Sir, now coming on to your engineering side of it right which constitutes close to 80% of the revenue and margins at least compared to our home appliances side for 9 months are better, right? So what is our plan there, right?

I mean as Mr. Nag mentioned that there also margins are good, but we are not able to grow the top line. So within some of the segments where we are present, right? What is our plan there? And have we -- I mean, somewhere in one of the slides, I also mentioned that we are looking for an acquisition which should be of the size of around INR700 -- INR600 crores to INR700 crores. So which is the segment where we are looking to acquire something in engineering side of it. And what is an overall plan for the B2B side or non-B2C side of the business?

Regarding your question. As far as the Engineering business is concerned, you are right where Mr. Nag made this statement, but top line growth hasn't happened the way it should have. So there are two-fold strategy; one, grow the existing business with maximum presence in all the segments wherever we are, increase our share of business there that is at the 4-wheeler, 2-wheeler, 3-wheeler, commercial vehicles, etcetera. So that is a normal growth, which the market -- as the market drives off, you also grow with the market or a little better than the market. Then as far as the M&A is concerned, we are looking into opportunities for businesses, which will be futuristic in nature. That means we'll have prospects, not the businesses which will go into disruption like the non-EV businesses where the ICE, etcetera 2-wheeler ICE, lower CC engine makes. So that sort of business, we'll try to avoid.

We are trying to find out businesses, which has, number one, synergy with our business; number two, it has a growth potential; number three, it will be shielded against the disruption of the forthcoming technological changes which might happen.

Sure, sir. So I mean, what -- I mean, do we have any proposal already on the table..

Yes, under discussion. Three, four companies are already under discussion. So once things get shaped, preliminary discussions have happened. So once it takes up shape, we will definitely inform ourselves. Industries Limited

Prolin Nandu:

Rajshankar Ray:

Prolin Nandu:

Arup Das :

Prolin Nandu

Prabir Chatterjee:

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ITLIFB Industries Limited

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Great. And last question would be on this motor division, right! where we only report the sale of BLDC motor, which is to the external customers. There, the number right now is -- I mean, 9 months for INR50 crores, maybe we'll do around INR70 crores, INR80 crores. But in terms of capacity of motors that we can sell it to the outside other customers. What does the capacity look like? Or can this number be close to INR150 crores or that annual turnover rate just from the capacity point of view? From a BLDC motor specifically?

Okay. This is Anand's here. The installed capacity of BLDC motor for washing machine is 1 million units per annum and for air conditioner is another additional 1 million. Both put together can give us a revenue of around INR150 crores when fully utilized'

Okay. And this is external sales, right? Am I correct?

It includes both external and internal'

okay. So out of this INR150 crores, how much would we be utilizing internally?

Internally, we'll be utilizing 50% of washing machine capacity and 20% to 30% of air conditioner capacity.

Okay. 20% of Air con and 70% of Washers? Okay. Created.

The next question is from the line of Abhishek Ghosh from DSP.

I just have a question on the engineering part of the business. In the presentation, you have

mentioned that you are under discussion for INR350 crores of business with customers, which is under negotiation. So just wanted to understand, is it -- is it more like it's a given contract and only the pricing has been

kind of talked about? Or is it the contract is still not firm in nature?

The contract has not firmed up yet because we are in discussion - detailed discussion about the business sales, sales plan for the future product line, which they have for future in store. So a lot of discussions are yet to happen. It's under discussion. But once it takes up shape, we will inform.

Okay. Running business. Okay. Got that. And sir, one other question to Mr. Nag, in terms of more from a 3- to 5-year perspective, how do you want to navigate IP industries and more towards the home appliances segment, it is like you have a certain market share in mind or you have more product addition like ramping up of a refrigerator, what are one or two parameters which is most important to you? Is it market share, return on capital? How are you looking at IFB industries in your scheme of things?

The next question is from the line of Gopal Kandelwal, an individual investor.

There was one question which was not answered. Should we answer that?

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Prolin Nandu:

R. Anand:

Prolin Nandu:

R. Anand:

Prolin Nandu:

R. Anand:

Prolin Nandu:

Moderator:

Abhishek Ghosh:

Abhishek Ghosh:

Moderator: Prabir Chatterjee:

Abhishek Ghosh: And this should be more like executable in a couple of years, this kind of an order,

Prabir Chatterjee: No, no, no, running business.

Rajshankar Ray:

IFB Industries Limited

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Industries Limited

Moderator:

Gopal Kandelwal: Sir, you can answer.

Rajshankar Ray: Yes, just one second. Mr. Nag, are you on the line?

Moderator: No, sir. Mr. Nag is not...

Rajshankar Ray: Just hold on a second. Okay. I think we can continue with the next question. As soon as he joins back, we'll answer this question. Is that okay?

Moderator: Yes, sir. Mr. Gopal, please go ahead.

Gopal Kandelwal: Yes, sir, I wanted to understand what is your total contribution of sales from e-commerce currently for home appliances?

Prabir Chatterjee: E-commerce is now around 17% of YTD.

Sir -- if I may wrong, but what I recollect, I think in the last call or last to last call, we were kind of saying that we are pretty much focusing on increasing the penetration in our retail store. But are we in parallel to that? Are we also taking some steps to increase our penetration of e-commerce websites as well? And if we are taking those steps, what are those steps?

Rajshankar Ray: Yes. So actually, the extraction from, let's say, distribution network and an extraction from the e-commerce platforms, both are parallel agendas, right? So there's no conflict between the two. Yes, we can definitely do much better as far as the e-commerce platform extraction is concerned.

And that improves through continuous product planning, price point, planning - for example, if you see, currently, our sale of air conditioners from e-commerce is zero. We haven't listed so far. But starting from this quarter onwards, we will retail air conditioners to the e-commerce platform.

Similarly for expansion in areas like microwaves, top load or front load. Yes, there is definitely agenda that we are pursuing for increasing the e-commerce extraction as well.

Gopal Kandelwal: Okay. So lastly, I just have one suggestion. I think I've shared this suggestion a couple of quarters back as well. I'm not sure if we have a dedicated team who can address the queries or concerns, people raise as a part of review on e-commerce website. Usually, what happens when a person goes and buy - try to buy an air conditioner or washing machine, people have a habit of reviewing the reviews.

And if you look at the reviews, there are certain negative reviews as well.

So if we can have a dedicated team, who can review those reviews and address those reviews on the e-commerce website, so that would usually increase the confidence on the consumer that, okay, there are teams actively looking at the reviews and certainly responding to those reviews.

So if you get time, if you go to the e-commerce website, we can see there a

re certain negative

reviews. But if we -- as a company or as a marketing team, if you can respond to those reviews and what action we have taken and then I think it will boost up the confidence of the consumers who are coming to those e-commerce website.

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February 02, 2024

Yes, it's a very, very correct point that you are making. And in fact, we did take the suggestion. We have a dedicated team now. And in the last quarter, we've actually improved our review ratings. But we have to do much better on this, and that is an agenda we've taken as a dedicated team on this place, and we will work on this. Thank you for the suggestion which you've given earlier as well.

Thank you -- that was the last question for today. I would now like to hand the conference over to the management for closing remarks.

No, could you just wait a second because there was one pending question left. Let me just see, just hold on a second please. Just hold on. Yes. Could you just repeat that question, please? And Mr. Nag will just answer that. Just a second.

Sorry, but my line keeps like getting cut - I just don't know why. Go ahead please... Sorry, you had asked a question, please. My line keeps like getting cut. Hello...

Sir, he is not there in this call sir.

What was the question, do you remember?

No sir.

Hello. There was a gentleman who was asking about a 3- to 5-year horizon picture for IFB industries for Mr. Nag. Could we have a repeat of the question, please? Hello'

Sir he has left the queue, sir

He has left the queue. Okay fine. But I'll just give the phone to Mr. Nag, he will just answer it, please.

Sorry. I've understood the question. No, sorry, that my line keeps like getting cut off. I think we have very clear appliance business sorry, auto component business, ideally' you would like to grow it by 2.5 to 3x in 3 years. We are working towards that. As far as appliance business grows -- goes, it should grow by at least 30% a year but more importantly, it's not the revenue growth. We need to fix markets, and we need to move to double-digit margins fast' which is by end of this quarter to early Q1.

I think the first point in appliance is that. But in auto component, I think margin should stabilize at about 18-odd percent, and we must look at growth. And for the year, we don't give any guidance per se for next year, I'm talking '24,'25. But I think we need to substantially grow and therefore, M&A is important, and we are looking into that and they are about INR500 crores plus just on the M&A side. Thank you very much. Thank you. Hello.

Rajshankar Ray: Yes please, you can continue.

Bikramjit Nag: Hello. Hello, Natasha?

sir, the lines for Ms. Natasha is disconnected sir. should I reconnect the line sir?Rajshankar Ray:

Moderator:

Rajshankar Ray:

Bikramjit Nag:

Moderator:

Bikramjit Nag:

Moderator:

Rajshankar Ray:

Moderator:

Rajshankar Ray:

Bikramjit Nag:

Moderator:

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ITIfB Industries Limited

February 02, 2024

Yes, you can reconnect her please. Hello?

Yes sir, I am reconnecting her line sir. we have the line for Natasha Jain connected sir.

Sorry sir. I am getting disconnected again and again for some reason. Hello? I apologize, I am getting disconnected again and again for some reason.

Anybody else is in the queue.

Yes, Natasha.

Yes, sir.

The gentleman who had just asked a question to Mr. Nag related to the 3 to 5-year horizon. If you could just send across his name and number to Mr. Chatterjee since he had disconnected

from the call we can organize for the answer to be given to him.

Sure sir. Yes, let me get back. Actually, I got disconnected at the same time, but I will get that detail and I will send it to you.

Rajshankar Ray: Yes, you could just send it to Mr. Chatterjee .

Natasha Jain Okay. Thank you, sir

Rajshankar Ray: Okay. Mr. Chatterjee, would you like to conclude, please?

Prabir Chatterjee: Yes. Thank you all for joining the call.

Moderator: Thank you, sir. On b

ehalf of Nirmal Bang Institutional Equities, that concludes this conference'

Thank you for joining us and you may now disconnect your lines.Industrielt Llmllcd

Rajshankar Ray:

Moderator:

Natasha Jain:

Prabir Chatterjee:

Rajshankar Ray:

Natasha Jain

Rajshankar Ray:

Natasha Jain:

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Thank you, and over to you.

Thank you, Yashashri and good afternoon, everyone. Nirmal Bang Institutional Equities 'welcomes you all to the Fourth Quarter FY '24 Results Conference Call of IFB Industries. I would like to thank the management of IFB Industries for giving us an opportunity to host the call.

Management is represented by Mr. Rajshankar Ray, MD and CEO, Home Appliances Division; Mr. P.H. Narayanan, Managing Director, Engineering Division; Mr. Soumitra Goswami, CFO, Mr. Jayanta Chanda, CFO, Engineering Division; and Mr. Arup Das, Senior Vice President.

I now hand over the call to the management for opening remarks, post which we will take questions from participants. Thank you, and over to you, sir.

Good afternoon, everybody. I welcome you all for IFB Industries Investors Call of the Fourth Quarter ended FY '24. I am Soumitra Goswarui, the Chief Financial Officer of IFB Industries Limited. I have with me Mr. Rajshankar Ray, Managing Director and Chief Executive of our Home Appliances Division; Mr. P.H. Narayanan, Managing Director of our Engineering Division; Mr. Jay Chanda, CFO of our Engineering Division; and Mr. Arup Das, Senior Vice President.

Now I will inform you about the result. First, quarter 4 results. Revenue for the quarter was INR1,067 crores against last year's INR994 crores with a growth of 7%. PBDIT for the period was INR54.35 crores and which percentage to revenue was 5.10% as compared to last year's INR37.50 crores, which is 3.77% on revenue

e. PBDIT came across a growth of 45% year-on-year. Hike in PBDIT is due to revenue growth of 7% and decline in material cost by 160 basis points. PBT for the period was INR16.23 crores against last year's loss of INR3.35 crores. Now the annual result. Revenue for the year was INR4,344 crores against last year's INR4,126 crores, which is a growth of 5%. PBDIT for the period was INR240 crores and percentage to revenue was 5.53% as compared to last year's INR183 crores, which was 4.43% on revenue. PBDIT amount came across a growth of 31% as compared to last year. Increase in margin is due to 5% growth in revenue and decline in material cost by 200 basis points. PBT for the period was INR90.36 crores against last year's INR34.40 crores. This percentage to revenue was 2.08% against last year's 0.83%.

With this, I will request to start that question-and-answer session, please.

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B Industries Limited

Moderator:

Pratik Shetty:

Soumitra Goswami:

Rajshankar Ray:

Pratik Shetty:

Rajshankar Ray: IFB industries Limited

June 06, 2024

Thank you very much. We will now begin the question-and-answer session. We will take our first question from the line of Pratik Shetty, an Investor.

Yes. Sir, first, can you talk about the material cost savings and the operational cost savings that you had highlighted in your presentation one quarter back? The numbers don't seem to add up.

Mr. Ray, can you please take this question?

Yes. So the two cost reduction initiatives that we were talking about, which is the material cost and the fixed cost reductions. The material cost reductions are actually all on track as per whatever internal plans we have made. And if you look at the last FY results, vis-a-vis the previous year, you will clearly see the reduction in the material cost.

The category mix of the material cost varies. So the material cost that you see is the blended average of AC material cost and the washer material costs. As we have said, the maximum impact of the AC material cost which is what completed in Q4, will be fully visible in Q1 and Q2 of this year. So the material cost is on track.

On the second point of the fixed cost reductions, where we had put down in the investor report that we are looking at roughly about a INR6.5 crores to INR9 crores reduction on the fixed cost hedge, those work is still WIP. The full impact of that has not come in the Q4, but the work is on track, and we expect that in Q1 and Q2 of this year, the complete benefits of those actions will be realized.

So sir, if there was AC similar to -- I understand that AC was higher this quarter compared to last quarter. But if it was similar as compared to last quarter, what would have been our margin with that mix? All 'm trying to understand, is there any improvement this quarter because the numbers are actually much lower? So I'm a little lost when you talk about that we have seen some improvement, but the numbers suggest absolutely opposite?

So actually, it's a fair point that you're making, and I'll try and explain this. So if you look at air conditioners, for example, and the material cost work that has been completed in the quarter, the impact of that material cost work you will not see in the quarter because the raw material

pipelines are anywhere between 60 to 90 days.

So even though you may actually complete material costs work in March, until and unless the fresh production is made in an April or a May, you will not see it reflected. So the clarification that we would like to make is that whatever hedge of material cost reduction that we have worked on and basis which we had said that material costs will drop, you will see a lot of it reflected in the results in terms of the material cost percentages of last year versus the previous year. The full impact of that will be visible in Q1 and Q2.

Now the question you asked is that if the AC thing was okay, then what would be the impact? And that question was also

asked in the previous investor call. Then we had said that if you look at the level of the PBDIT losses in the last year, for example. So if INR160-odd crores is the PBDIT over the last year, the AC is negative. And to that extent, the AC loss, if it -- even if

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B Industries Limited

Pratik Shetty:

Rajshankar Ray:

Pratik Shetty:

Rajshankar Ray:

Moderator:

Gunit Singh:

Rajshankar Ray:

Soumitra Goswami: IFB industries Limited

June 06, 2024

it has been 0, the PBDIT would have been higher by that much, which is the target that we have in this fiscal year. Does that answer your question, please?

Yes, there's a little more quantification of that would have helped that -- so let's say, by when do you think we will touch double-digit margins? By when can we see IFB reporting double-digit margins?

So we wouldn't want to give a specific guidance on this, but because this question has been raised earlier, I'm only talking appliances now, because the rest of IFB -- as far as the appliances side is concerned, we had two things to do mainly for the double-digit margins. One is the material cost, where, by and large, we've completed all the work and now the impact has to show in the Q1 and Q2. Most of it will be seen in Q1, what is left in Q2.

As far as the fixed cost reduction is concerned, we've been working on it for two quarters now and the impact also has to show in Q1 and Q2. Some part of it will show in Q1, some part of it will show in Q2. So in terms of the kind of margin structures that we need to deliver, which we've discussed in previous investor calls as well, we would expect in H2 and H3 - I mean, sorry, in Q2 and Q3 of this year, to be able to get to those levels. Does that give you a specific answer?

Yes. Absolutely, sir. And si, last question is regarding ACs. Last year, how many ACs did we manufacture? And how much was its own brand and how much was it third-party? And this year, do you think we can do 4 lakh -- 3.5 lakh, 4 lakh ACs or it will be lower?

So we have actually -- and we put it in the investor report as well. We have increased our volume target. We have taken a target of roughly about 400,000 ACs for the year, but we have revised it to 500,000. The trends of April and May have been good, and we've reported that as well.

The growth this year will come from brand sales, not so much from OEM sales. OEM, even if you see the last year, on the INR200 crores odd revenues that we did in Q4, AC OEM was only about INRS.5 crores, and we put it in the investor report as well. But the growth this year will come from IFB branches. And that, I think, is a positive thing going forward.

Next question is from the line of Gunit Singh from Counter Cyclical PMS.

Sir, the losses in our associate, IFB Refrigeration, they have widened year-on-year. So I mean, what is the reason for that? And by when can we expect it to break even or show us positive contribution in the bottom line?

Soumitra, would you like to answer that, please?

When it can -- when it will be coming to breakeven, Mr. Ray you have to answer. The loss in '23-24 in Refrigeration over INRSO crores and we have taken share of 41.40% from that, which is INR24.16 crores. Now they made a loss of INRS9 crores against a total revenue of INR161 crores. Mr. Ray, if you can answer that when it will reach a breakeven point in IFB Refrigeration.

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B Industries Limited

Rajshankar Ray:

Gunit Singh:

Rajshankar Ray:

Gunit Singh:

Rajshankar Ray:
Gunit Singh:
Soumitra Goswami:
Gunit Singh:
Soumitra Goswami:
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Rajshankar Ray:
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Gunit Singh:
Rajshankar Ray: IFB industries Limited
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Okay. So if you see the product availability to the market from IFB Refrigeration Limited started in June 23. And by the time the full product range, which was required in Phase 1 was completed. It was November '23. So realistically speaking, in terms of th

e first season, which

has actually been this March, April, May period where really the complete product range has been available. As far as IFB Refrigeration Limited's own targets are concerned, my understanding is that within this year, they will be above breakeven, not just breakeven.

Sir, what kind of volume do we need to reach to breakeven in this segment?

So to reach breakeven, IFB Refrigeration Limited needs to do roughly about 35,000 to 37,000 refrigerators a month. And in terms of breakeven and other financial commitments, et cetera, for a healthy P&L, then to get to a level of about 50,000 refrigerators a month, which is a plan that they are working on.

All right, sir. And what were sales numbers for AC in Q1 FY '24?

Q1? Or you are talking about Q4?

Q1 FY 24 and the entire year?

So Q1, I cannot share it right now. But Q4, I can tell you. Q4 figure is air condition, brand is 85,786 and the air condition OEM was 4,822 for quarter 4. And for the entire year, it is 199,168 for brand and 42,256 for OEMs.

So -- from about 2.5 lakh, we are expecting to reach 5 lakh sales AC this year. Is that understanding correct?

Yes. We have taken a target of 490,000 of air conditioner in the year FY '24-25..

That's almost double the volumes...

Mr. Ray, already has communicated that 5 minutes back to another investor...

In the investor report, we've shared that the volumes of April, May itself has been quite high.

So it's more than 100,000 ACs in just 2 months. So, right, we believe that this sort of volumes of April.

And that is for the AC division and for the Refrigeration division currently in Q1, we have already seen 2 months looking at the current numbers, I mean what kind of volume growth are we looking at in the Refrigeration division also in Q1 and say FY '25.

So it would not be right for me to comment on the IFB Refrigeration-related plans, but in line with the numbers per month for sustainable financials that I mentioned, those are the kind of annual numbers that are being planned by the company.

Can we target [inaudible 0:15:25] in Q1?

It might not be Q1 per se, but most definitely, it will be Q2.

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Bikramjit Nag:

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Next question is from the line of Prolin Nandu from Edelweiss.

Yes. I joined the call late. So can you help us understand what was the supply chain issue that you faced in Q4 of FY '24? And given that this is the peak season, where 60% of our annual sales in a way or more than 50% happens in this quarter. What -- I mean, what was it that impacted us in this quarter?

So you have 2 parts to your question. One is related to supply chain issues in the fourth

quarter. And what challenges we are facing currently? Have I understood this correctly? No, no. What I'm trying to understand is that in terms of this is - this month, right, January, February, March, these 3 months are very, very important for the aircon kind of segment, right? So I mean, what was it that we were not able to foresee in terms of supply chain issue? That is my number 1 question because see, FY '25, you have given us the number in terms of growth, right, what you are aspired to be. But we did a call sometime in second week of February. Until that time, I think we did not highlight any supply chain issue. So it must have happened in last - second half of the quarter, so what went wrong? And we have listed out in some sense in the - of this peak summer season, right? So yes, that is my question.

Mr. Ray - I would like to answer this, please, if it's okay.

This is Bikram Nag, please.

I think the major issue that we faced was one is, I don't think that we foresaw such a jump, that's point one. But more importantly, we also wanted to streamline creditor repayments. It was very important for us to stre

amline creditor repayments. And therefore - and also because we never saw the jump. Basically, we - the one major item which we have, which is the compressors, which are being imported, we ran short.

And we also ran short in April, May. We could have done much, much better than what Mr. Ray spoke about, 100,000 ACs being sold. We could have done much, much more. And thereafter, the last minute, it was impossible to get in the stocks, but we just did not foresee it. And also, we took a decision internally in the month of Jan, Feb that we must streamline payments. I think both these points together caused an issue, but we have corrected that now. However, it's taking some time.

Sure, sure. So just to add to that, right? I mean this is how the -- typically the summer seasons are, right? I mean, sometimes you will have early monsoon...

No. But -- if you see the past few summers, sometimes, dealers have been stuck up with stock, and they don't destock, and all of those things happen. And it was very important for us to streamline payments. I was very concerned about that.

All right. Understood, sir. Yes. Correct. So now what I'm trying to understand is that does it mean that we will have to wait for the next year to see what kind of an operating leverage does this business bring in, right? Because, again, Q4 of FY...

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We are seeing the fact that it's turned it even though it's unaudited, even though it's turned EBITDA positive now, which is April, May, et cetera, because of volumes, et cetera, I think June should be similar. Overall margin impact in April, May has been much, much better. It's not a 10-odd percent, which is what I thought we'll get to by the end of Q4. That has not happened. But the intent to get to 10% and driving it very hard. That is happening at all levels of the company, that is now happening as far as Appliance division goes. And you will see the benefit of this at the end of Q1.

Sure, sure. Understood. And can you help us understand in terms of retail, right, while we might have missed out on overall sales target, but more on the qualitative kind of number, right, where you have in the past, mentioned that our wallet share in some of the counters have been quite less and because there was a presence of let's say, brand promoter there and also — and where we have a very good sales team, our market share in some of the micro market is as high as 10%. So has there been any change in terms of the presence in some of the key counters?

I think we've seen improvements in that. However, what has happened is, let's say, some of the key counters, the material has only gone in, I think, Mr. Ray, in the month of April, May, right, and not in March.

Is the question on air conditioner?

Yes, it's on aircon?

Yes. Aircon only I'm talking about. So I think it's moved into some of the key counters significantly. And that benefit, we'll see, but it's moved into some of the, Mr. Ray, correct if I'm wrong, only in the month of April, May, right?

Yes, at the end of the -- end of fourth quarter. So actually, I would just like to add to what Mr. Nag is saying is that this was actually the first season where our presence was much more

broad-based than before. And that is, of course, on the problem side led to this issue of not being able to foresee exactly how much lift would come. This is the point that Mr. Nag made. But I think given the fact that the spread is much broader than before, we feel that it's a very positive sign for the rest of the year.

And if you see one of the worrying things in Q4, which has been significantly corrected in the first two months of Q1 is that washer sales have not moved. We are not able to understand exactly why as yet, but washer sales in April, May — overall th

ings in April, May is better.

And what we looked at was not only streamlining payments to creditors, etcetera, but also to get our ratings up, also to get ROCE up in the division.

So overall, in all of those areas, there have been significant upward movement in April and May, significant, which we'll report in the July meeting. However, the washer sale has not moved up to the extent that we want. And we are putting a lot more emphasis on that, again. ACs moved up, but there is an issue of stock. And in refrigerator also the same issue of stock came up because we did not give adequate orders for the compressors. But that has been corrected now.

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Sure. Understood, sir. And I think you already answered this, but in terms of other fixed costs, what I wanted to understand is that you mentioned - you had mentioned in the last call that you are planning to work with some outside consultant. So are we - I mean, where are we there? We have already hired someone to help s there?

No, we are doing - I think we are still in like discussions with them. One of the things that we saw is when we went into discussions with them and saw the various areas they will help us to focus on, etcetera, etcetera, focusing or to focus on to, we thought before we get them on to this, there are a lot of areas we can do ourselves.

And we put in a team to o all this ourselves to a great extent and a lot of benefit we are seeing we can get - we can move ourselves on to getting in terms of the bottom line. And we thought let us do this first before we get these guys into the thing because they typically take 60 to 90 days just to get going. And we just thought a lot of the things we can do ourselves s better, not to outsource. However, in certain areas of IT, etcetera, we have done some outsourcing.

Sure. Understood. And lastly, on your engineering division, right, you had plans for some inorganic growth opportunities or organic acquisition as well. So what is the pipeline there?

Can you help us understand?

We have about 7, 8 companies that we are looking into. Yesterday and today, in fact, the M&A team has met one of them and the process is on. Out of the 7, I think all like 7 we are interested in, the sizes are a minimum of INR300 crores, going upwards. And they are all in areas, some are in areas which are - which like we are not into, but it falls under the auto-com space and some are in stamping, which we understand well. But the arcas which are niche, ctcetera, which we are not in are very, very interesting, and hence we are looking at those as well. So 'minimum size we will go for is about INR300 crores upwards.

Understood. And that's the kind of -- I mean, INR230-odd crores is the cash that we have on the book, right? So that would...

As we've said in the investor call, we will not do anything until the cash moves up to over INRS500 crores.

Understood. And also in this core stamping segment, your focus will be to move into areas which are engine neutral, right? Did I heard that correct?

Correct. Absolutely.

Next question is from the line of Anand Mundra from Soar Wealth. Please go ahead.

Sir, I wanted to understand, post our September conference call on 15 November, we promised to iavestors that by Q4, we would be able to do double-digit margins. And that was also not Q2, sir, but it was on 15 November, the call has happened. But the margins are quite different. So what is the main variance? You explained eatlier about material different than that. But all these things on 15 November, we will not - we are not able to project for 31st March, sir?

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Mr. Ray?

Okay. So the point that you're raising is a correct point. And the indication that we have given is that the results would flow quite quickly. But having said that, the raw material pipelines and the fact that the full impact of the material cost has not been realized in Q4 and the fixed cost reduction, which is a key component of the double-digit margin, which is still WIP. And like T explained a few minutes back, has not been realized in the Q4, which has to be completed by us in Q1 and Q2 and hence the delay. So the only point we would make is that the action heads which are committed are fully on track. However, the results are not realized as yet.

My only worry is, I'm tracking the company from last 5, 7 years. Earlier, I used to - I remember you said that INR200 crores revenue per month, you will be able to do 10% margin. That was INR2,400 crores top line. At that time, our top line was INR1,500 crores, INR1,600 crores. Then the figure moved to INR3,500 crores top line. Sir, I'm not saying that always the aspiration is there for 10%. But if you pick out any conference call, sir, we always promise but we have never delivered, sir. So my only worry is, again, we have promised for Q2. So what - have we already taken the step, sir? Or we will reduce it? We are expecting it to be reduced in Q1 and Q2 and the 10% margin will come?

I will answer this, Mr. Ray. I will answer this. Okay. I think your question is perfectly legitimate and this is a worry that I also have. And my constant discussion with Mr. Ray, the others in the appliance division is as follows. We've gone through minutely how costs have gone up from 2016 onwards? And every area from 2016 onwards we have looked into, including how schemes have gone up with key accounts but we have not got the required volume out of the key accounts, etcetera, etcetera.

So all aspects of that has been done — all aspects of that is being detailed ~ sorry, that is being detailed. Its still WIP. And we have not done a good job at this. And hence, we have lost out in March. And hence, we've not been able to keep our commitments. And hence, the results have not been good. And it's not something that I'm happy about. It not something anyone is happy about in the company. And we have to fix this. I'm not giving any further commitment, but saying we are really driving towards double-digit margin.

Now, on Q4, it has not happened, but you will see Q1, April, May has been significantly better, but nowhere near what we need to do. Hopefully, June, we'll get closer to the target. And thereafter, we should hit the target. And one of the reasons now, suddenly, we are not able to understand why there has been a slight slowdown in washer in the month of Jan, Feb, March because that's where we have significant margin. We are not able to understand this. However, as I said, April, May has been better. But margin-wise, April, May has been much, much better for us overall. And the effects of cost reduction is paying off.

Sir, April to June because your AC season is also there, washing machine season may also come. So hence, your margin - operating leverage will play. So hence margin may come, but I don't know whether it will be sustainable in December quarter because your AC sales will be lower or September quarter.

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No, what happens normally in the month of December is if you see all other companies,

including Daikin, Hitachi, LG, Samsung, the AC production goes up because they push the material to the dealers - because you can't produce so much of the...

That happens generally in December, yes...

So from November...

Let's see -- okay. Sit, my another

question is, we did -- in April and May, we did 50,000 ACs, as you mentioned, 1.1 lakh ACs for two months. If T -- ACs generally sells for 5, 6 months in a year, and if we are selling 60,000 per month, so it would be — we won't be able to more than 3.5 lakhs or 4 lakhs in a year. And our target is 4.9 lakhs or 5 lakhs as per the presentation. No, what will happen in the month of December, Jan, Feb, the dealers pick up stock. So you produce a lot, lot more and you do that. Every company does that apart from us. I think now that the distribution is much more in place, we'll be able to see throughput of this.

I just want to add to what Mr. Nag said, this is Rajshankar here. You see for us, the seasonality of the industry or the manner in which it goes up and down is relevant, but not entirely relevant because our participation in terms of the network that is available and the network that is selling a product like air conditioner is still low.

So having seen in this season that we have got the throughputs from the counters where we were present, we've got the product pricing combination right. The demand has been healthy. Our point that we will increase whatever we have thought for the year is not driven so much by season up and down, but by the fact that we can expand the network quite significantly compared to what it was the previous year. So I hope that gives you the clarification that you required.

Understood. Sir, what is our capacity in AC sit?

See, our capacity currently is 500,000 ACs with an assembly line running in single shift and some of the feeder lines running in two shifts. And we are working on increasing it in line with what we require.

So in April and May, we were running at 100% capacity, sit?

In April, we were running into full capacity. In May, actually, the plant delivery to the market was less because of the supply issues that Mr. Nag expanded on.

Okay. And sir, you mentioned the INR167 crores PBT loss. That was with respect to AC plant for last year, FY'24?

No, I was talking about INR160-odd crores PBT for last year. And that...

FY'24 you said or FY'23, sir?

'23-24.

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The year for which we are talking about. Okay.

And that includes the negative component of the air conditioner. So this point was actually made in the previous investor call as well that even if that negative is zero it does contribute to a significant increase in terms of the overall PBDIT for the division.

Okay. So I missed - what was the negative amount in FY '23-'24 in AC segment?

AC PBDIT was INR42 crores minus in '23-24. What Mr. Ray is telling INR167 crores -- INR167 crores is the [inaudible 35:32] full figure PBDIT included into this INR42 crores negative figures from AC. Suppose if AC would have been breakeven then this figure would have been more than INR200 crores.

Okay. Understood sir. So sir this year when we are targeting 5 lakh ACs what would be our profit — what would be the estimated PBDIT if it happens?

'We will not give that. We will not give that now. Our first task is to -- as I said our first - our only target is to hit double-digit margin. Everything will get covered in that.
Okay. Understood sir. Sir one more thing sir with respect to refrigerator plant, so what is our capacity in the plant sir?
Yes 1 million and with some debottlenecking it can be increased by 10%, 25% more basically.
Okay. And how much we are targeting to sell this year sir?
So IFB Refrigeration Limited the company has a target of about 6.5 lakh refrigerators and like I shared...

Higher than the - much higher than the number of ACs we are estimating

ed to in refrigerators?

It's a much larger market the refrigerator market. So - if you see relatively the refrigerator is a much larger market..

And sir what is the pricing ~ how is pricing is decided? Suppose the cost of the product is INR100 the company which is doing manufacturing. We are buying at INR100 and we are selling at what price sir?

Sorry this is the question...

Sir how much markup they are taking while billing it to IFB Industries?

Soumitra, would you like to answer that, please?

No we are like following whatever the transfer pricing guidelines are. We are within that and...

My only point was to understand how much losses we are making in that plant cumulative in both the companies together?

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Anand Mundra:

Moderator:

Anand Mundra:

Moderator:

Manoj Gori: IFB industries Limited

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So we will not make any loss when we hit a minimum volume. We are still a little I think last month Mr. Ray you were about okay. I think about 35,000, 38,000 refs and you are at breakeven -- depends on the mix what about that.

Both April and May figures are good in refrigerators.

Noted sir. Sir one more question sir, what is our gross margin similar in both ACs and refrigerator or refrigerator gross margins are much higher?

So we don't specifically comment on the gross margin structures per se, but the cooling products in general in the industry would be similar and washers is higher. I hope that answers your question basically.

Yes. And I think Mr. Ray I think you tell them also that a lot of work is being done to reduce cost -- material cost even in these two and to drive up margins.

Yes correct. Both ref and AC that work is on because one of the advantages we have now is provided, of course, we get sales right. We have a lot of volume and the vendors are coming forward to really give us very good terms now and that is helping us which means essentially price, credit period we don't have any like issues. We have like streamlined things as I said. Understood. Sir actually it's good that we have introduced these two products so we can utilize our IFB points and throughput would be much higher. And how much sales you are targeting through IFB points the refrigerator and the AC, sir?

About 15%.

only 15%, sir?

Yes. As of now 15%.

So actually if you see both the categories of refrigerator and ACs the smaller network which is fed by distribution is very strong participant as far as the industry is concerned. So where the contribution of washer may be higher in an IFB store in ACs and rest it will be slightly lesser.

Though, of course, in volume terms it will be very high.

Understood sir. Sir one more thing what is our profitability...

Mr. Mundra I request you to join back the queue please as we have other participants waiting. Thanks alot sit. Wish you all the best.

Thank you. Wel take the next question from the line of Manoj Gori from Equirus. Please goa head.

I have couple of questions and apologies probably I have joined a bit late. So commenting on the overall demand and obviously cooling products have been doing very well. If you can throw some highlight on the washers probably what is the outlook and also if you can

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Manoj Gori:

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comment on the recent month market share movement whether we are gaining, we are losing or we are maintaining market share.

Because if you look at probably in the fourth quarter, our top line growth for home appliances was roughly around 3%, 4%, but when I look at AC sales have been growing at a significant pace. So washers seems to be at some pressure. Can you throw some light over there?

So Manoj, I will answer this in four points.

The first point is that we are not happy with the

washer sales at all. And internally the work to ensure that the sales rises, plant capacity goes up has been driven very strongly this is the first point. The second s that if you go by the data which would be, let's say, GSK data even though we've always said that it is still not a right indicator per se.

But the data says that actually the market has been degrowing which is something we also don't understand very well on why this is happening, but the data say that the market degrew last year, it also degrew in Q4. On the same benchmatk, the IFB market share is increasing. And we had said that we actually see a very large scope of increase because there was a segment of the 9 Kg and 10 kg front-loading segment where IFB didn't have a product. Last year was when we started ramping up the availability of the product.

So other than these three points the fourth point is something that we've said earlier, but we really have to deliver it is that we have our network size the extraction from that network potential is very high. We just have to do a much better job of getting that as far as washer is concerned. I hope that answers your question. As far as data is concerned, we are gaining market share.

Sir secondly if you look at some of the brands probably new to the industry, probably if we name them higher or probably Voltas Beko seem to be doing very well in washer segment of late. So - and we probably believe like even industry at times have been facing some heat. So how do we see this competition panning out and probably the aspiration that we look at improving our profitability across category. Does it impact us as well any risk because of the competition, please throw some light?

Okay. So if you look at the washer segment, then the washer segment is a combination of three things which s the front load, the top load and the semi-automatics. IFB's participation is in the front load and the top load segments. The competitive intensity from specific people like a Haier or a Voltas our position has always been that there has always been competitive intensity.

So if you look at from the period Jan 21 till, lets say, a couple of quarters back the competitive intensity from a Samsung and LG who are actually pricing down in a market where raw material prices were going up was extremely intense. So that competitive intensity will always remain.

Now for IFB offer than this last year's gain in share which is led by the 9 kT and 10 kT placement. From this quarter onwards, there is a complete new range introduction happening in both front loading and top loading segments virtually, the entire range is getting changed.

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The new models which are entering are more packed with features better technology and we have looked at over the last 2 years, 3 years whatever issues we've had in terms of the right

product price combination etc we have tried to address all those gaps. So for us in this year I think the opportunity comes from two specific areas in the washer segment.

One is this continuing growth in market share because of the 9 KT and 10 KT expanding more which was just a product gap which has got filled. The other is if we use the new product introductions well and the market placements happening fast we think that that is the biggest leverage we have for getting the volumes and the market share that we should get.

So I would specifically not be very worried about the competitive intensity from a Haier or a Voltas, but we would be internally much more focused on doing the execution where with the agenda that we have of the new product introduction and market extraction for the year. I hope that answers your question.

Yes sir. Sir, lastly I'm surely making you

repeat on the margin side. If you look at, obviously, there has been some delay on what we were aspiring by Q4 about double-digit margins. We are now moving towards Q2. But - so T just want to understand probably despite the RM prices moving up, competitive intensity, obviously, would have continued to remain on the higher level, they still remain confident of 2Q probably margins would be sustainably scaling up from the current levels despite RM price is moving up?

Yes, Manoj. And like Mr. Nag had shared the intensity and the internal pressure on making this happen across everyone in the company is very intense and it is something that we just have to come and deliver. So I think beyond that there is nothing to say. We just have to get it completed now...

And also as I said, April, May had been much better. Hopefully, June will do even like better and you will see the results, hopefully, Q1 significantly better than before, but it's still at 10%, but we will get there.

Mr. Gori, I request you to join back the queue please as we have other participants waiting.

Sure. Thank you and wish you all the best sir.

'We have a next question from the line of Natasha Jain from Nirmal Bang Institutional Equities. Please go ahead.

Just one question rather a follow-up on the previous participant's question. Sir, in terms of our fully automatic top load now what we've understood is specifically for LG and Haier they have offloaded some products which are DDM technology-based or rather artificial-intelligence driven. So in that sense do you think that our portfolio or our products are at match with those technologies? Just want to understand that?

So with what is being introduced IFB will not only match, but it will be a plus. And you will see that with the range that is getting introduced. So both in terms of customer benefits,

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Soumitra Goswami: IFB industries Limited

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technology AT is bandied around a lot but the real AI, which a customer can meaningfully use and benefit from...

I think M. Ray, one of the points that she's saying is I think that this thing of AI and the way they are marketing it, which is a point we have discussed internally, I think we need to do a — I mean, a much better job at marketing the AI stuff that we guys have. I don't think that it's been marketed as well as the others and that's the correct concern.

I think even the things you saw in Singapore, recently, et cetera, I think we are lacking behind in the way we are showing the thing on the product. And that is something we need to improve immediately. We have the technology. However, our marketing of that is not as good as others. I'm trying to say that.

Yes. Sir, because when we do our channel checks, we do not see visibility of an IFB fully automatic top load in terms of the artificial intelligence driven category. So maybe that would help in terms of pushing the sales.

We will fix this immediately. This is a point which Mr. Ray I think, this is something - to fix.

Yes, that is true. And the other point that I'd just like to make is that as far as the top loader is concerned, our channel penetrations are much lower than front loads. And that aspect of the product that will enable the channel penetrations to increase is what is getting addressed with

the new range, which is rolling out. So in addition to the point that you made, which Mr. Nag is responding to you, this is also an additional factor that will play out with the new range introduction.

Mr. Ray just before we go, I mean the question like goes rather is in our lab, can you please put these new stickers and all so that I can have a look at it immediately. And how this would be portrayed to customers, I would like to see this please first. This point is missing.

And Natasha, does that answer your question?

Yes, it does.

'We'll take the next question from the line of Shubham Jain from NV" Alpha Fund. Please go ahead.

I just had one bookkeeping question. So if I look at our debt, it has come down from almost at a gross debt level, INR200 crores to INRGO crores. And our lead liabilities have also come down from INR150 crores to about INR100 crores. So we don't see any year-on-year reduction in interest cost. So going forward, where do we see the interest cost going down to...

If you see a paper, Soumitra, it's not INRGO crores, it's INR40 crores?

It is actually - as of March it is INR61 crores and as on 31st May it is INR40 crores, it's in May it is INR40 crores and by March '25, this will be INR21 crores. By March 25, it will be INR21.88 crores.

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Shubham Jain:

Soumitra Goswami:

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Shreyans Jain: IFB industries Limited

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Correct. So my question is more on the interest cost because we have not seen any reduction in the interest cost from 4Q '23 to 4Q '24.

If you see the interest cost part, interest cost, if you see that our interest cost on borrowing, it was in the FY '24 total figure is INR14.65 crores for the entire year and it was INR16.70 crores in last year. And it will be going down further to around, say, in FY 24, 25 for INR14.65 crores, it will be going down to around INR6.3 crores for the whole year of FY 24, '25. We'll be getting that impact in '24, '25. Already, there is a reduction from INR16.70 crores to INR14.65 crores.

Got it. And will we see a reduction in non-borrowing interest cost as well?

Yes, normally interest cost also will be doing down because already we have made a modification in one of our very big lease agreement in our paper engineering division Malur. And from there, only the impact has come in the month of March 24, but the great impact will be coming in FY 24, '25. Because in case of '23, '24, we have only received the advantage only for 1 month. But that advantage we'll be getting in next year for the full year for the entire 12 months.

Got it. So what ~ can we quantify that as well? What would that be for say, FY '25 as per our estimates?

But Soumitra that is only a classification issue. No, that's not a...

It's non-cash entry.

Yes, please clarify. That's the classification that doesn't impact...

Finance charge on the lead asset, it's a noncash and there is no cash movement. It's an accounting entry as per IND AS 116. What are the charges coming for the entire year, so around - I'm telling you 8.6 will be going down to INR3.11 crores in FY '24, '25 for the full year due to the lease modification because we have gone — we have received the impact only for 1 month in FY 23, '24. But for FY '24, '25, we will be getting for 12 month. The impact will be much larger.

Thank you. We'll take our next question from the line of Shreyans Jain from Svan Investments. Please go ahead.

Sir, my first question is, when you look at IFB refrigeration sales, is that happening via the associate or it forms a part of our stand-alone revenues?

No, IFB refrigeration -- okay, continue.

IFB refrigeration sales happens through IFB refrigeration. And some amount happened through IFB Industries. IFB Refrigeration is a stand-alone company as well.

Right. But so what I'm trying to get to is when I look at your stand-alone top line for the full year is at INR3,400 crores...

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It is insignificant.

Yes. So it's insignificant, Ray, okay. And my second question...

But it will become significant tomorrow.

No. So my confusion is when we do the retail sales for Refs that forms a part of IFB refrigeration. That's my question.

No, retail sales happens in IFB Industries as well as in IFB Refrigeration but not in the same like market. For example, in Maharashtra, retail sales only happen via IFB Ref because we get the GST benefit there.

Okay. And so, then stand-alone INR3,400 crores of sales. And when I get individual product-wise top line, so the top line comes to INR2,700 crores or about INR2,800 crores. So there's a difference of about INR600-odd crores. So which segment is that which product category is that?

Can you please repeat the question, please?

Okay. So INR3,400 crores of stand-alone appliance sales for the full year. Out of that, if I were to break it up into product wise, front load is INR1,260 crores, top load is INR470 crores, dryer is INR30 crores, industrial is INR126 crores, air conditioners is INR570 crores, dishwashers is INR56 crores, ovens is INR230 crores and home appliances is INR20 crores. SoT say the difference is about INR600-odd crores. So which product category?

I am just explaining you total HSD appliance division total value, I'm just correcting it, it is INR4,014 crores on the entire year YTD, 23, 24.

Gross sale?

Yes, I'm talking about gross sales only. Correct.

No, you talk net sales, he is talking net sales, please talk net sales. Rest will be service Soumitra. Mr. Ray?

Yes. Can just read down the breakups to them. I think that is clarified.

It is actually front loading INR1,752 crores. Top load is INR659 crores.

Soumitra, please talk net sales, please start talking net sales always. We should never talk gross sales.

Okay. That figure is not right now available with me...

Balances service, we will give this to you, please. Balance should be service.

Okay. And sir, so you spoke about Acs and you can from 570 I think you can do about INR1,000-odd crores next year. And refs also you're saying from 30,000 a month you're

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Bikramjit Nag:
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targeting to about 50,000. So I say ballpark for the year FY 25, we do about INR4 lakhs, INR4.5 lakhs and average reference realization can be around 15,000 is my assumption. So - and I'm assuming the INR2,000 crores coming from AC and reference and the balance, even if I take a 6% top line growth, which is likely - most likely - so I think we can do about 20%, 25% sales for our appliance division next year.

We would not like to give guidance on this. Having said that, just laying out our basic philosophy from now on, which is the company must be ambitious. The company must grow significantly year-on-year. And the company must fix its margins. Now whether that should be 25% or 15% or 50%? That's a separate point.

We will not get into that now. And also the company must have significant market share wherever the company is playing. I think this is the way company must actually move forward. We are fine-tuning management to cater to these ambition requests that the company has. I will leave it at that.

Thank you. We have a next question from the line of Saket Kapoor from Kapoor & Company. Please go ahead.

Yes. Sir, when we look at your consolidated numbers, there is a share of loss of associate to the tune of INR24 crores. That has gone up from last year number of 2.41. So if you could just explain to us the nature of the same and the reasons for these losses?

That is on account of the refrigerator business if you see. Soumitra, correct?

Yes, refrigerator loss at the PBT level of the company is INRS9 crores...

That's on account of refrig

erator. Once refrigerator volume goes up, this will get fixed.

Okay. And sir, in this, what is our current stake? Or can you give a breakup? How is this refrigeration company is being held by that...

It is about 41%, I think 41%, 42%...

41.4%...

Okay. So when we look at our division segment reporting, we have our home appliances, engineering and then a small portion of motor and steel. So firstly, sir, what are the key synergies of having these verticals of home appliances and engineering under the same roof? How are they synergize in for a home appliance organization to have the engineering or the banking part also under the same fold. If you could explain that -- and —

Nag sir you were explaining ~ one more point, so Nag sir, you were explaining about some M&A part of the story with INR300 crores type of infusion. I missed that point, sir, if you could just correlate once again.

No, I was saying - I was asked -- we were asked the question, what sort of size, etcetera, M&A, we are looking at. And I said we are looking at minimum INR300 crores revenue

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company to buy. I was saying that as far as Engineering division goes. And then I was asked what sort of auto component, etcetera. And I said, we are looking at stamping our businesses, plus there are some that we are looking at, which are in the autocom space, but not in arcas we are into now, however, very, very interesting areas. They are all non-IC engine by and large..

Okay. Right. And then you also alluded to the fact of some INR500 crores number. That was a cash number or can you come again on that?

No, I was asked, we have about INR300 crores cash now to INR290-INR300 crores cash, etcetera. And therefore, regarding the possible M&A, etcetera, what is our plan going forward, etcetera. I said our first target is to build a cash position to INRS00 crores before we do any significant M&A. I was saying that.

Right. And lastly, on the synergy wise, sir...

And if you see over the last 12 months plus 2 months of April, May, especially in the last 5 months, actually, January onwards, a lot of work has gone into fixing 2 things. One is the working capital imbalance which we had, okay? So that we've significantly fixed. There is still some amount left, which we need to prioritize on and fix. Two, our creditor payments were not in line with what we would like. That has been fixed. And third point is we were not focusing enough on ROCE. That has been done, and April, May has been a significant improvement on ROCE even in appliance division.

We'll take our next question from the line of Moksha Shah from Agility Advisors. Please go ahead. Her line is disconnected. We'll go on to the next question from the line of Aviral Jain from Siguler Guff.

I think most of my questions are covered. But I just had 1 question regarding the loss of sale on OEM side. What was the conscious call, is it due to the supply chain issue?

So the OEM was not a conscious call per se because it was one customer's overall OEM business basically was a question mark. Having said that, it has in this present period being good for us because the brand sales have significantly written. As we had shared earlier, the intention of having 1 or 2 partners on the OEM side who are helpful to utilization of plant capacity, and also for constant benchmarking in terms of competitiveness on price, etcetera, externally, that intention still remains. I hope that answers your question.

Yes, thank you so much. And I just had a follow-up question. And you mentioned that you've seen some slowdown in Jan to March. Is that slowdown across companies in consumer appliances?

No, the slowdown question, was it specific reference to the washer category, and that

s across

everyone. But it is not for other category. The other categories like air conditions, for example, have grown significantly.

Understood. Okay. And the 9 kg and 10 kg product segment, which was launched earlier, has been received well by the market...

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Yes, it has been received, and the upside on that is still very high. We have a lot of work to complete in terms of product placement, market reach. But yes, it has been received to us.

Thank you. We'll take our next question from the line of Sanjay Ladha from Bastion Research.

Sir, my first question would be, as other participants has also asked the same thing that we have a home appliance -- yes, okay. So the other participants has also asked that what is the synergy between our home appliances and the engineering segment, which are there in our bucket list? And also, sir, since this home appliance and engineering segment are different from all together, are we thinking to demerge the same because both the segments are different and need different attentions. If you can throw some light from your perspective...

I will answer that. Sorry, sorry. I, like, did not answer it to the previous gentleman sorry about that. I would like to give the answer now. We started originally like my father started off as a fine blanking business, which is auto component. He then branched into appliances, etcetera. In India, we see various business houses having businesses where one may not be totally related to something else.

We don't see any issues with this because for a very long time, if you see the auto component business and the appliances business is totally run by different management. As far as my role or, let's say, corporate role goes, it is only to ensure right capital allocation to both the businesses. It only to see the governance issues are in place, is to see the risk issues are being taken into account properly, etcetera, etcetera, and to help both the units to actually grow. There is no management focus between the two, which is confusing at the operating level, nothing like that at all.

And if you see companies, for example, if you see various companies which are doing exceptionally well in India now, I'm not going to take names, but very large market cap companies, etcetera, etcetera, very large companies. They are in diverse, diverse businesses, even under the same like — at the same like company level. I don't think that's an issue per se. We have not faced any issues per se. In fact, so much so sometimes when a division doesn't do well, the other division does like better, it actually helps. That's our view. And there is no question of demerging.

Okay. Yes. Another question would be then, again, the refrigerated business, which we are

doing with IFB Refrigerator, that again, the associate company. So why are we not integrating the same...?

I can answer that. Government of India came out with a policy to help spur investments, etcetera, etcetera, and also under Atmanirbhar and all of that. We said, if you have a new company, etcetera, you - and if you do it within a certain time frame, then you pay 15% tax rate in that company. It was a very good move by Government of India. It was only for that reason, it had to be a separate company, point number one.

Point number two, we also wanted to fully ring fence IFB Industries Limited from issues that the company of that size and scale as far as investments go, may face in the initial time.

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So if you see the banking has been kept out o

f IFB Industries, etcetera. And when we spoke to

our existing bankers in IFB Industries, they said, we will fund, but you have to guarantee, we never wanted to do all this. One was the taxation reason and one was this, and it has worked out very, very well for us.

Mr. Ladha, I request you to join back the queue, please, as we have other participants waiting. Thank you.

'We'll take our next question from the line of Abhishek Ghosh from DSP Investment Managers.

Sir, just if you look at the front-load segment, the top line growth has been about double-digit, the top-loader has suffered just about muted growth. So is it anything to do with the category or your market shares? If you can just help us elaborate between the 2 sub-segments of front-load and top loaders because the divergence as far as growth is concerned?

I think, Abhishek, it's the mix of the category and also the fact that the point Mr. Ray says in every quarter, which is we need to do a lot better work as far as extraction goes from counters that like we are in, and as far as the numeric reach also goes, I think it's a mix of both. Mr. Ray 'we can add for...

Yes. So that is correct. And to that I will add just one point. As far as the top-loader segment goes in terms of the product price position etcetera. There have been issues which have not been addressed, which are getting addressed with the new range, which is getting introduced from this month so. 70%, 80% on the first lever that Nag spoke about, 20%, 30%...

So it's essentially to understand, sir, it is IFB specific issues and with the new models which are getting launched, through first quarter. We will see the reversal as far as growth in top load camings release is concerned. That's the way one should?

Correct. As far as the industry is concerned, top loader in volume terms is bigger than front loader, so.

And your market shares are much lower there?

Market shares are much lower, correct. Absolutely.

So, in terms of pricing strategy, since because in the front load, you are already -- you are having a dominant market share. In this top loader segment, is there a differentiated pricing strategy that you have kind of adopted in order to be able to garner higher market share? Any thoughts on...

No. It is the same. There is no — what you're specifically asking is, is there any discounting that you're doing from the point of your volume, no. Pricing remains starting in the same.

So, it is largely on base...

What we've done is, in fact, if you see, one of the things that we've done is we have improved our MOP, etc. And that is helping us. As far as the retailers are concerned, I think you've also

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'written a letter to us, right? If I've not missed. So, I think the MOP matters have been fixed. A Lot of work has gone into that and the retailers are very happy because their retention goes up. So, we have actually clamped down on etc. Which was happening at the retailer level and that has actually made the trade very happy with us.

And you are happy, sir, with the overall acceptance of the new models that has been put out in the marketplace.

No, we are not happy as yet as far as the sales grow. So, we can't be happy. Are we happy with the product? Answer is yes. But we are not happy sales, we were happy with the sales, we would not be answering so many questions. So, we are not at all happy.

Sir, because you have alluded to this guidance, which you have called out that in 2Q...

We have not given guidance, we have like given the difference between intent and guidance.

And if you see significantly whatever we've done, including when we bought out stamping unit, let's say, day number 1, we said that our plan is to get INRY crores

sales a month. But it's

taken us a lot of time, COVID hit, etc. I don't think intent and guidance should be mixed up.

Having said that, I stand by my point, our plan is to get our intent plan, etc. Whatever you call it, is to hit 10% margin. As far as Appliance division goes, as far as Engineering division goes, we are already at 15% and we have to further improve. There is no like dilution in this. But when you say in your letter, that we have misled, etc. That's a wrong statement. But I don't want to go further into that.

Sir, our only feedback there would be s the trajectory has to be more sustainable, that is the only point because there is a trajectory to the end destination and it has to be on an improving trajectory. That's the limited point, sir, I would want to...

I am in agreement with you.

Yes. Si, just one other point is have — because we also see some of the commodity prices increasing now. So, have -- s there a need to take any price hikes or anything just to be...

No, in fact, Mr. Ray and me had a meeting just a few days back, and 1 of the points I was telling him was that I saw on TV, I think on CNBC or somewhere that a lot of the brands have started increasing price. And I asked him that what is your plan? So, what he said was that he is going to decide on this after 15th of June. So, we'll stick with that. We'll see how it goes and then we'll take the call. As of now, we are not under pressure per se.

Thank you so much and we wish you all the best for that.

Thank you. We'll take the next question from the line of Sanjay Ladha from Bastion Research.

Sir, just wanted to understand about our marketing and distribution side of the story. So, since we are doing INR100-odd crores, INR150-odd crores of marketing side of -- to enhance our brand presence, but when we see on the ground, and you already alluded that the product

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which we marketing on TV or other social media the mix or the sense of the product is not transferred to the customer.

And therefore, the brand has a good market, but the pricing may differ or the things may differ.

So, if you can highlight about the marketing side of the story and distribution side of the story, that how we are planning to do that? And what are the steps we are taking on that side? And if you can quantify that steps, it will be really grateful?

Mr. Ray?

Yes. Okay. I'll answer that. So, as far as the overall marketing spend is concerned, the point here is that it has to become much more effective. So, if you are a consumer and you sce IFB the way you want to see it, the frequency of your sceing it increases, then the spend is effective. Otherwise, it is not effective. So, one head that we are working on is in terms of how to make it more effective.

The, spend that you see is a combination of many things. So, there's allocation on digital, there's allocation on new store. In the — this new financial year, the marketing areas will be focused on 2-3 major heads. And I will just detail them for you. One is what we discussed a little while back s the spend on the introduction of the new ranges in the front and top loader

washer category.

And it is a very large launch, a big changeover. So, in terms of the in-store elements to ensure that the customer understands why that new machine is much better than what was there before and also better than competition, there will be a significant amount of allocation for that. And then, of course, there are the other elements of opening up a newspaper and seeing it going on social media and seeing it.

The spend will be focused on that. The second is that in the second half of this new financial year, when the air conditioning - next season starts in terms of the new ranges we've had and really positioning the AC category properly, there will be spend allocation on that. And the

third is that the ramp-up of the refrigerated category will also require immediate spend.

So, the specific answer to you in terms of the effectiveness of the INR150 crores spend that is an area that we are working on, including getting rid of costs where we feel that the productivity is not okay, which is a part of the fixed cost reduction plan. The other is to move the spend on to these 2-3 major heads, which are the growth drivers for this year. So, does that answer your question, please?

Yes sir, a little while, but I can come back again on that same. But another point which you are already mentioning and somehow this will be going from a year perspective that we are targeting to focus on fixed cost and material cost. And if you can quantify that, what are the material costs, which we are looking forward and what are the fixed costs, which we are looking forward was as many — so we have - if you can quantify that as well would be really...

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Rajshankar Ray:

Sanjay Ladha:

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Natasha Jain:

Bikramjit Nag:

Soumitra Goswami:

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We see — I think Mr. Ray, I will take this. We will not quantify it in that manner. Having said that, if you look at material cost per se or overall cost per se, I think an internal discussion, which we always have is -- and Mr. Ray, can I talk about 2020?

Yes, please.

2020, Q3, if you see. 2020 Q3.

2021.

Sorry, 2021, Q3, if you see the results. No, Mr. Ray, it was 2020, Q3. I think.

Financial year 2021.

Which is 2020, Q3, if you see the material cost I think we need to achieve that.

But my question would be, how would be -- we are targeting that?

As far as I think it's a question of 2 things. One is value engineering, point number one. One is better like negotiation with the supplier. Two, in a lot of cases, we are doing very good resourcing work. We now have significant volume. Suppose we are buying, say, electronic chips from a supplier A, we can actually move to supplier B and we get significant reduction in the same for plastic components, etc.

And I'd just like to add to that point the goal of delivering that sustainable double-digit margin, actually, as all these elements built into it. So, if you see within the company, the gross contribution levels on washers would be higher than air conditioners, for example, which means that if you have to hit the double-digit margin at a sustainable level, then the contribution from the washer category has to be, let's say, near plant capacity. And if you have that baseline, then everything else is a top-up on top of that.

So, I think when Mr. Nag is talking about the internal goal that you deliver that double-digit margin, all these elements actually fall into that because only when all these elements are delivered with that top line trend happen. I hope that clarifies what you wanted to.

Fair point, thank you for answering us.

As there are no further questions, I would now like to hand the conference over to Ms. Natasha Jain from Nirmal Bang for closing comments.

Thank you, everyone. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Thank you very much. Thank you.

Thank you.

Thank you.

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Moderator: On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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9s August 2024

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Dear Sir,

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2024 pursuant to

Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015.

Please find enclosed the transcript of the conference call for the quarter ended June 30, 2024 for your information and records.

The above information is also available on the website of the Company at www.ifbindustries.com

Yours faithfully

For IFB Industries Ltd.

Ritesh Agarwal

Company Secretary and Compliance Officer

Encl : As above

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IFIL

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"IFB Industries Limited

Q1 FY'25 Earnings Conference Call"

August 06,2024

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ENcrNnnRrNG Busrmss -IFB INuusrrrns Lrvrrtrnu

MR. Souvrrrnq. Gosw^Avu - Cnrrnn FrNINcrar,

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Industries Limited

Moderator:

Natasha Jain:

Soumitra Goswami:

Moderator: IFB Industries Limited

August 06, 2024

Ladies and gentlemen, good day, and welcome to the IFB Industries Limited Q1 FY'25 Earnings Conference Call hosted by Nirmal Bang Institutional Equities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities. Thank you, and over to you, ma'am.

Thank you, and good afternoon, everyone. Nirmal Bang Institutional Equity welcomes you all to the First Quarter FY'25 Results Conference Call of IFB Industries. I would like to thank the management of IFB Industries for giving us an opportunity to host the call.

Management is represented by Mr. Bikramjit Nag, Chairman; Mr. Rajshankar Ray, MD and CEO, Home Appliances Division; Mr. P.H. Narayanan, Managing Director Engineering Business; Mr. Soumitra Goswami, CFO; and Mr. Jayanta Chandra CFO of Engineering Division. I would now like to hand over the call to the management for their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

Good day everybody. I welcome you all in IFB Industries Limited Investor Call for First Quarter of FY'24:25. I am Soumitra Goswami, the Chief Financial Officer of IFB Industries Limited. I have with me Mr. Bikramjit Nag, Chairman of IFB Industries Limited; Mr. Rajshankar Ray, Managing Director and Chief Executive of our Home Appliances Division; Mr. P.H. Narayanan, Managing Director and Chief Executive of our Engineering Division; Mr. Jayanta Chandra CFO of our Engineering Division.

Now I will inform you about quarter I result. Revenue for the quarter was INR1,244.44 crores

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against last year INR1,062.85 crores, with a growth of 17%. PBDIT for the period was INR86.55 crores and its percentage to revenue was 6.95% as compared to last year's INR40.68 crores, which was 3.83% on revenue. PBDIT amount came across a growth of 113% year-on-year. Hike in PBDIT amount is due to rise in gross contribution amount which is due to 17% increase in Fixed expenditures for the quarter was well below budget and was at par with last year, which helped the company to improve margin as compared to last year's corresponding quarter. PBT for the period was INR52.40 crores against last year's corresponding period of INR3.55 crores. Q1 PAT was INR38.84 crores, which was 3.12% on revenue.

With this, I will request to start the question-and-answer session.

The first question is from the line of Shreyansh Jain from Swan Investments.

So my first question is [inaudible 0:04:39] This is better. So last few quarters, we've been talking about improvement in our material costs. But for the 4 quarters, if I were to look at your gross margin from 43%, now we are at about 38-odd percent, 43%, 40% and now 38%. So just a sense Shreyansh Jain

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Rajshankar Ray:

Shreyansh Jain

Rajshankar Ray:

Shreyansh Jain: on the deferred to be what is happening here? Because is there some discounting that we've done in this quarter for sales of ACs? So that's my first question, sir.

Soumitra Goswami: Mr. Ray, will you take these questions, please?

Yes. The voice was a little muffled. I think you're trying to relate the material cost reduction with the gross contribution. Did I understand the question correctly?

Yes, yes.

Okay. So what will happen is typically in a quarter like this Q1, the percentage contribution from an air conditioner category would be very high. And the gross contribution really shows at company level between the various product categories are different. So what you see as an aggregated value is also affected by the fact that a lower gross contribution category like air conditioner could be very high as far as the revenue is concerned.

As far as the point on material cost is concerned, we had confirmed in the previous quarter as well that the material cost reductions have flowed into the P&L. They have also been helpful to the margin improvement that you see in this quarter. And if you look at periods like quarter 3 or quarter 2, when the washer contribution rises, you will see a clear linkage between the gross contribution and the material cost, the way you are wanting to tally it. Does that answer your question, please?

Yes, yes. Sir, my second question is the washer category. Now, if I were to look at your performance as well as the industry, so we understand the industry has been flat or any negative, but I'm just trying to relate to what you were saying in the last 2, 3 quarters, we've done a lot of product innovation, new product launches.

So I'm trying to just reconcile the fact that we would have placed a lot of primaries, these new products in the channel in the market. So what I'm trying to ask you is, sir, in the existing product category, have we faced some sort of volume degrowth because a lot of new products would have flown to the market so a lot of primaries would have been built there? So ex of that, where are we in the washer's category, sir? Have you faced some volume degrowth or some kind of degrowth in that category?

Rajshankar Ray: Yes. So we have had degrowth in the washer's category. And if you see the investor reports where actually category wise, the sales figures are represented as well. You will see that there is a degrowth that we've had. We are not happy about what we have been able to do in the washer category.

And I think the key area of focus is in terms of our sales team looking at the key accounts, the distribution accounts and ensuring that we get the extraction that we require, currently, the level of work that w

e are doing, they are not happy with what is happening. So yes, there is a degrowth in this quarter as far as the volume and value is concerned.

Okay. Sir, my last question is more on the extraction bit that you have mentioned in the presentation. So I'm just trying to understand when you talk about channel extraction, what are Shreyansh Jain:

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Rajshankar Ray: IFB Industries Limited

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you specifically talking about? Can you help us qualitatively what are you trying to do there?

Because one of your competitors just said, placing company sales representatives in the channel and help them grow.

And the second part to this question is, sir, I'm just trying to understand your ROI on advertisements and promotion. I just saw the annual report numbers. So we spent about 6% of our sales on A&P. I look at the industry, sir, your clear closest competitor spends less than 10% of its sales on A&P.

We spent 67%. One of the leading players spend, if I'm just giving you some data points here, last 10 years, sir, we spent about INR 1,500-odd crores on A&P for a INR 3,500 crores top line, whereas the other guys have spent INR 500 crores and on a size of INR 8,000 crores of top line. So I'm just trying to understand, sir, what is -- where is the ROI? What are we looking at? When we spend 6% of sales on our A&P, when is the leverage that you keep talking about will come in these line items specifically because this is one of the largest cost items in the other opex bit, sir?

Okay. So I'll answer the question on extraction first. And the work that we have to do on extraction is on 2 heads. So the first is this point that you spoke about, which you said was a market feedback that you got, which is the presence of people in a counter where the products are displayed.

So currently, there are a percentage of counters, specifically the key account counters, where IFB has a product display, but IFB doesn't have a representative to sell. And the presence of that person is critical to extraction. So if you don't have the person, you virtually don't sell anything. Once you have it, then IFB does enjoy a dominant share. So one of the key tasks we have is to ensure that we fill up all the accounts basically and their counters with the people from IFB who we call as Counter Sales Representative. So in extraction, this is the action one.

The second was, which we've been writing about for the last 2 quarters is that there was some capacity and some price points where we have lost share over the last few quarters. So for example, an 8 kg front loading capacity point was one, top loading some of the higher capacity price points was the second.

So starting from the month of August, there is a complete changeover of the range of front loaders and top loaders which has begun, which will happen between, let's say, this first week of August going up to mid-October. And in terms of ensuring that the product range is rightly positioned as far as the market requirements are concerned and also the IFB offering to consumers is significantly updated. This is the second part of the extraction. So one is the presence of a person, the other is what you have as a consumer proposition is strengthened as much as possible. So this is the first point as far as extraction is concerned.

The second question that you had was vis-a-vis the ad and promo figures. So, I would just request Soumitra to also chip into this because in the representation of the ad and promo heads, what heads are being considered as reported by IFB versus what is reported by others, I'm not sure that there's differences like 1% to 6%, etcetera.

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Soumitra Goswami:

Shreyansh Jain:

Soumitra Goswami:

Shreyansh Jain

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But having said that, over the last 2-odd months in terms of the money that is spent under the head of ad and promo and how we can make that expense more product

ive, better utilized is an

exercise that is internally going on, which by the end of this quarter, will be fully stabilized.

To the specific question that you had is as far as the investments in the ad and promo head are concerned, have we been able to get the ROIs or the returns that we should get, currently, the answer is no. For the spend that we've had, definitely, our leverage should have been much more as far as revenues are concerned.

Soumitr4 would you like to add to this point fees on a specific comparison?

Yes. Yes, Mr. Ray. In our Sales Promotion expenditure head, there are 2 kinds of expenditures.

One is promotional expenditure, which is pure promotional expenditure. Another is CSR expenditure, which Mr. Ray was talking about the people who are present in different counter.

In case of pure sales promotion expenditure as compared to quarter I of last year, this year, the expenditure has gone down by INR13.7 crores because we have cut down many expenditure, which are not necessary.

We have cut down those heads. And in case of CS& which has remained in the same level. So if you take both sales promotion and CSR expenditure, total expenditure for quarter I this year is INR66 crores as compared to last year INR78 crores. In terms of percentage to turnover, percentage is 5.30% in this year as compared to last year 7.37%. So there is a gain of 2.08% in the P&L. Is it clear ?

Yes, sir. That has answered what other line items would have helped us in reducing our opex percentage to sales, sir, this quarter.

I am talking about pure sales promotion expenditure as compared to last year INR42 crores, that's come down to INR28 crores. There is a gain of INR13.69 crores. We have cut down many expenditures. There are many heads here. BTL activity which the branches are doing, digital marketing and many other things. There are 7, 8 line items. So we have cut them some of the expenditure, which was not necessary. And it resulted into a savings of INR13.7 crores for this quarter as compared to last year's corresponding quarter. As a result, including CSR expenditure also, we have gained INR12.45 crores in the total promotion expenditure over last year.

Okay. Sir, my last question is, sir, when do we see the full benefits of all the efforts that you've taken on the SG&A and the material cost reductions to come through because I think last quarter, you were talking about Q1, Q2 and even on the employee cost.

If you look at the way our material cost profile as well as the fixed expenses profile is today, the key thing to sustainable profitability is the sale of the washer segment. And our gross margins are the highest on that category and the potential is also high. So, if in quarter 2, quarter 3, we are able to fully address the volumes from both the front load and top load segment, with the work which is already completed in terms of material cost, the kind of volumes that we've seen on the air conditioner from this season onwards, we will be able to deliver the profile that you're talking about as far as margins are concerned. Does that answer your question, please?

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Shreyansh Jain:

Moderator:

Prolin Nandu:

Bikramjit Nag:

Prolin Nandu

Rajshankar Ray:

Prolin Nandu:IFB Industries Limited

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Yes. Yes, sir,

The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

So, first of all, Mr. Rajshankar, all the best for your next role. My question to the management is that what is our game plan to replace Mr. Rajshankar? Are we looking at somebody internal? And by when can we hear an announcement about his replacement?

This is Bikramjit Nag here. This is something that the Board is thinking through, and we will like revert on this soon, which will be by around September end - September end, beginning of October. But Mr. Ray is fully in-charge and the team like below him is fully equipped and is

fully in-charge.

Sure. That's comforting to know. Now, the second q

uestion, again, is something as a follow-up

to the previous participant's question, right? I mean, last quarter, we faced some supply issues in Air-Con. This quarter, again, washers have not led to our mark, our expectation. And whilst we have identified the problems in terms of increasing our presence on the counter in terms of having the right manpower, in the past, we have also identified the challenges to meet this objective is difficulty of finding the right kind of people, right, to maybe lead the region or the state or a particular geographical area.

So I mean, apart from these challenges, what are the other challenges that are preventing us from solving this issue once and for all? And how have we -- let's say, for example, strategy A has not worked. So how have we changed the strategy to solve for this particular problem?

It's a Rajshankar here. It's a very interesting question that you asked because what we have seen internally is that this idea that we have a counter and the counter has an IFB presence and it requires a person to ensure that we get extraction in geographies where we have our manning rights in terms of the leadership at a state level or azonal level, where the sales team is fully focused as far as implementation is concerned, we find that we don't have any issues.

Conversely, if we don't get the leadership right, there are lots of issues. And among them, this is one of them. So the point that you're making is right that we have a particular strategy that we've been chasing. With that strategy, the counters are not completely filled. But are we making a change in strategy, per se, as of now, no, because we believe that it's essentially an implementation issue? And if we are able to get implementation right in terms of an entire alignment on the sales team and other enablers from the central teams, it is something that we should be able to close, and we should be able to close within the next few months itself.

No, sir, Mr. Rajshankar, I agree with you that I'm not asking you to change the strategy, but to solve this problem, it's not something at a -- I mean it's a very large problem in sometimes it's a product-related problem. Quality is not good, which requires us to go to the back end. The costing is not good, which again requires us to probably think about the gross margins and all these problems that we have are already solved in some sense, but this is the problem, which is taking a slightly longer time, right? So I'm not asking you to change the strategy. What I wanted to understand was that how are we changing the implementation of the strategy to get the results as soon as possible.

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And also, just -- when you answer that you are expecting a good Q3 -- Q2' Q3' right, in terms of washers, but again, if we don't have these people on the counter, how are - how is that going to happen, right? I mean -- so can you help us understand because now we are in August, we have already around -- 40 days of the quarter has already been passed. So we would be knowing do we have people - right people on the counter or not in some sense. So, is it that there is slight improvement on this particular issue on a quarter-on-quarter basis, that makes us full that Q2 and Q3 would be better?

Rajshankar Ray: So the answer to your point is that have we made a significant improvement as far as the manning completion is concerned at the counter level, the answer is no, but what has improved is in terms of the alignment within the system, which is the sales team in terms of the importance of this single parameter. As far as the washers category sales is concerned, that is at a very high level. So when I said that we have this belief that we will improve this parameter quickly over this quarter and the next quarter, it comes from that. But as a specific response to you, are we doing anything different in terms of the way that we look for people or the way

we induct people? As

of now, we haven't changed anything as far as those points are concerned.

Prolin Nandu: Sure. One last question, sir, before I join back the queue. Is there anything unexpected or one-off that we expect during the next 2, 3 quarters like we had supply issues in Q4 for Air-Con?

Anything that you foresee that can derail our own internal expectation of how this year will pan out to be?

Rajshankar Ray: As far as the market is concerned, we don't expect any disruption per se. The only risk that we are working on internally, which I would classify as an internal risk is the BIS processes that the Government of India has introduced where there is an active discouragement of imports into India which could be at a finished goods level, or it could be at a component level. Over the last few months, there has been an acceleration by the government on pushing this agenda forward. So that is the only possible area of a problem because in some areas, maybe the industry is not ready completely right now in terms of being able to source from within India or from sources outside of China. There is a possible risk there, but we are working with the supplier base and internal teams to mitigate this, and there's a lot of work happening at the industry level as well.

So I would look at that as only one possible area of risk. The market, I think, is still there to be accessed. Potential still remains high as far as the medium term is concerned'

Moderator: The next question is from the line of Navid Virani from Bastion Research.

Navid Virani: So I have a few questions. First one is on the M&A, which we working our presentation. Reputation you mentioned that we are looking at in an acquisition to be made. Now is it only pertaining to the engineering business? Or this also stands through for the home appliances business?

Rajshankar Ray: Only the engineering business.

Understood. Understood. Secondly, I wanted to understand that we have also talked about the input cost reduction. So can you please share some specifics as to what is expected to bring in this input cost reduction? I understand your answer to the previous question about product mix

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Navid Virani:

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Rajshankar Ray:

Navid Virani:

Rajshankar Ray:

Navid Virani:

Rajshankar Ray: IFB Industries Limited

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changing to more washers. But are there any other things, which we are planning specifically which can improve this input cost reduction -- input cost?

So there were 2 areas of cost reductions that we've been reporting. One has been the material cost-related area. So there were reductions made over the past 2 fiscals, which will flow into the P&L this fiscal. And for this fiscal, again, we have taken a material cost reduction target on which work is happening. But the more important cost reduction element was this area of fixed cost reduction.

And Mr. Soumitra Goswami spoke about some areas of fixed costs on this, there have been reductions. But there are another set of fixed cost areas that we are working on, and that is actually more of a priority than the material cost area for, let's say, this quarter and the next 2 quarters. That is an area on which we had reported a commitment in the investor report as well. Against that, there is still a lot of work to be done. So that is the biggest lever in the quarters ahead.

Understood. Sir, if I have to simplify what you said, you said that we can observe some gross margin level improvement in this fiscal, but a much larger chunk of the improvement will take place at the lower end of the level, which could be seen in EBITDA margins. Is that understanding correct?

Yes. Because I think if you look at the data you will find that the gross margins that we enjoy are already quite healthy. And you can see them by value on their own or you can see them as comparisons to players within this sector. The most important thing is to get the revenues in line with potential. And as you rightly said

id, below the gross margin, working on the fixed cost

elements is also a very large lever, which we have to deliver in the next few quarters, basically.

So you're right, in the way you summarized it.

Okay. Last one was on the growth guidance, which you mentioned in the presentation, you are talking about 20% kind of growth there. So try to understand where are we getting this confidence from. And also, if you could share some specifics on what is the effort, which we are currently taking to achieve this kind of a number going forward?

So you're referring to the Page 24. And Mr. Nag's point to the teams has always been that with the kind of product range that currently the company enjoys and with specifically an improvement on the air conditioner segment and the addition of the refrigerators, his point is that 20% is actually suboptimal, even as a value because if you look at the potential that comes from the washer segment and the addition of the AC and the refrigerators.

There's no reason why the company should not grow more than 20% per annum basis. So the point that the mix to the internal teams is what is captured here. And our confidence is coming from that in terms of the range that IFB carries today and also the kind of investments that have been made on the washer side, which are now rolling out, plus what is already available from ACs and refrigerators. Does that answer your question, please?

Navid Virani: Perfectly

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The next question is from the line of Sumil Sethi from Siguler Guff.

I have 3 questions, 2 are for Mr. Rajshankar Ray and one is for Mr. Nag. So Mr. Rajshankar, I just wanted to check with you on the washer category. Earlier, you had mentioned that there was a gap in the larger segments, that is 9 kg and 10 kg, which was filled in the middle of last year.

Just wanted to understand that given that we had a gap in our product portfolio 1 year back. And in this quarter, we are seeing some degrowth from TYo, 8% degrowth as compared to last year's similar quarter. Is it because we are drying up the channel going to the launch of new product portfolio? Or is this a larger trend across the industry in terms of secondary sale of this?

No. So, there is no intention to dry up the channel per se because our channel inventories are actually much lesser than others. So that's not the point. We are not happy about the degrowth, as I shared earlier, and we believe that it has more to do with our implementation ability of points like expansion of the channel, getting extraction vis-a-vis the manning at the counter levels. The data shows that the industry has degrown, but our internal analysis and consensus with all the sales team is that essentially our opportunity is much larger than what the industry reports per se, whether it is growth or degrowth. So I would say 90% to do with our own implementation ability and getting results from the market and 10% may be something limited to the industry. I understood. And understanding from the AC numbers that our new range has been received really well. I think the news has been positioned a bit differently as compared to the earlier launch and that's what you had mentioned in the previous call that we had just reducing our value prop for the AC bit towards the mid-premium segment. And I believe that has worked well.

Yes, you're right because we've been wanting to position in the mid-premium for some time now. And I think there was a resistance from the market in accepting us into that position. But with the work that the teams have done, 2 things happened this season. One is we were much better placed across all the relevant channels. So whether it was e-commerce or whether the larger accounts, we had a much better representation this time.

So, therefore, the positioning of the IFB AC this year is something more towards the mid-premium side was accepted more easily. And the second was that there was definite

ly a lift,

which helped in terms of the overall growth in the industry, which was really very significant.

And because we were present everywhere, we also benefited from the lift. There is still a lot of work to be done from our end in terms of really taking the air conditioner sales to the potential that we see. But I think the initial steps in the first quarter have been good steps for the sales team.

My last question is to Mr. Nag. Mr. Nag, just wanted to understand since Mr. Rajshankar Ray is moving on from the company. What's the thought process of the board in terms of hiring a replacement? Would it be a CEO? Are you looking for a candidate who is more towards the manufacturing side or more towards the sales and marketing side? Industries Limited

Moderator:

Sumil Sethi:

Rajshankar Ray:

Sumil Sethi:

Rajshankar Ray

Sumil Sethi:

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Industries Limited

Bikramjit Nag:

Moderator:

Manoj Gori:

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray:

Manoj Gori:

Rajshankar Ray:

Moderator:

Madhur Rathi: IFB Industries Limited

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Board is still evaluating this. And Board will take a comprehensive person, a person who knows. Board's first choice would, of course, be like that. And Mr. Ray was fully adept at like both ends. And we will go for a similar profile, either internal or external. That is still not decided.

The next question is from the line of Manoj Gori from Equirus Capital.

Sir, apologies, like I joined a bit late. If I understand correctly, we are rating somewhere around 20% growth during FY '25, and which would be obviously led by room AC sales and -- plus revival in washing machine sales, where we have seen some pressure in Q1, but we expect it to come back on a healthier note in the subsequent quarters. Is that understanding correct?

Yes, Manoj. And that point of 20% is actually some -- is a point that I just made a few minutes back, is that Mr. Nag is logical with the kind of product range that we have, there is no reason why - I mean there's no logical reason why we should not be delivering that or more for that matter. So that's the point here.

Right sir. And sir, after the tough quarter for washing machine during 1Q with monsoons obviously kicking in, have we seen a significant uptick from July onwards and the momentum continues?

Manoj, we haven't seen anything specific in July. But speaking to the channel, also e-commerce indicators because they get the first feel of the consumer's interest much earlier than the rest of the industry. Things seem to be okay from August onwards. Is that initial feedback, please?

Right sir. Sir, on the margin side, obviously, when we look at the 1Q product mix, that seems to be relatively unfavourable given that our costs are relatively higher to room AC. But if we look at from 2Q and 3Q, where our products mix relatively remains better towards washers. So should we expect sequential margin improvement? Obviously, you have talked a lot on this. But just given the visibility that you guys are having as of now, should we see improvement and sustainability on the profitability and the trend should continue to head northwards in the coming quarters?

So, Manoj, we don't specifically give a forward guidance because that would not be right. But the single agenda that we have is to get the washer sales right. And with the gross margins that they carry, it has a very positive impact on the company's performance. So as far as the sales team is concerned, or central teams for that matter, in this quarter and the next quarter, getting washers to potential, which will also be helped by the new range, which is rolling out in priority, as far as we are all concerned.

The next question is from the line of Madhur Rathi from Counter Cyclical Investments.

Sir, a similar question on the margin front. Sir, with operating leverage taking on are sales improving as well as you would expect that our refrigeration segment growth turn mostly breakeven in next 1 or 2 quarters. Similarly, sir, can we

expect a double-digit margin towards

the year-end or low single or high single digit to low double-digit kind of a margin towards the year-end?

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nil

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Rajshankar Ray:

Bikramjit Nag: IFB Industries Limited

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Soumitra would you like to take this?

Soumitra I will take this. Bikram Nag here. As I have said, our intent is to get to double-digit margin fast, and we are still not there. And in Engineering division, we are at about 15%. And we would like to increase this further. And in the appliance business, we need to get to double-digit margin first, which means if we get to that sort of level, the overall margin for the company would have substantial increased. So I think the first like phase is that this will come from increasing sales, cutting of material costs and other costs and reorganizing certain position, et cetera et cetera. And the work on that is ongoing. It will also include, of course, the margins will also come from introducing more higher-end products, et cetera.

Madhur Rathi: Yes, that's perfectly understood. Sir, I understand your strategy on how we will increase our margins. But my question was, can we export this to be achieved by the year-end FY'25...

Bikramjit Nag: We were like genuinely thought that we would have achieved it by now, but we have not. And our hope is that it will be done, as far as I'm concerned, but it is taking much, much longer than I thought. So yes, I mean, if we can do it by November, December, it will be fabulous, and hope we can get there or at least nearly there. The issue with October, November is because season is there, that time the sales spike up, et cetera and the margins normally rise. So, we have to see on a constant basis where we are. So, we just have to work like toward it. But yes, so I hope in Q3, we had a much, much better position.

Madhur Rathi: Okay. Sir, what kind of margins either on a gross level or EBITDA level that we achieve in our AC segment for the Q1?

Bikramjit Nag: At what segment, sorry?

Madhur Rathi: Sir, in the air condition segment, what kind of margins will we own for the Q1? And what kind of -- can we expect the similar margin for the whole year?

Bikramjit Nag: Mr. Ray?

Rajshankar Ray: Yes. So when there are actually..

Sorry, Soumitra please.

AC product category, in the quarter I of '24:25, we achieved the sale of 1.37 lakh units, which is a net revenue of INR323 crores, and we have achieved positive EBITDA for the first time for INR8.78 crores, which is 2.72% of our net revenue. Last year corresponding period, there was loss of INR13.58 crores. So there is a positive swing of INR22.37 crores as compared to last year's corresponding quarter to this year's quarter I.

Okay. Sir, that was very encouraging. Just sir, final question, sir. Sir, we have guided that we'll do an acquisition on the engineering side. That will most likely double our revenues. Sir, so what kind of IRR or ROCE would this acquisition have a minimal IRR or -- IRR expectation that we

have from this acquisition? And there has been margin activators like moving our margins from current 15% to low teens - high teens or mid-20s kind of thing? Bikramjit Nag:

Soumitra Goswami:

Madhur Rathi:

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IITM

Industries Limited

Bikramjit Nag:

Madhur Rathi

Moderator:

Madhur Rathi:

Bikramjit Nag:

Moderator:

Natasha Jain

Rajshankar Ray: IFB Industries Limited

August 06, 2024

Engineering Division currently operates at about 15% approximately. The company that we hope to buy sooner that is done, et cetera probably will not have that sort of margin at the beginning because otherwise, you will pay a very high premium for such a target. So, our view is that we buy something, which makes sense for us strategically and then we have to put in some work in order to improve margins, et cetera. ROCE at present Engineering division operates at around 34%. And so when we buy the company whatever we are proposing to buy in due course, obviously on day number zero

on day number one, higher than - you will not be

helped for time, I think we were to get to much more than we are at today.

Okay. Sir, I understand that, will we try to buy a subpar company and improve it to our levels.

So just what sort of payback have you expected from this acquisition like in 2, 3 years or 4 years?

Can you expect our...

Sorry to interrupt, sir. May we request you...

Just a final question. Just a follow-up question on that. Just final question that I'm asking.

We are looking into various options. We still haven't come up with the right things. So -- hence,

I can't answer that. But ideally, ideally, anything we do 4 to 6 years is what we look for in terms of payback.

The next question is from the line of Natasha Jain from Nirmal Bang.

Sir, my first question is on the P&L statement. Historically, if I see while gross margins have been the best in the industry for us, the translation from gross margin to EBITDA margin has been comparatively weaker. If I see your numbers historically, even at 40% gross margins, we'll end up at mid-single to low single EBITDA margin. I understand in terms of gross margin improvement, we're doing a lot of material cost reduction. What I want to know is, what are we working on in terms of the opex costs, which can help us in terms of healthy translation from a gross margin to a better EBITDA margin than we clock in currently? Sir, my first question is that.

Okay. This is Rajshankar here. I'll answer that. Specific to our division, our understanding was that the fixed costs that we were carrying were not right-sized. So there are 10 or 8 lines of cost heads in terms of looking at the employee productivity in the employee costs, things like e-waste compliance costs, office costs, travel costs. I mean there are - it was actually first principal-based evaluation of how much we could reduce without really affecting the overall approach to the market and we set a target, and that is what we are working on.

So our understanding is that, that opportunity is anywhere between 10 to 12 CR a month. And that is the target which has been distributed between various teams and what we need to deliver. We've been working on this over the last 2 quarters. The results are still not fully on the table. But in terms of this point that you made about having a very high gross contribution, but not being able to translate it to the bottom line. For the same level of sales, it is this area of fixed cost that we need to work on. Does that answer your question, please?

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IITM

Industries Limited

Natasha Jain:

Rajshankar Ray:

Natasha Jain:

Rajshankar Ray:

Natasha Jain: IFB Industries Limited

August 06, 2024

Yes, sir, it does. Sir, my next question is, given that we're entering the washing machine season, I just want to understand, first off, what is our channel mix in terms of GT versus non-GT? And if you could call out what kind of incentives are we rolling out to the BT channel? Just some

colour on that.

So if you look at the channel mix, then e-commerce and IFB points typically range between 15% to 16% of sales. E-commerce is sometimes higher when they have events, et cetera. But at overall level, it is around this. In terms of the general market channels, you have essentially 3 routes. One is what is typically called as large format retail, which is the 3 big chains. And then you have multi-brand and then you have distribution that smaller multi-brand stores. So distribution for us is roughly around 15% to 20%. And the remaining is split between the large format retail and the key accounts across the country.

As far as the incentive structures are concerned, we typically don't look at any channel incentive. We look at on account level commercial. So we look at an account, we look at what returns we can get. And over the last few quarters or more than a year now, we've been looking at whether we can get the complete range representations from the accounts. The ACs, refrigerators, bowl washers, mi

crowdshavers, dishwashers. And then we look at what the commercial discussion should be with that account.

Another point that we are working on is in terms of these channel incentives or commercial that we have versus the returns that we are getting, what improvements we can make on them. So we typically don't have a channel approach to incentives. It is more an account-based approach. Understood, sir. Sir, one last quick question. In terms of ad spend, definitely, we've seen that you've maintained your run rate, and the ad spend has increased over past few quarters. Sir, just want to understand or rather if you can throw some colour as to where exactly is this capital or is this amount being deployed as to how are we really doing those spends in terms of marketing? If you can throw some colour on that?

So currently, the various heads of ad spends that we are looking at are in terms of new store investments. So if you have a store, which has just opened or a good store, which is already there in terms of the fixturing that IFB has, the branding inside the store. Those are the areas where we are prioritizing investments now, which would essentially be in store. And then the second head of ad spend is in terms of displays of products in the format of exhibitions where dealers of a particular area come and look at what we have and there are discussions between the company and the channel representatives altogether.

And the third head is digital, which would be approach to existing consumers or approach to consumers who are searching for the products that we offer. So the bulk of the spend is on these 3 areas. And then, of course, there are multiple smaller heads on which investment which is required is allocated. Is that the detail that you wanted, please?

Yes, sir

The next question is from the line of Aditya an Individual Investor. Moderator:

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IFB Industries Limited

August 06, 2024

So my first question was on the manning side with respect to sales. So management has been very clear that we are not bringing enough on the sales extraction side. So how - what is the current status? And have we got the manning in place? Or it is still work-in progress? That is my first question.

So there are 2 types of manning. One is the manning at a sales supervisory level covering a particular market, so that manning is in place. The second manning which we were discussing a little while back was the in-counter manning. So when you walk into a store as a consumer, you have a representative who explains the product to you, there, we still have gaps which we need to close.

And by when are we targeting to complete that side?

As, Mr. Nag said a little while back, that target was actually on yesterday. So we are already very late as far as completion of this work is concerned. And the bulk of this work we need to definitely complete before we enter the season to be able to really use the season lift. So, within quarter 2 and quarter 3, essentially the whole thing has to be completed by us.

Okay. And my second question was on the advertising side. So just as a general public visibility of the brand because IFB is just not made in India it is born in India. So just making a connect with the audience, will it help from the advertising front and translating into sales? I just wanted to understand the lookout of management.

Rajshankar Ray: What is the specific question, please, you wanted to understand?

Aditya: Visibility of advertising in day-to-day life of IFB as a brand. So like you said, most of the spend is in-store and around the store. So are we targeting the greater visibility for IFB as a brand?

Rajshankar Ray: Yes. So it's a beautiful question you've asked. And one of the points that Mr. Nag has been making to internal teams is that this urgent need to fix the margin side and also to conserve spend on the ad and promo side by picking a few critical categories, both of these actually helped to generate revenues and margins, which then will en

able us to invest as far as the brand is concerned.

And it's a very important agenda with the product range that we have of being able to communicate at a larger level about the IFB brand is present in the market. And to do that well, we need to fix this issue of margins first. So that is the point that you heard him speak about a little while earlier. And for us, that is the core agenda. I hope that answers your question.

Moderator: The next questions is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: My question has been answered.

Moderator: The next question is from the line of Shubham Jain from NV Alpha Fund.

I had one question on the distribution front that you had mentioned earlier. So I just wanted to understand what is the profitability across our distribution channels and specifically the IFB point. Is it profitable for us as a channel?

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Aditya:

Rajshankar Ray:

Aditya

Rajshankar Ray:

Aditya:

Shubham Jain

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Industries Limited

Rajshankar Ray: IFB Industries Limited

August 06, 2024

Distribution is profitable for our service channel. In fact, it is more profitable than some of the key accounts and large format channels, specifically for air conditioners, refrigerators, top loaders and also now for front loaders, the distribution is an excellent lever for the company, not only for growth but also from the margin point of view.

Shubham Jain Understood. And in the presentation, you mentioned that they were doing a revamp of the distribution points that we have. So what exactly is the revamp that between age is adding product category? And how are we seeing the performance after the revamp in the 180 stores that we have renovated?

Rajshankar Ray: You're talking about the revamp of the design of the IFB points, not distribution, right?

Shubham Jain Right! sir

Rajshankar Ray: Yes. So I think you will find it in the market. There is a new design that we have started rolling out from about 3 quarters back. And it just makes the store look better. The feedback that we've received is in terms of the lighting, in terms of the product representation, in terms of the feel of the store, which is different from a typical appliance store. The designs have been doing well. Now we've been surveying this. And the feedback is one from the counter salesperson who is inside the store about what they say about the new design and also the data in terms of whether sales has increased or not.

So the feedback from the people inside the store has been very positive. As far as the data on a specific sales increase only because of the design change, and that is a 50-50. In some cases, we've got results and some we have not got the results. But the design just make the store look and feel better. And if you're in the market, you can always check it out, you'll be able to experience it. And it will be good to hear from you, whether you also like what you see as the new design.

Shubham Jain: More definitely. If I got it right, you mentioned that our IFB points account for 15% to 16% of sales for us at the moment. Is that correct?

Rajshankar Ray: Yes, about 14% to 15%, sometimes a little lesser, but roughly around that margin.

Shubham Jain: And what was this number, say, 5 years back?

Rajshankar Ray: It was similar. It was similar. In fact, I think we were a little higher, let's say, a year or 2 back that percentage has reduced a little bit over the last 2 years.

Shubham Jain: Got it. And in terms of hierarchy post the IFB point, what's the hierarchy in terms of margins for distribution for us?

Rajshankar Ray: Sorry, could you just repeat?

In terms of hierarchy of margins from a distribution point of view, you mentioned that IFB point is rather better margin channels for us. Just wanted to understand what is the pecking order post-IFB points, what is the next most profitable distribution channel.

Shubham Jain

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Industries Limited

Rajshankar Ray:

Moderator

Shreyansh Jain:

Rajshankar

Ray:

Shreyansh Jain:

Bikramjit Nag:IFB Industries Limited

August 06, 2024

No. Sir, I was actually answering the distribution as a channel. Distribution is a profitable channel for us. IFB points were also more profitable than some of the higher cost channels. We don't specifically look at a channel-wise hierarchy, the way I had answered it a little earlier, we look at it from an account point of view. So even within the channel, there would be a variation. There could be a distributor who is very large, and someone is small. Similarly, there could be a multi-brand dealer who is very large, and someone is small. So we look at it at an account level. We don't really look at it at a channel level.

Ladies and gentlemen, we will now take our last question from the line of Shreyansh Jain from Swan Investments.

Sir, my first question now is when you look at washers as a category for the year. So, obviously, now with 40 days into the quarter, not giving any specific guidance, but how do you see this product category doing for us in FY'25? That's my first question.

So I can answer this on 3 counts. The first is that, as I said a little while earlier, the first accounts for channels which pick up feedback on consumer movement or the e-commerce channels because their systems are very direct to consumer. And over the last one month or so, we've seen a significant uptick in both customer visits as well as actual purchases. So this is one element with which we believe that the next few months on the washer segment, which have, over the last 1.5 years been very subdued and degrowing as far as the industry is concerned, we think that there's going to be a change.

The second point is that the new range that we are rolling out is a very large lever for growth for us. It has a complete overhaul on the specifications. It's packed with features as far as the consumers are concerned, it is aesthetically better. And we are very positive about the impact on sales once this is fully ramped up. So this is the second lever.

The third is something that we discussed quite at length in this call, which is in terms of our execution completion of this in counter manning. And the manning inside the store has the largest impact on washers because washer is most dependent on the retail base sales for growth. So to a specific answer to your question, how do we see the next few months or the next few quarters? Based on these 3 inputs, I would feel that we should be able to deliver results.

Okay. Sir, my last question is on your annual report. So there are 3 parts to this question, please bear with me. Sir, my first question is, we speak about new business verticals? So somewhere you've written in the MD&A that the company has decided to look into manufacturing components for electronic industry and railways. So now is this largely a part of your engineering and motors business? Or this you think of doing independently because you're saying you time because capex, also you receive a Board approval?

Can you just repeat this again? Bikramjit Nag here.

Sir, in the annual report, you specifically written that you would look to enter manufacturing components for electronic industry and railways. So I'm just trying to understand, is this a small portion of your engineering and motors business that you're trying to enter, or this is a specific new vertical that you're looking at? Shreyansh Jain

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niIIIFB Industries Limited

August 06, 2024

We are looking at running this as an independent vertical for now so that it gets the focus that it needs.

Okay. So just trying to harp on this again. Do you think it's the right strategy right now because we were also looking to balance our home appliances business, and we're somewhere in that journey? And now you're looking at entering manufacturing for a different category where we don't have any presence as of now. So just wanted to hear.

I think the strategy is right because this is part, this is all part of -- I mean,

overall, it's just

engineering, but I mean, we are turning out a few people from the existing engineering business, and they'll be running this separately. It will not be part of the fine blanking stamping and motor division. Our team is being set up, which will be a mix of internal people taken out of the existing engineering division and new people being recruited for the same.

We have to relook -- we have to look at this point of capex, et cetera how much it would entail, et cetera but we think this is something that we should get into. And we think it will be long-term lucrative for the company. I don't think this has anything to do with appliances business needing focus or the engineering business doing like whatever it's doing. And this would not be too much of a diversification for us because the product categories that we are choosing, this is within what our team presently understands well.

Okay. Okay. That answers. Sir, my second part to this question is, if I look at your customers' teams and incentives. Gross sales minus incentive, that also has gone up from 20% to 23%; o - to 22%, 23% in FY '24. So, I'm just trying to understand this particular line item. Going forward, where do you see these numbers? Do we have to give higher incentives to the channel for

pushing our products?

This is Rajshankar here. I'll take this. As I have said on the first question related to the gross margin, this line is a resultant figure of a mix of all the categories. So if you see this value in quarter I, it has a much more dominant contribution from air conditioners, and they run at a typically higher scheme structure as compared to the other product categories. You will see this figure balance out between, let us say, the Q1 to Q2 to Q3. So this is a sort of a weighted average number that you had.

But sir, you said 15% of your sales comes from IFB points, right? So you don't have to give any incentive, right? So if I take out that 15% of your sales and then look at this number, then this number looks even higher.

So actually, there are a set of IFB points, which are run by franchisees. So they have similar commercial arrangements like any other retail partner. And even in the stores which are operated by the company. And they are also from the listed price to a customer price, there is a discount that appears as far as the net price is concerned. So, this issue of a scheme is applicable to all channels actually.

Okay. Okay. And sir, my last question. You spoke about saving about INR10 crores to INR12-odd crores from your opex fixed cost, right? Now if I look at our FY'24 opex breakup, a large part of it is a consumption of stores, trade, octroi, advertisement and repairs. These 4 heads are Page 17 of 18 Industries Limited

Bikramjit Nag:

Shreyansh Jain:

Bikramjit Nag:

Shreyansh Jain

Rajshankar Ray:

Shreyansh Jain:

Rajshankar Ray:

Shreyansh Jain:

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Industries Limited

Rajshankar Ray:

Moderator:

Natasha Jain:

Soumitra Goswami:

Natasha Jain: IFB Industries Limited

August 06, 2024

the largest pillars. And these heads, I think there is limited leverage you can get in these kind of line items. So when you talk about INR10 crores to INR12 crores a month savings, which specific things are you talking about? Because personally, I don't see any kind of line item that you can get leverage from.

So actually, if you go line by line in terms of the office costs, in terms of the cost of defectives, in terms of cost of compliance to e-waste norms. There's a lot of opportunity, travel costs, for example, and the productivity associated with that. So there are multiple heads, and those are the line items that we are working on. So even within the P&L, the way you see it, you will find a large chunk of fixed cost, which was a question a little while back from the gross margins that we enjoy to the kind of bottom line that we report. So, it is the same point, actually.

Ladies and gentlemen, I would now like to hand the conference over to Ms. Na

tasha Jain for

closing comments.

I request the management to post any closing comments if they have.

Thank you very much for joining this call. We will be meeting again after quarter 2. Thank you once again.

Thank you, everyone. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Nov 2024

12th November, 2024

The Manager

Department of Corporate Services

BSE Limited,

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai-400001

The Manager

The National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No-C/1, G Block,

Bandra Kurla Complex

Mumbai-400051

The Secretary

The Calcutta Stock Exchange Association Ltd.

7 Lyons Range

Kolkata-700001

Dear Sir, I am writing to you on behalf of IFB Industries Limited

Corporate Office

"Plot No.-IND-5, Sector-1

East Kolkata" Township, Kolkata-700107

Telephone : (91)(33)39849475/9524

Fax: (91)(33)30849676

Website: www.ifbindustries.com

Subject: Transcript of the earnings conference call for the quarter and half year ended 30th

September

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 and in furtherance to our letter dated 7th November 2024 regarding the audio

recording of the investor's earnings call for the quarter and half year ended 30th September 2024,

please find enclosed herewith the transcript of the said call.

The said transcript is also available on the Company's website i.e.

<https://www.ifbindustries.com/financial.phn>

This is for your information and records.

Yours faithfully,

For IFB INDUSTRIES LIMITED

Ritesh Agarwal

Company Secretary

Registered Office: 14 Taratola Road, Kolkata-700088, India, Tel: (91)(33)30489299/9218, Fax: (91)(33)24014579/30489230

E-mail: reply@ifbglobal.com. CIN: L51109WB1974PLC029637

12th November, 2024

The Manager

Department of Corporate Services

BSE Limited,

Phiroze Jeejeebhoy Towers

Dalal Street,

Mumbai-400001

The Manager

The National Stock Exchange of India Ltd.

Exchange Plaza, 5th Floor

Plot No-C/1, G Block,

Bandra Kurla Complex

Mumbai -400051

The Secretary

The Calcutta Stock Exchange Association Ltd.

7 Lyons Range

Kolkata-700001

Dear Sir,

Sub: Transcript of the earnings conference call for the quarter and half year ended 30th September

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This is for your information and records.

Yours faithfully,

For IFB INDUSTRIES LIMITED

Ritesh Agarwal
Company Secretary

"IFBIndustries LimitedQ2FY25Conference Call"
MANAGEMENT:
MODERATOR:November 07,2024
MR.BIKRAMJIT NAG-CHAIRMAN
MR.SOUMITRA GOSWAMI —CFO
MR.P.H.NARAYANAN —MD-ENGG.DIVISION
MR.J.CHANDA —CFO-ENGG. DIVISION
MR.C.S.GOVINDARAJ -ED-MANUFACTURING
(HOMEAPPLIANCE)
MR.RANJAN MATHUR -HEADOFSALES(HOME
APPLIANCE)
MR.ASHISH SINGH-HEAD,PLANTACCOUNTS
(HOMEAPPLIANCE)
MR.KARTIK MUCHANDI -HEADOFMARKETING
ACCOUNTS (HOMEAPPLIANCE)
MS.NATASHA JAIN—NIRMAL BANGEQUITIES
PRIVATE LIMITED
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Page 1 of 17

"IFB Industries Limited Q2 FY25 Conference Call"

November 07, 2024

MANAGEMENT : MR. BIKRAMJIT NAG- CHAIRMAN
MR. SOUMITRA GOSWAMI – CFO
MR. P. H. NARAYANAN – MD- ENGG. DIVISION
MR. J. CHANDA – CFO-ENGG. DIVISION
MR. C.S. GOVINDARAJ - ED -MANUFACTURING
(HOME APPLIANCE)
MR. RANJAN MATHUR - HEAD OF SALES (HOME
APPLIANCE)

MR. ASHISH SINGH - HEAD, PLANT ACCOUNTS
(HOME APPLIANCE)
MR. KARTIK MUCHANDI - HEAD OF MARKETING
ACCOUNTS (HOME APPLIANCE)

MODERATOR : MS. NATASHA JAIN – NIRMAL BANG EQUITIES
PRIVATE LIMITED

Moderator:

Natasha Jain:

Soumitra Goswami: IFB Industries Limited

November 07, 2024

Ladies and gentlemen, good day, and welcome to IFB Industries Q2 FY25 Conference Call hosted by Nirmal Bang Equities Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Natasha Jain from Nirmal Bang Equities Private Limited.

Thank you and over to you, ma'am.

Thank you and good evening, everyone. Nirmal Bang Institutional Equities welcome all of you to the 2nd Quarter FY25 Results Conference Call of IFB Industries Limited.

I would like to thank the Management of IFB for giving us an opportunity to host this call.

Management is represented by Mr. Bikramjit Nag—Chairman, Mr. P. H. Narayanan—MD, Engineering Business; Mr. Soumitra Goswami—CFO; and Mr. Jayanta Chanda—CFO (Engineering); Mr. C. S. Govindaraj—ED Manufacturing (Home Appliances), Mr. Ranjan Mohan, National Sales Head (Home Appliances) and Mr. Kartik Muchandi—Head-Marketing Accounts (Home Appliances)

I would now like to hand over the call to the Management for their "Opening Remarks", post which we shall open the floor for Q&A. Thank you and over to you, sir.

Good afternoon, everybody. I welcome you all for IFB Industries Limited Investor Call. I am Soumitra Goswami—the Chief Financial Officer of IFB Industries Limited.

I have with me Mr. Bikramjit Nag—Chairman of IFB Industries Limited; Mr. P. H. Narayanan—Managing Director & Chief Executive Officer of our Engineering Division; Mr. J. Chanda—CFO of our Engineering division; Mr. C. S. Govindaraj—Executive Director of Manufacturing of our Appliance division; Mr. Ranjan Mohan—Head of Sales of our Appliance Division; Mr. Ashish Singh—Head, Plant Accounts of our Home Appliance division; and Mr. Kartik Muchandi—Head of Marketing Accounts of our Home Appliance division.

Now I will inform you about the "Quarter 2 Result"

Revenue for the quarter was Rs. 1189.24 crores against last year's Rs. 1074.12 crores with a growth of 11%. PBDIT for the period was Rs. 79.02 crores and its percentage to revenue was 6.6% as compared to last year's Rs. 74.83 crores which was 7% on revenue. PBDIT amount came across a growth of 6% year-on-year. Flat revenue growth in July and August affected the margin for the quarter, which later on improved in the month of September. Fixed expenditures for the quarter were well within budget. PBT for the period was Rs. 44.64 crore against last year figure of Rs. 38.20 crore. Quarter 2 PAT was Rs. 33.30 crore, which is 2.8% on revenue against last year 2.7%.

Page 2 of 17 IFB Industries Limited

November 07, 2024

Page 2 of 17

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Thank you and over to you, sir.

Soumitra Goswami: Good afternoon, everybody. I welcome you all for IFB Industries Limited Investor Call. I am Soumitra Goswami – the Chief Financial Officer of IFB Industries Limited.

I have with me Mr. Bikramjit Nag – Chairman of IFB Industries Limited; Mr. P. H. Narayanan – Managing Director & Chief Executive Officer of our Engineering Division; Mr. J. Chanda – CFO of our Engineering division; Mr. C.S. Govindaraj – Executive Director of Manufacturing of our Appliance division; Mr. Ranjan Mohan – Head of Sales of our Appliance Division; Mr. Ashish Singh – Head, Plant Accounts of our Home Appliance division; and Mr. Kartik Muchandi – Head of Marketing Accounts of our Home Appliance division.

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Moderator:

Viraj Mehta:

Bikramjit Nag:

Viraj Mehta: Now, the figures of YTD September '24 period are the following: IFB Industries Limited November 07, 2024

Revenue for the YTD period was Rs. 2,433.68 crore against last year Rs. 2,136.97 crore, which is the growth of 14%. PBDIT for that period was Rs. 165.57 crore and its percentage to revenue was 6.80% as compared to last year's Rs. 115.51 crore which was 5.4% on revenue. PBDIT amount came across a growth of 43% year-on-year. Fixed expenditure for the period were well within budget. PBT for the period was Rs. 97.04 crore against last year Rs. 41.75 crore, which is a growth of 132% over last year. PAT was Rs. 72.14 crore, which is a 3% on revenue, against last year Rs. 31.32 crore, which is 1.5% on revenue.

With this, I will request to start the question and answer session.

Thank you very much. We will now begin the question and answer session. The first question is from the line of Viraj Mehta from Enigma Investors. Please go ahead.

Sir, my first question is, if you look at last year's Q2 Presentation that you gave and reinstated it multiple times including when we visited you in the AGM, the savings that you talked about, most of those savings have not planned out the way you said, and it has been over three quarters now. Can you please explain where are we missing?

I think what has happened is if you see on the material cost side, there required saving has not come and we spoke about two odd quarters back that we were engaging with McKinsey, etc. And I think in the last call, someone raised the point that we have closed issues with them. So, the answer is yes, we have. But then the Board last week said that we need a counter quote, so we put Alvarez & Marsal into it also. All of this will be done by November 20" and then the contract will be given out. So, we believe on material cost, logistics, etc., the total saving we should get is a little over Rs. 200 Cr. and some amount has come into material cost, but what's happened is during the changeover of the washing machine introduction. So, the old model line up went out, then the new model line up came in. And in that, there were some delays in introduction etc., so we've not got the full benefit out of it, which Mr. Kartik Muchandi will explain to you better. But broadly, the work has happened substantially. We've not seen the benefits as yet. I think from Q3, it will start picking up. We saw some benefit of this in October, but not fully. October results, however, which we just finished, was actually very good, and targets were achieved. But the question that we are asking ourselves is, is this sustainable in November, December, and going forward, especially in January etc. when AC season comes in, which is lower margin product, and the answer is that the work we've done on all this, I think will lead us to the required margins. That's our internal assessment so far.

But sorry to correct sir, but even YoY your gross margins are down. So, and

like, if I look at the

engineering business, I mean, obviously we don't get gross margin for each division. But gross margins at an overall company level is down and engineering EBITDA is up. So, then the only takeaway for an investor has to be that YoY your gross margins in your appliances business are substantially down. So, which I mean then it begs the question that in the best quarter of the year if four margins are down YoY after which we have done so much work? I just don't understand

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KartikM

uchandi:

Bikramjit Nag:IFBIndustries Limited

November 07,2024

howthenumbers aretallyingtowhatyouaresayinglikethecommentary andthenumbersjust seemverydifferent sir.Sorrytobehonestandbrutalaboutthis.

Understood. Youseewhathappened withusisJuly,Augustwasbad.ButforusSeptember was goodandOctoberhasbeenverygoodbecausethosethingsarekickedin.ButKartik,canyou explainitbettersothatheunderstands?

Yes,sir.So,intheappliance division,year-on-year, Hllastyearversusthisyear,thereisa2% reduction inthegrossmargin.Butinabsoluteterms,thegrosscontribution hasexpanded. The mainreasonforthisisinwashingmachine, themarketwasflatandourrevenues alsowhatyou have seen,thegrowthismuted.Wehavehardly3%to5%growth.Themajorgrowthisdriven bycoolingcategories, whichisACandrefrigerators. Inthesecategories, themarginsarepositive butlowerthanthewashercategory. Sincethereisachangeinproductmixlastyearversusthis year,percentage termsyoucanseereduction. Butinabsolute terms,themarginshave expanded.

Inwasher,thematerialcosthasreducedby100basispoints,whichis1%withrespecttolast year.Thatcanbeseeninthisquarter.Andapartfromthis,wearerunningamaterialcost reduction program. AndourinternaltargetistoreducethematerialcostbyRs.200croresinthe next12months.

Wehadanentiremodelchangeover inQuarter2.Theentireoldmodellineuphasbeenremoved andthenewmodelhasbeenintroduced fromAugust.So,duringthischangeover wehavelost substantial sales.Ifweretoquantify, wehavelostRs.70croresofsalesinQuarter2because ofthischangeover andrampupofthenewmodel.ButifyouseeSeptember andOctober, we

are experiencing a growth of 20%. Hence, we can say that, the new models have been received very well in the market.

Our gross margin in new models are better than the earlier because there are two reasons for this. One is our mix, better in the new model, our new models have taken well in the market and the high end is selling much better than earlier. That is why our overall gross margins have improved since September and October, and we see this trend to continue in the 3 quarters as well. And over and above this, we are working on a cost reduction project which I just explained which we have an internal target to reduce the material cost.

And the new models have been very well received. In September, we were stock out. We had an issue with supply chain which is much lower than before issues that we had with supply chain but we were stock out both in top load and in front load. The same situation continued in the month of October, but the stock out situation was like less, but we were still like stock out, capacity was sold. November has started off strongly for us. The new model has been very, very well received, but in the introduction where the old models were taken out and new models were brought in, there was an issue there because the lower end models came in first and there was an issue there on the mix and on the new model introduction, the cost down was delayed by two

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how the numbers are tallying to what you are saying like the commentary and the numbers just seem very different sir. Sorry to be honest and brutal about this.

Bikramjit Nag: Understood. You see what happened with us is July, August was bad. But for us September was good and October has been very good because those things are kicked in. But Kartik, can you explain it better so that he understands?

Kartik Muchandi: Yes, sir. So, in the appliance division, year-on-year, H1 last year versus this year, there is a 2% reduction in the gross margin. But in absolute terms, the gross contribution has expanded. The main reason for this is in washing machine, the market was flat and our revenues also what you have seen, the growth is muted. We have hardly 3% to 5% growth. The major growth is driven by cooling categories, which is AC and refrigerators. In these categories, the margins are positive but lower than the washer category. Since there is a change in product mix last year versus this year, percentage terms you can see a reduction. But in absolute terms, the margins have expanded.

In washer, the material cost has reduced by 100 basis points, which is 1% with respect to last year. That can be seen

in this quarter. And apart from this, we are running a material cost reduction program. And our internal target is to reduce the material cost by Rs. 200 crores in the next 12 months.

We had an entire model changeover in Quarter 2. The entire old model lineup has been removed and the new model has been introduced from August. So, during this changeover we have lost substantial sales. If I were to quantify, we have lost Rs. 70 crores of sales in Quarter 2 because of this changeover and ramp up of the new model. But if you see September and October, we are experiencing a growth of 20%. Hence, we can say that, the new models have been received very well in the market.

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Moderator: IFB Industries Limited

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months. The effect of that has started coming only in the month of October. So, you will see the effect of that in Q3.

Sure, sir. If I put all of what you said in terms of gross margin improvement and supply chain and you always keep mentioning that we have to get double digit margin, but at least by Q4, can we see high single digit margin? Can we go back to 8%-9% margin? Or that also seems a stretch? I think in the month of September, we did far better than before. I am just answering sequentially. Month of October, I think we were close to the target.

So, the target is double digit?

Correct. Month of October, we were close to target, if not on target. I am not going to say more than that now.

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And we believe in the month of November, depending on how the volume spans out. See, November, December, as you know, AC volume picks up because the dealer build up takes place. November not like so much. November production will go up. The dealer offtake starts from the month of December. The dealer stock like build up starts. And the new washing machine thing is very good. So, I think we'll be very close to that in Q3. We should be good in that in Q3 and by Q4, we are rather sure we should hit it. So, if we don't hit it, between 9% to 10%, we should be there.

Sir, my last request would be that we have a very large gap between our results and our concall. It leaves a lot to be desired for a company of our stature because that leaves room for insider trading.

I agree with you. Soumitra, you will recall what I have said to you on this and Kartik on this.

You have not done it and we have to hear all this.

Can you please make sure it happens next day or the same day please?

Next day may not be possible, because what is happening, I mean others are doing it that I am aware of. But the thing is after the board declares the results, it goes to a person who organizes the report. And that firm takes about a day and a half, two days. This time it took longer. But I think in 2 days it should be done.

Sir, even two days will be great?

Yeah, we will try and do it.

Thank you very much. The next question is from the line of Manoj Gorur from Equirus Capital

Please go ahead.

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ManojGori:

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Bikramjit Nag:IFB Industries Limited

November 07,2024

Sir,myfirstquestionwouldbe,soifwetalkaboute supplychainissues thatwehavefacedfrom Julyonwards, solwasjustconcerned likeinthemonthofAugust,on6thofAugusttobemore specific,whenwehadourconcall,probablyIthinkeventhis shouldhavebeenhighlighted becauseobviously wewerenotawareofthethingandwewereexpecting thatQ2themargin improvement probably weareverymuchontrackandinthepresentation, itdefinitely cameas asurprisethatwehadsomesupplychainissuesduringQ2andSeptember obviously thingshave improved materially becauseifyoulookatwashingmachinebeingoneofourmajorcategory andthemo stprofitable categoryifwemessupwiththesupplychainoverhere,oure ntireyearly profitability goesforatoss.

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Correctsir.Secondly, ifyoulookatwehavebeentalkingaboutachieving betterefficiency from theexistingretailtouchpoints.Andwehavebeentalkingaboutthisforawhile.Infactforlast 3-4years,wehavebeenhearing.So,whathasbeen theprogress, howwelookattheextraction? Inthepresentation, wehavealsotalkedaboutmarketsharegainsinthecomingtimes.So, probably it'snotvisibleevenonthatfront?

Ithinkthemarketsharegainshavehappened inSeptember-October andwhathashappened is themarketshareactuallycompanies lookatadata,thedatacomesfromanindependent third partyfirmcalledGFKandGFKisthemostwidelyuseddataservicefortheappliance industry. NowGFKandNielsenhavenikemerged,butGFKisthebestlikecompany forthis.GFKdata isdirectionally correct.Itisdirectionally correctbecauseittakescareofasignificant portionof dealers,butitdoesnottakecareofthebrandstoresetc.It doesn'ttakecareofE-cometc.But

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Manoj Gori: Sir, my first question would be, so if we talk about supply chain issues that we have faced from July onwards, so I was just concerned like in the month of August, on 6th of August to be more specific, when we had our concall, probably I think even this should have been highlighted because obviously we were not aware of the thing and we were expecting that Q2 the margin improvement probably we are very much on track and in the presentation, it definitely came as a surprise that we had some supply chain issues during Q2 and September obviously things have

improved materially because if you look at washing machine being one of our major category and the most profitable category if we mess up with the supply chain over here, our entire yearly profitability goes for a toss.

Bikramjit Nag: I will explain what happened. The new models being introduced together, all of them at the same time with different capacities, and the old models being tapered out. In changeover we actually sort of even mistook the pool of the new models. From the market, we did not expect the demand to be as overwhelming as it has been and we were caught unaware. The sales team was caught unaware. And we lost out as a result of this. And therefore in supply chain, some things are imported which has a 90 day cycle. You see, so there we got caught up. And also some things that come in from China, customs is taking longer. So, all these things just added up and we did not manage it well enough. So, internally we took stock of that but it's happened.

Manoj Gori: Right sir. In the month of October, productive season did come in October this year. We saw some impact in October but still what we understand from our channel is that the washing machine market or category would have grown by roughly around 20%. Are we in line with that because obviously we would have lost sales during Q2. So, ideally we should have done.

Bikramjit Nag: I think our October sales have been very good. We could not supply as I am saying. The supply loss was slightly less in October compared to September, but we were stock out. Company capacity was sold. So, we had that issue. But the good thing is we think there's possibly been a reset in the demand for the products that have been designed and introduced in the market. And we don't expect es

pecially for top loader etc. the demand to fall much, which means September, October, if we take the average, I think that will be the demand, which is a substantial increase to before. And it's more than 20% increase.

Manoj Gori: Correct sir. Secondly, if you look at we have been talking about achieving better efficiency from the existing retail touch points. And we have been talking about this for a while. In fact for last 3-4 years, we have been hearing. So, what has been the progress, how we look at the extraction? In the presentation, we have also talked about market share gains in the coming times. So, probably it's not visible even on that front?

Bikramjit Nag: I think the market share gains have happened in September-October and what has happened is the market share actually companies look at a data, the data comes from an independent third party firm called GFK and GFK is the most widely used data service for the appliance industry. Now GFK and Nielsen have like merged, but GFK is the best like company for this. GFK data is directionally correct. It is directionally correct because it takes care of a significant portion of dealers, but it does not take care of the brand stores etc. It doesn't take care of E-com etc. But

ManojGori:

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Moderator:

PriteshChheda:IFBIndustries Limited

November 07,2024

directionally correct.GFKshowstherehasbeenasignificant brandpullandthemarketshare hasbeengainedbyIFBinthelastfewmonthsasfarasthewashercategorygoesandweare feelingthatbecausewearehavingcapacityissuesforthefirsttime.Wehavenothadthis.Whilst wearesayingthis,Ithinkwemustalsopointoutthathadourplanning beenbetter,hadwe foreseenthis,wewouldhavebuiltupstocksstartingJulyforexample. Wedidnotdothat.So, therewasasmallerrorinplanning aswell,buthonestly, wedidnotseethemarketpullforour productstobeasgoodasithasbeen.

Correctsir.Sir,secondly ontheairconditioners, eventherewehavetakennumberofinitiatives. Onthewhat?

Ontheairconditioners. So,ifyoulookatfromDecember onwards, therewillbeinventory built uponairconditioners aswellfromespecially thelargerformatplayers.So,inthisscenario, our costobviously wouldbelowerascompared toyearagoasthepercentage ofsales.So,overall onanet-netbasisfromhereon,wearejustmovingnorthwards onthemarginside.1stthat understanding correct?

Yes,andIthinkKartikcananswerthisinamoreeloquent manner.Butweareconfident of marginsinthis.Kartik,canyouanswer?

Yes,sir.Onmarginterms,lastyearwehadanegativeEBITDA ofRs.31Cr.Thisyearweare atpositiveEBITDA YTD.

GoinglikeforwardKartik,what'shappening fromnowtoMarch?

NowtoMarch,wehavefurtherprojectsforreduction ofmaterialcostreduction aswellasour

sales volume is going to go up in Quarter 3 and Quarter 4.

And sir, lastly, if we look at so currently, what are the plans for the CEO position that currently is vacant for Home Appliances? Any progress over there?

Yes, so we have interviewed a number of people. And we have still not zeroed in on someone.

The reason is that, I am not able to find someone who has complete 360-degree knowledge on all aspects, including balance sheet control and we are wanting that. It's not only someone who will lead for sales and marketing, for example, but he should have good control over factory and other balance sheet matters. So, we interviewed a lot of people, shortlisted some and the process is on.

Thank you very much. The next question is from the line of Pritesh Chheda from Lucky Investments. Please go ahead.

So, can you give some color on the categories, industry category performance in the festivals?

So, basically, whatever post shradh or half of September, major of October, so in that period,

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directionally correct. GFK shows there has been a significant brand pull and the market share has been gained by IFB in the last few months as far as the washer category goes and we are feeling that because we are having capacity issues for the first time. We have not had this. Whilst we are saying this, I think we

must also point out that had our planning been better, had we foreseen this, we would have built up stocks starting July for example. We did not do that. So, there was a small error in planning as well, but honestly, we did not see the market pull for our products to be as good as it has been.

Manoj Gori: Correct sir. Sir, secondly on the air conditioners, even there we have taken number of initiatives.

Bikramjit Nag: On the what?

Manoj Gori: On the air conditioners. So, if you look at from December onwards, there will be inventory built up on air conditioners as well from especially the larger format players. So, in this scenario, our cost obviously would be lower as compared to year ago as the percentage of sales. So, overall on a net-net basis from here on, we are just moving northwards on the margin side. Is that understanding correct?

Bikramjit Nag: Yes, and I think Kartik can answer this in a more eloquent manner. But we are confident of margins in this. Kartik, can you answer?

Kartik Muchandi: Yes, sir. On margin terms, last year we had a negative EBITDA of Rs. 31 Cr. This year we are at positive EBITDA YTD.

Bikramjit Nag: Going like forward Kartik, what's happening from now to March?

Kartik Muchandi: Now to March, we have further projects for reduction of material cost reduction as well as our sales volume is going to go up in Quarter 3 and Quarter 4.

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the main category is washers, AC, wares, what in your opinion should have done in the market.

And for us, where will be there any market share changes?

The washing machine we have answered both top load, front load, we had capacity sold out and we couldn't supply to the market as per the demand of the market because we had supply chain issues and the planning in July was not to the extent that it could have been, but we underestimated the demand for the product launched.

So, market would have grown at what rate in your opinion? It will be like 15%-20% more than that?

I am not sure how much market has grown by per se, but we have grown substantially.

Any differences within the washer that you would have seen in the top load and the front load?

See, for us, the top load has grown, the top load demands we see with the new model we have is actually tremendous and we may have to take up capacities. As far as the front load goes, I think with the work we started quite some time back on numerical reach and extraction etc., I think it started paying dividends and I think we'll be close to capacity selling, which is a substantial growth from last year's average. And the growth is more than 20% to answer your question.

Okay, is there any loss of market share?

No, I just answered sometime back, two minutes back, that we have gained market share as per GFK data.

You could give the same comments for other categories.

Other categories we feel with the work we are doing on AC etc. We should be able to achieve or at least be close to our budgeted target. And in refrigerator, we have our internal target of around I think

over 40,000 a month and we are now at about 28,000 to 30,000 a month but refrigerator is a EBITDA positive business.

But how about the category sir? Would it have grown just like, has it grown in the festives, the ref and microwave?

I am not sure of the category growth in ref and microwave, but we have grown, but then in ref, our base is small. So, the growth is not something that we really look at. You see, because if we were doing let's say 20,000 ref and it would go to 28,000, that is not a correct representation of the category.

Okay, I will sum up here. Let's say as a festive, was it a really good festive versus what last couple of years the category was good?

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the main category is washers, AC, wares, what in your opinion should have done in the market.

And for us, where will be there any market share changes?

Bikramjit Nag: The washing machine we have answered both top load, front load, we had capacity sold out and we couldn't supply to the market as per the demand of the market because we had supply chain issues and the planning in July was not to the extent that it could have been, but we underestimated the demand for the product launched.

Pritesh Chheda: So, market would have grown at what rate in your opinion? It will be like 15%-20% more than that?

Bikramjit Nag: I am not sure how much market has grown by per se, but we have grown substantially.

Pritesh Chheda: Any differences within the washer that you would have seen in the top load and the front load?

Bikramjit Nag: See, for us, the top load has grown, the top load demands we see with the new model we have is actually tremendous and we may have to take up capacities. As far as the front load goes, I think with the work we started quite some time back on numerical reach and extraction etc., I think it started paying dividends and I think we'll be close to capacity selling, which is a substantial growth from last year's average. And the growth is more than 20% to answer your question.

Pritesh Chheda: Okay, is there any loss of market share?

Bikramjit Nag: No, I just answered sometime back, two minutes back, that we have gained market share as per GFK data.

Pritesh Chheda: You could give the same comments for other categories.

Bikramjit Nag: Other categories we feel with the work we are doing on AC etc. We should be able to achieve or at least be close to our budgeted target. And in refrigerator, we have our internal target of around I think over 40,000 a month and we are now at about 28,000 to 30,000 a month but refrigerator is a EBITDA positive business.

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Thank you very much. The next question is from the line of Shreyansh I from Swan Investments. Please go ahead.

So, my first question is on the AC front. AC, our base also is comparatively low versus last year. And I think the PPT you have mentioned, we could have done better sales in ACs. And I look at other players who have done 20%-20% odd growth rates at their base. So, I am just trying to understand what went wrong for us in ACs in this quarter sir?

We still have not got distribution end all right. The team is still not

right as far as AC is

concerned. We fixed it substantially for the washer. But what we realized was that in every branch, we need further depth as far as AC and ref goes, which means within a branch, we need more number of individuals to focus on these categories. And that team is being built up.

So, my second question is we've hired Mr. Govindaraj. So, can you just help us understand?

No, Mr. Govindaraj has been in the system for a long time. He was managing the industrial business and his background is manufacturing. So, all manufacturing units of IFB have been put under him and the industrial business is in anyway with him. He used to head LG factories before.

So, he's been with us since 2018.

He was with us before. Then he left for a few years and then he like a camel came back when we all bought this company in Bangalore, which is the Industrial Laundry company because he had wanted to relocate to Bangalore from Goa because of his mother. So, now the structure is, in Mr. Ray's absence, yes, we don't have a CEO, but Mr. Govindraj manages manufacturing fully along with industrial business. Ranjan Mohan Mathur, who's on this call, manufactures end-to-end sales and marketing and finance is managed separately, which is Soumitra manages finance. So, what exactly is the responsibility for Mr. Govindraj in the appliance?

Manufacturing all factories of Home Appliances.

So, he's been tasked with the gross margin improvement that we are looking at about 200 odd crores.

Correct. So, material cost reduction, quality issues, warranty reduction, etc. That is all like with him apart from industrial business, which is also with him.

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Sir, looking at your presentation, we do about 150 odd crores of services and out of that, 50 crores is some IFB products that we sell. So, I am just trying to understand what is the balance, 100 crores of service revenues that we do, sir?

These are out of warranty spares sales and AMC. These are also essentials which are liquid detergent and other accessories like trolley for the washing machine etc. AMC income is there. AMC income is a big part. In the service revenue, AMC income is there, sale of spare, sale of accessories and sale of essentials.

So, AMC would be the larger portion out of this 150?

It is around Rs. 35 to Rs. 38 crores.

And essentially this Rs. 50 crores?

Essential is there, accessory is there and also sale of spare.

Thank you very much. The next question is from the line of Navid Virani from Bastion Research.

Please go ahead.

I was just asking that I understand that there is a lot of growth in the industry which could be captured but at the same time there are some internal affairs that we have to get right first, right?

So, keeping both these things in mind, can you share some examples of the initiatives which we have taken to avoid situations like stock-outs or avoid situations where we don't have the right kind of sales representatives present at the counters? If you can give a couple of examples that would give a better clarity on how strategically the company is moving in terms of addressing this issue?

I think on the supply chain matter, we need better visibility from projected sales for market so that we can plan supply chain. Because in supply chain, you have to tell a vendor to produce something and sometimes parts are imported which is a 90-day cycle for example. I think this thing between front end and back end integration, I think we need better visibility, which is a factor of how well look at the market and also some IT integration that we need in supply chain.

And we are working on that. On the point of what else we need to do on the ground, this point we've discussed many, many times and we've not done a good job on this, which is to have each area manned well by a competent person who is able to manage that area. Now, have we completed this? I think on the senior management side, this is done. All the regions are manned. All the branches are now manned. On that front, there is no gap. That gap has existed before, but that gap is by and large closed. Are all the people up to a certain standard? Answer is no.

Answer is no, we still have to work, work on that. Now with every territory manned competently, answer is no. Is it better than before, answer is yes. Now this is a constant thing that we have to work on and that work is going on, I can only say is going on with a lot more rigor and I think the branches and the regions are very well sensitized to this now. This work was started by Mr. Ray. He only started it. It's taken a very long time. I am aware of this. And I have been the most

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Thank you very much. The next question is from the line of JhalakRathi from Agility Advisors.

Please go ahead.

So, my question is, what is the traction that we are seeing from IFB Point? Is it giving revenue visibility?

Is it like giving us?

Revenue visibility increased? Any incremental revenues?

IFB Point in September, October has done much, much better. We are doing some management reinforcements there and that work is on, but October sales from IFB Point was actually good. It was good and hopefully that will be carried forward and IFB Point is going back into expansion mode.

So, as we are expanding this from 215 stores to 465 stores.

No, we have 465.

So, what's the revenue growth that you are expecting from this stores?

I think I will not give a revenue target now, but I'd like to say we want IFB Point to be maintained at least 15% of our sales. We don't give guidance on sales, but we would like it to be at about 15% of sales. It had slipped earlier, but now it's coming back up.

Thank you very much. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

So, basically, interacting with a few other players in the industry, there is a general understanding that Quarter 2 of last year is not really a straightforward comparison because of the festive days shifting from Quarter 2 to Quarter 3 in few occasions. So, just to get more understanding on the sales part, can you help us understand how the festive season has spanned out this year versus the festive season that was there in last year to get an increase in the sales volume as such? Last year, festive happened in November. Diwali was in November.

But because of what I understand, there was Pitra Paksha that 14 days came in Quarter 2. So, there was less sales. That is when told about the industry. That's why I am asking,

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well received. And the work done on the ground on putting the right product in the right counter etc. which is the model mix etc. That work has been done relatively better. We've seen impact of that in September and October, and we are confident that this will do better November, December also. As far as the other product categories go, our share is very, very small in terms of number, and we expect to see uptick in that as well. So, as far as we are concerned as a company, we think we'll do much better. And to answer your specific question on the season, I think we are better off compared to last year. But I don't know how we've done vis-à-vis others because we've not seen, we have not reviewed the results of others even though Blue Star has come out today. I am aware of that but we don't know the others' results.

Got it. Also on the refrigerator part of the business, so we've done around 70,000 units production in this quarter and we have a target of monthly sales of 50,000 units. So, what is the strategy behind it now? What is the timeline that we see trying to achieve the same?

Our target is February, March we should achieve it.

February-March 50,000 units per month?

We should be close to that, yes.

That's our internal target is that?

But if you see, now we are hovering between 25,000 to 28,000, 30,000 and

I think we will get there. That is what my Sales Head's prediction is or rather assurance to me.

Thank you very much. The next question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

So, just follow up on the last participant's question. In terms of refrigeration, are we on track to achieve the 6 lakh guidance that we said earlier, or should we land somewhere that is around the corner?

No, because the first six months has passed. So, we are not going to be there, but going forward, we hope that by February, we should be achieving close to what we need to achieve. And then going forward, we will achieve that. But I don't think we will achieve guidance of 50,000 monthly for the year.

Got it, we should be landing somewhere around 4-4.5 lakh units for FY25?

Somewhere like that, I think.

And we have broken even at EBITDA level, right, for refrigeration?

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Volume in 2nd Quarter has not been good for us. For AC you are talking about, right? Are you talking air conditions?

Only AC sales I wanted to know the volume growth for 2nd Quarter.

What's the exact

volume growth, Kartik? No, in terms of growth, how much are we, Kartik?

Growth of IFB Brand AC is 80%.

But again, because our base is small, this is irrelevant. It is absolutely irrelevant and we have to get into starting now the build up to the season whether we can supply or not and all of that work is going on now and if we can do what we are supposed to do between now and 31st of March, then we will be achieving our budgeted number.

Which would be ideally 5 lakh units for FY25?

Close to that, yes.

And sir we are already at EBITDA positive level, right for room air conditioner categories?

Yes, by and large, Kartik.

YTD September EBITDA positive.

Thank you very much. The next question is from the line of Keshav Garg from Counter-Cyclical PMS. Please go ahead.

Firstly, I wanted to know that the rupees are depreciating and we are importing roughly one third of our raw materials and cost of goods sold. So, whatever you are talking about Rs. 200 crore cost savings, it is adjusted for the rupee depreciation or we will realize this in the subsequent quarter that why we haven't been able to achieve 10% margin because the rupee is depreciated? Whatever rupee depreciation takes place now, etc. Let's say we will have it compensated either by price increase or like whatever. But the thing is internally, when we did the budget for the year, we never thought rupee will be as say, 84, whatever, now, so soon. So, that has been an issue. But we will overcome this. I don't think this will affect what's our targeted EBITDA numbers, EBITDA percentage numbers.

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General and Carrier. So, they do only air conditioning and they focus on that and globally they are giants. But somehow we think that we can compete with all of these global giants in each of the categories. I mean, sir, if you look at some of our verticals, so they are totally miniscule like I think in modular kitchen, we did Rs. 1.4 crore revenue in one quarter. So, I am sure that this vertical must be loss making, our inventory would have been stuck, the management. Bandwidth is going overall these small segments. Similarly, if we see the built-in oven chimney hob, it is less than Rs. 6 crore revenue per quarter. Again, this would also be, I am assuming, loss making. So, why don't we just focus on few major categories so that we can really scale up our numbers? I think the fact of the matter is we compete with LG, Samsung, Bosch in every product category. So, I would not single out air conditioning from that angle. So, let's say with washer, you will always compete with LG, Samsung, Bosch for example, plus now Haier etc. In AC, you will compete with whoever you are talking about. Refrigerator, everyone. I think this is part and parcel of the game. And I think there's no company that can really, overtime, I think will do well with a single-minded focus on one like product. The reason why in AC, the companies you are talking about are doing relatively okay is because of the industrial segment helping them. The Blue Star has a large industrial segment. Voltas has a large industrial segment and so does Daikin. We are not in that. We just prefer to be in the home thing, in the room thing. And our internal strategy document formulated long, long back basically said we should make all products for the house, electronics for the house, in terms of white goods etc. and brown goods. So, we are just progressing on that. In certain things, we haven't done well, it is a fact. In certain things, whether we should close it down or not, we keep evaluating it. And as and when we take a decision, you will get to know. But as a company, our aim is to grow faster and to achieve the required margin. We are very focused on that. And I think in Q3 and Q4, hopefully, you will see substantial difference.

This is such a hypercompetitive market, this home appliances market and also now there are free trade agreements and duty fees are coming from Thailand, sir please correct me if I am wrong. So, our competitors are global in scale and manufacturing and sir they are global leaders in technology. So, basically I am trying to understand that what is our USP? What is our right to win over you?

So, I think to answer your question, we must be doing something right for people to buy IFB and for you having invested in IFB. Something you must have seen in it. I don't know what you saw because I don't know you personally. But you must have done your homework. So, I think I don't dwell much on this. As far as I am concerned, I talk to my team on one single matter.

Please make a very good product and sell it in every corner of India. Now on that, on the selling part, we have failed. We haven't done as well as we should have done. And for that, whatever management changes are required, are being made, there are reinforcements being introduced etc., the project was started by Mr. Ray, it just took too long. But I think we are on the right track.

And I think you will see it in the results soon.

Thank you very much. The next question is from the line of Shubham Jain from NVA Alpha Fund.

Please go ahead.

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November 07, 2024

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Moderator: Thank you very much. The next question is from the line of Shubham Jain from NV Alpha Fund. Please go ahead.

Shubham Jain:

KartikMuchandi:

Bikramjit Nag:

Shubham Jain:

KartikMuchandi:

Govindaraj:

KartikMuchandi:

Bikramjit Nag:

KartikMuchandi:

Shubham Jain:

KartikMuchandi:IFB Industries Limited

November 07, 2024

Sir, I just wanted to re-ask this question. I know the first participant asked this. And you mentioned that what is the reason for the gross margin decline of 200 to 230 bps? I understand that there was a transition period that was happening in washers. But could you just help quantify how this impacted us from an RM procurement point of view?

The first part, you already know, washer category, we lost 70 crore sales, which would have definitely...

So, they are asking why, how, how has it happened?

My focus is more on the gross margin. So, if you've lost 70 crore sales, so all that procurement has happened and that's sitting on the RM, is that the reason?

No. The 70 crore sale, what we lost is washer where the gross margins are very high. So, that is the first point. And the second point is that in quarter one, our washers sale was flat, but we got 80% growth in AC. So, what happens is that the gross margin in AC is relatively lesser compared to washer. That is why in absolute terms, you will see our gross margin has expanded. But as a

percentage to sale, it is reduced.

So, if I compare 2Q 2024 to 2Q 2025, our washer sales are flat. We have done 378 crores in front load, 133 crores in top load, which is more or less flat in 2Q 2025. And AC sales have gone up only by 12 crores. That too, our own brand sales have increased

. So, I would assume the gross

margins are higher. So, this still doesn't explain why our gross margins have fallen from a YoY perspective.

No, this is the point for the quarter. For Y-on-Y if you see, our growth in AC is more than 100%.

I will just give you the numbers. It is exactly 100% growth in AC. But the washer sale growth is less than 10%. So, that is the reason why percentage gross margin is lower.

Yes, but Kartik, please tell him what was that because of July, August in washer, because of the changeover plan, etc. What happened in washer in September, October?

Yeah, in September, October, the trend has reversed completely. We have more than 20% growth in topline. And whatever we produce, everything is sold in washer. We could have sold more, but we did not have stock or neither we had capacity. So, had we sold the washer enough, then the gross margin would have been better than last year's same quarter, even in terms of percentage.

So, I am going to repeat this question. AC sales, again, 51 crores have gone to 63 crores. And on an overall basis, it's not a very high number. Does it can impact the gross margins? So, it doesn't seem to be an AC thing. And if you can just help me understand this, washer, what happened in July, August for our gross margins to get hit?

Yeah, in July, there was a changeover. So, in changeover, the new models were coming in. So, initially, we introduced the low-end model.

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November 07, 2024

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Shubham Jain: Sir, I just wanted to re-ask this question. I know the first participant asked this. And you mentioned that what is the reason for the gross margin decline of 200 to 230 bps? I understand that there was a transition period that was happening in washers. But could you just help quantify how this impacted us from an RM procurement point of view?

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Bikramjit Nag:
Moderator:

Aditya:
Bikramjit Nag:
Aditya:
Bikramjit Nag:

Aditya: IFB Industries Limited
November 07, 2024

And the old models had to be taken out. So, the new model coming in and the old model taken out, we could not do a one-to-one replacement.

So, in the new model, we made a lower gross margin?

No, the new model did not go into the extent required, first and foremost, so sales got hit. And new model, the cost down was two months delayed. The BOM cost was not achieved in the models when it was launched. That came two months later. That affected the GP.

Out of the 375 plus 130, almost 500 crores of washer sales that we have done in this quarter, how much was new models and how much was old models? Like a broad sense.

Yeah, exact numbers we don't have, but maybe 60% old model and 40% new model.

But we could give you the exact thing.

So, if I could just request if I could take this offline and clarify some of these numbers with you.

If I can just have, I just reach out and we can have this clarified.

Yes, you can reach out to Kartik, Kartik and Ritesh.

Thank you very much. The next question is from the line of Aditya from Sowilo Investment Managers. Please go ahead.

So, my question was more on the washer. So, is it like a particular region where it's being grown?

Or is it Pan India? I mean, I am just trying to understand what is the driver for such a good offtake when you say that you are out of capacity to produce so I just want to understand what is the exact reason?

Sorry, what was the exact reason for?

Exact reason, is it like did you like find a new geography where you expanded because of which?

I think the new models if you go into the market and see, it has been very well received. The looks are very good, the pricing is right. I think we just got the whole thing right including dealer by dealer planogram has been right. What should go and how it should, I think that whole 360 work has been done very well. So, basically, if you look at it that way, then it's like saying that in Mahindra, let's say the XUV700 has been received very early. Why? Because it's a very good car. It looks good, it feels good. Customers have liked it. I think what has been launched by this team, by the R&D team and the manufacturing team together, this was overseen by like Mr. Ray has been very, very well received by the market. That's my point.

I mean, you gave the example of Mahindra. There we've always, I mean, we've been speaking about it for the last 3-4 years, right? The preference of customers towards SUVs overall has gone up. So, it's not just a Mahindra thing. You know, everybody, all brands, the SUV sales have been

Page 16 of 17 IFB Industries Limited

November 07, 2024

Page 16 of 17

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Bikramjit Nag:

RanjanMohan:

Bikramjit Nag:

Moderator:

NatashaJain:

Management:

Bikramjit Nag:

NatashaJain:IFBIndustries Limited

November 07,2024

picking up. And added to that, you had a good line of cars from Mahindra and their SUV sales has only picked up. So, there you had this whole theme of the premiumization, the buyer wanting it happened in the washer as well. In front load washer, it happened, premiumization, higher end models are selling more and our models are now really contemporary and people have liked it more than competition.

And that growth is across.

Yeah, growth is across India, yeah.

Thank you very much. As there are no further questions, I would now like to hand the conference over to Ms. Natasha Jain for closing comments.

Thank you. I would request the management to give closing comments if any.

Thank you everybody for participating in this call. We'll meet again in quarter three earnings call. Thank you everybody again.

Yeah, one more point from my side, Bikramjit here again. We as a company are acutely aware of the fact that we should be doing better across product category, namely washing machine front load, top load, air conditioner, refrigerator, apart from the smaller ones. But these are the four major categories. Microwave also I think. And we are acutely aware that when it comes to the required margins, neither have we done as well as we should do in terms of revenue. And it's not something that we are happy about or proud about. And every day we are looking at this seriously and making the necessary changes to achieve required results more than satisfying shareholders. It is something we need to do for ourselves internally. So, I can only say that a lot of focus is going into it. Thank you.

Thank you, sir. That concludes the conference. Participants can disconnect their lines. Thank you.

Page 17 of 17 IFB Industries Limited

November 07, 2024

Page 17 of 17

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Ranjan Mohan: And that growth is across.

Bikramjit Nag: Yeah, growth is across India, yeah.

Moderator: Thank you very much. As there are no further questions, I would now like to hand the conference over to Ms. Natasha Jain for closing comments.

Natasha Jain: Thank you. I would request the management to give closing comments if any.

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Natasha Jain: Thank you, sir. That concludes the conference. Participants can disconnect their lines. Thank you.

Call: Feb 2025

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of India Ltd.
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Fax:
(51)(31)30849676
www
:www.ifbind

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Sub:
Transcript
of the earnings conference call for the Quarter and nine months
ended
31
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December,
2024.
Pursuant
to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)
Regulations,
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in furtherance to our letter dated 6
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February,
2025
regarding
the
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recording
of the investor's earnings call for the quarter and nine months ended 31
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December
2024,
please
find
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transcript
of the said call. The said
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is
also
available
on
the
Company's
website
i.e.
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Registered
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12th February, 2025

The Manager
Department of Corporate Services
BSE Limited,
Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai-400001

The Manager
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No-C/1, G Block,
Bandra Kurla Complex
Mumbai -400051

The Secretary
The Calcutta Stock Exchange Association Ltd.
7 Lyons Range, Kolkata-700001

Symbol: IFBIND | ISIN: INE559A01017

Dear Sirs,

Sub : Transcript of the earnings conference call for the Quarter and nine months ended 31st December, 2024.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our letter dated 6th February, 2025 regarding the audio recording of the investor's earnings call for the quarter and nine months ended 31st December 2024, please find enclosed herewith the transcript of the said call. The said transcript is also available on the Company's website i.e. <https://www.ifbindustries.com/financial.phn>

This is for your information and record.

Thanking you.

For IFB Industries Limited

Ritesh Agarwal
COMPANY SECRETARY

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Industries
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"IFB
Industries Limited
Q3FY'25EarningsConference Call"
February
06,2025
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ited
MANAGEMENT:
MODERATOR:
Moderator:
MR.
BIKRAMJIT
NAG

—CHAIRMAN
MR.
P.H.
NARAYANAN
—MANAGING DIRECTOR,
ENGINEERING
DIVISION
MR.
C.S.
GOVINDARAJ
—EXECUTIVE DIRECTOR,
MANUFACTURING,
HOME
APPLIANCE
DIVISION
MR.
SOUMITRA
GOSWAMI
—CHIEFFINANCIAL OFFICER
MR.
JAYANTA
CHANDA
—CHIEFFINANCIAL OFFICER,
ENGINEERING
DIVISION
MR.
RTIK
MUCHANDI
—HEAD,FINANCE AND
ACCOUNTS
AND
MARKETING,
HOME
APPLIANCES
MR.
RANJAN
MOHAN
MATHUR
—NATIONAL SALES
HEAD,
HOME
APPLIANCES
MR.
I
HSHNAN
SAMBAMOORTHY
—NIRMAL BANG
INSTITUTIONAL
EQUITIES

Ladies

and gentlemen, good day, and welcome to IFB Industries Q3 FY'25 Earnings Conference Call hosted by Nirmal Bang Institutional Equities. This conference call may contain forward-looking statements about

the company, which are based on beliefs, opinion and expectation of the company as on the date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

Page 1 of 17 Page 1 of 17

MANAGEMENT : MR. BIKRAMJIT NAG – CHAIRMAN
M R. P.H. NARAYANAN – MANAGING DIRECTOR,
ENGINEERING DIVISION
M R. C.S. GOVINDARAJ – EXECUTIVE DIRECTOR,
MANUFACTURING , HOME APPLIANCE DIVISION MR.
SOUMITRA GOSWAMI – CHIEF FINANCIAL OFFICER
M R. JAYANTA CHANDA – CHIEF FINANCIAL OFFICER,
ENGINEERING DIVISION
M R. KARTIK MUCHANDI – HEAD, FINANCE AND
ACCOUNTS AND MARKETING , HOME APPLIANCES
M R. RANJAN MOHAN MATHUR – NATIONAL SALES
HEAD, HOME APPLIANCES

MODERATOR : MR. KRISHNAN SAMBAMOORTHY – NIRMAL BANG
INSTITUTIONAL EQUITIES

Moderator : Ladies and gentlemen, good day, and welcome to IFB Industries Q3 FY '25 Earnings Conference
Call hosted by Nirmal Bang Institutional Equities. This conference call may contain forward-
looking statements about the company, which are based on beliefs, opinion and expectation of
the company as on the date of this call. These statements are not the guarantees of future
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Krishnan

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Soumitra

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February

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theconference call,pleasesignalanoperatorbypressingstarthenzeroonyourphone.

Please

notethatthisconference isbeingrecorded.

Inowhandtheconference overtoMr.Krishnan Sambamoorthy fromNirmalBangInstitutional
Equities.

Thank

you,andovertoyou,sir.

Thank

you,sir.OnbehalfofNirmalBangInstitutional Equities,wewelcome youalltothethird
quarter

FY

'25resultsconcallofIFBIndustries. Themanagement isrepresented byMr.

Bikramjit

Nag,

Chairman;

Mr.

P.H.

Narayanan,

MD,

Engineering

Division;

Mr.

C.S.

Govindaraj,
ED,
Manufacturing,
HAD;
Mr.
Soumitra
Goswami,
CFO;
Mr.
Jayanta
Chanda,
CFO,
Engineering;
Mr.KartikMuchandi, Head,FinanceandAccounts andMarketing; andMr.
Ranjan
Mohan,
National
SalesHead,HomeAppliances. Overtothemanagement foropening
comments,
following
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wewillhavetheQ&A.
Good
afternoon,
everybody.
I'm
Soumitra
Goswami,
the
Chief
Financial
Officer
ofIFB
Industries
Limited.Iwelcome youallforIFBIndustries LimitedInvestors Callforthirdquarter
forFY'24-'25.IhavewithmeMr.Bikramjit Nag,Chairman ofIFBIndustries Limited;Mr.P.H.
Narayanan,
Managing
Director
ofourEngineering Division; Mr.J.Chanda, CFOofour
Engineering
Division;
Mr.
C.S.
Govindaraj,
Executive
Director,
Manufacturing
of
our
Appliance
Division;
Mr.
Kartik
Muchandi,
Head
ofFinanceofourMarketing Division of
Appliance
Division;
Mr.RanjanMohanMathur,HeadofSalesofourAppliance Division.
Now
Iwillinformyouaboutthequarter3
result.Revenue forthequarterwasINR1,232 crores
against
lastyearINR1,140 crores,witha
growth

of 8% and in value terms, the growth amount is INR 91 crores over last year. PBDIT for that period was INR 90 crores and its percentage to revenue for third quarter was INR 7.28 crores as compared to last year's INR 70 crores, which was in percentage term is 6.17%.

PBDIT amount came across a growth of 27% year-on-year, muted revenue growth in November impacted the marginal little bit for the quarter. Fixed expenditure for the quarter was well behind budget.

PBT for the period was INR 45 crores against last year figure of INR 32 crores, which is a growth of 31%. Q3 PAT was INR 34 crores as compared to last year's INR 24 crores, which is a growth of 42% over last year.

Figures of YTD December 2024 period are the following. Revenue for the YTD period is INR 3,665 crores against last year's INR 3,277 crores, which is a growth of 12%. PBDIT for the period was INR 255 crores and its percentage to revenue was 6.96% as compared to last year's INR 186 crores, which was 5.67% on revenue. PBDIT amount came across a growth of INR 69 crores over last year, which is a growth of 37%. PBDIT growth is attributable to higher revenue, which hit expenditures contained within budget.

PBT for the YTD period was INR 142 crores, which is 3.9% on revenue as compared to last year's INR 74 crores, which was 2.3% on revenue. Growth in PBT was 92%. PAT for the period

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As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishnan Sambamoorthy from Nirmal Bang Institutional Equities. Thank you, and over to you, sir.

Krishnan Sambamoorthy: Thank you, sir. On behalf of Nirmal Bang Institutional Equities, we welcome you all to the third quarter FY '25 results con call of IFB Industries. The management is represented by Mr. Bikramjit Nag, Chairman; Mr. P.H. Narayanan, MD, Engineering Division; Mr. C.S. Govindaraj, ED, Manufacturing, HAD; Mr. Soumitra Goswami, CFO; Mr. Jayanta Chanda, CFO, Engineering; Mr. Kartik Muchandi, Head, Finance and Accounts and Marketing; and Mr. Ranjan Mohan, National Sales Head, Home Appliances. Over to the ma

agement for opening comments, following which we will have the Q&A.

Soumitra Goswami: Good afternoon, everybody. I'm Soumitra Goswami, the Chief Financial Officer of IFB Industries Limited. I welcome you all for IFB Industries Limited Investors Call for third quarter for FY '24-'25. I have with me Mr. Bikramjit Nag, Chairman of IFB Industries Limited; Mr. P.H. Narayanan, Managing Director of our Engineering Division; Mr. J. Chanda, CFO of our Engineering Division; Mr. C.S. Govindaraj, Executive Director, Manufacturing of our Appliance Division; Mr. Kartik Muchandi, Head of Finance of our Marketing Division of Appliance Division; Mr. Ranjan Mohan Mathur, Head of Sales of our Appliance Division. Now I will inform you about the quarter 3 result. Revenue for the quarter was INR 1,232 crores against last year INR 1,140 crores, with a growth of 8% and in value terms, the growth amount is INR 91 crores over last year. PBDIT for that period was INR 90 crores and its percentage to revenue for third quarter was INR 7.28 crores as compared to last year's INR 70 crores, which was in percentage term is 6.17%.

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Moderator:

Manoj

Gori:'

Bikramjit

Nag:

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was

INR

107

crores,whichis2.9%onrevenueincomparison withlastyear'sINRSScores,

which

is1.7%onrevenue.ThegrowthinPATis94%.

With

this,Iwillrequesttostartthequestion-and-answer session.

FirstquestionisfromthelineofManojGorifromEquirusCapital.

ThisquestionisforMr.Nag.Myquestionis,ifl

--whenwedidourchannelchecksduringthe

October,

November

month

and

when

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spoke

with

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And

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sales growth, given that we had pushed limited inventories or stock in the September
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look at the presentation, probably that doesn't fall in place without channel
checks.
So just needs some clarity over there, like why there is such a
mismatch
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Our
understanding
is that--sorry, our understanding is October was good--September, October
was
good,
but November, December, things just--they were like subdued. We are not able to
understand
why
even from third parties. The reason why third-party was muted to such an extent,
we
are really not able to understand. Secondaries was okay, but primary just cooled off.
Sir, but if you look at, we did not push any stock in the September quarter because of the supply
chain
issues. So our primary sales for the festive season would have been more into October
month
where
the festive season was well--was actually...
So primary for November, December go hit and we are not able to understand why as yet. But
if you speak to the

same third parties, I think the report comes out every 2
months. I think...
No,
I'm talking about October and November combined data, which shows slow double-digit
growth
for IFC total washing machines, including your top loads and front loads. So I
was
just surprised like...
Our
October
was
good,
our
October
was
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very
good,
in fact. But September --but
November
was
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to really understand why, but it is across industry is what I'm told. That was her has been hit and
the AChasseen stupendous growth. So I'm not able to correlate this.
Normally,
they
say during December period and all, a
lot of the dealers, they switch their
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capital and all, but that cannot be the reason--that cannot be the reason alone. But for
some
reason,

washer sales has been hit. And we are still analyzing the data, but we are not able to get a proper answer why. But it's across regions.
Okay.
Sir, my second question would be on the margin side. So in the month of November, when we had our call scheduled for 2Q earnings, we were very confident that October month where
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was INR 107 crores, which is 2.9% on revenue in comparison with last year's INR 55 crores, which is 1.7% on revenue. The growth in PAT is 94%.
With this, I will request to start the question-and-answer session.
Moderator: First question is from the line of Manoj Gori from Equirus Capital.
Manoj Gori: This question is for Mr. Nag. My question is, if I -- when we did our channel checks during the October, November month and when we spoke with some of the large format national chain players, they had indicated like sales were relatively good for IFB. In fact, they had also talked about some of the third-party market share data, where it said like IFB washing machine sales growth was into low-double digit.
And what we had assumed is like probably our primary growth should be higher than our secondary sales growth, given that we had pushed limited inventories or stock in the September quarter. But when I look at the presentation, probably that doesn't fall in place without channel checks. So just need some clarity over there, like why there is such a mismatch versus our number and third-party data aggregators?
Bikramjit Nag: Our understanding is that -- sorry, our understanding is October was good -- September, October was good, but November, December, things just -- they were like subdued. We are not able to understand why even from third parties. The reason why third-party was muted to such an extent, we are really not able to understand. Secondaries was okay, but primary just cooled off.
Manoj Gori: Sir, but if you look at, we did not push any stock in the September quarter because of the supply chain issues. So our primary sales for the festive season would have been more into October month where the festive season was well -- was actually...
Bikramjit Nag: So primary for November, December got hit and we are not able to understand why as yet. But if you speak to the same third parties, I think the report comes out every 2 months. I think...
Manoj Gori: No, I'm talking about October and November combined data, which shows low double digit growth for IFB in total washing machines, including your top loads and front loads. So I was just surprised like...
Bikramjit Nag: Our October was good, our October was good, very good, in fact. But September -- but November was an issue. November and December both have been an issue. So we are not able to really understand why, but it is across industry is what I'm told. That washer has been hit and the AC has seen stupendous growth. So I'm not able to correlate this.
Normally, they say during December period and all, a lot of the dealers, they switch their working capital and all, but that cannot be the reason -- that cannot be the reason alone. But for some reason, washer sales has been hit. And we are still analyzing the data, but we are not able to get a proper answer why. But it's across regions.
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thegrowthwasrelatively better,wewereexpecting marginstoberelatively stronger. Nowit's
1yearsincewehavebeentalkingaboutmarginimprovement, verylimitedvisibility sofar.And
now

we
aretalkingaboutmajorityofthebenefittokickinbyfourthquarterofFY'26?

No,
I'mtellingyouwhathashappened. Octoberwasverygood.ButNovember, December
because
thewashersalesfellwherethemarginsarehighandACsaleswentupwherethe
margins
arelower.Therefore, therewasamismatch.

Ifthewashersaleswereaspertarget,wewouldnothavehadaproblem. Theproblemiswhat
likesurprised uswasthatACsalesthat--thewashersalesfell.Thisissomething thatwe
hadexpected. Andwearejustnotabletounderstand why.

And
ifyouseethereweresomecommodity priceincreases, aluminum, copper,etcetera.I
had

alsospoken,I
think,about2
quarters
back
regarding
bringing
ina
consultant
onthiscostside.

And
we
saidweweretalkingtoMcKinsey andtoAlvarez&Marsal,ifyourecall.Andthen1
think
one

oftheinvestors hadsaidthatit'sbetteryouclosethisfast.Wedida
lotofwork
internally also,butthecommercials tookalotoftime.

SoAlvarez&MarsalwasclosedendoflastweekinsteadofMcKinsey, wehavechosenAlvarez
&
Marsal.

And
thecostdownthingthatweareworking onisa
pretty
large
target
of

approximately
INR200
croresovera
18-month
period
with
significant
savings
coming
within
thefirst12months.

Thisisinadditiontowhatever wedoonourown.Thatsign-offhastakenplaceandtheproject
startsonthe15thofFebruary. TheAlvarez&Marsalteamcomeintotheheadquarters, whichis
Goa

on15thofFebruary,I
think.

Right.Andasperyourinitialdiscussions withtheseagencies...

17thofFebruary, sorry,Monday.

Soasperyourinitialdiscussions, whatarethekeyareasprobably theyhavehighlighted or
identified whereyoubelievethatthecostefficiencies wouldbevisible?

One is the weight of the machine. One is weight of the machine, one is logistics. And weight, logistics, rationalizing of schemes, then they've also chosen -- then they've also spoken on certain issues on design optimization of certain things. Then they've also spoken on where we've over engineered certain things.

And they're all -- this both McKinsey and then Point, they have both benchmarked our machines vis-a-vis others and they've showed us in various areas where we have overdesigned -- over engineered.

But these are things that have to go through testing and validation. But on a first cut basis, the work that they've done is good.

Right.

And sir, so obviously, as you stated, like there will be a lot of testing and obviously, it's

a long process. So if any improvement, which we can expect because we have been hearing for a year

of margin improvement. But -- so probably from when should we expect any sort of

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the growth was relatively better, we were expecting margins to be relatively stronger. Now it's 1 year since we have been talking about margin improvement, very limited visibility so far. And now we are talking about majority of the benefit to kick in by fourth quarter of FY '26?

Bikramjit Nag: No, I'm telling you what has happened. October was very good. But November, December because the washer sales fell where the margins are high and AC sales went up where the margins are lower. Therefore, there was a mismatch.

If the washer sales were as per target, we would not have had a problem. The problem is what like surprised us was that AC sales that -- the washer sales fell. This is not something that we had expected. And we are just not able to understand why.

And if you see there were some commodity price increases, aluminum, copper, etcetera. I had also spoken, I think, about 2 quarters back regarding bringing in a consultant on this cost side. And we said we were talking to McKinsey and to Alvarez & Marsal, if you recall. And the

n I

think one of the investors had said that it's better you close this fast. We did a lot of work internally also, but the commercials took a lot of time.

So Alvarez & Marsal was closed end of last week instead of McKinsey, we have chosen Alvarez & Marsal. And the cost down thing that we are working on is a pretty large target of approximately INR 200 crores over a 18-month period with significant savings coming within the first 12 months.

This is in addition to whatever we do on our own. That sign-off has taken place and the project starts on the 15th of February. The Alvarez & Marsal team come into the headquarters, which is Goa on 15th of February, I think.

Manoj Gori: Right. And as per your initial discussions with these agencies...

Bikramjit Nag: 17th of February, sorry, Monday.

Manoj Gori: So as per your initial discussions, what are the key areas probably they have highlighted or identified where you believe that the cost efficiencies would be visible?

Bikramjit Nag: One is the weight of the machine. One is weight of the machine, one is logistics. And weight, logistics, rationalizing of schemes, then they've also chosen -- then they've also spoken on certain issues on design optimization of certain things. Then they've also spoken on where we've over engineered certain things.

And they're all -- this both McKinsey and then Point, they have both benchmarked our machines vis-a-vis others and they've showed us in various areas where we have overdesigned -- over engineered. But these are things that have to go through testing and validation. But on a first cut basis, the work that they've done is good.

Manoj Gori: Right. And sir, so obviously, as you stated, like there will be a lot of testing and obviously, it's

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II'E*

Industries Limiteel

Bikramjit

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Kartik

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improvement

in margin on Y-o-Y basis, whether it should be during FY'25 or probably it will

start from fourth quarter of '26?

No, I

think margin improvement, as we had discussed was supposed to happen by this quarter, last quarter, this quarter. And that has not happened because according to me--according to us, the washer sales has fallen. If you see the margin drop, the margin drop is--primarily the main

reason

for the margin drop is washer sales.

If washer sales stayed as per target, the margin would have been better. The margin might not have

been

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digit, but margin would have been better, much, much better than whatever

we have like presented. So the issue is that the basic cost down things would have added further to the margin. I'm trying to say that.

Now

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on, those things got delayed till February, that will come in on March. Kartik, am I

right in saying that when does the AC cost down kick in?

Yes, sir, it will kick in fully by March.

So the AC cost down, which was supposed to be last quarter was postponed till February, I think.

And

so if that starts kicking in by February, March, then in AC, we start--the volume will give

us margin.

Right. Got it, sir. Sir, one last question, if I

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is we need washer sales to come up. This has taken me at least by like
surprise. Sales has to fix this.
Understood,
sir. Sir, last question from my end. So if we look at room ACs, how things have
panned
out with the channel in terms of association with regional retailers or with e-com players
and even with pan-India retailers, how things have progressed and probably you would have got
some
commitments
or probably visibility in terms of volumes for the upcoming summer.
The
difference
that we have so far for this quarter and corresponding quarter, but our capacity
should
be sold for AC. Sur

prisingly, sorry, I'll just take a
second.
Surprisingly,
we
saw
that in
the industrial washing machine segment, we have a
lot of orders which are hanging, meaning
someone
has given us an order, but it's not like lifting the material, etcetera, etcetera.
But in industrial, our margin has gone up, but the sales has also fallen. But the margin has gone
to over 18% in the month of December and January. So we are just trying to analyze all of the
data now.

Next
question
is from the line of Anand Mundra from Soar Wealth.
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improvement in margins on Y-o-Y basis, whether it should be during FY '25 or probably it will
start from fourth quarter of '26?

Bikramjit Nag: No, I think margin improvement, as we had discussed was supposed to happen by this quarter,
last quarter, this quarter. And that has not happened because according to me -- according to us,
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January was not good. But we hope February and March will be good. We are not able to
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And so if that starts kicking in by February, March, then in AC, we start -- the volume will give
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Manoj Gori: Right. Got it, sir. Sir, one last question, if I can.

Bikramjit Nag: But what happened is we need washer sales to come up. This has taken me at least by like
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Manoj Gori: Understood, sir. Sir, last question from my end. So if we look at room ACs, how things have
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some commitments or probably visibility in terms of volumes for the upcoming summer.

Bikramjit Nag: The difference that we have so far for this quarter and corresponding quarter, but our capacity should be sold for AC. Surprisingly, sorry, I'll just take a second. Surprisingly, we saw that in the industrial washing machine segment, we have a lot of orders which are hanging, meaning someone has given us an order, but it's not like lifting the material, etcetera, etcetera. But in industrial, our margin has gone up, but the sales has also fallen. But the margin has gone to over 18% in the month of December and January. So we are just trying to analyze all of the data now.

Moderator: Next question is from the line of Anand Mundra from Soar Wealth.

II'E*

IndustriesLimiteel

Anand

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Bikramjit

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Anand

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Sir,alargepartofquestionisanswered aboutthecost.Sir,onemorething,sir,wearestilldoing built-indishwasher, oven,chimneys. Theseareverysmallsegments withrespecttothesizeof thecompany, andI'msuretheywouldbeloss-making. Anythoughtsofcuttingdownthesmall businesses

sothatwecanfocusonlargerappliances?

No.Thesearegoodlikemarginproducts. We'

venotdonewellinthat.We havetofixit.Because

long

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And

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likeforward.Soweshouldbe

init.

But

sir, I'm looking at this segment from last multiple years, sir, this segment has not grown much for us, sir?

Yes.

For us, it's not grown. But for others, it's grown. We've not done well. Now we made a separate team to really look at this, etcetera, etcetera. So we have to succeed in this -- just because we've not done well, it doesn't mean we keep giving up things. Management in this has failed, management has to succeed.

On the overall scheme of things, I was thinking at INR 5,000 crore size of business, whether this will materially impact the financials of the company going forward?

Yes. Your point is correct. But we need to be in this and opportunities come up, suddenly maybe an opportunity will come to buy out someone or this that, we don't know what will happen in the future. But this is a segment that will grow and we must be in this segment with 15% share -- 15% to 20% share. That's a long-term plan.

Sir, one more clarification on cost reduction plan of INR 200 crores. So this is part of the P&L item, which you are saying we will be able to reduce over the next 12 months?

Yes. That is -- no, it is 12 to 18 months I said, but substantially, it should come in, in 12 months.

So our P&L will reduce by INR 200 crores in terms of cost, sir? It should add to our P&L. But in terms of cost, yes, I have understood your question.

In terms of cost, it should reduce adding to our P&L. Kartik, am I right in phrasing it?

Yes.

Sir, up to quarter 2 of financial year '26, 15% to 30% reduction will come and 100% realization will happen by end of FY '26. But the annualized impact will come only after that.

Kartik, there are 2 parts to this. One is things like weight and all which they have identified. And one is thing that we have identified over the last 7, 8 months.

Correct?

Yes, sir.

So when we put both those things together, between now and March of '26, how much is going to come in? Because one is our internal thing and one is what we do with Alvarez & Marsal.

Yes. If we implement everything, then close to INR 200 crores will come.

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Anand Mundra: Sir, a large part of question is answered about the cost. Sir, one more thing, sir, we are still doing built-in dishwasher, oven, chimneys. These are very small segments with respect to the size of the company, and I'm sure they would be loss-making. Any thoughts of cutting down the small businesses so that we can focus on larger appliances?

Bikramjit Nag: No. These are good like margin products. We've not done well in that. We have to fix it. Because long term, we see that more and more buildings coming up in India, people will want fully equipped kitchens. And in-built becomes a huge segment going like forward. So we should be in it.

Anand Mundra: But sir, I'm looking at this segment from last multiple years, sir, this segment has not grown much for us, sir?

Bikramjit Nag: Yes. For us, it's not grown. But for others, it's grown. We've not done well. Now we made a separate team to really look at this, etcetera, etcetera. So we have to succeed in this -- just because we've not done well, it doesn't mean we keep giving up things. Management in this has failed, management has to succeed.

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Kartik Muchandi: Yes. Sir, up to quarter 2 of financial year '26, 15% to 30% reduction will come and 100% realization will happen by end of FY '26. But the annualized impact will come only after that.

Bikramjit Nag: Kartik, there are 2 parts to this. One is things like weight and all which they have identified. And one is things that we have identified over the last 7, 8 months. Correct?

Kartik Muchandi: Yes, sir.

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Kartik Muchandi: Yes. If we implement everything, then close to INR200 crores will come.

II'E*

IndustriesLimiteel

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Anand

Mundra:

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Moderator:

Natasha

Jain:

IFB

Industries

Limited

February

06,2025

Sir,howmuchsalarycostsalarywouldbepartofthiscost?Orwhichisthelargestcostforthis INR200 crores?

Itisnotsalary.We havenottouchedthatatallasyet.We arelookinginto thatonhowto rationalize.

So for example, let us say, in Goa, which is the head office in a certain department, we have 33 people spread between the 2 plants, which is A and washer. So now with them sitting together, that should come down by maybe 40%. So all those things will be rationalized by like 31st of March, decisions will be taken.

Okay.

So if salary is not the largest, and which is the largest... And for that work, we are also using E & Y for certain aspects.

Okay.

So sir, if you can give a breakup of this INR 200 crores, which is the largest cost, sir, which will be saved?

Mr. Kartik, Mr. Govindaraj?

Yes, I can answer that. The material cost will be about INR 140 crores. On that, the weight reduction and then the electronics sourcing and then the benchmarking with other competition and taking ideas from that should reduce the material cost by INR 140 crores. The logistics cost about [INR 20 crores 0:23:24] so we have got a clear breakup of INR 200 crores. Out of INR 200 crores, we have got about INR 160 crores to INR 170 crores.

Okay.

Understood, sir. Sir, last question on refrigerator plant. Are we at breakeven level, sir, at the subsidiary level or there are losses?

No, there are some losses. We are not--because we have to be--EBITDA-wise, I think we are okay, but PBT-wise, we are not okay. So we need more sales. And hopefully, by April, we should be at about 35,000 to 40,000 a month.

And hopefully, by June, we should be close to PBT breakeven.

Okay.

And sir, what is the capacity sir there?

About 1 million.

About 1 million per year.

Yes.

1.1 million...

So at 50% utilization, we would be PBT breakeven, you are saying?

We should be--yes, correct.

Next question is from the line of Natasha Jain from Phillip Capital.

My first question is on the opening remarks that you made. So you said that washers, the demand has been slowing down and we're not able to gouge. Sir, we've also observed on the ground that

Anand Mundra: Sir, how much salary cost salary would be part of this cost? Or which is the largest cost for this INR200 crores?

Bikramjit Nag: It is not salary. We have not touched that at all as yet. We are looking into that on how to rationalize. So for example, let us say, in Goa, which is the head office in a certain department, we have 33 people spread between the 2 plants, which is AC and washer. So now with them sitting together, that should come down by maybe 40%. So all those things will be rationalized by like 31st of March, decisions will be taken.

Anand Mundra: Okay. So if salary is not the largest, and which is the largest...

Bikramjit Nag: And for that work, we are also using E&Y for certain aspects.

Anand Mundra: Okay. So sir, if you

can give a breakup of this INR200 crores, which is the largest cost, sir, which will be saved?

Bikramjit Nag: Mr. Kartik, Mr. Govindaraj?

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Anand Mundra: Okay. Understood, sir. Sir, last question on refrigerator plant. Are we at breakeven level, sir, at the subsidiary level or there are losses?

Bikramjit Nag: No, there are some losses. We are not -- because we have to be -- EBITDA-wise, I think we are okay, but PBT-wise, we are not okay. So we need more sales. And hopefully, by April, we should be at about 35,000 to 40,000 a month. And hopefully, by June, we should be close to PBT breakeven.

Anand Mundra: Okay. And sir, what is the capacity sir there?

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Anand Mundra: About 1 million per year.

Bikramjit Nag: Yes. 1.1 million...

Anand Mundra: So at 50% utilization, we would be PBT breakeven, you are saying?

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Natasha Jain: My first question is on the opening remarks that you made. So you said that washers, the demand has been slowing down and we're not able to gouge. Sir, we've also observed on the ground that

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Nag:

Natasha

Jain:

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Jain:

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Nag:

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Limited

February

06,2025

people

are postponing their spend for other white goods to buy AC. So is that a trend that you're likely seeing? And will that actually harm the other white goods in the coming season because

people

will switch to AC? And having said that, do you see your AC demand increasing?

I mean, hopefully, we don't see that because if that happens, we have a

problem.

Having

said

that, the fact that AC sales are growing, logically should have nothing to do with somebody

wanting

to buy a washing machine because a washing machine is a need. AC is much more of a luxury item. Fortunately not. So this has taken us by surprise.

We are not able to understand this fully, but we are really studying this. But to answer your question, if AC sales go up, can we cater to the demand, etcetera, etcetera, we are looking into that. We actually believe our capacities will be sold. And we are also working out for next year, taking into account if present trend continues, do we need to do some things for enhancement of capacity.

Now our capacity is about 500,000 a year. And if we are close to that, therefore, next year, we have to think. And then this thing on cost down and all that we are working on for AC, which comes into effect from February, March this year, this will really help us to make margin in AC.

And the good thing is that in AC, the product which was not doing well for a while has now taken off.

Understood, sir. I mean, I agree to your point. But like you mentioned that washer is a necessity, while it is, the only challenge I see is probably we have more of premium offering. So in times when the demand slows down...

No, I don't think so. If you see LG, Samsung, etcetera, they are all doing premiumization. LG is giving up the 7kg segment, etcetera, 6.5, 7kg segment. So I don't think the issue is that. The issue is people have postponed purchase, but we are not understanding why or maybe we are not able to market it as effectively as we should in order to entice people to buy. Maybe we should spend more on that.

Fair enough, sir. So while you touched the point on marketing, a related question on that, I remember a couple of quarters back, we had suggested that while the products are very good, the company lacks a little on the marketing side.

And probably that feedback has been taken positively because when we went on the ground, we did see greater improved traction for marketing for IFB compared to previous quarters. Just wanted to know, sir, where are we in that leg? And are we at the closing end of the...

We are going to come out with the brand and the product campaign maybe in the next 2 weeks, both for washer and for AC and for refrigerators.

And sir, will this be a pan-India --

It will be a pan-India thing. But okay, whilst I'm saying that, whilst I'm saying that I think

Page 8 of 17

people are postponing their spend for other white goods to buy AC. So is that a trend that you're likely seeing? And will that actually harm the other white goods in the coming season because people will switch to AC? And having said that, do you see your AC demand increasing?

Bikramjit Nag: I mean, hopefully, we don't see that because if that happens, we have a problem. Having said that, the fact that AC sales are growing, logically should have nothing to do with somebody wanting to buy a washing machine because washing machine is a need. AC is much more of a luxury item. Fortunately not. So this has taken us by surprise.

We are not able to understand this fully, but we are really studying this. But to answer your question, if AC sale goes up, can we cater to the demand, et cetera, et cetera, we are looking into that. We actually believe our capacities will be sold. And we are also working out for next year, taking into account if present trend continues, do we need to do some things for enhancement of capacity.

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Natasha Jain: And sir, will this be a pan-India --

Bikramjit Nag: It will be a pan-India thing. But okay, whilst I'm saying that, whilst I'm saying that I think tactically, we may focus on the top 10 states for us...

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Natasha

Jain:

Bikramjit

Nag:

Natasha

Jain:

Bikramjit

Nag:

Kartik

Muchandi:

Moderator:

Resham

Jain

Bikramjit

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Resham

Jain:

Bikramjit

Nag:
And
sir could you quantify your geographic revenue mix?

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I think you mean north, south, east and west like that? Or you want it state-wise? When you're retalking geography mix, are you talking north, south, east and west or are you talking state-wise?
I'm talking north, south, east and west. Yes, broadly revenue contribution from those 4.
I think Kartik can give that better, if you can, Kartik.
Yes.

Sir, I'll provide it offline.

Next
question
is from the line of Resham Jain from DSP Asset Manage

rs.
Sol
have
three questions. First one is with respect to washing machine. So we have launched multiple new products over the last 3, 6 months in higher kg products. And obviously, market has been a little subdued. So one is macro factor, which one can understand. But on the company side, given that there are certain product gaps earlier, I presume that, that could have offset some of the growth factors to some extent. So that is my first question, sir.
So the question is whether we have product gaps or the question is whether the product gaps have been done away with?

No, I'm saying that despite filling the product gap over the next 3, 6 months--over the previous 3, 6 months, despite macro not being favorable, which is for the industry, IFB per se could have done better.
Yes.

So we have done better, but we could have done a lot, lot better in some of the capacities.

The data shows on certain capacities, we've not done as well as we should have done. So that micro analysis is leading us to assess state-wise what are the missing points and those are being plugged.

But doing the capexes and launching those models have actually helped us, yes.

Okay.

Got it. And sir, the related question is between top load and front load, obviously, we are leaders in front load. But in top load, which is the largest pie of the washing machine market, if company need

to grow much faster, then probably top load is where the faster growth would come in. Is that the right understanding?

See, the top load market is a

much,

much

bigger

market

than the front load automatic market.

The

top load fully automatic market is a much, much larger market. So if you look at that, our

internal assessment tells us there is no reason why we should not do 50,000, 60,000 a month versus today's present about 30,000 a month -- 30,000, 32,000 a month. During the October period, I think we touched close to 40,000. But -- so our internal assessment is that. So we have to do a lot more work on the ground to really ramp up volumes in top load. And the investments we made already in the design, etcetera, etcetera, and the models are out, the more we sell, the more money we make eventually and the margins will go up. So we need to do a better job on the ground.

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Natasha Jain: And sir could you quantify your geographic revenue mix?

Bikramjit Nag: I think you mean north, southeast, west like that? Or you want it state-wise? When you're talking geography mix, are you talking north, south, east and west or are you talking state-wise?

Natasha Jain: I'm talking north, south, east and west. Yes, broadly revenue contribution from those 4.

Bikramjit Nag: I think Kartik can give that better, if you can, Kartik.

Kartik Muchandi: Yes. Sir, I'll provide it offline.

Moderator: Next question is from the line of Resham Jain from DSP Asset Managers.

Resham Jain: So I have three questions. First one is with respect to washing machine. So we have launched multiple new products over the last 3, 6 months in higher kg products. And obviously, market has been a little subdued. So one is macro factor, which one can understand. But on the company side, given that there are certain product gaps earlier, I presume that, that could have offset some of the growth factor to some extent. So that is my first question, sir.

Bikramjit Nag: So the question is whether we have product gaps or the question is whether the product gaps have been done away with?

Resham Jain: No, I'm saying that despite filling the product gaps over the next 3, 6 months -- over the previous 3, 6 months, despite macro not being favorable, which is for the industry, IFB per se could have done better.

Bikramjit Nag: Yes. So we have done better, but we could have done a lot, lot better in some of the capacities. The data shows on certain capacities, we've not done as well as we should have done. So that micro analysis is leading us to reassess state-wise what are the missing points and those are being plugged. But doing the capexes and launching those models have actually helped us, yes.

Resham Jain: Okay. Got it. And sir, the related question is between top load and front load, obviously, we are leaders in front load. But in top load, which is the largest pie of the washing machine market, if company need to grow much faster, then probably top load is where the faster growth would come in. Is that the right understanding?

Bikramjit Nag: See, the top load market is a much, much bigger market than the front load automatic market. The top load fully automatic market is a much, much larger market. So if you look at that, our internal assessment tells us there is no reason why we should not do 50,000, 60,000 a month versus today's present about 30,000 a month -- 30,000, 32,000 a month. During the October period, I think we touched close to 40,000. But -- so our internal assessment is that. So we have to do a lot more work on the ground to really ramp up volumes in top load. And the investments we made already in the design, et cetera, et cetera, and the models are out, the more we sell, the more money we make eventually and the margins will go up. So we need to do a better job on the ground.

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Resham Jain:

Bikramjit Nag:

Kartik Muchandi:

Bikramjit Nag:

Resham Jain:

Bikramjit Nag:

Resham

Jain:

Bikramjit

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Resham

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Bikramjit

Nag:

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Govindaraj:

Moderator:

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February

06,2025

Understood,

sir.Sir,thesecondquestioniswithrespecttoIFBPoints.Andwevisitedsomeof your

IFB

Points

insomecities,andwefeltafterinteracting thatsomewhichoftheIFBpointdoesn't have

significant

footfalls. Soaccording toyou,outof--I

don'trecalltheexactnumberofIFB

Points,buthowmanyoftheIFBPointsona

stand-alone

basis,let'ssay,areprofitable andhow

many

arenot?Doyouhavethatdata?

Yes,wehavethat.I

thinkforus,I

thinkabout25%--20%to25%isanissue,butit'sanissue

because

ofsomelocalstatelevelmanagement issueswhichneedtobesolvedvis-a-visIFBpoint

running

andfunctioning. Nowwe'vehadachangeinmanagement andIFBpointhasbeengiven

tosomeone elseandsomerestructuring istakingplace.Andwe'veseencontraction.Ithink,Kartik,

please

letmeknow.IthinkDecember, JanuaryforIFBPointsasapercentage hasbeenbetter.

Yes,sir.It hasimproved overlastyear.

Yes,ithasimproved, andweneedtodoalot,lotmore.Andsee,IFBpoint,apartfromanything

isaverygoodmarketing toolforus.Butweneedtodoa

much,

much

betterjobatmarketing

this.Whatishappening isinmanyofthemarkets,youwillseeandsinceyou'vegonearound

themarket,I'mlikestatingthis.Oneofthereasonsforlowerfootfallisyouhaveabiggerstore

nexttoanIFBpoint.

And

ina

bigger

store,thesameproductisbeingsoldatINR500cheaper.Nowthatlogically

should

nothappen.Thatlogically shouldnothappen.Butifourowncompany doesthingslike

thatfoolishly, thenthese thingswillhappen.Sowehavetoclampdownallthisandpromote

IFB

Points

andthat'sthedirection thatIhavegiventtoMr.Mathur,whichyoumustcarryout.

Okay.

Understood,

sir.Sir,thelastandthefinalquestioniswithrespecttoAC,whereweheard

thatttherehasbeencertainissueonthecompressor sourcing side.SomeofthebrandsandOEMs

were

facing

some
issues on the compressor sourcing. So how are we prepared for the same, let's
say, for the current upcoming summer season?
This you're talking on the BIS matter.
No,
sir, the compressor, which are being sourced from China.
This is because of the BIS rules. Are you talking within...
I'm not fully aware, sir, but what we heard is that compressor sourcing is a little challenge.
I think that we have covered. I think Mr. Govindaraj, you can answer that.
Yes, I
will answer this question. Of course, we are also expecting a
demand
supply
gap
in
compressor,
but we have already taken care of that. We are totally covered up till end of March.
And
month
of April also, we have started working. Compressors from China, there are some
issues to some manufacturers in India. But I think we are covered up till May and June. We have
already
placed
the orders. And our person is there to monitor this and we don't foresee any
shortage.
Next
question
is from the line of Nisarg Vakharia from NVA Alpha Fund.
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Resham Jain: Understood, sir. Sir, the second question is with respect to IFB Points. And we visited some of
your IFB Points in some cities, and we felt after interacting that some of the IFB point doesn't
have significant footfalls

. So according to you, out of -- I don't recall the exact number of IFB
Points, but how many of the IFB Points on a stand-alone basis, let's say, are profitable and how
many are not? Do you have that data?

Bikramjit Nag: Yes, we have that. I think for us, I think about 25% -- 20% to 25% is an issue, but it's an issue
because of some local state level management issues which need to be solved vis-a-vis IFB point
running and functioning. Now we've had a change in management and IFB point has been given
to someone else and some restructuring is taking place. And we've seen traction. I think, Kartik,
please let me know. I think December, January for IFB Points as a percentage has been better.

Kartik Muchandi: Yes, sir. It has improved over last year.

Bikramjit Nag: Yes, it has improved, and we need to do a lot, lot more. And see, IFB point, apart from anything
is a very good marketing tool for us. But we need to do a much, much better job at marketing
this. What is happening is in many of the markets, you will see and since you've gone around
the market, I'm like stating this. One of the reasons for lower footfall is you have a bigger store
next to an IFB point.

And in a bigger store, the same product is being sold at INR 500 cheaper. Now that logically
should not happen. That logically should not happen. But if our own company does things like
that foolishly, then these things will happen. So we have to clamp like down all this and promote
IFB Points and that's the direction that I have given to Mr. Mathur, which you must carry out.

Resham Jain: Okay. Understood, sir. Sir, the last and the final question is with respect to AC, where we heard
that there has been certain issue on the compressor sourcing side. Some of the brands and OEMs
were facing some issues on the compressor sourcing. So how are we prepared for the same, let's
say, for the current upcoming summer season?

Bikramjit Nag: This you're talking on the BIS matter.

Resham Jain: No, sir, the compressor, which are being sourced from China.

Bikramjit Nag: This is because of the BIS rules. Are you talking within...

Resham Jain: I'm not fully aware, sir, but what we heard is that compressor sourcing is a little challenge.

Bikramjit Nag: I think that we have covered. I think Mr. Govindaraj, you can answer that.

Collegal Govindaraj: Yes. I will answer this question. Of course, we are also expecting a demand supply gap in
compressor, but we have already taken care of that. We are totally covered up till end of March.
And month of April also, we have started working. Compressors from China, there are some

issues to some manufacturers in India. But I think we are covered up till May and June. We have already placed the orders. And our person is there to monitor this and we don't foresee any shortage.

Moderator: Next question is from the line of Nisarg Vakharia from NV Alpha Fund.

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Industries Limited

Nisarg

Vakharia:

Bikramjit

Nag:

Kartik

Muchandi:

Nisarg

Vakharia:

Soumitra

Goswami:

Nisarg

Vakharia:

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Nisarg

Vakharia:

IFB

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Limited

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Two,

three questions. The first question is that long back when our AC sales had not ramped up, we

used

to say that the AC sales are the sales because of which we lose margins. Now all set aside, if I

see this quarter, Y-on-Y, your EBITDA has expanded from INR 65 crores to INR 89 crores. And this is despite the fact that you have sold lower washing machines and higher ACs. So is it safe to assume that your losses in the AC business have completely stopped and you are now

profit making there?

AC,

we

are not having losses. I

think can you answer that, Kartik?

Yes, it's EBITDA positive. From negative, we have moved to EBITDA positive in...

Okay.

Second

is that Y-on-Y, the EBITDA margins have expanded because of 2 reasons.

One

is there is a reduction in unallocable expenses. So INR 11 crores is that number. And second is

INR 6

crores of depreciation has increased Y-on-Y. Can you please clarify on both these points what

these are?

This is Soumitra Goswami. The increase in depre

ciation cost, I will be explaining. Depreciation

cost for the quarter has increased by INR 6 crores as compared to corresponding quarter of last year. This increase is due to the fact there are 2

things which have happened in this quarter. First

of all, we have added lease asset of around INR 55 crores and this has contributed around INR 4.3 crores of depreciation.

And

also there are some addition of fixed asset during the YTD period, which is a amount around INR 61 crores. This has increased the depreciation figure by around INR 1.7 crores. The INR 4.3 crores and INR 1.7 crores taken together, depreciation cost has increased by INR 6 crores as compared to last year. And the interest cost also has increased marginally that is INR 1 crores only that is also due to addition of leased assets, because our borrowing has gone down so interest cost in relation to borrowing has gone down drastically in both quarters as well as in YTD period.

Yes, sir, I was actually referring -- so thank you for explaining the depreciation increase. I was referring to the unallocable expense, which has reduced Y-on-Y.

Unallocable expenses in relation to what -- which category or at the company level?

Sir, you give product, you give segment level margins. Below the segment level margin, there is a column called unallocable expenditure. Now if you see that, that is reduced by INR 11 crores.

But Kartik, in the segment profitability, in segment-wise profitability, there is no unallocable expenditure, everything is allocated, including depreciation, finance cost, everything is allocated, including our overhead expenditure also. The product profitability statement is coming to me every month, for the month and also for the YTD period.

Let me explain my question better. I understand. I'm saying that if you look at the unallocable expenses, FY '24 for the full year, that number was INR 44 crores, okay? In FY '25, that number has become half. So it is a good thing, I am trying to understand how has that happened?

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Nisarg Vakharia: Two, three questions. The first question is that long back when our AC sales had not ramped up, we used to say that the AC sales are the sales because of which we lose margins. Now all set aside, if I see this quarter, Y-on-Y, your EBITDA has expanded from INR 65 crores to INR 89 crores. And this is despite the fact that you have sold lower washing machines and higher ACs. So is it safe to assume that your losses in the AC business have completely stopped and you are now profit making there?

Bikramjit Nag: AC, we are not having losses. I think can you answer that, Kartik?

Kartik Muchandi: Yes, it's EBITDA positive. From negative, we have moved to EBITDA positive in...

Nisarg Vakharia: Okay. Second is that Y-on-Y, the EBITDA margins have expanded because of 2 reasons. One is there is a reduction in unallocable expenses. So INR 11 crores is that number. And second is

INR6 crores of depreciation has increased Y-on-Y. Can you please clarify on both these points what these are?

Soumitra Goswami: This is Soumitra Goswami. The increase in depreciation cost, I will be explaining. Depreciation cost for the quarter has increased by INR6 crores as compared to corresponding quarter of last year. This increase is due to the fact there are 2 things which has happened in this quarter. First of all, we have added lease asset of around INR55 crores and this has contributed around INR4.3 crores of depreciation.

And also there are some addition of fixed asset during the YTD period, which is amount around INR61 crores. This has increased the depreciation figure by around INR1.7 crores. The INR4.3 crores and INR1.7 crores taken together, depreciation cost has increased by INR6 crores as compared to last year. And the interest cost also has increased marginally that is INR1 crores only that is also due to addition of leased assets, because our borrowing has gone down so interest cost in relation to borrowing has gone down drastically in both quarters as well as in YTD period.

Nisarg Vakharia: Yes, sir, I was actually referring -- so thank you for explaining the depreciation increase. I was referring to the un

allocable expense, which has reduced Y-on-Y.

Soumitra Goswami: Unallocable expenses in relation to what -- which category or at the company level?

Nisarg Vakharia: Sir, you give product, you give segment level margins. Below the segment level margin, there is a column called unallocable expenditure. Now if you see that, that is reduced by INR11 crores.

Soumitra Goswami: But Kartik, in the segment profitability, in segment-wise profitability, there is no unallocable expenditure, everything is allocated, including depreciation, finance cost, everything is allocated, including our overhead expenditure also. The product profitability statement is coming to me every month, for the month and also for the YTD period.

Nisarg Vakharia: Let me explain my question better. I understand. I'm saying that if you look at the unallocable expenses, FY '24 for the full year, that number was INR44 crores, okay? In FY '25, that number has become half. So it is a good thing, I am trying to understand how has that happened?

II'E*

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Soumitra

Goswami:

Nisarg

Vakharia:

Soumitra

Goswami:

Moderator:

Shreyansh

Jain:

Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

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Industries

Limited

February

06,2025

No,I

am

tellingyouonlyonething.Ithinkthereissomemistakeinunderstanding, youcancall me

offline.Thereisnounallocable expenditure intheproductprofitability statement. Nothing is there.Idon'tknowwhereyouhavegottheINR40croresfigure.Soifyoucancallmeoffline, thenwecandiscussindetail.Thereisnoprobblem. Thereisnounallocable expenditure.

Iwillcallyouoffline,sir.

Yes,noproblem.

Next

question

isfromthelineofShreyansh JainfromSvanInvestments.

SomyfirstquestionisontheACbusiness. Soyoun'resayingweareEBITDA positive.Andalso

in the presentation, we are talking about improving our market share from, say, 3% to 6%. And
 in our previous calls, we had also guided for, say, about doing about 4
 lakh, 4.5 lakh, 5
 lakh
 units of ACs in FY'25. Now if I just go back and calculate the 9
 months
 for ACs, we would
 have
 ideally done about 2
 lakh, 2.25 lakh units of ACs.
 So I
 think Q4, we-- I
 don't know how much we can do in Q4, but you are slightly behind your
 guidance
 of 4
 lakh, 4
 lakh, 5
 lakh ACs for FY'25. So how are we looking at this whole piece?
 And
 when
 you're
 targeting
 6%
 market
 share, do we-- I
 mean,
 I'm just trying to understand
 qualitatively
 the product acceptance? Or is it just the industry tailwind that's there that's helping
 us? So can you...
 I think it's the tailwind that the industry has, but the products have been received well over the
 last few years. And I
 think that has obviously helped because if your product quality was bad,
 then the tailwind would not help you. As far as the volumes go, in the first 6
 months,
 we
 never
 did in the first 7
 months,
 we've
 not done as well as we should have done. But the last 2-odd
 months
 has been good, 2
 to 3
 months,
 3
 months,
 if you take January also. And looking at
 February,
 March,
 we will be below our overall thing that we had given earlier.
 But
 if you see why we are saying our capacities will be fully sold out if we take a
 5-month
 period,
 etcetera, going forward, whatever we see, our view is that if you look at it from now till
 June, I
 think we'll have an issue on-- we will-- I think we'll be near about full capacity. And of
 course,
 the product quality has played a part in that apart from tailwind.
 Okay.
 And
 sir, how are we priced versus competition in the AC?
 So our pricing is, I
 think, higher than-- see, we are relooking at our overall strategy on this and
 we

are trying to take prices up and sell more of 2-tonne inverter and all of that. And whatever cost down, etcetera, we are having, we are not going to pass on. And I think we want to play to

a

brand

rhythm.

And

we

don't want to discount vis-a-vis LG higher end, etcetera. But today, if

you

take a like-to-like model, then LG higher end is priced higher than us. But we would like to

bridge

that gap over time.

Okay.

And

my

second

part is...

Vis-a-vis

Samsung

and all, I think we are okay.

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February 06, 2025

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Soumitra Goswami: No, I am telling you only one thing. I think there is some mistake in understanding, you can call me offline. There is no unallocable expenditure in the product profitability statement. Nothing is

there. I don't know where you have got the INR 40 crores figure. So if you can call me offline, then we can discuss in detail. There is no problem. There is no unallocable expenditure.

Nisarg Vakharia: I will call you offline, sir.

Soumitra Goswami: Yes, no problem.

Moderator: Next question is from the line of Shreyansh Jain from Svan Investments.

Shreyansh Jain: So my first question is on the AC business. So you're saying we are EBITDA positive. And also in the presentation, we are talking about improving our market share from, say, 3% to 6%. And in our previous calls, we had also guided for, say, about doing about 4 lakh, 4.5 lakh, 5 lakh units of ACs in FY '25. Now if I just go back and calculate the 9 months for ACs, we would have ideally done about 2 lakh, 2.25 lakh units of ACs.

So I think Q4, we -- I don't know how much we can do in Q4, but you slightly be behind your guidance of 4 lakh, 4 lakh, 5 lakh ACs for FY '25. So how are we looking at this whole piece?

And when you're targeting 6% market share, do we -- I mean, I'm just trying to understand qualitatively the product acceptance? Or is it just the industry tailwind that's there that's helping us? So can you...

Bikramjit Nag: I think it's the tailwind that the industry has, but the products have been received well over the last few years. And I think that has obviously helped because if your product quality was bad, then the tailwind would not help you. As far as the volumes go, in the first 6 months, we never did in the first 7 months, we've not done as well as we should have done. But the last 2-odd months has been good, 2 to 3 months, 3 months, if you take January also. And looking at February, March, we will be below our overall thing that we had given earlier.

But if you see why we are saying our capacities will be fully sold out is if we take a 5-month period, etcetera, going forward, whatever we see, our view is that if you look at it from now till June, I think we'll have an issue on -- we will -- I think we'll be near about full capacity. And of course, the product quality has played a part in that apart from tailwind.

Shreyansh Jain: Okay. And sir, how are we priced versus competition in the AC?

Bikramjit Nag: So our pricing is, I think, higher than -- see, we are relooking at our overall strategy on this and we are trying to take prices up and sell more of 2-tonne inverter and all of that. And whatever cost down, et cetera, we are having, we are not going to pass on. And I think we want to play to a brand rhythm. And we don't want to discount vis-a-vis LG higher end, et cetera. But today, if you take a like-to-like model, then LG higher end is priced higher than us. But we would like to bridge that gap over time.

Shreyansh Jain: Okay. And my second part is...

Bikramjit Nag: Vis-a-vis Samsung and all, I think we are okay.

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Shreyansh

Jain:

Bikramjit

Nag:

Kartik

Muchandi:

Shreyansh

Jain:

Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

Shreyansh

Jain:

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Industries

Limited

February

06,2025

Okay.

And

my

second

part to this AC business is, as we target 5

lakh

ACs

next

year

and

somewhere

in the call, we mentioned that we are EBITDA positive. So next year, should we

actually

look

at 4%, 5% of EBIT margins for this segment? Or how should we look at the

profitability piece?

Kartik?

Yes, we could be near that.

Okay.

Sir, my second question is on the refrigerator business. So I

think you gave volumes in

terms

of production, but if you can help us on what kind of revenues we're doing in this business

or some sense on the...

We

give this to you offline because that's another company, as you know. Amount of sales we

do within IFB is less. But IFB Refrigeration Limited is a

separate

company.

How

much

IFB

selling exactly, we will give it to you offline.

Sure. Sir, my last question is on the washing machine piece, right? So October, you said we did

fairly well. So can you just quantify what kind of growth rates we would have witnessed in

October?

And

also somewhere in the presentation, you've mentioned that we faced a

situation

where

we

couldn't

cate

to the demand.

Now

I think when I

go back, this is happening a lot of times with us where there's a very strong

demand,
 we've
 not been able to cater to that demand and probably because there we lose some
 bit of sales. So how do you look at this whole thing, sir? Because when demand...
 Yes. So there is a trade-off. So let's say, now we built up stock for washer and AC. AC we sold,
 washer,
 we
 have
 not
 sold and we are stuck with inventory. Okay. So we always make an
 assessment
 3
 months,
 let's say. And we all buy raw material, we convert to finished goods, et
 cetera.
 But
 if sales and purchase don't work hand in hand, then either you lose some sales or you're
 stuck
 up with inventory. So I
 think better planning has to go into this. I
 think--but as I
 said
 earlier, we are not able to understand why sudden slowdown in washer. And now we are stuck
 with stock. So there's an issue there.
 But
 for the AC season, we started building up stock. You see--so if you see our figures now,
 the inventory has gone up substantially because of AC and some bit because of washers which
 were
 not sold. But AC is a planned stock buildup, but washer is not
 Washer
 is a
 failure to do sales because of market issues, which we are not able to understand
 why.
 So to answer your question again, maybe I
 can use the term better year planning, but why
 this has happened this time, honestly, I just don't know for the washer part.
 Okay.
 Sir, my last question is, we've seen--we've noticed that there is some delay off in the
 employee
 front. So there is about 60, 70-odd employees that have reduced. So I'm just trying to
 understand,
 is there--you also mentioned the 2
 plants now that you're going to look at 40%
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Shreyansh Jain: Okay. And my second part to this AC business is, as we target 5 lakh ACs next year and
 somewhere in the call, we mentioned that we are EBITDA positive. So next year, should we
 actually look at 4%, 5% of EBIT margins for this segment? Or how should we look at the
 profitability piece?

Bikramjit Nag: Kartik?

Kartik Muchandi: Yes, we could be near that.

Shreyansh Jain: Okay. Sir, my second question is on the refrigerator business. So I think you gave volumes in
 terms of production, but if you can help us on what kind of revenues we're doing in this business
 or some sense on the...

Bikramjit Nag: We give this to you offline because that's another company, as you know. Amount of sales we
 do within IFB is less. But IFB Refrigeration Limited is a separate company. How much IFB
 selling exactly, we will give it to you offline.

Shreyansh Jain: Sure. Sir, my last question is on the washing machine piece, right? So October, you said we did
 fairly well. So can you just quantify what kind of growth rates we would have witnessed in
 October? And also somewhere in the presentation, you've mentioned that we faced a situation
 where we couldn't cater to the demand.

Now I think when I go back, this is happening a lot of times with us where there's a very strong
 demand, we've not been able to cater to that demand and probably because there we lose some

bit of sales. So how do you look at this whole thing, sir? Because when demand...

Bikramjit Nag: Yes. So there is a trade-off. So let's say, now we built up stock for washer and AC. AC we sold, washer, we have not sold and we are stuck with inventory. Okay. So we always make an assessment 3 months, let's say. And we all buy raw material, we convert to finished goods, et cetera.

But if sales and purchase don't work hand in hand, then either you lose some sales or you're stuck up with inventory. So I think better planning has to go into this. I think -- but as I said earlier, we are not able to understand why sudden slowdown in washer. And now we are stuck with stock. So there's an issue there.

But for the AC season, we started building up stock. You see -- so if you see our figures now, the inventory has gone up substantially because of AC and some bit because of washers which were not sold. But AC is a planned stock buildup, but washer is not. Washer is a failure to do sales because of market issues, which we are not able to understand why. So to answer your question again, ma

ybe I can use the term better year planning, but why this has happened this time, honestly, I just don't know for the washer part.

Shreyansh Jain: Okay. Sir, my last question is, we've seen -- we've noticed that there is some layoffs in the employee front. So there is about 60, 70-odd employees that have reduced. So I'm just trying to understand, is there -- you also mentioned the 2 plants now that you're going to look at 40% II'E*

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Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

Kartik

Muchandi:

Bikramjit

Nag:

Kartik

Muchandi:

Bikramjit

Nag:

Shreyansh

Jain:

Bikramjit

Nag:

Moderator:

Manoj

Gori:

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Limited

February

06,2025

leverage

coming

infromthere.Sothis9.9%employee costasa

percentage

ofsales,isthere

leverage

here?

Percentage

ofsalescancomedownin2ways.Suddenly, salesgrowby30%,35%--percentage

willcomedown,okay?Butinabsoluteterms,itshouldcomedown.

I'mjusttryingtounderstand, istherespacethere?Imean,arewelookingat...

There is always space to look at things in absolute terms. We need to be more innovative in consolidating roles. And I keep telling my team who is on this call that they should do it. And if they see what is happening in the U.S. and the way certain things are done, we should learn from that. You see, we are having 2 plants a kilometer away, 2 sets of accountants sitting, 2 sets of purchase people sitting. This is not needed. This is just not needed. And if you take the refrigerator plant, which is a separate company, also, certain things can be done like together. So I think we will restructure this. We are using E&Y for a finance transformation thing and we will come up with this within the next 2 weeks. Okay. And sir, just last one on the accounting front, sir. When we open IFB Points, what is the cost that we have to incur, say, in terms of CapEx for inventory and CapEx? About --no, I mean a lot of the cost is borne by the franchisee -- if it is franchisee side, franchisee led. If it's done by us, it comes to around INR 20-odd lakhs approximately. Okay. So out of the INR 475, how many are on our books and how many are on franchisees? I think about -- Kartik, how much is it? I think 170... 180 our CoCos sir. 180 franchises? CoCos, sir. Company... So it's 300 and 180, let's say. Okay. And incrementally, all of this is coming on CoCo? Yes. We have a follow-up question from the line of Manoj Gorif from Equirus Capital. Sir, just continuing with the previous question where you said like you are stuck with washers. Is it alarming enough that probably you need to give incremental discounts to the channel because if you look at next washing machine season will be in monsoon and we are too far away from that? Page 14 of 17 IFB Industries Limited February 06, 2025

Page 14 of 17

leverage coming in from there. So this 9.9% employee cost as a percentage of sales, is there leverage here? Bikramjit Nag: Percentage of sales can come down in 2 ways. Suddenly, sales grow by 30%, 35% -- percentage will come down, okay? But in absolute terms, it should come down. Shreyansh Jain: I'm just trying to understand, is there space there? I mean, are we looking at... Bikramjit Nag: There is always space to look at things in absolute terms. We need to be more innovative in consolidating roles. And I keep telling my team who is on this call that they should do it. And if they see what is happening in the U.S. and the way certain things are done, we should learn from that. You see, we are having 2 plants a kilometer away, 2 sets of accountants sitting, 2 sets of

purchase people sitting.

This is not needed. This is just not needed. And if you take the refrigerator plant, which is separate company also, certain things can be done like together. So I think we will restructure this. We are using E&Y for a finance transformation thing and we will come up with this within the next 2 weeks.

Shreyansh Jain: Okay. And sir, just last one on the accounting front, sir. When we open IFB Points, what is the cost that we have to incur, say, in terms of CapEx for inventory and CapEx?

Bikramjit Nag: About -- no, I mean a lot of the cost is borne by the franchisee -- if it is franchisee s

ide, franchisee

led. If it's done by us, it comes to around INR20-odd lakhs approximately.

Shreyansh Jain: Okay. So out of the INR475, how many are on our books and how many are on franchisees?

Bikramjit Nag: I think about -- Kartik, how much is it? I think 170...

Kartik Muchandi: 180 our CoCos sir.

Bikramjit Nag: 180 franchises?

Kartik Muchandi: CoCos, sir. Company...

Bikramjit Nag: So it's 300 and 180, let's say.

Shreyansh Jain: Okay. And incrementally, all of this is coming on CoCo?

Bikramjit Nag: Yes.

Moderator: We have a follow-up question from the line of Manoj Gori from Equirus Capital.

Manoj Gori: Sir, just continuing with the previous question where you said like you are stuck with washers.

Is it alarming enough that probably you need to give incremental discounts to the channel because if you look at next washing machine season will be into monsoon and we are too far away from that?

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Bikramjit

Nag:

Manoj

Gori:

Bikramjit

Nag:

Moderator:

Moksha

Shah:

Bikramjit

Nag:

Moderator:

Venkatakesava

Turaga:

Bikramjit

Nag:

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No, we don't need to -- no, we don't need to do all that too much, but we are looking at what can

we do to directly entice the customer and not the challenge.

So some sort of schemes might be launched for the customer.

We

are looking into that, yes. We may do that. Again, that to in select markets, not across the board.

We

have

our next question from the line of Moksha Shah from Agility Advisors.

Sol just had one question. In previous calls, the company has mentioned plan to manufacture products

for the railways and also under the electronics division. So can you please share some more

thoughts

on this side? Are there any acquisitions which we are specifically targeting for the same?

No.

On

acquisitions

so far, whatever we've got so far and work is going on is on the auto

components
 side. In railways and electronics, we've not found a suitable company as yet. But we
 are doing work to develop products for both railways as well as the electronic industry, we are
 talking
 to the customers directly, some of the customers, well-known brands to whom we can
 supply
 certain
 things.
 That
 work
 is progressing well, but it's taking time because of the
 development
 cycle, etcetera.
 We
 have
 our next question from the line of Vivekkumar from Bestpals Research.
 Sir, I wanted to ask a question on this both refrigerator and AC. We already have market shares
 in microwave oven and front loader. So what is it--how are you going to garner market share?
 Because
 when
 you
 go to big retail outlets, you see too many people competing for this AC.
 As of now, we have tailwinds, but let's say, tailwinds or growth rate stops a
 little bit and how
 will we still manage to fill our capacities because you already told your capacities are filled now
 because
 of the tailwinds and also product being good.
 But if you see there's a
 lot of competition, both ACs and refrigerators. So how are you going to
 think about over the long run that when growth rate normalizes, still we will fill our capacities
 and get our margins and maintain some market share. So if you can better guide us what are you
 thinking
 about?
 I think as far as AC growth, I think we are on the right track, and we struggled for nearly 5 years,
 4.5 years. As far as refrigerator goes, we just launched a marketing thing in the market--I mean,
 a
 marketing
 campaign
 for
 customers,
 wherein
 we
 have
 increased
 the
 warranty
 on
 our
 refrigerators,
 etcetera. We are the first ones to offer a 4-year warranty on refrigerator. And that
 has created a noise in the market.
 And
 we have done that because we believe that the quality of the product is good. The company
 --factory people and the development people really believe in that. And while your refrigerator,
 everyone
 gave
 by and large 1
 plus 1
 warranty,
 etcetera, I
 think we've gone for a 4-year clean
 warranty.
 Correct,
 Mr. Govindaraj?
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 February 06, 2025

Bikramjit Nag: No, we don't need to -- no, we don't need to do all that too much, but we are looking at what can we do to directly entice the customer and not the challenge.

Manoj Gori: So some sort of schemes might be launched for the customer.

Bikramjit Nag: We are looking into that, yes. We may do that. Again, that to in select markets, not across the board.

Moderator: We have our next question from the line of Moksha Shah from Agility Advisors.

Moksha Shah: So I just had one question. In previous calls, the company has mentioned plans to manufacture products for the railways and also under the electronics division. So can you please share some more thoughts on this side? Are there any acquisitions which we are specifically targeting for the same?

Bikramjit Nag: No. On acquisitions so far, whatever we've got so far and work is going on is on the auto components side. In railways and electronics, we've not found suitable company as yet. But we are doing work to develop products for both railways as well as the electronic industry, we are talking to the customers directly, some of the customers, well-known brands to whom we can supply certain things. That work is progressing well, but it's taking time because of the development cycle, etcetera.

Moderator: We have our next question from the line of Vivekkumar from Bestpals Research.

Venkatakesava Turaga: Sir, I wanted to ask a question on this both refrigerator and AC. We already have market shares in microwave oven and front loader. So what is it -- how are you going to garner market share?

Because when you go to big retail outlets, you see too many people competing for this AC.

As of now, we have tailwinds, but let's say, tailwinds or growth rate stops a little bit and how will we still manage to fill our capacities because you already told your capacities are filled now because of the tailwinds and also product being good.

But if you see there's a lot of competition, both ACs and refrigerators. So how are you going to think about over the long run that when growth rate normalizes, still we will fill our capacities and get our margins and maintain some market share. So if you can better guide us what are you thinking about?

Bikramjit Nag: I think as far as AC growth, I think we are on the right track, and we struggled for nearly 5 years, 4.5 years. As far as refrigerator goes, we just launched a marketing thing in the market -- I mean, a marketing campaign for customers, wherein we have increased the warranty on our refrigerators, etcetera. We are the first ones to offer a 4-year warranty on refrigerator. And that has created a noise in the market.

And we have done that because we believe that the quality of the product is good. The company -- factory people and the development people really believe in that. And while your refrigerator, everyone gave by and large 1 plus 1 warranty, et cetera, I think we've gone for a 4-year clean warranty. Correct, Mr. Govindaraj?

II'E*

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Co11ega1

Govindaraj:

Bikramjit

Nag:

Venkatakesava

Bikramjit

Nag:

Venkatakesava

Bikramjit

Nag:

Venkatakesava

Bikramjit

Nag:

Venkatakesava

Bikramjit

Nag:

Venkatakesava

Bikramjit

Nag:

Moderator:

Turaga:

Turaga:

Turaga:

Turaga:

Turaga:
Yes, sir. Yes, we are going...

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Industries
Limited
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06, 2025

This has been launched only--this was launched, I think, on Monday, Saturday or Monday. And it's being received very well by customers also by the retailers. And it is helping us gain a lot of traction to sell. So we have to find innovative ways to sell our product to the same channel to whom

we are selling frontload, topload and AC. Now with or without tailwind, we have to succeed.

There is no choice for us. And we have to keep finding innovative ways on the ground to like do all this.

So because why? Masking is, let's say, you go and buy a --customer when he goes to buy a

refrigerator,

there's only so much space the retailer will have for refrigerators. You can't have like other products where you can put 10 brands, 15 brands. So you need to get that space means customer

needs

to ask for your product like fast-moving only will be put by the retailer because he can't take risk of putting all the brands that are on...

Correct.

So we have to create demand for our brand.

Sir, and lastly, in the AC, you said we have struggled and--but now you are very confident of linear capacity. So what did you do differently that we have struggled and now we are no more struggling

like what steps did we take in

the last 2, 3
years?

We

struggled

for 4.5 years. We've lost a

lot of money. And we did a

lot of work in the market

on the ground with our team, with the retailers and that is paying off now. But it's been very, very slow and a very tedious process for us.

Even

if the tailwind on the growth rate subsidizes, you will still be able to build your capacities, you

are confident...

I think so. I

think more than anything, I

think the team is very confident of the product and so

are the retailers. The retailers have gained a lot of confidence in this.

So any region where you see all the more like--your market share is more in one part of this country.

Okay,

sir. This will be the last question. Any area where we are doing much better in AC.

No,

in both AC and ref, we are doing better in the east. We are doing well in the east. We are doing

well in the north too, which is the Chandigarh, Punjab region, etcetera. We are doing very well. So it's in pockets. And in some places, we are not doing well at all. For example, Andhra Pradesh,

Telangana,

we

are not doing well at all. So we have to go state by state and fix things and improve things. And in certain states, it's fixed.

And

you

are confident over the long run, you will do it in the 2 states -- in these kind of states also Andhra, Telangana kind of states also?

Do we have a choice? We have to do well. We have no choice.

We have our next question from the line of Abhishek Ghosh from DSP Mutual Funds.

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Collegal Govindaraj: Yes, sir. Yes, we are going...

Bikramjit Nag: This has been launched only -- this was launched, I think, on Monday, Saturday or Monday. And it's being received very well by customers also by the retailers. And it is helping us gain a lot of traction to sell. So we have to find innovative ways to sell our product to the same channel to whom we are selling front load, top load and AC. Now with or without tailwind, we have to succeed. There is no choice for us. And we have to keep finding innovative ways on the ground to like do all this.

Venkatakesava Turaga: So because why I'm asking is, let's say, you go and buy a -- customer when he goes to buy a refrigerator, there's only so much space the retailer will have for refrigerators. You can't have like other products where you can put 10 brands, 15 brands. So you need to get that space means customer needs to ask for your product like fast-moving only will be put by the retailer because he can't take risk of putting all the brands that are on...

Bikramjit Nag: Correct. So we have to create demand for our brand.

Venkatakesava Turaga: Sir, and lastly, in the AC, you said we have struggled and -- but now you are very confident of linear capacity. So what did you do differently that we have struggled and now we are no more struggling like what steps did we take in the last 2, 3 years?

Bikramjit Nag: We struggled for 4.5 years. We've lost a lot of money. And we did a lot of work in the market on the ground with our team, with the retailers and that is paying off now. But it's been very, very slow and a very tedious process for us.

Venkatakesava Turaga: Even if the tailwind on the growth rates subside, you will still be able to build your capacities, you are confident...

Bikramjit Nag: I think so. I think more than anything, I think the team is very confident of the product and so are the retailers. The retailers have gained a lot of confidence in this.

Venkatakesava Turaga: So any region where you see all the more like -- your market share is more in one part of this country. Okay, sir. This will be the last question. Any area where we are doing much better in AC.

Bikramjit Nag: No, in both AC and ref, we are doing better in the east. We are doing well in the east. We are doing well in north too, which is the Chandigarh, Punjab region, et cetera. We are doing very well. So it's in pockets. And in some places, we are not doing well at all. For example, Andhra Pradesh, Telangana, we are not doing well at all. So we have to go state by state and fix things and improve things. And in certain states, it's fixed.

Venkatakesava Turaga: And you are confident over the long

run, you will do it in the 2 states -- in these kind of states also Andhra, Telangana kind of states also?

Bikramjit Nag: Do we have a choice? We have to do well. We have no choice.

Moderator: We have our next question from the line of Abhishek Ghosh from DSP Mutual Funds.

II'E*

Industries Limited

Abhishek

Ghosh:

Bikramjit

Nag:

Abhishek

Ghosh:

Bikramjit

Nag:

Abhishek

Ghosh:

Bikramjit

Nag:

Abhishek

Ghosh:

Bikramjit

Nag:

Moderator:

Bikramjit

Nag:

Soumitra

Goswami:

Bikramjit

Nag:

Moderator:

IFB

Industries

Limited

February

06,2025

Just in terms of the finalization of the CEO for the Home Appliances division, just wanted to understand

where

are we in that?

That's a very good question. We've gone through close to 400 CVs and we shortlisted a few. But at the final thing, it did not happen, not for anything else, but because we did not think they were suitable for an end-to-end role.

The

problem

we

are facing, which I

think I

touched

upon

last time, but I

do not remember, is

that the ones who are good at sales and marketing have come across as being weak on the factory side and the development side. And our products are actually technology products. So we need someone

with a care for both. And that is taking some time, but I hope to close it soon.

Okay.

But you want just one CEO who will take care of the both and you don't want to split the responsibilities

in terms of marketing and the factory part of it.

That

is already done. So sales and marketing is run by Mr. Mathur. Factory is run by Mr.

Govindaraj,

but the CEO must understand overall business, which means he must have some knowledge

of everything. Otherwise, we'll have a problem.

Okay.

Sir, the other question is in terms of the new model that you have launched and how...

Washer

or AC?

Washer,

sir. You have launched in October. How is the channel feedback for that and...

Very

good. I think what I would request all of you to do is to go into the market and give us this feedback

whatever

you

honestly

see or hear from the market. But the feedback that has been

given

to me at least is that the channel feedback on the models is very well received. But why

this sudden slowdown has happened, there, I'm not getting an answer at all. That has surprised me

on the washer side.

Ladies

and gentlemen, that would be the last question for today and I

now

hand

the conference
over to the management for closing comments. Over to you, sir.
Soumitra,
anything
you
have
to say?
Thank
you,
everybody,
for participating in this call. We'll meet again after quarter 4. Thanks
once
again.
Thank
you.
Thank
you.
On
behalf
of Nirmal Bang Institutional Equities, that concludes this conference.
Thank
you
for joining us and you may now disconnect your lines.
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February 06, 2025

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Abhishek Ghosh: Just in terms of the finalization of the CEO for the Home Appliances division, just wanted to understand where are we in that?

Bikramjit Nag: That's a very good question. We've gone through close to 400 CVs and we shortlisted a few. But at the final thing, it did not happen, not for anything else, but because we did not think they were suitable for an end-to-end role.

The problem we are facing, which I think I touched upon last time, but I do not remember, is that the ones who are good at sales and marketing have come across as being weak on the factory side and the development side. And our products are actually technology products. So we need someone with a care for both. And that is taking some time, but I hope to close it soon.

Abhishek Ghosh: Okay. But you want just one CEO who will take care of the both and you don't want to split the responsibilities in terms of marketing and the factory part of it.

Bikramjit Nag: That is already done. So sales and marketing is run by Mr. Mathur. Factory is run by Mr. Govindaraj, but the CEO must understand overall business, which means he must have some knowledge of everything. Otherwise, we'll have a problem.

Abhishek Ghosh: Okay. Sir, the other question is in terms of the new models that you have launched and how...

Bikramjit Nag: Washer or AC?

Abhishek Ghosh: Washer, sir. You have launched in October. How is the channel feedback for that and...

Bikramjit Nag: Very good. I think what I w

ould request all of you to do is to go into the market and give us this feedback whatever you honestly see or hear from the market. But the feedback that has been given to me at least is that the channel feedback on the models is very well received. But why this sudden slowdown has happened, there, I'm not getting an answer at all. That has surprised me on the washer side.

Moderator: Ladies and gentlemen, that would be the last question for today and I now hand the conference over to the management for closing comments. Over to you, sir.

Bikramjit Nag: Soumitra, anything you have to say?

Soumitra Goswami: Thank you, everybody, for participating in this call. We'll meet again after quarter 4. Thanks once again.

Bikramjit Nag: Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2025

14th June, 2025

The Manager
Department of Corporate Services
BSE Limited,
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai-400001

The Manager
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No-C/1, G Block,
Bandra Kurla Complex
Mumbai -400051

Symbol: IFBIND | ISIN: INE559A01017

Dear Sir,

Sub: Transcript of the earnings conference call for the quarter and financial year ended 31st March, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our letter dated 9th June 2025 regarding the audio recording of the investor's earnings call for the quarter and financial year ended 31st March 2025, please find enclosed herewith the transcript of the said call.

The said transcript is also available on the Company's website i.e.
<https://www.ifbindustries.com/financial.php>

This is for your information and records.

Yours faithfully,

For IFB INDUSTRIES LIMITED

Ritesh Agarwal
Company Secretary

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"IFB Industries Limited Q4 & FY '25 Earnings
Conference Call "

June 09, 2025

MANAGEMENT : MR. BIKRAMJIT NAG – CHAIRMAN
MR. P. H. NARAYANAN – MANAGING DIRECTOR ,

ENGINEERING DIVISION
MR. C. S. GOVINDARAJ – EXECUTIVE DIRECTOR ,
MANUFACTURING , HOME APPLIANCES DIVISION
MR. SOUMITRA GOSWAMI – CHIEF FINANCIAL
OFFICER
MR. JAYANTA CHANDA – CHIEF FINANCIAL OFFICER ,
ENGINEERING DIVISION
MR. KARTIK MUCHANDI – HEAD, FINANCE AND
ACCOUNTS , HOME APPLIANCE DIVISION
MR. RANJAN MOHAN – NATIONAL SALES HEAD,
HOME APPLIANCES
MODERATOR : MS. TERESA JOHN – NIRMAL BANG EQUITIES

IFB Industries Limited
June 09 , 2025

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 FY '25 Earnings Conference Call of IFB Industries Limited.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “* ,” then “0” on your touchtone phone. Please note, this call is being recorded.

I now hand the conference over to Ms. Teresa John. Thank you and over to you.

Teresa John: Thank you, Harshi. On behalf of Nirmal Bang Institutional Equities, I would like to welcome you all to the 4Q FY '25 Earnings Call of IFB Industries Limited.

The Management today is represented by Mr. Bikramjit Nag – Chairman; Mr. P. H. Narayanan – MD, Engineering Division; Mr. C. S. Govindaraj – ED, Manufacturing of the Home Appliances Division; Mr. Soumitra Goswami – CFO; Mr. Jayanta Chanda – CFO of the Engineering Division; Mr. Kartik Muchandi – Head (Finance and Accounts), Home Appliance Division; and Mr. Ranjan Mohan – National Sales Head (Home Appliances).

I will now hand over to the Management for their opening remarks, after which we will open up the floor for Q&A. Thank you and over to you, sir.

Soumitra Goswami: Good afternoon, everybody. I am Soumitra Goswami – the Chief Financial Officer of IFB Industries Limited. I welcome you all for IFB Industries Limited 's investor call for the 4th Quarter of the year FY '24 -'25.

I have with me Mr. Bikramjit Nag – Chairman of IFB Industries Ltd., Mr. P. H. Narayanan – Managing Director and Chief Executive of our Engineering Division; Mr. J. Chanda – CFO of our Engineering Division; Mr. C. S. Govindaraj – Executive Director, Manufacturing of Home Appliances Division; Mr. Kartik Muchandi – Head of Finance, Home Appliance Division; Mr. Ranjan Mohan Mathur, Head of Sales of Home Appliance Division.

Now, I will inform you about the Q4 Results:

Revenue for the quarter was Rs. 1,312 crores against last year's Rs. 1,067 crores with a growth of 23%, and in value term the growth amount is Rs. 245 crores over last year. PBDIT for the period was Rs. 69 crores, and its percentage to revenue was 5.28% as compared to last year's Rs. 54 crores, which was 5.10% of revenue.

PBDIT amount came across a growth of 28% year -on-year. Fixed expenditure for the quarter was well behind budget. PBT for the period was Rs. 29 crores against last year's figure of Rs. 16 crores, growth of 81%. Q4 PAT was Rs. 22 crores as compared to last year's Rs. 14 crores, which is a growth of 57% over last year.

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Figures of YTD March '25 period are the following :

Revenue for the YTD period is Rs. 4,977 crores against last year's Rs. 4,344 crores, with a growth of 14%. In terms of value, revenue growth for YTD period was Rs. 633 crores. PBDIT for the period was Rs. 325 crores, and its percentage to revenue was 6.5% as compared to last year's Rs. 240 crores, which was 5.5% on revenue.

PBDIT amount came across a growth of Rs. 84 crores, which is a growth of 35% year -on-year. PBDIT growth is attributable to higher revenue, with fixed expenditure maintained behind budget. PBT for YTD period was Rs. 171 crores, which was 3.4% on revenue as compared to last year's Rs. 90 crores, which was 2.1% on revenue.

Growth in PBT was Rs. 81 crores, and in terms of percentage, the growth was 90%. PAT for the period was Rs. 129 crores, which was 2.6% on revenue in comparison with last year's Rs. 69 crores, which was 1.6% on revenue. Growth in PAT was 87%, and value growth was Rs. 60 crores over last year.

With this, I will request to start the question -and-answer session.

Moderator: Thank you very much. We will now begin the question -and-answer session. We have a first question

from the line of Shreyans Jain from Svan Investments. Please go ahead.

Shreyans Jain : Yes. So, my first question is, sir, when I look at your washing machine business, that has been a little tad weaker than RAC. So, just want some sense on how are we looking at that product category, sir, how is the industry doing? Just some sense on that.

Ranjan Mohan Mathur: So, the industry in front loaders has been stagnant. And overall, if you see, in the addressable market we have gained a share of around 1.5% to 2%. But the fact of the matter is the industry has not been growing. And particularly up to 10 kg there was a decline observed, so there is a shift towards high -end. But overall, if you see, the industry growth in terms of front -loader has not been there.

Shreyans Jain : Okay. And sir, from what we understand, 50% of the market and about 15% , 20% is about semi -automatic and top load . And I think we do not do semi -automatic, and we are slightly weaker on the top -load side. So, I am trying to understand, do we going forward plan to enter semi -automatic in a big way ? And top load as a category has been growing at 15% , 20% is what we understand from the channel , and we were largely a late entrant in that category. So, do you think we would need some kind of push to actually capture market share in those two categories?

Ranjan Mohan Mathur: So, in top -loaders, after the launch of the new series which we launched last year, our growth in, say, 4th Quarter was around 27% against the industry 's growth of, as rightly said by you, of 15% to 16%. And we have again gained around 1.5% to 2% market share in that category. And for us, the range of top -loaders, fully automatic, has started moving. And month -on-month, we are

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able to sustain reasonably good volume s. But there is a lot of scope in this and we intend to tap that market. With regard s to semi -automatic, we do not have any intent to get into that market, that segment .

Shreyans Jain : And sir, there is a comment in your presentation where we are saying, customers are upgrading to higher -capacity machines and companies are actually offering higher -capacity machines at similar price points , right . So, I am just trying to understand this whole comment and your hiring of A&M for cost -cutting. So, do we envisage a situation where gross margins now will actually tend to be lower versus historical gross margins? Because I think in one of your previous calls you had also mentioned that our products are over -engineered slightly ver sus competition. So, seen all of this, how do we look at gross margins for the washing machines bit going forward?

Bikramjit Nag: Kartik, you can answer that.

Kartik Muchandi: Yes. So, gross margins are similar to what it was earlier , it has not reduced , in spite of the pricing issues. But as far as A&M is concerned, our project is on track. We started on 15 th February. The idea banks have increased substantially. And what we expect is that out of total Rs. 200 crores cost reduction in material cost, approximately Rs. 80 crores will come in our P&L in FY '26.

Shreyans Jain : How much? Sorry , I lost you.

Kartik Muchandi: Rs. 60 crores to Rs. 80 crores out of total Rs. 200 crores cost innovation in material cost which will come over next 18 months, Rs. 70 crores to Rs. 80 crores will come in P&L in FY '26.

Bikramjit Nag: Kartik his question is , what are you doing to increase GP?

Kartik Muchandi: Yes, okay. To increase the gross margin, we are working on two fronts. One is sales volume increase which is being already done by the sales team. Second , we are trying to increase the MOP in the market. There are areas where there is an opportunity to increase the market price, which is the sales price. We are also working on reducing the scheme payout. And third thing is, we are working toward

s reducing bill of material cost.

Shreyans Jain : Okay. And so all of this Rs. 200 crores actually should come from COGS or do you think there is some bit of leverage on the employee cost and the other expenses line item?

Bikramjit Nag: Kartik, can you please explain to him. We have discussed this point. You have only presented it to me. There are various items you are working on , right, o ne of which is material cost. Please tell him clearly. The figure is minimum Rs. 200 crores. We expect much more. This is being worked on with Alvarez & Marsal. One of the investors itself has told us, why aren't you giving it to an outsider , why try and do it internally? The internal project, we have actually wasted time by not going to an outsider after.

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Now that we have gone to Alvarez & Marsal, things are being clearly laid out by them and our

team, which is working as a joint team. Minimum Rs. 200 crores we expect to get. I think we will get much , much more. Out of the Rs. 200 crores, around Rs. 80 crores should come in by 31st of March. This is on material cost. Then Kartik, can you inform them what are you doing on fixed cost? What are you doing on other costs? Explain to them item -wise so that they are clear.

Kartik Muchandi: Okay. The second point is on indirect cost. We are working on freight and warehouse cost optimization. Today freight is almost 3% of our cost. We are working on route optimization, reducing the number of warehouses, space reduction, through this --

Bikramjit Nag: Just tell him how much, how much are you expecting from each point? Just list that.

Kartik Muchandi: Yes. Through this project we are expecting to reduce the cost by almost Rs. 20 crores . And apart from that , we have made a team to reduce the fixed cost. The way we have made a material cost reduction team along with A&M, so now we will have an internal team to work on fixed cost. And our aim is to reduce fixed cost by Rs. 6 crores per month. Currently our fixed cost is around Rs. 75 crores per month, our aim is to reduce it by Rs. 6 crores per month, which will start coming in by end of Quarter 2 .

Shreyans Jain : Okay. That helps, sir. Thanks a lot. Sir, my second question is on the AC business, now that we have hit about Rs. 900 crores odd of annual run rate in AC, what kind of traction, I mean , what kind of confidence you have in the category for ourselves ? And for the next two, three years should we actually look at strong double digits and Rs. 1,200 crores to Rs. 1,500 crores kind of a target? And second is, can you help us with the volumes that we would have done in Q4 or for the full year just in our AC business, sir?

Bikramjit Nag: Mr. Mathur, can you please take this question?

Ranjan Mohan Mathur: What is the question again?

Bikramjit Nag: They are asking the volume of AC of Quarter 4, and what are --

Kartik Muchandi: On volume, I will answer . During the quarter , in IFB brand, our sales was 1,30,000 and in OEM our volume was 53,000 . So, in IFB brand as far as volume is concerned there was a 52% growth and in brand since the base was low so in OEM the growth was high.

Bikramjit Nag: Kartik, tell again, Q4 figure.

Kartik Muchandi: Okay.

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Ranjan Mohan Mathur: Q4, we grew by 52% and in Q4 we sold 1,30,000 plus ACs in brand and around 52,000 in OEM, with a growth of almost 100% because the base was low. So, that is what it is . And we were able to gain some percentage of share in the market.

Shreyans Jain : And sir, how much volumes would we have done for the year? Because I think we were targeting about 4.5 lakh to 5 lakh AC sales in 2025 , so how much have we ended the year with?

Ranjan Mohan Mathur: So, we have touched the volumes which we were targeting.

Shreyans Jain : Okay. And so now what is the outlook for the next two y

ears for this business?

Bikramjit Nag: One minute. Ranjan, he asked a question, what is the volume you got in 2 5, why do not you answer the question? Till 31 March how much did we do brand? How much did we do OEM?

Just answer , it's a simple question.

Kartik Muchandi: Sir, we have done 3,42,000 AC IFB brand , and 61,000 OEM.

Bikramjit Nag: What is the total, Kartik?

Kartik Muchandi: Yes, 400,000.

Ranjan Mohan Mathur: Sir, total was 4 lakhs total. We did 4 lakhs.

Bikramjit Nag: We do not give any like guidance. So, we cannot give target for the year. But we are expecting robust growth for this year also.

Shreyans Jain : Okay. And sir, last question is on the refrigeration bit. So, in the presentation we are targeting, we said about 7.3 lakh units for the year. So, ideally, that is about a 50,000 , 60,000 run rate for the month.

Bikramjit Nag: 7.3 lakhs when have we said?

Shreyans Jain : In the presentation, from 2.5 lakhs, we target 7.3 lakhs.

Bikramjit Nag: Okay.

Shreyans Jain : So, I am just trying to understand that's a run rate of about 50,000 , 60,000 a month. And historically, we have been able to do 35,000 a month. So, how confident are we --

Bikramjit Nag: Historically, we have done less than 35,000 a month. But if you see, I think from the month of Feb, March, April , and May , we have done more than 35,000 a month. And we touched close to 50,000 in a few months, and we are by and large confident of this.

Shreyans Jain : Okay, sir. All right. That helps. Thank you. And all the best.

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Bikramjit Nag: Our problem, if you see, is that AC is doing better, refrigerator is doing better, but the FL sale's stagnated, that has become the problem.

Moderator: Thank you. We take our next question from the line of Anand Mundhra from Soar Wealth. Please go ahead.

Anand Mundhra : Yes. Good evening, sir. Sir, I wanted to understand this Rs. 180 crores or Rs. 200 crores of cost reduction, why cannot it be done only in FY '26, any specific reason for that?

Bikramjit Nag: Yes. Because what happens is when you go for material cost down, certain things need time for validation. So, certain validation takes a lot of time. So, we cannot just replace something with something else without a proper engineering process, and that takes time. So, it will happen slowly.

Anand Mundhra : And on run rate basis, it may be much higher by Q4 of FY '26 in terms of savings?

Bikramjit Nag: By the run rate, yes, it should be higher.

Anand Mundhra : Okay. And sir, what is the profit and loss of our AC segment for FY '25?

Bikramjit Nag: FY '25 AC has made, Kartik, I think you can give the figures because it's all out now, it's EBITDA positive.

Kartik Muchandi: Yes. It is EBITDA positive 1.7 --

Bikramjit Nag: But in FY '25-'26 our expectation is we will do much -much better. Now that we have turned the corner from loss to marginal profit, we now need to take it to a much -much better financial level.

Anand Mundhra : Okay. Sir, if I remember correctly, in FY '24 the losses were much more than Rs. 70 crores to Rs. 80 crores annually?

Bikramjit Nag: In FY '24 loss in AC?

Anand Mundhra : Yes, correct.

Bikramjit Nag: Yes, AC loss was significant.

Anand Mundhra : Yes. So, if I adjust that, our profitability in other home appliances segment has really reduced in FY '25, is that a right assumption?

Bikramjit Nag: Yes. Because in FY '25 what has happened is material cost went up in FL, etc., which sort of took us by surprise. And FL volume did not rise to the desired extent. So, FL volume did not go up, AC volume went up, which is a lower margin thing. And there we got into a problem.

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Anand Mundhra : Okay. Noted, sir. And sir, what is your profit and loss of refrigerator segment in FY '25?

Bikramjit Nag: FY '25 refrigerator EBITDA?

Soumitra Goswami: In FY '24-'25, the refrigerator was EBITDA positive as compared to last year's loss. I am not giving the figure here, but it is EBITDA positive, FY '24-'25.

Anand Mundhra : Okay. That is nice to know. So, sir, given the fact that both the new segments have become profitable and overall, we expect to do some cost saving in FY '26, do you think there is a possibility we may hit 10% EBITDA margin sometimes in next year?

Bikramjit Nag: This is Bikram Nag here, as I had said quite some time back and we are not at all happy that we are not able to achieve the double digit margin as yet. But the cost reduction programs we have taken across various heads leading with material cost, fixed cost, logistics and warehouse and other costs, our total saving from all of these should exceed, our belief is Rs. 350 crores.

Now, a significant portion, a lot of it should come in this year, but a lot of it will also come in the first six months of next year. All of this will help us to move towards double -digit, which includes fixing pricing in the market, which means reducing discounting and getting better outcome of our schemes. All of this should lead to margin, required margin.

Anand Mundhra : Noted sir. Sir, last question on CAPEX. What is our guidance on CAPEX for FY '26? And there are no new products which you are planning to enter I guess, because you have already entered all the large four segments.

Bikramjit Nag: Yes. But the main CAPEX will be on areas such as washing machine for 12 kilogram and 13-kilogram washer. Maybe we go for 14 kilograms also, we are not sure as yet. But in the appliance division CAPEX is between Rs. 100 crores to Rs. 130 crores to be spread out. And in the engineering division, CAPEX is also quite high. Normal CAPEX would be around Rs. 45 crores. And then for new projects, for example, chain, chain as a project for motorcycles which we used to import from China. Now with these China BIS issues etc., chain as a project will need to be brought into India. We have one year time to do this. Maybe we will get some extension also. But assuming we have to do this, that will entail about Rs. 40 crores to Rs. 50 crores at the most. And then we have the electronics manufacturing, which is with Titan. We will do some things with Titan. Titan, as you know, is doing projects for some global mobile phone companies, etc. So, we have got some contracts from there that will entail some CAPEX. So, overall, CAPEX for engineering as a result of this chain, etc., has also gone up.

Anand Mundhra : Okay. So, I missed one item. Rs. 120 crores for which segment for white goods?

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Bikramjit Nag: Some for AC. About Rs. 20 crores, Rs. 25 crores, for AC. I think Mr. Govindaraj, for Rs. 20 crores, Rs. 30 crores for AC, balance for washing machine, right? And some routine CAPEX is there.

C. S. Govindaraj: Correct, sir. yes. Rs. 50 crores for washing machine and then Rs. 35 crores for air conditioner.

Bikramjit Nag: And the balance for routine CAPEX , right?

C. S. Govindaraj: Yes, sir.

Anand Mundhra : Noted, sir. Thank you, sir. Thanks a lot.

Bikramjit Nag: Thank you.

Moderator: Thank you. We will take our next question from the line of Vivek Kumar from Bestpals Advisory LLP. Please go ahead.

Vivek Kumar: Sir, I was just thinking about your company from competition perspective. Because you, as a promoter, would be having some assumptions before introducing so many products when so many other companies are trying to get the same market. So, how do we plan to achieve market shares in AC and refrigerator where we are already not the forefront, and how do you get the market share in the distribution, so if you can help us understand your assumptions of why, I understand you have done very well in washing machines and micro -ovens . So, how should we think that you will be

able to --

Bikramjit Nag: Actually, if you see from the volume perspective, what has surprised us is the traction we are getting now in refrigerator, which is more than AC in some ways. We expect very , very shortly refrigerator to stabilize at 55,000, 60,000 a month. And in refrigerator, we are now only playing up to 285 liters, and soon we launch the 326 liter or something. So, at the higher end, we are still not there. So, refrigerator , we really see very good potential. But our CAPEX s are only done up to 326 liter. And we expect that this thing of around 60,000 a month, we should be able to do very soon, which will make the financials of the company strong.

More importantly, in AC, we believe our market share is still very low, and therefore, your question on how do we increase market share, sorry, it is only by ensuring that our people in every town are selling to every dealer in that town, there is no other way to do this business. It's a town -by-town business, dealer -by-dealer business. And the dealer counter has to be manned very well. Our overall effort to man a counter properly, to sell washing machine, AC, refrigerator, microwave, this whole management effort to get this done is not as good as what it should be.

It's not as efficient, sorry, it's not as efficient as it should be. In LG, Samsung is very -very efficiently done, they are the only two companies which really do it well, and they are the IFB Industries Limited

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companies we should actually benchmark in terms of efficiency of management. This is something we need to work on. And we see that wherever the refrigerator and AC is being placed, a counter where it's placed and manned properly, we are able to do well.

Now suppose in a counter, instead of four or five ACs we have only put in two ACs and two refrigerators, neither the two ACs sell, neither the two refrigerators sell. You have -to-have the whole, the entire range or at least a substantial part of the range for the customer to get attracted. This process is weak in IFB. This process has to be strengthened, and a lot of time is going into manning properly in order to do this. Now I know we have said this quarter -after-quarter, year -after-year, but it has not happened the way it should happen.

Vivek Kumar: Yes. So, my question is exactly that, let's say, you get the whole range and you man, but there are other companies also doing, so what is that, in your assumption, which is giving you confidence, is it market is so big for many players that we have --

Bikramjit Nag: The market is big. I think the market is big . But I think IFB's history of being known for quality is helping. Wherever we are able to place, and the person is good in the counter, the dealer is supportive because of quality . And the counter salesperson is able to explain IFB's quality proposition, value proposition to the customer also, and that is helping.

Vivek Kumar: Is it any regions that you are doing well and any regions you are not doing well, or is it across the same, or at least there are a few regions where you have got this manning and range correct, and you want to replicate it ?

Bikramjit Nag: Yes. I think the region where we were historically strong but now weak because of manning issues is South. And South is the largest market, we need to do a lot , lot better in South. And now I think it will take another two to three months to fix South. I think South is looking at some issues.

Vivek Kumar: South is at least per capita wise 50% higher than the rest of India, so if you neglect South it will be a big market.

Bikramjit Nag: Yes. So, in the South we had some management issues where we execute some people et c., etc.

We have got some vacancies there, those need to be filled up faster.

Vivek Kumar: Got it. And is there any area where you are very strong and doing well sir, where the growth is coming

from?

Bikramjit Nag: I think we are doing much -much better in the North, compared to the South, for example. But in North, for example if you take UP as a market, the ways we should be doing refrigerator, AC and all in UP which is a very large state, etc., where distribution really plays the key role. We have not done well in UP but we have done much better in Haryana and Rajasthan and parts of

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Delhi and we have done better in Chandigarh region, which is Chandigarh, Punjab. We have done well there, but we have not done well in UP.

Vivek Kumar: Sorry, but you are saying the same problem, you have only been mentioning that this problem we have for a few years, so is it surmountable or are you facing some structural issues that this is getting prolonged for us, this manning and does it --

Bikramjit Nag: No, there's no structural issue per se. I think we have not got the manning that we need. And what we have realized is, wherever we are able to put in our own home-grown trained people, we are doing better. Whenever we are taking people from outside, we are having issues. But so many people internally also we do not have to take up leadership roles. So, we are having an issue there, to match this.

Vivek Kumar: And you think it will get solved for a year or so or it will take more time, it will take a few years before we solve it?

Bikramjit Nag: No. I mean, honestly, I hope this does not take too much time, we cannot afford this time. We are already delayed. So, we are for example now uplifting people to leadership roles, even some within a state, let's say, instead of the state head. Some people we are giving part of a state etc., who have been with us for a while. These decisions we are moving faster on now, I would say that. And I think this will have a long term very -very beneficial effect on the company to grow its own life talent pool.

Vivek Kumar: So, IFB, we can say that AC, refrigerator, microwave and washer, this would be the categories, right? There will be no new categories in the short-term.

Bikramjit Nag: No new categories, no. We are not thinking any new categories now. Correct.

Vivek Kumar: So, what would be the EBITDA margin over three, four years, sir? Or you are not thinking that far as of now in your plan need EBITDA margin?

Bikramjit Nag: No, we do not think that far, but our first thing is to hit double-digit EBITDA. And we would like to sell a significant part of the capacity for AC and for the refrigerator.

Vivek Kumar: At least you have any internal guidance, can you give guidance on the overall growth over three, four years, sir, not as next year's growth rate, in terms of sales, EBITDA margin?

Bikramjit Nag: No, we do not give any guidance per se, but with AC, refrigerator, etc., I think anything over 25% is a minimum for us.

Vivek Kumar: 25% sales growth, right, you are not talking about EBITDA alone?

Bikramjit Nag: 25% growth in revenue.

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Soumitra Goswami: EBITDA, as I said, our internal thing is 10%. So, our internal thing is double-digit, and we are not moving away from that. We have not achieved it is another point.

Vivek Kumar: Thank you very much, sir, for the detailed answer, sir. Thank you very much. All the best, sir.

Bikramjit Nag: Thank you.

Moderator: Thank you. We will take our next question from the line of Saket Kapoor from Kapoor Company. Please go ahead.

Saket Kapoor: Yes. Namaskar sir. And thank you for this opportunity and thank you for a very detailed discussion. Sir, just putting the attention to the engineering segment. So, if you could just give us some understanding, what factors, firstly, attributed to the improved set of performance, Q-on-Q basis also, and also on a yearly basis for the engineering segment? And how is this going

to shape up for the coming year?

Bikramjit Nag: If you see the engineering segment, I think what sort of surprised us is that in Q4 we never did well. In Q4, the growth was only 2%, 3%. In Q4 growth was how much?

Kartik Muchandi: 2%.

Bikramjit Nag: 2% was Q4 growth. So, in Q4, we got hit badly. Margin was still okay. We could control costs, etc. We could do some pass-through, etc. April-May has been better. Hopefully, June will be okay. But the division needs to grow by at least 20% a year, minimum, from its internal, from whatever we have now. Then we have the greenfield projects on chain and electronics supply to

Titan and M&A which we have spoken about we still not been able to conclude. All these three plus the 20% growth or so that we expect because we have capacities , it's a marketing issue. I think if these are done, engineering should have robust growth going forward.

Saket Kapoor: Okay. Sir, what are our average utilization levels for this financial year as well as for FY '24?

Bikramjit Nag: FY '24, well, let me put it differently. I think for fine -blanking business as such, I think we could still grow by about 15% to 18% with existing capacities, at least. Now we need to add some capacities for the future and for safety also. Safety meaning, because if capacities are running at 90%, etc., then we need another press and all of that. Yes , so I think in the stamping division we are already at capacity, by and large. Stamping division, I think capacity is Rs. 7-odd crores a month and we are like nearly there.

Saket Kapoor: Right, sir. Sir, you mentioned about the Titan part of the story and the chain segment , so what kind of investment are we envisaging ? And then again, what kind of asset turnover ratio would we be expecting once these two projects also go through?

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Bikramjit Nag: I think asset turnover ratio as per our internal guidelines should be minimum 2.5. But we expect more.

Saket Kapoor: Okay. And sir, total cost, how much we are going to spend? Rs. 40 crores, you said, I think so, for the chain and Titan part.

Bikramjit Nag: Chain, we expect Rs. 30 crores to Rs. 40 crores, something like that. It is being worked out now. We do not have the final cost as yet, but around that, we believe. And as far as the electronic project goes, I think it will be within about Rs. 20 crores to Rs. 25 crores maximum.

Saket Kapoor: Okay. Just to put the gear on the P&L part, sir. We find that for the loss on share of associate, that has been lowered for this year to Rs. 18 crores. So, if you could just explain how this category will move, especially the contribution from the --

Bikramjit Nag: I think we expect the refrigerator to be profitable. And that should fix it substantially. Correct, Soumitra and Kartik?

Soumitra Goswami: Yes. Share of loss was Rs. 18 crores loss, correct point, as compared to last year Rs. 24.6 crores. And refrigeration business for the FY '24 -'25 has already turned EBITDA positive. So, naturally this loss amount will be going down drastically in '25 -'26, we estimate.

Bikramjit Nag: But this is dependent on the volume, and I think if we do this in a month with the right mix , refrigerator would have turned the corner. But as I said, you see, we have made one issue is there that we need to be in higher end segment of refrigerator , so that planning is being done, whether we can do CKD, SKD, etc., etc., so those things we are looking into also, 400 liters plus.

Saket Kapoor: Okay. Two small points, sir, firstly this Rs. 200 crores P&L flow through on account of savings are all towards the home appliance segment only or these efficiencies are also factoring in about the engineering segment , the 350 total program that you mentioned ?

Bikramjit Nag: It is home appliances program only . Engineering segment will embark on a different program for like

cost down, but we have still not finalized that. But they will also need to do a similar thing, that point is correct. What we are discussing internally at the strategic level is whether the cost down program should be given to the same outside team which is Alvarez & Marsal, or should we look for someone else, that is the only discussion we are having internally, but we will take a view on this in the next 15 -20 days.

Saket Kapoor: Okay. And lastly, sir, in the cash flow we have seen that we have paid higher taxes, so these are pertaining to the current year only, I think, so our tax payment and the category income tax has been closer to Rs. 45 crores for this year, so it is a higher operating profit only, yes, please ?

Bikramjit Nag: Our tax percentage is 25.168% . If you see our P&L, the percentage stands at that level only, if you compare it with net revenue. What are the PBT amount is there, if you apply 25%, it will be

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coming to Rs. 43 crores, Rs. 44 crores. We have not paid anything extra; whatever you are talking about that we have paid extra tax; it is not like that.

Saket Kapoor: Okay, sir. Thank you for all the detailed answers, sir. And all the best to the team, sir, for answering it. Thank you.

Moderator: Thank you. We will take our next question from the line of Jagvir Singh from Shade Capital. Please go ahead.

Jagvir Singh: Hello. Thanks for the opportunity, sir. Yes , so my question is related to this summer season, because now the air condition is very significant to our revenues overall in the company. So, now in the North and East, April and May month is very weak in the summer s. So, what is your take on this season in two months?

Bikramjit Nag: Ranjan , answer.

Ranjan Mohan Mathur: So, for us, April, as I shared earlier, the last quarter was very good where we grew by 52%. And April also we were able to continue the momentum. For us, we were able to grow marginally in April, but we could see an impact in the month of May, where the industry has dipped to the tune of around 35% odd. But overall, if we see the secondaries for IFB, we could see the momentum is still not as bad as the industry is moving. And we anticipate that this whatever shortfall we had in the month of May, we will be able to cover it up in the next two to three months' time. And from November, that's why someone earlier asked us, are we revising our figures etc. No, we are not. We will be targeting the volumes which we have projected.

Jagvir Singh: Okay. So, you are saying for the whole year you will achieve the targeted revenues in the AC segment?

Ranjan Mohan Mathur: Yes. We are at a very small market share, we have much more to do.

Jagvir Singh: So, from which region we got the maximum sales in the AC segment?

Ranjan Mohan Mathur: For us, North was very strong. And the North also, at many places, we have even touched more than 8% to 9% market share. So, things in the North are moving well. East also did well in first quarter, but the 4th Quarter was not that good. But what we feel is North, East, West, Southern part, if you see towards Kerala, we did very well. So, this is how it was.

Jagvir Singh: So, sir, my last question related to the IFB retail exclusive stores, what is the strategy pertaining to this and how many stores right now we have in the next two to three years?

Ranjan Mohan Mathur: So, currently, we have around 487 to 500 -odd stores. And our expansion plan for this financial year is to take it to around 700 plus. And this is something which we did some changes in our leadership. And if I see last three months or four months have been very good from IFB Points, IFB Industries Limited

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our contribution to the national scale have also gone up from IFB Points. So, our thing is that we will be touching around 750 -odd IFB Points by the end

of this financial year.

Jagvir Singh: So, till now what is our experience with the IFB stores like customer experience or, this is better than earlier we are doing mostly with the distribution side, through the distribution?

Ranjan Mohan Mathur: IFB Points, it's our own store and the customer is able to see the complete range in the store. So, that one thing itself gives them much more confidence. And what we feel is, when a customer walks into IFB Points we try to give him a really good experience, so that is what is giving us good results.

Jagvir Singh: The last question is, we are targeting double -digit EBITDA margin in the next two years, or it will take more time? And what type of EBITDA margin can we see in FY '26?

Bikramjit Nag: We expect a double -digit EBITDA margin, I mean, our expectation was we would have already achieved it, but we have not. So, hopefully, we will achieve it soon. It cannot be after a year or two, cannot be after two years, etc.

Jagvir Singh: Okay. Thank you, sir. And this is all from my side.

Bikramjit Nag: Thank you.

Moderator: Thank you. We will take our next question from the line of Naitik from NV Alpha Fund, please go ahead.

Naitik Mutha: Hi, sir. Thanks for taking my question. So, my first question is, when I look at our washer segment, since the past two three years we have sort of been stagnant at around Rs. 1,700 crores to Rs. 1,800 crores of revenue. Now how do we intend to sort of get out of this range and bring growth back? And can we expect this number to grow from next year?

Bikramjit Nag: We expect washer number to grow this year, and we are doing everything possible we can. And as I said, this issue of getting management right, state -by-state, is just taking too long, but there is no other way to fix this rather than getting management right, state -by-state, town -by-town. And our product range by and large is okay now. The only thing we do not have is the 12 kilogram and 13 kilogram, which will take time, that will not come in before March. But we do not see significant volume there as yet. There is volume, but it's not as much, it is not a material impact thing per se, in terms of volume. It's not materially impactful as yet, if we do the other things well.

Naitik Mutha: Right, sir. So, we expect this number to grow in FY '26?

Bikramjit Nag: Yes.

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Naitik Mutha: Right. And sir, my second question, I needed some clarification. So, I think I heard, we were expecting a minimum of Rs. 200 crores in cost savings, but internally the target is, it can go north of Rs. 300 crores also, is it correct?

Bikramjit Nag: For material cost.

Naitik Mutha: Right. So, did I hear it correct, the number is Rs. 300 crores plus or is it Rs. 200 crores?

Bikramjit Nag: No, we are saying at least Rs. 200 crores plus we will get, but our internal expectation is much more but for now we are only sticking to Rs. 200 crores plus. But whatever this team, which is Alvarez & Marsal and our team, and we put some of our best people into this full-time, they are doing nothing else now. Actually, this was the point which one of the investors in one of these calls had told me that, it's much better if you do it with an outside consultant instead of trying doing everything yourself. And I thought we could do it ourselves but I was mistaken there. I think we should have moved faster on this with an outside firm.

Naitik Mutha: Right, sir. Got it, sir. That's it from my side. Thank you, sir.

Bikramjit Nag: Thank you.

Moderator: Thank you. We will take our next question from the line of Majid Ahamed from Pinpoint Capital. Please go ahead.

Majid Ahamed: Thank you sir for the opportunity. So, my first question is, sir, what is the EBITDA margin you may look in the AC segment, just can you give some sort of numbers on that, sir? Because we are breakin

g even any sort of EBITDA if not PBT.

Bikramjit Nag: I think EBITDA for AC should be much more than whatever we closed 31 March with. And as I said, for the company to achieve double digit EBITDA, AC also has to do significantly better. So, it will be much -much higher than the present level.

Majid Ahamed: But can you give me a range at least, any numbers or any sort of range to understand?

Bikramjit Nag: I wouldn't like to give a range, but I would say minimum 5% plus.

Majid Ahamed: Minimum 5% plus.

Bikramjit Nag: 5% plus we should do.

Majid Ahamed: Got it, sir. And for washing machine, like in terms of front load what is your strategy in particular to grow that in the coming two to three years?

Bikramjit Nag: I think we should significantly grow market share. We are doing the right thing, which is the basics we are trying to do it right. I think if we want to grow market share, IFB Point has to be

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much more well looked after. And every town that management has to be better, which is only a function of getting management team in that town right. That's a lot of day-to-day rigorous work in terms of getting things right. And I think we need to do a better job at that, which is what we discussed, which is what we said. The processes are on, they are being implemented, rigor has to be more.

Majid Ahamed: Got it, sir. Sir, to speed up the management, restructuring and everything, do you have any sort of incentives for that to speed up any sort of internal thing that you are doing?

Bikramjit Nag: We are doing that, yes. The answer is, yes.

Majid Ahamed: Okay, sir. All the very best, sir. Thank you, sir.

Bikramjit Nag: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to management for closing comments. Over to you, sir.

Soumitra Goswami Thank you very much for participating in this call. And we will meet again after Q1. Thank you.

Bikramjit Nag: Thank you.

Moderator: Thank you. On behalf of IFB Industries Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Aug 2025

11th August, 2025
The Manager
Department of Corporate Services
BSE Limited,
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai-400001

The Manager
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No-C/1, G Block,
Bandra Kurla Complex
Mumbai -400051

Symbol: IFBIND | ISIN: INE559A01017
Dear Sir,

Sub: Transcript of the earnings conference call for the quarter and three months ended 30th June, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our letter dated 6th August 2025 regarding the audio recording of the investor's earnings call for the quarter and three months ended 30th June, 2025, please find enclosed herewith the transcript of the said call.

The said transcript is also available on the Company's website i.e. <https://www.ifbindustries.com/financial.php>.

This is for your information and record.
Yours Faithfully,
For IFB INDUSTRIES LIMITED

Ritesh Agarwal
Company Secretary

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"IFB Industries Limited
Q1 FY '26 Earnings Conference Call"
August 06, 2025

MANAGEMENT : MR. BIKRAMJIT NAG – CHAIRMAN – IFB INDUSTRIES LIMITED
M R. SOUMITRA GOSWAMI – CHIEF FINANCIAL OFFICER – IFB INDUSTRIES LIMITED
M R. P.H. NARAYANAN – MANAGING DIRECTOR, ENGINEERING DIVISION – IFB INDUSTRIES LIMITED
M R. C.S. GOVINDARAJ – EXECUTIVE DIRECTOR, MANUFACTURING OF HOME APPLIANCES DIVISION – IFB INDUSTRIES LIMITED
M R. JAYANTA CHANDA – CHIEF FINANCIAL OFFICER OF ENGINEERING DIVISION – IFB INDUSTRIES LIMITED
M R. KARTIK – HEAD, FINANCE AND ACCOUNTS , HOME APPLIANCES DIVISION – IFB INDUSTRIES LIMITED
M R. RANJAN MOHAN – NATIONAL SALES HEAD,

HOME APPLIANCES – IFB INDUSTRIES LIMITED

MODERATOR : MS. ARSHIA KHOSLA – NIRMAL BANG EQUITIES
PRIVATE LIMITED

IFB Industries Limited
August 06, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to IFB Industries Limited Q1 FY '26 Earnings Conference Call hosted by Nirmal Bang Equities Private Limited. This conference may contain certain forward-looking statements about the company, which are based on beliefs, opinions and expectations of the company as on the date of this call. These statements are not the guarantees of the future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

I now hand the conference over to Ms. Arshia Khosla from Nirmal Bang Equities Private Limited. Thank you, and over to you, ma'am.

Arshia Khosla: Thank you, Sruthi. I, Arshia Khosla, on behalf of Nirmal Bang Institutional Equities, welcome all of you to First Quarter FY '26 Earnings Conference Call of IFB Industries Limited. From the management today, we have Mr. Bikramjit Nag, Chairman; Mr. Soumitra Goswami, CFO; Mr. P.H. Narayanan, MD, Engineering Division; Mr. C.S. Govindaraj, ED, Manufacturing of Home Appliances Division; Mr. Jayanta Chanda, CFO of Engineering Division; Mr. Kartik, Head, Finance and Accounts, Home Appliances Division; and Mr. Ranjan Mohan, National Sales Head, Home Appliances.

I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

Soumitra Goswami: Good afternoon, everybody. I am Soumitra Goswami, the Chief Financial Officer of IFB Industries Limited. I welcome you all for IFB Industries Limited Investors Call for first quarter FY '25-'26. I have with me Mr. Bikramjit Nag, Chairman of IFB Industries Limited; Mr. P.H. Narayanan, Managing Director and Chief Executive of our Engineering Division.

Bikramjit Nag: Soumitra, she just said all that. So you can just get on to the call. She just said who all are there.

Soumitra Goswami: Okay. Now I will inform you about quarter 1 results. Revenue for the quarter was INR1,310.82 crores against last year INR1,244.44 crores, which is a growth of 5.33%. PBDIT for the period was INR69.95 crores and its percentage to revenue was 5.34% as compared to last year's INR86.55 crores which was 6.95% on revenue.

Fixed expenditures for the quarter was within budget. However, in case of some expenditure, expenditure have crossed the last year's expenditure. PBT for the period was INR33.93 crores against last year's figure of INR52.40 crores. Quarter 1 PAT was INR25.36 crores, which is 1.93% on revenue against last year INR38.84 crores, which was 3.12% on revenue.

With this I'll request to start the question-and-answer session.

Bikramjit Nag: Hi, this is Bikram Nag here. Just one point, please, before we start the Q&A. If you see the results, there is increase in fixed cost as well as some in material costs. Kartik will explain -- Kartik and Mr. Govindaraj will explain exactly why and the remedial measures which are being

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taken. And Mr. Mathur will explain the issues on sales, especially related to AC due to monsoons, etcetera, early onset of monsoon, etcetera, and us not getting the required sales in washer, which has caused margin issues and remedial steps to be taken in Q2, which are underway. Okay. Please start. And Kartik, you will answer most of the questions, but I'm here.

Moderator: Thank you very much. The first question is from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

Lakshminarayanan: Sir, if I just look at your advertising expenses, it's almost INR285 crores or thereabouts, right? And in addition to it, we also have the

sales representative cost of around INR126 crores or so

for the last financial year. Now if I put this in context of the other companies like Voltas, Blue Star, Whirlpool etcetera, our advertising expenses is far higher for the proportion of the sales we actually do.

So I just want to understand, is there an opportunity to actually balance between the 4,000-odd people you have as sales representatives at the counters versus is there an opportunity to kind of

reduce advertising spend? Are we getting the right return on advertising budgets? That's my first question.

Ranjan Mathur: What I've understood is you wanted to know why our cost of ad and promo more compared to Voltas and other companies?

Lakshminarayanan: Yes. Yes.

Ranjan Mathur: So let me, first of all, tell you that in our ad and promo, the CSR cost is also included, which majority of the companies don't include in their ad. Point number two...

Bikramjit Nag: Ranjan, first, please give your name, so that they know you are answering the question.

Ranjan Mathur: Yes. I'm Ranjan Mathur, I'll be replying this. So what I was trying to explain to you, see in case of, we take CSR cost along with ad and promo expense.

Lakshminarayanan: No, but your CSR expenditure is also called out separately as other -- in the other expenses that's in a separate line item. So I didn't understand that.

Kartik: Kartik here from Finance. What Mr. Mathur means is customer sales representative. The person who is there on the counter. So our ad and promo cost includes that cost as well. So on this head there's definite opportunity to optimize the ad and promo cost.

Lakshminarayanan: Okay. Okay. So that is the something which you pay for...

Bikramjit Nag: Kartik, give them like clarity. Advertising cost is not INR240 crores.

Kartik: Yes. Our ad and promo cost annually is around INR100 crores and we are working on reducing the ad and promo -- optimizing the ad and promo cost by increasing the visibility with the same spend. We are also evaluating and working with partners to help us how to reduce the cost and optimize the benefit from this.

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Lakshminarayanan: Got it. Sir, there is a expense of around INR126 crores paid towards IFB Appliances, right? So that is your promo cost, right, the CSR cost you're mentioning?

Ranjan Mathur: Yes.

Kartik: Yes, correct.

Lakshminarayanan: So INR284, minus INR126, that's still around INR160 crores of advertisement spend.

Kartik: No, our advertising spend purely is INR100 crores annually. Apart from IFB Appliances, we have another agency who also provides us customer sales representative. So if we remove that cost and our annual cost will be around INR100 crores on ad spend.

Bikramjit Nag: Give the other party name, Kartik.

Kartik: Yes, the party name is Genius.

Lakshminarayanan: Sir, what is the total number of customer sales representatives you have on counters?

Ranjan Mathur: Currently, we have 4,000 odd customer sales representative across the country.

Lakshminarayanan: Okay. Okay. But IFB Appliances, itself has 4,000 people. So Genius is that plus this right?

Ranjan Mathur: Plus, they're.

Bikramjit Nag: So what is the total number? Ranjan, answer the question.

Ranjan Mathur: The total number will be around 4,600-odd 600 are on Genius folks.

Bikramjit Nag: Soumitra, can you please give clarity, what is the advertising cost exactly?

Soumitra Goswami: Yes. Actually, for the quarter, we are talking about first quarter. First quarter sales promotion expenditure was INR30 crores versus last year INR28 crores, which has increased by INR2 crores only, that is due to increase in in-shop branding in the dealer counter, point one. Point two, CSR costs have increased...

Bikramjit Nag: Out of the INR30 crores, how much is advertising?

Soumitra Goswami: Sir, this is the full amount of advertisement, INR30 crores is advertisement and sales promo cost for the first

quarter against INR28 crores...

Bikramjit Nag: Kartik, how much is advertising only?

Kartik: Yes, sir. We'll work out and give it.

Moderator: The next question is from the line of Navid from Bastion Research.

Navid: So sir, if I look at our gross margins for the quarter and if I compare the gross margin with same quarter last year versus the previous quarter as well. I can see some healthy improvement. Is this

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a correct understanding that the project which we have taken up with Alvarez & Marsal consultant that has started to pay off the improvement you are looking for?

Kartik: Yes, Kartik here. Yes, the project with Alvarez & Marsal started from 15th Feb. In quarter 1, we have got a reduction of around INR3.5 crores due to this project. but when you compare with quarter 1 of last year versus quarter 1 of this year, there is a slight dip in the gross margin.

This is mainly because compared to quarter 1 of last year, there is an increase in commodity prices, which is mainly in copper, GP, Gas and also, there is an INR depreciation against U.S. dollar, which is around 3%. But this has been mostly offset because of the cost innovation, whatever has been done. And the net impact is that the material cost has increased by 65 basis points with respect to last year quarter 1.

Navid: So Kartik ji, just to clarify, I can be wrong. With the numbers which I have done, in Q1 FY '25, the gross margin was 38% and in Q1 FY '26, which is this quarter, I can see gross margin almost touching 40%. So I have 160 basis point improvement here. So this is encouraging to see and therefore, the question which I wanted to understand the improvement on -- the improvement sustainable? Can we consider a 40% gross margin as a steady state number as we move forward from here?

Kartik: Sir, are you referring to the Appliance Division, gross margin or the company-level gross margin?

Navid: No, no, company level gross margin.

Bikramjit Nag: Kartik, company level, gross margin is mostly driven by Home Appliances division only.

Kartik: Yes. So then I will talk separately because the margins are not 40%. I'll connect to you separately to give more details on this.

Navid: Sure. And regarding the other operating expenses, there is a sharp increase of around 23% on a Y-o-Y basis. Sir, just wanted to understand what are the factors that are driving this high increase because our revenue has just increased by 4%, 5%.

Kartik: Yes. So as far as operating expense is concerned, as we explained earlier, customer sales representative cost has gone up. This is because we have added 680 numbers of CSR compared to last year. Second, our professional cost has gone up due to engagement with A&M. And the third point is even compliance cost and salary costs also has marginally gone up. So these 3 together, this 4 together has increased the...

Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan: I wanted to understand what is the total capacity for front loaders and top loaders and refrigerators across our plants? And what kind of utilization we are actually aiming at for this year?

C.S. Govindaraj: Okay. This is Govindaraj here. As far as the front loader is concerned, we can make about 85,000 washing machines in a month, and we'll be touching about 95% to 100% capacity in the season

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ahead both in August and September and October, we should be able to touch 95% to 100%. As far as air conditioner is concerned, we can make about 65,000 as of today.

And the peak, whatever we have touched in the month of March and April was we have touched about 100% utilization. And as far as refrigerator is concerned, the plant has been built up about for 1 million capacity. And the peak we have touched is about 50,000. That is about 50% utilization. And in th

e season ahead, we will be able to touch about 60% to 65% utilization.

Lakshminarayanan: Okay. This air conditioners you mentioned is per month, I think, right?

C.S. Govindaraj: Yes, per month, yes.

Lakshminarayanan: And washing machine, what is the split between front loaders and top loaders, sir? Can you just explain that?

C.S. Govindaraj: In front load -- we have a separate line for front loader. We are now going to touch about 85,000 in September and October. And in top loaders, we have a capacity of making about 60,000. I think in the month of September, we'll be doing about 55,000. So about 90% utilization.

Lakshminarayanan: Sir, the second is that when I actually look at some of your products, I see that the tie-up with some of the credit cards, which you have is comparatively less when compared to the tie-ups which some of the other brands have. So have you looked at it in terms of again, reworking or revisiting this particular thing in terms of sales?

And how much that would actually shave up your profits or so. I mean, if you think you have to, there is a subvention something which you need to give, et cetera. Can you just touch upon your tie-ups with credit cards on at least some of the products you said?

Kartik: Yes. We are working on this. As you said, we are strengthening our team on consumer finance and affordability so that our cost has to further go down. At the same time, affordability to a customer has to go up. And that is a sellout for IFB, which will help us to increase our sales.

Lakshminarayanan: Okay. Now is it like -- will it hamper our gross margin because of this?

Ranjan Mathur: Look, this is Ranjan Mathur. In our case, what we see is we are in a business of selling products rather than selling cash discount, which is the trend in the market. So what we do here is we give our products at the right price and then give support in terms of cash discount. But that cash discount, what other brands do is they raise the price and then they give cash discount and burn money. So we -- the impact on our team in terms of liquid cash will not be that much as the other

brands will have.

Lakshminarayanan: Got it. Okay. Sir, and the third question, which I have is that in terms of our services outreach, what kind of services network we have, sir, aftersales network and then whether it is run on a franchise mode or on a company-owned and how you have strengthened in the last 1 year?

Ranjan Mathur: So our service is basically on the franchisee mode. But the network is very strong pan-India right from J&K to Kanyakumari, the network is really good. And our endeavor is to provide service within 4 hours of the complaint register, and that is what we all are driving.

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Lakshminarayanan: So how many you have now? Like how much was it last year?

Ranjan Mathur: Just give me a minute, I'll give you the exact figure.

Management: I think it's about 1,400, if I'm not mistaken, but just check.

Ranjan Mathur: 1,530 franchisees.

Lakshminarayanan: Okay. And they are all different franchisees, I believe, right? Every franchisee is different, it's not one group or couple of group.

Ranjan Mathur: No, no. No, we don't entertain that.

Bikramjit Nag: Kartik also please look into this point, the franchisees are covering how many pin codes?

Kartik: Yes, sir.

Bikramjit Nag: Franchisees covering how many pin codes in how much time? So how many pin codes in 2 hours, how many in 3 hours, how many 4 hours and like that? Can you please differentiate it and come up with this another time.

Kartik: Yes, sir.

Moderator: The next question is from the line of Shreyansh Jain from Swan Investments.

Shreyansh Jain: Sir, my first question is, sir, I'm just looking at your refrigeration ramp-up. So somewhere in the presentation we've written, we've done about 1,18,000 units for this quarter. And on Page 8 of the presentation, we've said

that we are doing about 18,000 a month in refrigerators, right? So

54,000. So I'm just trying to understand that differential is all OEM sales or all rep sales are branded sales?

Ranjan Mathur: So there is another company which we have IFB Refrigeration. So 18,000 is for IFBIL.

Bikramjit Nag: Kartik, why don't you explain properly, Kartik?

Kartik: Yes, sir.

Bikramjit Nag: It's very a simple thing, explain it.

Kartik: Yes, sir. Sir, 118,000 is a total refrigerator manufactured and sold by IFB Refrigeration Limited, where IFB Industries is holding 40% stake. Out of that, IFB Industries is setting approximately 18,000 per month.

Shreyansh Jain: So the difference is what OEM sales, sir?

Bikramjit Nag: No, no, no. Shreyansh, I'm just telling you clearly, 1,18,161 is the figure of IFB Refrigeration Limited, and that is around 39,000 -- around 40,000 per month. And IFB Industries is selling -- had sold 36,000 -- sorry, 54,000. That is actually 18,000 per month. Is it clear?

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Shreyansh Jain: No, sir, not able to actually understand.

Bikramjit Nag: The IFB Refrigeration Limited is a separate company, right? We are having a shareholding there of 41%, correct? IFB Refrigeration is directly selling to dealers, distributors through branches, and they are giving some material to IFB Industries also. IFB Industries is dealing to their dealer and distributor. Whatever sales is happening from IFB Industries Limited, that is 18,000 per month, and in case of IFB Refrigeration, it is 40,000 per month. It is not the question of balance quantities pertaining to OEM production.

Shreyansh Jain: So the structure is really confusing. And so then INR66 crores...

Bikramjit Nag: It's not confusing. IFB Refrigeration Limited is a separate company, clear? Is that point clear to you? IFB Refrigeration Limited is a separate company. Is that point clear?

Shreyansh Jain: Yes, sir.

Bikramjit Nag: Okay. IFB Refrigeration Limited has sold 18,000 per month to IFB Industries Limited. Clear?

Shreyansh Jain: Yes.

Bikramjit Nag: Now suppose IFB Refrigeration Limited is hypothetically producing 50,000 a month. 18,000 sold to IFB Industries Limited are balance suppose hypothetically under 30,000 sold under IFB Refrigeration Limited in different states where IFB Industries Limited is not selling it. You understood? And 2,000 went into stock. That's a math of 50,000 produced, clear?

Shreyansh Jain: Right, sir. So then the INR66 crores of revenue in quarter 1, this is IFB Industries revenue for

54,000 units, right?

Bikramjit Nag: Yes, correct. Correct.

Shreyansh Jain: Okay. So then are we trying to say we have two distributors -- two separate distribution teams, one in IFB Refrigeration and one in IFB Industries for refrigerators.

Bikramjit Nag: IFB industries sells refrigerators in certain states, hypothetically, let us say. IFB Refrigeration is selling in Maharashtra, IFB Industries does not sell in Maharashtra. Clear?

Shreyansh Jain: Okay. Okay.

Bikramjit Nag: So IFB Refrigeration has some people to sell it in Maharashtra, correct.

Shreyansh Jain: Got it. Sir, the second question is what would have been the volumes for us in air conditioners for quarter 1 versus last year?

Bikramjit Nag: Yes. Kartik, you can answer that.

Kartik: Yes. During the quarter, we have sold 1,15,000 air conditioners against last year 1,29,000. And as far as OEM is concerned, we have sold 9,800 air conditioner versus last year 6,600.

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Bikramjit Nag: You tell total, Kartik. 1,20,000 this year first quarter against last year corresponding quarter 1,37,000. Then it will be easier for them to understand.

Shreyansh Jain: Sir, my last question is, what is the kind of cost savings we envisage in quarter 2 and quarter 3. I think in the presentation, we tried to mention that, but I think somehow got missed. So what is the kind of cost

savings that we -- because you said bigger impact expected in Q2?

Bikramjit Nag: Kartik, you can replay. We discussed this today.

C.S. Govindaraj: Yes, this is Govindaraj here, I'll explain. The quarter 2 innovation, what we are expecting is, it will be to the tune of maybe about INR15 crores to INR20 crores, and in line with the target whatever we have taken for the fiscal year.

Shreyansh Jain: Okay. And that run rate should also be continuing for the balance 3 quarters.

C.S. Govindaraj: Yes, it will continue and it should improve on, so that we are in line with the yearly target...

Moderator: The next question is from the line of Saikiran Pulavarthi from Pulavarthi Advisor.

Saikiran Pulavarthi: Sir, just a broad level question is that in terms of the market share, except for the washing machines, you are not material enough in the rest of the segments and the larger ones like refrigerator or AC. So how do you look at yourselves in a very highly competitive industry when your market shares are very less? How can you able to improve your margins sustainably and also have very good return ratios?

Ranjan Mathur: So this is Ranjan Mathur. First of all along with washers, we have good market share in our microwaves as well as dishwashers. We launched ACs -- and lastly, we -- as shared in last meeting, we sold [inaudible 0:28:36]. Here we intend to -- we are targeting around 5% margin. Generally in refrigerator, in span a 2 years, we are now touching around 40,000 every month. And -- so we are targeting around 65,000 per month, around 7-odd percent.

Saikiran Pulavarthi: Sir. But even in your presentation, you mentioned that by FY '26, you want to be like 5% market share in AC. And then probably now you were saying refrigeration at 7%. At that kind of market shares, yes, when your competition is like global players like Samsung or LG or Haier or Midea?

So is it possible for you to sustainably improve the margins from where you are or how difficult or how challenging it is? Experience tells us that in the last 5 years, you guys tried a lot on the sales and improving the marketing but still the margins are still struggling. So we're just trying to understand these challenges is it sub-scale or is it because of something else?

Or is it a problem of, say, what is the -- where is the issue? We as investors outside think that this is primarily because of probably the lower market share is not giving kind of a pricing power.

That's our assessment. Is our assessments right? Or is it something else to think about?

Ranjan Mathur: No. Look, in this, I'll only say one thing. In terms of air conditioners, the responses which we got in the category in last financial -- last 1.5 years have been very good. And this year also, if you see despite a major drop in the industry, we were able to sustain our volumes. And same

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thing is that refrigerator in a span of 2 years we are practically touching 4%. Our biggest strength is our network, we work -- we are working on improving our...

Bikramjit Nag: Ranjan, his question is not that. Please answer the question. If you don't understand the question, you ask him again to repeat the question. But he's asked a very clear and factual question.

Ranjan Mathur: Yes. Can you please repeat the question, please?

Saikiran Pulavarthi: My question is that except for the washers, you don't have a substantial market share in any of the products. And this industry is extremely competitive. So what I think is the single-digit

market share is 5% or 6%, will you be able to have pricing power or not? And if not, then can this be impacting your subscale, what I can say, EBITDA margins, which was there for quite some time. So is it the right way to think about it? Is it something else or other which we should think about?

Ranjan Mathur: So as I was telling you, our market shares in microwave, our market share in dishwasher

s, our

market share in clothes dryers are substantially at a good position along with our washers. Top loaders, which have -- after the launch of the new range we shared, the market share have further -- have started improving.

With regard to AC and rev, so as I just not shared, now the question which you are asking, whether we'll be able to sustain the margins and sizing. So in IFB, we firmly believe that we should give our good for technology products. And that product give us good, sustainable volumes. And that is what on -- that is how we are...

Bikramjit Nag: That is not his question. Kartik, can you answer the question? Ranjan, first, you hear the question well and answer the question.

Kartik: Sir, pricing power is not coming from the market share. If we see the new products what we have launched also our market share is only going up. And in front loading washing machine, we are #1 as far as the customer selling price is concerned, we have features and we give value for what price we are charging. In air conditioners, as you know, it is a crowded market. There are more than 40 brands operating.

If you look from the price point, we are in top 10. So lower market share doesn't mean that our price point is discounted. So margins will not get impacted because of market share. And also in air conditioner, if you see the market leader has around 20% market share. So 4% to 5% market share is a good market share to start with, which ultimately we want to further increase.

Moderator: The next question is from the line of Udit Sehgal from PinpointX Capital.

Udit Sehgal: Regarding the cost-down measures in the last con call, we had discussed that INR200 crores we are targeting from the material cost reduction. Around INR75 crores from the fixed cost reduction and INR20 crores from the warehousing and freight reductions. So I wanted to know, sir, what's the time line on that and from when do we start -- start to see these savings kicking in?

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C.S. Govindaraj: This is Govindaraj here. We had already indicated that out of the INR200 crores plan, INR85 crores will be -- approximately about INR85 crores will get in the fiscal year '26 and we are on track of that. We will be able to achieve that INR85 crores.

Udit Sehgal: And like you said that some part of it was available in Q1, but we could -- I mean, it was offset by the increase in material costs. So could that happen in the future as well?

C.S. Govindaraj: Our estimate for the quarter 2 commodity price increase is not as high as what was happened in Q1. So we should be able to get substantial benefit from the cost innovation activities, whatever we are doing in Q2.

Bikramjit Nag: Mr. Govindaraj, please also inform them what we did not do in Q1, which have led to this. Why don't you and Kartik give them visibility? What did we do wrong?

Kartik: Even though we could achieve about -- in terms of 1.6% cost innovation, but the commodity price increase happened more than that. So that there was a less increase in the material cost, which should not have happened. Our cost innovation measures should be more so that the impact of the commodity we should have been able to absorb, point number one.

Point number two, the realization took some time, which should've happened in Q1 has moved to Q2 because of the validation we had to complete.

Bikramjit Nag: No, Kartik. There is another point. What did we do wrong?

Kartik: Yes. Apart from that, overhead cost has gone up.

Bikramjit Nag: No, what did we do wrong on commodity pricing.

Kartik: Yes. Okay. We have now...

Bikramjit Nag: What did we do wrong? You should transparently say.

C.S. Govindaraj: What we could have done better is the control on the commodity pricing. We have pricing committee with regular follow-ups and why the commodity pricing and what measures we can take to mitigate that we do it properly, we have now corrected.

Udit Sehgal: Okay. So if I understand correctly, sir, from -- for FY '26, we'll get around INR70 crores to INR80 crores from the material cost savings. And for next year FY '27, we will get the full INR200 crores for the material cost savings. That's my understanding, is it correct?

C.S. Govindaraj: Yes, that's correct.

Bikramjit Nag: That is not correct. Total is INR200 crores, correct?

C.S. Govindaraj: Correct, sir. Out of that...

Bikramjit Nag: Out of INR200 crores, this year, you're supposed to get INR60 crores to INR80 crores. So the balance will be only INR120 crores, for example.

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C.S. Govindaraj: No, the total will get INR200 crores.

Bikramjit Nag: Yes. So INR120 crores plus INR80 crores is INR200 crores.

Udit Sehgal: So this is like a onetime saving or it's like a recurring savings since we have reengineered the product?

Bikramjit Nag: Mr. Govindaraj, am I right or wrong?

C.S. Govindaraj: That's right, sir. The savings are recurring only and based on the target of overall INR200 crores, the realization will be about INR60 crores to INR80 crores in this fiscal year. The remaining we'll get in -- it's a recurring only. It's not onetime.

Udit Sehgal: Sir, ultimately, okay, the recurring part will be around INR120 crores or it will be INR200 crores, the recurring part?

C.S. Govindaraj: The recurring part will be about INR120 crores.

Udit Sehgal: Okay. And with respect to the fixed cost that we talked about that will be reducing around INR6 crores per month and the warehousing and logistics costs. What is the visibility on that?

Kartik: Kartik here. We have put in place a team for this along with Alvarez & Marsal. We have identified areas of overhead cost reduction, and we are setting internal tactics for this. So if you say freight, we have done trial on network optimization for Bangalore. The project is complete. Now we are rolling out Pan-India. So we expect that the savings will start coming in from Q3 of FY '26.

Udit Sehgal: Okay. And regarding the fixed expenses, sir, is there any visibility on that?

Kartik: Yes, yes. This is for fixed expenses also, the same team is going to work on. And from Q3, we expect the savings to come in the P&L.

Udit Sehgal: Okay. And sir, if we look at the year-on-year sales, the sales have increased, but the margin has gone down. That's because of the material cost increase or some other reason?

Kartik: Yes.

Udit Sehgal: That should normalize going ahead since the cost savings will also kick in?

Kartik: Yes. As we explained, our service are in the pipeline. When will it come, may take some time.

But we expect INR60 crores to INR80 crores to come P&L in FY '26. At the same time, we are putting a team for -- a pricing committee, which will look into commodities and find ways to reduce the commodity prices. So we expect the effect of commodity price on future quarters to be much lower or we expect a reduction in all this to add to P&L.

Udit Sehgal: Because our eventual target is to reach 10% EBITDA margin is what we've been targeting. So with these cost savings, you think in the next 2 or 3 years we can achieve that?

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Kartik: Our intent is to hit double-digit EBITDA in this financial year.

Udit Sehgal: In this -- so that would be for the whole year, that would be like on the exit?

Kartik: Yes, the first quarter, we could not do, but we are working towards double-digit EBITDA.

Moderator: The next question is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: My question is on the Engineering division. What kind of growth are we seeing for the next couple of years? And in what segment of the Engineering division would you drive that growth?

Kartik: Mr. Narayanan, can you please take this question?

Panamanna Narayanan: Yes, I'm Narayanan here. Actually, we are now looking at almost 3x

growth and we are also

having fine blanking, we are also having stamping. So we are now trying to improve both in fine blanking as well as stamping. So we are also having plans. This year, we are looking at a growth of around 20%. So in the next 2 years, we are looking at around -- more than around 30% growth, which we are also working, other than automotive, other customers also.

Bikramjit Nag: Mr. Narayanan, he asked the question -- you started off by saying 3x growth. And then you said 20% and 30%. Does that add up to 3x? I'm just asking. JC Can you answer?

Naveen Baid: It's okay, if you can just throw some light on what is the...

Bikramjit Nag: One sec. Jayanta, are you there?

Jayanta Chanda: I had just got cut off. I just joined, Mr. Nag.

Bikramjit Nag: Can you please answer the question?

Jayanta Chanda: I didn't hear the question, please. Can somebody repeat the question?

Bikramjit Nag: Mr. Narayanan said 3x growth you are planning and then said you'll to 20% this year and 30%,

30%. Does 20%, 30%, 30% add up to 3x?

Jayanta Chanda: No, it doesn't.

Bikramjit Nag: Okay. So what is your plan?

Jayanta Chanda: The plan is that we have to grow organically, minimum 30% per annum. And also we have to grow through merger and acquisition route, which we are actively pursuing. And we have already seen 48 companies and due diligence have been done for many. So apart from that, we are also working on some breakthrough projects like which are new lines. For example, brake disc line, et cetera, we are working on these, which will give us additional revenues using the fine blanking methodology basically.

Naveen Baid: Okay. If you see our margins or margins had been...

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Bikramjit Nag: Can I just pick that? Sorry. Sorry, I'll just say, Jayanta, it's important to learn how to present matters, you and the CEO both. There is a division, fine blanking division. What is your plan for that? Explain to the shareholders. What is your plan for stamping? What is your plan for Electronics division? Why don't you go step by step? Have some water and present.

Jayanta Chanda: Okay, Mr. Nag, I'll do that. So the fine -- the Engineering division basically has 4 verticals now. The primary vertical is the fine blanking division, which is about INR600 crores, out of...

Bikramjit Nag: What will be the growth in that? Get to the point.

Jayanta Chanda: We are aiming to grow it INR400 crores by the end of -- by March '27 new orders into the pipeline. INR445 crores by March '27. So this will come from new lines of business, which is the brake disc line as well as we are talking to increase our sprocket business with the various OEMs. So -- and we are pushing for newer businesses in the non-auto sector also with companies like ABB, et cetera.

Bikramjit Nag: You don't have to say all that. Just explain. What are the segments you're getting into? Just explain.

Jayanta Chanda: So automotive segment as well as we are also now embarking into the non-automotive and with the onset of EVs, we are -- there is a thrust to keep our portfolio EV-neutral so that we are suddenly not out of business. So gradually, we see the onset of EVs in automotive horizon. So we are aligned with that. And so this is in fine blanking.

In stamping, our plant is in Bangalore, and it is working at full capacity. So there is -- we are adding some pressure in that facility there, but our -- we are also planning a new facility in north of India, because most of the big OEMs are there, including Maruti, Hero Motors, HMSI. So we are planning a new greenfield facility here.

And we are also talking to innovative new products, contemporary products like the battery can for the -- so these products also, we are talking to the suppliers in Exide and Tatas and all that. So we are in advanced stages of discussion and we are hopeful of good order pipeline in the near future. We have a vertical w

hich we call the aftermarket. That's about close to INR100 crores.

We make the chain and sprocket kits. The chains we were importing from China, the sprockets we were manufacturing in our fine blanking plant. Now the government is imposing some restriction on imports, so our Board has cleared our investment for setting up a chain manufacturing plant in India. We will do that, but our Chairman has said to get the organization right before we move ahead with the procurement of the -- we are setting the organization right, which we will complete by the next 30 to 45 days.

And thereafter, we are going for -- and we hope to put up this plant in the next 8 to 10 months.

The supplier has been identified, the equipments have been shortlisted. We are in discussions with them. Very recently, we have set up, made a foray into electronics sector, we have named this Advanced Electronics division.

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We are making components for a global player, very big player, who will be the ultimate consumer. We have made a beginning, and we are quite hopeful that this business will grow substantially for us and we are also in talks with other electronic players. So we want to grow this segment also, which is headed by a separate person and it's a fully independent vertical under the Engineering division.

Naveen Baid: I just had a [converse 0:50:43] question on this. So your margins saw a very sharp increase in FY '25. So you expect this margin to kind of stay around this level? Or -- because in the past, your margins have been volatile over the past 4, 5 years. So you see further improvements in margin from here on?

Jayanta Chanda: My answer to this question is, the last 2 years, we have been blessed with a stable commodity price, it has not been very -- now in quarter 1 this year, the steel prices have been increased by INR3,000. So in the automotive industry, it is the standard norm that we -- whenever there is an increase in RM input, we get it from the customer. But there is a lag of quarter to half year. So we definitely will defend the margins we have been doing but our target is to improve it further. And definitely, we will do that.

Moderator: The next question is from the line of Naitik from NV Alpha Fund.

Naitik: Sir, in the beginning of the call, you mentioned that our expenses have increased because increase in sales representatives and increase in professional and legal services. Can you quantify these charges, which has led to increase in bigger gross margin expenses on a company level?

Kartik: Yes. Kartik here. CSR expenses has increased by around INR7 crores for the quarter.

Professional fees has increased by INR3 crores. And e-waste expenses has increased by another INR3 crores.

Naitik: Sorry, last INR3 crores you mentioned is for e-waste?

Kartik: E-waste, yes.

Naitik: Second question is, you briefly also mentioned about margins, gross margins had fallen in Home Appliances division. So that was primarily due to increase in RM cost? Or was there any other reason also?

Kartik: No, no. That was impact of commodity less recovery through cost innovation.

Naitik: Right. And my next question is what sort of growth do we expect in the washer segment top load and front load individually and in RAC this year? All 3 separately, if you can quantify.

C.S. Govindaraj: Yes. So in case of front load, the growth what we are targeting is around -- we initially, in the financial year, we were targeting from 25% growth, but the industry in front load is a bit segment. So we still feel that this festival season will be good and we'll be able to recover our volumes. And we'll be growing by around 20% to 25%.

In the top loader, we have been able to -- with the launch of new range, we have been able to grow at a much higher level and have been able to gain the share. Here we envisage around 35-
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odd percent growth for us, which will be better than what the industry -- and we'll be able to gain some market share.

Refrigerator -- sorry, air conditioners, you asked. In the air conditioners, there was a drop of 30% plus in the industry in first quarter, but what we feel is our -- first of all, our -- because we were able to sustain our volumes compared to industry. And what we feel is in -- from quarter 3 and quarter 4, we'll be able to get the volumes which we have lost in quarter 1. So then we envisage a growth of around 25% to 30% in air conditioners.

Naitik: And sir, my last question is what sort of market share do we currently have in RAC segment?

C.S. Govindaraj: We marginally gained, we are at around 3%, 3.5%.

Moderator: The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan: You mentioned e-waste provisioning. So approximately, what is the amount you would provision for the full year?

Kartik: Yes, our monthly cost is around INR2 crores. So annually is around INR24 crores to INR25 crores.

Lakshminarayanan: Got it. Got it. So the savings would be after accounting this only, right, the savings we are talking about?

Kartik: Yes.

Lakshminarayanan: Got it. The second question is that in terms of our compressors have you -- have we secured compressors for both refs and the ACs for the next -- even as we expand because there has always been some shortage in terms of compressor capacity in India, be it refs or be it AC. How secured we are in terms of the supply chain?

Kartik: We [inaudible 0:56:56]. We are aware of the demand-supply gap in compressor, but we are already discussing with a manufacturer. And as of today, we are secured with the quantities whatever is required in the -- for the season.

Lakshminarayanan: Got it. Sir, can you just help me understand what is the capital structure of this IFB Refrigeration, 40% is owned by IFB Industries. So what is the 60%?

Bikramjit Nag: I think individuals are owning about 20-odd percent. And others in promoter group are owning significant shares. A promoter group, meaning the one declared to SEBI as promoter group, they are owning shares.

Lakshminarayanan: Okay. And the rest is by the employees, you mean to say the 20%?

Bikramjit Nag: Various individuals, yes.

Lakshminarayanan: Okay. And is there a plan to kind of consolidate it at some point in time? Like if there are...
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Bikramjit Nag: Yes, I think now if you look at the overall thing, IFB Refrigeration above our threshold volume makes positive EBITDA, et cetera. As we've said, 55,000 to 60,000 is what we must sell to make a decent amount of money. Hopefully, we will get there soon. And we hope to at least consolidate it in the near term. Near term meaning maybe in the next 6 to 12 months, hopefully, subject to Board approvals.

Lakshminarayanan: And strong in DC or no frost in the refrigerator?

Bikramjit Nag: So we now make more of DC, but the no-cost is increasing because we are producing more of that now. We are launching the 328-liter very soon. And after that, we will launch other models.

Our brand prism ideally should have -- I mean, our ideal structure would have been to launch the higher-end models first because that's what IFB stands for. But then when we were considering the project, we realized that if you don't do the lower end also to succeed in this is going to become very, very difficult. So going forward, we will do more of the higher end.

Lakshminarayanan: Got it. And one last thing on washing machines. So have we -- I mean, are we -- do we still manufacture the fully drive -- driven washing machines? Or actually, we have moved to completely motor-driven?

Bikramjit Nag: We have moved completely to BLDC. We are moving completely to BLDC.

Moderator: Thank you. Due to time constraint, that was the last question. I now hand the conference over to the ma

nagement for the closing comments. Over to you, sir.

Bikramjit Nag: I think one of the things we have to say is -- sorry, I'm just going to sum up something.

Performance has been relatively weak. And all -- most of the participants have asked the question, what happened to the issue on cost, commodity costs, etcetera, etcetera.

And I think whilst we were working with A&M on cost down, the team that was supposed to handle commodity price, etcetera, got defocused and some slippages have happened there. And that's an area that we need to tighten. I think that let us down.

On the fixed cost increase if you see, increments were given, etcetera, which had to be done. But areas where consolidation of work, etcetera, should have happened, have not happened as fast as it should have. And that's also an area of slippage.

So we have slipped. AC, of course, got affected due to the monsoons, I think, across brands. In other categories, in various areas, we've still not tightened and change management, where the required -- that work is still WIP. We've been very, very slow at it. Hopefully, in this quarter, a lot of that will get fixed permanently. Soumitra, anything else?

Soumitra Goswami: No, sir. Thank you very much to everybody for participating in the call. We'll meet again after quarter 2. Thank you.

Moderator: Thank you. On behalf of Nirmal Bang Equities Private Limited. That concludes this conference.

Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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12th November , 202 5

The Manager
Department of Corporate Services
BSE Limited,
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400001

The Manager
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
Plot No -C/1, G Block,
Bandra Kurla Complex
Mumbai - 400051

NSE Symbol: IFBIND | BSE Scrip Code : 505726

Sub: Transcript of the earnings conference call for the quarter and half year ended 30th September , 2025

Dear Sir,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our letter dated 7th November, 2025 regarding the audio recording of the investor's earnings call for the quarter and half year ended 30th September , 2025, please find enclosed herewith the transcript of the said call.

The said transcript is also available on the Company's website i.e.
<https://www.ifbindustries.com/financial.php>.

This is for your information and record.

Yours Faithfully,

For IFB INDUSTRIES LIMITED

Ritesh Agarwal
Company Secretary

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Conference Call "

November 07, 2025

M

ANAGEMENT : MR. BIKRAMJIT NAG – CHAIRMAN
MR. P. H. NARAYANAN – MANAGING DIRECTOR ,

ENGINEERING DIVISION
MR. C. S. GOVINDARAJ – EXECUTIVE DIRECTOR –
MANUFACTURING (HOME APPLIANCES)
MR. SOUMITRA GOSWAMI – CHIEF FINANCIAL
OFFICER
MR. JAYANTA CHANDA – CHIEF FINANCIAL OFFICER
(ENGINEERING DIVISION)
MR. KARTIK MUCHANDI – HEAD -FINANCE &
ACCOUNTS (HOME APPLIANCES)
MR. RANJAN MOHAN – NATIONAL SALES HEAD
(HOME APPLIANCES)
MODERATOR : MR. ARSHIA KHOSLA – NIRMAL BANG EQUITIES

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Moderator: Ladies and gentlemen, good day, and welcome to IFB Industries' Q2 FY '26 Earnings Call. All the participants' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees for future performance and involves risks and uncertainties that are difficult to predict.

I now hand the conference call over to Arshia Khosla from Nirmal Bang Equities. Please go ahead.

Arshia Khosla: Thank you, Anjali. I, Arshia Khosla, on behalf of Nirmal Bang Institutional Equities, welcome you all to the 2nd Quarter FY '26 earnings conference call of IFB Industries Limited.

From the management today we have Mr. Bikramjit Nag – Chairman; Mr. P. H. Narayanan – MD (Engineering Division); Mr. C. S. Govindaraj – ED (Manufacturing); Mr. Soumitra Goswami – CFO; Mr. Jayanta Chanda – CFO (Engineering) ; Mr. Kartik – Head (Finance & Accounts); Mr. Ranjan Mohan – National Sales Head (Home Appliances).

I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

Soumitra Goswami: I am Soumitra Goswami, the Chief Financial Officer of IFB Industries Limited. I welcome you all for IFB Industries Limited Investors Call for Q2 of FY '25 -'26.

Now, I will inform you about the Q2 Result :

Revenue for the quarter was Rs. 1,327 crores against last year's Rs. 1,189 crores, which is a growth of 11.5%. PBDIT for the period was Rs. 102.5 crores and its percentage to revenue is 7.7% as compared to last year's Rs. 79.04 crores, which was 6.6% on revenue. PBDIT amount came across a growth of 30% year -on-year. Fixed expenditures for the quarter were well within budget. PBT for the period was Rs. 68.3 crores, which is 5.2% on revenue against last year's figure of Rs. 44.6 crores, which is 3.8% on revenue. Q 2 PAT was Rs. 50 crores which is 3.8% on revenue against last year's Rs. 33 crores which was 2.77% on revenue.

YTD September 2020 figures are like this. Revenue for the period was Rs. 2,637 crores against last year's Rs. 2,434 crores which is a growth of 8.4%. PBDIT for the period was Rs. 172.45 crores , its percentage to revenue is 6.5% as compared to last year's Rs. 165.57 crores which is 6.8% on revenue. Performance for the YTD period was impacted due to subdued Q1 results,

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which impacted the overall growth momentum for the six-month period. Fixed expenditures like Q2 were well within budget. PBT for the period was Rs. 102.25 crores against last year's figures of Rs. 97.04 crores . Half -year PAT was Rs. 75.11 crores which is 2.8% on revenue against last year's Rs. 72.14 crores which is 2.9% on revenue.

Before we move to the question- and-answer session, I would like to highlight briefly on some important points where we intend to focus on for driving our future improvement. Those points are; ongoing material cost reduction initiatives are expected to deliver annualized savings of Rs. 200 crores .

Soumitra Goswami: It is for appliances division only. All the initiatives what I am talking now it is for appliances division only. Material cost reduction initiative are expected to deliver annualized savings of Rs. 200 crores . Out of that , Rs. 14 crores we have realized already in first half and balance amount of around Rs. 60 crores to Rs. 70 crores will be realized in second half of the year . On fixed

cost

reduction, we did not do well in this area. The team has been prepared, the team is focusing now to address this area, and initial results are expected to materialize from Q4 of the current fiscal.

Soumitra Goswami: We are working with Alvarez & Marsal only. On logistic cost of approximately Rs. 154 crores , a cost optimization project targeting a 10% reduction has been initiated. A&M and our team are working together on the same. Efforts are underway to improve counter -sales representative productivity and optimize market coverage.

We are improving the efficiency of scheme payout. Up to 30th September 2025, we have reversed Rs. 28 crores from dealers who did not achieve their volume target as part of the tie-up letter. The annual scheme payout, including consumer finance and scheme of service stands at Rs. 1,500 crores up to 31 March 2025. We continue to identify additional inefficiencies in this area, and further action will be taken in the second half of this year.

Our intent is to achieve double -digit margin by addressing all the five points which I have spoken now along with the enhancing counter -level extraction and expanding the market share on each individual product category.

Now, with this, I will be requesting you to start the question -and-answer session , please.

Moderator: Thank you very much. We will now begin the question-and -answer session. The first question comes from the line of Vivek Kumar from Bestpals Research and Advisory LLP. Please go ahead.

Vivek Kumar: Sir, my general question on the Home Appliances division , like, we are having good market share in front loaders, top loaders, and microwave ovens, we are now concentrating on refrigerators and air conditioners. But if you go to any big retail mart, you see lots of competition. So, how should we think? I am not saying you will not be able to make it or you will be able to

make it. How should we think , are you going to concentrate in a few subjects , few new locations,

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locations for states? Why do you see you can go to 15% market share that you are seeing in ACs? Why do you think you can go there in?

I am not even saying this timeline, but there should be some assumptions, right, that you put up your own plant. You are doing everything in- house, which is very commendable. So, there should be some assumptions on the management side why we will get to that market share in both refrigeration. Because if you see there are like Korean companies, Japanese companies, Chinese companies, and also some Indian companies across all these categories. I am not undermining IFB. I am just saying what are the assumption s that you think this AC and refrigeration you will get from market share over the next four, five years?

Bikramjit Nag: I think Ranjan Mathur will answer this question, he is the Sales Head. Hi, this is Bikram Nag, I would like to say , I do not think anywhere we have said AC will get 15% market share. I do not think we have said anywhere.

Vivek Kumar: Okay. So, sir, my point is you want to get established.

Bikramjit Nag: However, I think the fact is if you are in the business, in the business you have to aspire to do well. And to do well, many things you have to do well. One is your design has to be good, the look of the products has to be good, durability has to be good, your sales structure has to be good, your overall cost structure including material cost, etc. , has to be good, logistics and warehousing has to be very good.

Even if you take a company like Panasonic, which is a global company, with everything being very good by and large, they have failed in a lot of product categories and they have decided to exit. We feel, however, that in many of the product categories we are in, we can do much, much better than we are doing today. That is our belief. And however, from here, Ranjan will take

over.

Ranjan Mathur: So, with regard to ACs and ref, the initial response, both for refrigerator and ACs in the market is very encouraging. And today, we call it modern trade. We are being placed across and the overall, the secondary movements are reasonably good. So, we are quite confident that we will be able to get our rightful position in both the categories.

Vivek Kumar: Okay. So, is there any target, sir, like growth rate targets you have on the Home Appliances division over the next two to three years because we have now undertaken cost initiatives with the sales extraction. And now that I think, I am not saying there will be no new products but it's good, solid product across cooking and cleaning. So, any growth rate you can give target over the three, four years? I am not asking this year or next year. Home Appliances division target, growth targets, revenue targets?

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Ranjan Mathur: So, basically, we do not give any forward guidance but what we envisage is , overall the growth which we could feel or we could assess, we will be growing at a far rapid pace than the industry and we will be gaining our market share.

Vivek Kumar: So, can we assume a 20% growth over the next four years, sir ? Now that like lots of investments have gone over the last six, seven years. So, there's not much growth. So, I am not asking you to give guidance but there should be some assumptions that, okay, 20% should not be difficult or 10% should not be difficult, like that. I am not saying you should grow only at 20% or 10%, but some growth rate should not be difficult that we have done so many investments over the last four, five years.

Ranjan Mathur: Look, all this will depend on industry, but we are quite confident of going at a much rapid pace.

Vivek Kumar: So, much rapid pace can be double -digit, at least 20%, north of 20% or north of 10%?

Ranjan Mathur: Yes, it has to be more than that. It has to be around double -digit. It will be more than double -digit.

Vivek Kumar: Thank you, sir. Thank you very much, sir. All the best, sir.

Moderator: Thank you. The next question comes from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

L. Ganapathi: Yes. Thank you. I just want to understand your cost saving things which you are actually talking about. I want to understand whatever tax you are saving, how thinking whether it would actually be passed on to the consumer or it will directly come to our bottom -line? Or it will be earnings, or it will be spent on advertising and things like that? How are you thinking about the cost savings?

Bikramjit Nag: So, cost saving has nothing to do with saving on tax. They are two different things. Saving on tax as to on the GST saving, etc. , everything goes back to consumer.

L. Ganapathi: No, no, no. I am not talking about that. Sorry, I am talking about the cost saving initiatives which you have taken, which is in variable cost saving and the fixed cost saving, which you have actually envisaged as a project. I am talking about that.

Bikramjit Nag: That will go to the bottom -line.

L. Ganapathi: And in terms of the variable cost savings, among the Rs. 200 crores plan which we had, how much you think would actually would get affected for this year?

Bikramjit Nag: I think we just answered that. We just answered that , that about Rs. 70 crores to Rs. 80 crores will come this year, and the balance will come next year, which is as per our last Q3 .

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L. Ganapathi: Got it. And in terms of the fixed cost savings which you talked about, I think it was mentioned that there is some kind of a delay in fixed cost savings , can you just talk about that?

Bikramjit Nag: Yes. Now that project has been given to Alvarez & Marsal as well. We now have a team full time with Alvarez & Marsal and our

selves to look into this. In this, there has been no movement at all, sadly. A lot of movement on material cost and other things.

L. Ganapathi: Got it. And sir, moving on to your BLDC motors, can you just help me understand, because there has been some mention that you have started not only producing but also been having some orders in hand. Can you just talk about the BLDC plan for now?

Bikramjit Nag: BLDC plan for which one , washing machine or for AC?

L. Ganapathi: For both, sir. How many we are manufacturing ?

Bikramjit Nag: Washing machine supplies have started full -strength to IFB Industries Goa plant. We do not have any other customers though. We are only supplying internally now, and AC has also supplied now. I think we supplied in October certain dates, certain number, and November I think we will do about 20,000 or 30,000 numbers. And for the OEM for AC, the OEMs have already started putting our motors, are working on the development program with us. So, that has started. So, AC production has started also, I am revealing that.

L. Ganapathi: Got it. Sir, when I look at your refrigerators' volume and I see that the realization has actually gone up by around 5% when compared to the last quarter. So, can you just help me understand what is the mix, is it because of the no frost also coming in? Or is it f or any other changes you have done?

Bikramjit Nag: I think , no frost has come in, and as soon as volumes increase, I think you get better economies of spill across the board. However, in refrigerator overall if you see, we are still unhappy with the volumes. And as a percentage if you see, there has been sizable i ncrease, but compared to our internal target we are still about 30% short.

L. Ganapathi: Got it. Sir, can you just give a volume number of front load, top load machines for this quarter?

Bikramjit Nag: Kartik, take over please. You are talking Q3 or Q2?

L. Ganapathi: Yes, the current, I mean, I think Q2.

Bikramjit Nag: I do not think we gave volumes, but I think if you see for whatever we have done so far, I think July, August, September and October have been good. And f or top loader, it's been very good. And f or top loader, it's been very good.

L. Ganapathi: Okay. And in terms of our capacity for front loading and top loading, what has been our capacity right now and where do you think you will actually end in terms of utilization for the year?

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Bikramjit Nag: Kartik? I think capacity, we still have a lot to do in the front. But top load, I think we are using sizable capacity, but Kartik will answer this.

C.S. Govindaraj: Sir, can I answer, sir? Govindaraj here.

Bikramjit Nag: Yes, please.

C.S. Govindaraj: As far as the front load is concerned, our capacity has been 85,000 per month. And in the month of September and October, we are almost used to 92% to 93%. And going forward, we are doing activities which we want to enhance the capacity by another 10% to 15%. As far as top loader is concerned, our capacity is 60,000, and in September, we have almost achieved 95% utilization. Same way, we are looking forward to about 10% increase in our capacity.

L. Ganapathi: Got it, sir. Sir, and as we grow forward in the next couple of years, is it optimally used?

Bikramjit Nag: Mr. Govindaraj, there is a question, exactly what he is asking, for two or three months if capacity utilization is good, the question is to balance nine months, so when you look at it overall, then optimization is not good, that's his point. So, if you just increase capacity, does it make sense? And let us say, if you increase substantially, it will only help us in the better.

L. Ganapathi: Sir, my question is that, for the full -year, I assume your capacity, you are talking about all the shifts included, my question is that, from a full -year point of view what is the total capacity you

can actually do, is it 85,000 into 12, and 60,000 into 12, and three shifts a day is what I assume.

Now, as we go forward, maybe in the next one, two years, how can we add capacity? Do we have a place to add the assembly line? Or how do we think about it, because --

Bikramjit Nag: Yes, we have all that. There is no issue with space per se, for the next two to three years. By and large we are okay. But if sales grow by that amount, by a huge amount, then we may need to add tools, etc.

L. Ganapathi: Got it. And we are working three shifts a day, sir, on both the things?

Bikramjit Nag: Not for 365 days, and in certain sections, we are working three shifts throughout the year, like in the plastic molding section, etc., but certain sections, we are not.

L. Ganapathi: Got it. There was a mention regarding having McKinsey for a consulting engagement. Can you just help me understand what would be the duration or what are the things you are expecting out of that as an outcome?

Bikramjit Nag: It's about a 12-month thing basically on e-commerce. We realize that the processes, etc., we may need to update, or the better word is modernize that we have internally vis-à-vis the best practices followed by other leading firms. So, we realize we need an outside firm to just help us speed up on this. And hence, it's about a one -year assignment. And along with that, we give it them a

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target of marketing cost optimization at the same thing, so that the project cost is cost- neutral.

That's our agreement. Its marketing cost optimization as well as e-commerce.

L. Ganapathi: Okay. Thank you, sir. I will get back in queue.

Bikramjit Nag: Thank you.

Moderator: Thank you. The next question comes from the line of Udit Bokaria from Catamaran. Please go ahead.

Udit Bokaria: Yes. Thanks for taking my question. So, just wanted to understand historically despite being a market leader in front-load washing machine as well as microwave ovens, right, why were our margins low? And what was the like rationale or what was the thought process then what is the stabilized margin? That's the first question.

And the second question would be, if you can just break up that Rs. 200 crores how much is due to fixed cost reduction and how much is material cost reduction and what are the other things?

Yes, these are the two questions.

Bikramjit Nag: I think the major thing on margin if you see, you will see a material cost is high and fixed costs are high by and large. I mean that has to be fixed and any good company works on double -digit margin plus. Double -digit plus margin. So, we have to get there. We are very, very clear on that internally.

The fact that it is taking so much time is bothering us, and hence we got in external firms to help us. In fact, in one of the investor calls long time back one of the investors said to me that look, it is much better you work with an outside firm because it will help you move faster rather than trying to do this internally.

I had resisted that, and we wasted a lot of time and we have corrected that. So, we are very clear on the margin objective and various corrections need to be done, including material cost, logistics cost, fixed cost, etc., schemes, optimization of schemes which Kartik spoke about, all of this has to be done, we are clear on that.

Udit Bokaria: And is there any quantum which you can share, like of that Rs. 200 crores, how much is material cost, how much is fixed cost?

Bikramjit Nag: I think as we have said, in this year, our target was Rs. 100 crores, but I think we will end up with material cost of anything between Rs. 70 crores to Rs. 80 crores. And the balance will come between April and September, October of next year, significantly. The reason for this thing is, material cost, etc. , a lot of validation, etc. has to take place. When you go for a alternate

material

and all of that. So, all that project is on, so this is significantly material cost, some of it will be logistics cost. Fixed cost is over and above this.

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Udit Bokaria: And the material cost reduction is just that you have found a supplier who is able to give you the same quality parts at a cheaper rate, or what is it? Yes.

Bikramjit Nag: No. We are able to renegotiate better with zero -based cost structures, etc. , zero -based costing in place, etc. In certain cases, we are replacing, in certain cases there is design optimization, etc.

So, I think a lot of different, different levers are being looked into. We now have, in fact, six, seven people from our team full -time pulled out of operations into this. And about five, six people from Alvarez & Marsal side. So, it's a 12 or 14 member team, which is full -time working on this. And that is helping actually.

Udit Bokaria: Got it. And just on your engineering division , right? So, it seems like there is a renowned focus and a lot of capital, like because you have planned of acquisitions as well as there is an organic CapEx going, right? So, what is the reason for excitement or higher capital allocation towards this division?

Bikramjit Nag: Firstly, acquisition, nothing has happened. We bid for a company recently; it was s ignificantly into the railway segment. We bid for a company, but we were outbid by others. The company had sales of close to about Rs. 300-odd crores. But we were outbid by others.

We think this is a good, stable business, engineering business for the long-term. And India becoming a good manufacturing haven in this China plus one thing, we thought we should expand capacity of our own and look at others we can acquire, other things we can acquire in order to really grow. However, we have looked at approximately up to last week, I think, we have looked at 60 targets, 60, which was 48 till last quarter, I think, 48 or 50.

We looked at 60 targets, out of which formal bids we put in is, I think, about three or four , four I think, the last one being this railway thing. But none of them materialized mainly on valuation of the Japanese company that we had bid for, because they told us they will exit and then come back into India on their own after selling to us. We then backed out of the transaction. So, it's really taking us a lot of time. But we think this is futuristic for us.

Udit Bokaria: And any organic plans like where you are seeing good traction, like where you can put good amount of capital in customer, and you have found some customers?

Bikramjit Nag: Yes. So, if you see, our growth this quarter has been very, very rooted in Engineering. Our internal target was much, much more. But many customer schedules dropped. And I think marketing has not done what they are supposed to do, because our internal thing was much, much better, but it's not happened. However, even at these lower sales, they could control costs and keep the margins intact. Internally, we are expanding capacity in the stamping business, which is in Bangalore. In Fine Blanking, there's marginal, there's some CapEx going in, but a lot of work is going into productivity improvement, including making tools with newer technology, which will free up

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existing capacity and all. So, a lot of debottlenecking work. And in stamping business, we will put in CapEx .

Also, we are looking for expansion in Gujarat. Stamping facilities to be put up in Gujarat. We are applying to the Government of Gujarat to set up a greenfield plant there for stamping and a few other things for that market, where customers have asked us t o put up a plant. We are doing that.

Udit Bokaria: Got it, got it. And what stage of commercialization are we in the Advanced Electronics division? I think you mentioned the same in yo

ur

Bikramjit Nag: Advanced Electronics venture has started. We supply to Titan. We are doing work for Titan. So, that has started. And it has started slowly. I think we will have a lot more to say about this in the January quarter.

Udit Bokaria: What is the part that you are supplying there?

Bikramjit Nag: We are only doing machining work now, high-end machining work. And we are talking about parts still, but the discussion on parts is still on. But machining has started.

Udit Bokaria: And this is for the TEAL division or like which division of Titan?

Bikramjit Nag: Titan for their Advanced Electronic division. But I cannot name the customer. End customer, we are not allowed to name.

Udit Bokaria: Got it. Understood. Thanks a lot, sir.

Bikramjit Nag: Thank you.

Moderator: Thank you. The next question comes from the line of Naitik from NV Alpha Fund. Please go ahead.

Naitik Mutha: Yes. Hi, sir. Congrats on a good set of numbers, and thanks for taking my question. So, my first question is, we have seen very decent momentum in demand and in numbers both -- in the washing machine segment this quarter. So, my first question is, do we expect this demand momentum to sustain? And what sort of growth can we see in this division?

Ranjan Mathur: Yes. So, what we feel is the momentum is still continuing. And October was good. And November also, if we see the secondary sales, it's on track. So, we expect the momentum to continue in both the categories.

Naitik Mutha: Right. And any sort of numbers that you would like to sort of give in terms of growth, how we see this washing machine growing this year and next year?

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Ranjan Mathur: I think we answered that. We do not give any forward guidance, but it will be stable growth.

Naitik Mutha: Got it. So, my next question is, what percentage of our portfolio has actually been benefited from GST in date card? And have we actually seen demand increasing because of that in that part of the portfolio?

Bikramjit Nag: So, I think GST, the major thing was supposed to be AC and AC sales are down. There was and all. But Kartik can explain this better.

Kartik Muchandi: Yes. The GST reduction is in two categories: one is AC and second dishwasher. In AC, since there was an industry -level issue with regard to stock, though the benefit is there for the customer in terms of reduction in selling price because of the range. In last quarter, there was no benefit. As far as dishwasher is concerned, there is an uptick in demand. And our growth rates are also much higher than industry. We have increased on the market share also as far as dishwasher is concerned.

Naitik Mutha: Dishwasher and AC, I mean, this quarter and going forward, are we seeing increased demand now? Or it's still being affected because of the weather conditions?

Bikramjit Nag: No. But Kartik, one thing, on the dishwasher front, the GST benefit vis -a-vis the exchange rates, what has happened exactly?

Kartik Muchandi: Yes, the euro has appreciated which has impacted the material cost. But as far as the customer -

Bikramjit Nag: There is no benefit per se.

Kartik Muchandi: Yes, yes, yes. At the company level, what has happened is that since the inputs are denominated in euros, so the cost has gone up by 10%. So, to that extent, the price has gone up. So, after the GST increased, after passing on the benefit to the customer, there is no net benefit to IFB in terms of margins.

Naitik Mutha: Got it. So, my next question is the Rs. 150 crores logistics cost savings. You mentioned it's over and above the Rs. 200 crores material cost savings, one.

Bikramjit Nag: No, he said Rs. 150 crores is logistics cost. In Rs. 150 crores we are expecting minimum 10% savings, which is Rs. 15 crores.

Naitik Mutha: Okay, Rs. 150 crores is the total cost. Okay. Got it.

Bikramjit Nag: Yes.

Naitik M

utha: Got it, sir. That's it from my side. Thank you.

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Moderator: Thank you. The next question comes from the line of Pratiti from Param Capital. Please go ahead.

Pratiti Khara: So, I would just like to ask around the cost savings that were mentioned here. You have guided that around Rs. 80 crores is going to be the savings for this year via the A&M cost program. How much of this is actually going to flow down to EBITDA and how much will be offset by pricing pressure and inflation? Hello?

Kartik Muchandi: Yes, Kartik here. As we explained earlier, in the first two quarters, we have already got Rs. 14 crores in P&L. And in Q3 and Q4, we are expecting another Rs. 60 crores to come in P&L. As far as commodity and FOREX is concerned, we cannot predict what will happen in Q3 and Q4, okay? At the same time, wherever possible, we are also increasing the selling price to recover the commodity and FOREX impact. In top -loader, we have increased the price from 1 of November. In front -loading washing machines also, we are looking at price increase, and judicially, we will do the price increase.

Pratiti Khara: Okay. So, there will also be raw material cost saving as well as ESP increases quarter -on-quarter, right?

Kartik Muchandi: Yes.

Pratiti Khara: Okay. So, how much can we expect the EBITDA margins to look like, steady state?

Kartik Muchandi: No, madam, we will not be able to give the EBITDA forecast.

Pratiti Khara: Okay. All right. Okay. Thank you. That's it.

Moderator: Thank you. The next question comes from the line of Naveen from Nuvama Asset Management. Please go ahead.

Naveen Baid: Thank you. Thank you for the opportunity. I just wanted to know what's the IP point count and what's the revenue that we are doing in that all segments ?

Ranjan Mathur: Currently, we have got 521 IP points across the country, and they contribute to around 12% of our sales.

Naveen Baid: Thank you.

Moderator: Thank you. The next question comes from the line of Lakshminarayanan from Tunga Investments. Please go ahead.

L. Ganapathi: Thank you. Sir, in terms of air conditioning, what is the total capacity we have and how do we plan to expand the OE sales there?

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C.S. Govindaraj: Okay. This is Govindaraj here. As far as the air conditioner capacity is concerned, we are about 65,000 per month. Capacity is available. And in the peak, we have touched about 55,000, about 90%. That is point number one. Point number two is as far as the OEM is concerned, our efforts are with our partners to give a competitive price, and we hope we will be able to get some orders on that.

L. Ganapathi: Got it. Sir, and one feedback which I have received, you may correct me if I go wrong here, is that the servicing of IFB washing machines have sometimes been a problem because the franchisee who you appoint, when they come up with the addressing the customer query, they end up selling so many other materials because they want to actually maximize their profit. If that is the case, have you corrected that particular practice? And how your customer satisfaction scores in the washing machines have been? How it has changed in the last one year? I am sure you will be measuring that score.

Bikramjit Nag: Is Mr. Negi there? Yes. Kartik, is Mr. Negi there?

Kartik Muchandi: No, Mr. Negi is not there.

Bikramjit Nag: Kartik, you can answer this. Otherwise, I will answer.

Kartik Muchandi: Sir, the customer satisfaction survey is being done. The score is above 90% and it has improved over last year.

Bikramjit Nag: And this is actually monitored every week on Monday. So, the customer satisfaction score as well as pending calls, these two things are actually monitored by the Director in Charge of Service, Mr. Negi, every Monday morning. And we have seen improv

ement. But this point on

selling, it has come out before, and we are seeing how to do this in other ways. So, for example, now we are also working on, selling can be done whilst we do digital marketing and all to basically the customer. A lot of the delivery can be done by third parties, thereby reducing the strain on the service people to sell. And therefore, we have increased sales of our detergents and all via Blinkit, etc., etc. We have done that.

L. Ganapathi: Okay. Got it. And last time you mentioned that we are trying to improve our sales saliency through this cashback mechanism because many of our competitors have tied up with several credit card companies. So, my question to you is that what percentage of our sales happen through these EMI kind of options and what percentage goes through this cashback? Because the feedback I have received is that our tie-ups are not very strong. Therefore, in some fringes we lose market share.

Bikramjit Nag: Kartik?

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Kartik Muchandi: Yes. In this current season, Diwali season, our cashbacks and schemes, they have been very competitive in line with the competition. And for the industry and also for IFP, the attachment for cashbacks, consumer finance is 40% to 50%.

Ranjan Mathur: Further, I said in last conference also that we are into product sales and the competition where you are just now saying we have higher cashbacks, is not the right approach. So, we sell our products on features and benefits, not on cashbacks. So, that is something how we differentiate ourselves.

L. Ganapathi: Thank you. Got it. Sir, on the Fine Blanking division, can you just help me understand what is

the industry mix which we cater to? And even in the last call, you mentioned that there is a growth plan you actually have envisaged. So, organically, how do you intend to grow that particular business? I am just talking purely organically, organic growth in the Fine Blanking division and the industry split which we have now.

Bikramjit Nag: I think organically, any business should grow. I mean, we have enough within to grow by 20%, I think, 17% to 20%. And we need marketing to do a better job. In the case of stamping, however, because we are very small in stamping, we are doing about Rs. 8-odd crores a month, okay? So, when we add capacity, either in the existing plant in Bangalore or a new greenfield in Gujarat, this can, of course, grow by many more times.

So, whilst I spoke about Gujarat greenfield, we are also looking at setting up a plant in close to Maruti, in Maruti and Hero in close to Manesar. So, two facilities to come up, one in Gujarat and one close to Manesar is what we are thinking of. And therefore, as this business from Rs. 8 crores a month, we will significantly grow it. We have not put any numbers to it as yet because we have not taken it to the Board as yet in terms of a number. But we expect it to be substantial.

This will be finalized in the next 50 days and we will take it to the Board. And then we can give you this exactly.

L. Ganapathi: Got it. Sir, how many P&L divisions we have in our company? One is, of course, the engineering division and the Home Appliances division.

Bikramjit Nag: But in engineering division, the P&L is bifurcated. So, for example, fine blanking is one, stamping is another P&L. Then motor is the third P&L. So, like that we have it. And the reason we have it is so that the existing management of that line of business takes like responsibility into it.

L. Ganapathi: Okay. And how is it in terms of the Consumer appliances division?

Bikramjit Nag: And in consumer, I think we have factory head for each of the plants. But P&L is one. But service P&L is second. So, in marketing we have a P&L. Factory we have. Service we have. Ultimately consolidation is one, as appliances. But we look at it as three.

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L. Ganapathi: And what is the pure advertising budget we actually have for the years? And how much we have spent on media advertising? And if you can just give me a split of whether it is in terms of print, e-commerce --

Bikramjit Nag: I do not have it now. But if you see how much we spend annually is approximately Rs. 100 crores to Rs. 120 crores. Taking everything into account including what is spent on digital. And hence one of the things given to McKinsey was help us to optimize this by 15%, 20%.

L. Ganapathi: The advertising spend also.

Bikramjit Nag: Yes. This Rs. 100 crores to Rs. 120 crores cost that we have in marketing overall, we have asked them to help us to optimize this.

L. Ganapathi: Got it. Sir, in terms of the customer sales representative of the CSR which we have, I mean how have you increased in the last six months over the last previous six months? Because one feedback which I hear from the market is that our variable structure to the CSR has to improve. And just because of it there are some attrition also. Can you just help me understand that bit, sir?

Bikramjit Nag: Yes. I think our major thing is we actually continuously benchmark. And one of the points that have come out in the benchmarking which is what you are also quoting is the difference in the variable pay structure between us and others. Namely like the bigger guys. That is because, that is because the bigger guys are working on a structure which is suitable for them which we do not think is suitable for us. But we are re-looking into it.

Whilst re-looking into it, we have found some anomalies in our existing structure. So, for example, in our existing structure, let us say that we say a person has to do a minimum of 20 before they earn incentives, okay? And whereas others talk about 30, for example. But the others have a slightly higher fixed as a result of that.

But our thing is that when you look at the 20, the 20 cannot be looked at flat because every single counter has a different throughput, meaning in a counter, if total sales is say, 200 numbers from that counter across brands, okay? And then you say, okay, your target is only 20, then we are doing less than the requirement in terms of market share in that counter.

And similarly, in some counters, suppose the throughput is only going to be maximum of 80 or maximum of 50, maybe asking for 20 is also unfair. You understood? So, the counter-by-counter

proper planning is not there. Having said that, as far as the CSR would average wages, let's say, anything between Rs. 15,000 to Rs. 17,000, Rs. 18,000, depending on the city, I think we need to rationalize the structure and the incentive depending on the city rather than a flat all India.

Meaning the structure for Bombay cannot be the same as the structure for Amritsar. So, I think this reward is taking place. It will be done by November 15, 16 and the new thing will be rolled out.

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L. Ganapathi: And how much we have increased our CSR people in the last six months to previous six months?

Bikramjit Nag: I think we have increased by about 600 numbers.

L. Ganapathi: 600 numbers on a base of 4,000, right?

Bikramjit Nag: 600 to 700 numbers. Correct, Ranjan, how much?

Ranjan Mathur: 700 we have increased and our current number of CSRs is 5,300 across the country.

L. Ganapathi: Sir, and given the kind of complicated things which we actually just mentioned, how are we structured in terms of our information systems, right from the factory to the primary sale to the secondary sale? And how do we track it, so that the right product positioning happens, the right CSR is actually put? How have we improved our --

Bikramjit Nag: Yes. So, I think this overall thing of connecting right up to the end in real-time, we have some issues here. We are working on

this, we are working on this. And I think these are one of the points where we may need external help.

L. Ganapathi: Got it. Sir, right now your multiple plants, all of them are in the same information system that what you are buying in Goa versus what you are buying in other place, do we have the visibility in terms of whether the materials are correctly procured at the right price and the right inventory? Is that unified now from an information system point of view?

Bikramjit Nag: From an information system point of view, it is there but may not be used effectively, as effectively as it can be used. Is the information there in the system? The answer is yes. Is the information used effectively? Maybe not 100%. But to your question, is the information there?

The answer is yes. So, what we have done now is supply chain across the Board has become one in terms of buying. We put one person basically in charge, we put a committee in charge of price increase to be given to suppliers, etc., etc. So, lot more control has been brought in and that is giving us benefit.

L. Ganapathi: Got it, sir. Thank you so much for answering all my questions.

Bikramjit Nag: Thank you.

Moderator: Thank you. The next question comes from the line of Shreyansh Jain from Swan Investments. Please go ahead.

Shreyansh Jain: Hi. Thanks for the opportunity, sir. So, my first question is, when I actually break your P&L other expenses up and I am talking about FY '25, I have got these numbers from the annual report. So, there is this cost called ancillary cost which is actually doubled in the last five years. So, can you just throw some light there, Rs. 140 crores of ancillary cost. What are these costs exactly, sir?

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Bikramjit Nag: You are talking about the engineering division?

Shreyansh Jain: No, I am talking about the overall consolidated profit and loss account of IFB Industries.

Soumitra Goswami: Sir, I am answering this.

Bikramjit Nag: Soumitra, ancillary is only engineering, no?

Soumitra Goswami: No, ancillary is there in Home Appliances division also. I am answering this question.

Soumitra Goswami: Apprentice allowance, which was grouped earlier under employee cost, now it has been regrouped under ancillary cost in this year. So, the cost looks higher as compared to last year, whatever he is saying is correct. There is an additional impact of Rs. 4.5 crores in the quarter and around Rs. 9 crores for the YTD period. Otherwise, there is no such additional impact in the ancillary cost.

Shreyansh Jain: Sorry, sir. So, if I am getting this right, this is employee cost, isn't it? Rs. 140 crores of --

Soumitra Goswami: No, no, no, no. This cost is pertaining actually to apprentice. We have many apprentice in the appliance factory who are actually --

Bikramjit Nag: Soumitra, please understand what he's saying. Ancillary cost of Rs. 140 crores cannot be apprentice.

Soumitra Goswami: No, I am not telling that. See, in the IFB Industries' P&L, GCR for the quarter, ancillary cost is Rs. 14 crores as compared to --

Shreyansh Jain: No. I am saying the full-year, full-year '25, sir, last year. I want to understand the expense head broadly.

Soumitra Goswami: For last year?

Shreyansh Jain: Yes. For last year, it was Rs. 140 crores. And this 140 crores has become, it was Rs. 70 crores in FY '21. So, it has doubled in the last five years. Whereas our Home Appliances division and all divisions put together, our revenues have not compounded at the rate that this expense has compounded.

Soumitra Goswami: If you talk about '24-'25, Rs. 140 crores, out of that, approximately 78% to 80% is pertaining to our engineering division. Engineering division, they are doing many ancillary jobs which are happening inside the factory, which are going outside the factory, that are being booked under ancillary cost. And in addit

ion to that, Home Appliances division also is having ancillary cost, which is around 18% to 20% of the total ancillary cost of the company.
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Shreyansh Jain: Okay. And my second question related to the same thing. When I just break this other expenses, Rs. 1,250 crores of total expenses. Now, if you look at the five largest expense heads, sir, one is consumption of stores and spare parts. The other is freight, octroi, carriage. The other is ancillary cost. And the fourth is advertisement, sales promotion of Rs. 285 crores.

Now, sir as per my understanding, all these four large cost heads are largely variable in nature. So, as you increase your business, you will need a lot of these things, right? So, I am just trying to understand when you talk about Rs. 120 crores of cost savings, which will come from other expenses, which line item are we actually targeting or are we looking at getting the most out of?

Soumitra Goswami: Regarding the material cost reduction, whatever we are talking about for last one hour, many shareholders have asked this question.

Shreyansh Jain: Material cost is Rs. 60 crores to Rs. 80 crores, right?

Soumitra Goswami: One minute, I am just coming. Suppose you are talking about consumption of stores and spares under other expenditure, correct? Consumption of stores and spares, though it is appearing under other expenditure in Schedule 3, but it is clubbed under material cost only when we are combining the P&L Account. Understood? This is point one.

Ancillary cost, I have already explained. Next cost is sales promotion expenditure, which we have discussed about five minutes back, where CSR expenditure and normal promotion expenditure are clubbed. Is it clear to you now?

Shreyansh Jain: It's not very clear. If we can take this offline.

Soumitra Goswami: Yes, you can come back to me offline. I will explain to you.

Bikramjit Nag: Kartik? Can I just interject because I like this point, Kartik?

Kartik Muchandi: Yes, sir.

Bikramjit Nag: Out of the Rs. 200 crores, whatever he said, Rs. 250-odd crores or Rs. 280-odd crores, as far as I know marketing cost is Rs. 120 crores. That is what we have given to McKinsey. Now CSR cost is about 14, 15 a month or 13 to 15 a month, correct? So, it was saying that is added to marketing cost, correct? And hence it becomes Rs. 280 crores. Am I right in assuming that?

Kartik Muchandi: Yes, yes, yes, yes.

Bikramjit Nag: Okay. So, in the question of CSR, it is an issue of getting productivity up, which is what we have been debating for the last few days. So, that's a separate exercise and you must put some numbers around it. So, how much should we get out of that exercise? Kartik, this is what we have said?

Kartik Muchandi: Yes, sir.

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Bikramjit Nag: No, no. First you understand the question. His question is the correct question. On the CSR part, what is the productivity improvement, etc., you are expecting and there must be some numbers. Like in cost reduction of material, you are working on some numbers. Kartik, please answer yes or no.

Kartik Muchandi: Yes, yes, sir.

Bikramjit Nag: But you have no numbers for CSR.

Kartik Muchandi: Yes. So, during the fixed cost reduction project, we will --

Bikramjit Nag: I do not want fixed cost reduction in CSR. I want productivity improvement in CSR.

Kartik Muchandi: Yes. We need to work on productivity improvement and we have to set a target.

Bikramjit Nag: Yes. Like what you say, do we need to improve the structure, etc., etc. The point is the correct point. We have been discussing this for the past few days. Put some numbers to it. Okay? Like we have done for material cost, we are saying material cost will get Rs. 70, let's say, Rs. 80-odd crores or whatever to CSR. Put some numbers to CSR. What will we get

out of this restructuring?

Kartik Muchandi: Understood, sir.

Bikramjit Nag: And for each of the points, the other point that he is raising also, the four or five headlines, you put some numbers to each one of them. The point is a correct point. And sir, my last question --

yes, my last question is, sir, when we talk about Rs. 100 crores to Rs. 120 crores of pure advertisement expenses, can you help us understand how much of this is above the line and how much of this is below the line?

Now, why I am asking this is, sir, when we did our channel checks, a large part of the NBO guys we met. So, what their feedback is, IFB as a product is top-notch. There's no question on that. But what the feedback was is, none of the customers actually who come in, they actually know what the product delivers, how superior is the product. So, they said the customer awareness is very low.

Bikramjit Nag: Yes. So, we are working on a campaign. We are working on a campaign with A&M for

awareness building. And that campaign will come out soon. It is delayed. We have not come out because the right idea we have not been able to strategize on. But that work is going on. This cost includes a lot of digital cost also. Rs. 120 crores include a lot of digital cost. We can give you the break-up.

But the ATL as you are talking about in print, that is minimum. That point is a correct one. But we are re-looking at this. And therefore, that optimization and then recasting that and deciding

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on which media, how much to put in, that whole work is being worked out with A&M as well as the media buying agency which is Initiative Media.

Shreyansh Jain: Okay. So, do we expect some ramp -up in that expense head, Rs. 120 crores?

Bikramjit Nag: Yes. No, we do not expect ramp -up just lightly. We first expect McKinsey to help us with some rationalization. And we expect EBITDA improvement to happen before ramp -up happens.

Shreyansh Jain: Okay. And sir, my last question is, if I just dial back to the last quarter where our top load and front load, front load specifically which is our major part of our washing machines, that didn't do well. So, I think last quarter we were targeting 15%, 20% kind of growth rate. So, in that light, when we have done 14% this quarter, how do you look at this number? Are you internally happy with this? Or do you think there was room for 5%, 6% kind of growth rate more? And I understand --

Bikramjit Nag: There was room for further improvement. And in some of the states where the management is not good in that state, changes are being made. So, to answer your question, yes, we were not happy because in pockets where management is weak, we have had issues.

Shreyansh Jain: Okay. And sir, would we have gained any market share?

Bikramjit Nag: Yes, I think we have gained market share.

Shreyansh Jain: Okay. All right. All right. Thanks. Thanks a lot. This helps, sir. All the best.

Bikramjit Nag: Thank you.

Moderator: Thank you. As there are no further questions, I would like to now hand the conference over to management for closing comments.

Soumitra Goswami: Thank you very much to everybody for participating in this call. We will meet again after Q3 .

Thank you very much.

Bikramjit Nag: Thank you.

Moderator: Thank you, sir. This brings the conference call to an end. On behalf of Nirmal Bang, we thank you all for joining us. You may now disconnect your lines. Thank you again.

Call: Feb 2026

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10th February , 202 6

The Manager
Department of Corporate Services
BSE Limited,
Phiroze Jeejeebhoy Towers
Dalal Street,
Mumbai - 400001

The Manager
The National Stock Exchange of India Ltd.
Exchange Plaza, 5th Floor
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NSE Symbol: IFBIND | BSE Scrip Code : 505726

Sub: Transcript of the earnings conference call for the quarter and nine months ended 3 1st December , 2025

Dear Sir,

Pursuant to Regulation 30 of the S EBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and in furtherance to our letter dated 4th February , 202 6 regarding the audio recording of the investor's earnings call for the quarter and nine months ended 3 1st December , 2025, please find enclosed herewith the transcript of the said call.

The said transcript is also available on the Company's website i.e.
<https://www.ifbindustries.com/financial.php>.

This is for your information and record.

Yours Faithfully,

For IFB Industries Limited

Ritesh Agarwal
Company Secretary

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"IFB Industries Limited
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February 04, 202 6

MANAGEMENT : MR. BIKRAMJIT NAG – CHAIRMAN – IFB INDUSTRIES LIMITED
MR. P.H. NARAYANAN – MANAGING DIRECTOR ,
ENGINEERING DIVISION – IFB INDUSTRIES LIMITED
MR. C.S. GOVINDARAJ – EXECUTIVE DIRECTOR ,
MANUFACTURING – IFB INDUSTRIES LIMITED
MR. SOUMITRA GOSWAMI – CHIEF FINANCIAL

OFFICER – IFB INDUSTRIES LIMITED
MR. JAYANTA CHANDA : – CHIEF FINANCIAL OFFICER ,
ENGINEERING – IFB INDUSTRIES LIMITED
MR. KARTIK MUCHANDI – HEAD, FINANCE AND
ACCOUNTS – IFB INDUSTRIES LIMITED
MR. RANJAN MOHAN – NATIONAL SALES HEAD,
HOME APPLIANCES – IFB INDUSTRIES LIMITED

MODERATOR : MS. ARSHIA KHOSLA – NIRMAL BANG INSTITUTIONAL
EQUITIES

IFB Industries Limited
February 04, 2026

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Moderator: Ladies and gentlemen, good day, and welcome to IFB Industries Limited Q3 FY '26 Earnings Conference Call hosted by Nirmal Bang Equities. As a reminder, all participant lines will be in the lesson-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions, and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

I now hand the conference over to Ms. Arshia Khosla from Nirmal Bang Equities. Thank you, and over to you, ma'am.

Arshia Khosla: Thank you, Bhumi. I, Arshia Khosla, on behalf of Nirmal Bang Institutional Equities, welcome you all to the third quarter FY '26 Earnings Call of IFB Industries Limited. From the management today, we have Mr. Bikramjit Nag, Chairman; Mr. P.H. Narayanan, MD, Engineering Division; Mr. C.S. Govindaraj, EV Manufacturing; Mr. Soumitra Goswami, CFO; Mr. Jayanta Chanda, CFO, Engineering; Mr. Kartik, Head, Finance and Accounts; and Mr. Ranjan Mohan, National Sales Head, Home Appliances.

I would now request the management to give their opening remarks, post which we shall open the floor for Q&A. Thank you, and over to you, sir.

Soumitra Goswami: Good afternoon, everybody. I am Soumitra Goswami, the Chief Financial Officer of IFB Industries Limited. I welcome you all for IFB Industries Limited investor call for third quarter financial year FY '25-'26.

Now I will inform you about the quarter three results. Revenue from the quarter was INR1,382 crores against last INR1,232 crores, which is a growth of 12%. PBDIT for the period INR80.9 crores and its percentage to revenue was 5.8% as compared to last year's INR89.6 crores which was 7.3% on revenue. There is decline PBDIT amount by INR8.7 crores, which is a decline-growth over last year by 9.8%.

Fixed expenditure for the quarter were well behind budget. However, in case of some expenditure rate, expenditure increased over last year. PBT for the period is INR45.3 crores, which is 3.3% on revenue against last year figure of INR44.9 crores.

In this quarter, an incremental liability of INR13.38 crores have been recognized as an exceptional item, which is in line with Labour Code notified by the Government of India on November 21, 2025. This charge resumes the PBT amount to reach INR31.9 crores against last year's INR44.9 crores.

Q3 PAT was INR24.51 crores, which is 1.8% on revenue against last year's INR34.36 crores which is 2.8% on revenue. YTD December figures are like this. Revenue for the period was INR4,020 crores against last year's INR3,666 crores, which is a growth of 12%. PBDIT for the IFB Industries Limited

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period was INR253.35 crores and its percentage to revenue is 6.3% as compared to last year's INR255.22 crores, which was 6.9% on revenue.

Fixed expenditure from the quarter were well within budget. However, in case of some expenditure like service expenditure, CSR costs, office expenditure, expenditures increase over last year.

PBT before exceptional item for the period was INR147.52 crores, which is 3.7% on revenue against last year's INR141.92 crores, which is 3.9% on revenue. PBT after exceptional item for the period was INR134.14 crores, which is 3.3% on revenue against last year's INR141.92

crores. PAT for a 9 -month period was INR99.62 crores, which is 2.5% on revenue against last year's INR106.50 crores, which is 2.9% on revenue.
With this, I will be requesting to start th

e question -and-answer session.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from the line of Lakshminarayanan K from Tunga Investments.

Lakshminarayanan K: With respect to the Appliances division, it was mentioned that there was a cost benefit that actually had to come in. But the -- but if I actually look at it on a 9 -month basis, that doesn't show up in terms of your year -on-year growth in PBDIT or even PBT . Can you just explain if the cost benefit has come, where exactly it has actually gone?

Kartik Muchandi: Yes, Kartik here from Appliance Division . The cost innovation, what has come in P&L on a YTD basis was INR35 crores. But what has happened is during the same period, forex has depreciated by around 6%. The impact of that on material cost was INR29 crores negative. Also the commodity, mainly copper and GP has increased. So this negative impact was another INR18 crores. So this negative impact in commodity and forex has eaten into the cost innovation.

Lakshminarayanan K: So is there a way which we normally do some hedging because I thought we would hedge it prudently. Or -- I mean, why would this forex loss even happen?

Kartik Muchandi: Yes. Hedging, we have a hedging policy where we hedge 100% of the forex exposure against the underlying, okay? But this forex negative is with respect to last year. Last year, dollar was around \$86. And this year, our average buy is at dollar around \$89. So that 6% negative impact is increasing the material cost.

Lakshminarayanan K: You talked about INR18 crores of forex and the copper -related stuff, right? So that is only in Q3 it happened or it is actually, 9 months it's actually -- it spill over 2 quarters or 3 quarters?

Kartik Muchandi: Yes. I'll again repeat. This impact was for the year YTD. So again, I'll repeat INR29 crores is the impact of forex and INR18 crores is the impact of commodity. So forex is still at an elevated level. If you see dollar is still around INR90 and commodity like copper is breached 12000. So this impact will -- we cannot predict the currency and the commodity. But as of now, this impact is...

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Lakshminarayanan K: Sir if that's the case, do you think this will continue for how many quarters this issue will be there?

Kartik Muchandi: Yes. As of now, commodity is at this level.

Lakshminarayanan K: No, my question is that for the full year, you have any kind of a number in mind in terms of what will be this impact of forex and the other one you talked about, right? So it's a INR28 crores plus INR19 crores. For the full year, how much you think it would be or whether it would actually - - would set right after the Q4?

Kartik Muchandi: Yes, we cannot -- we will not be able to give a forward statement in terms of what will be the impact for next quarter as far as dollar and currency will be there.

Lakshminarayanan K: My question is slightly different, sir. Whether this is actually behind us or this will continue. I mean I'm not asking for quantification also, but do you think this will continue or how...

Kartik Muchandi: If you look at January, the rupee, except the last 2 days, it has again appreciated. But rupee was still around INR90 and copper was in excess of 12,000 LME. So there was not much change in January with respect to quarter 3.

Lakshminarayanan K: Fair enough. So the cost benefit, which you actually mentioned January to March , that will continue -- that is on track and that will happen in Q3 and Q4. And in addition to it, there are some other costs that -- some variable cost reduction was also there. Can you just explain how much it is and when you would actually start getting the benefits of that?

Then also last call, you have mentioned that there was a McKinsey project that is going on in terms of improving our e -commerce channel. Can

you just let me know what is the total outlay

of cost you have given for that particular project? And what will be the total benefit you will get from that initiative also?

Kartik Muchandi: Yes. As far as the material cost project with A&M is concerned, -- so in the first quarter, we had cost INR4 crores; second quarter, INR12 crores; third quarter INR19 crores -- we are expecting INR44 crores. So we are expecting to close the year with a material cost reduction of INR79 crores.

As far as A&M project is concerned, in quarter 4, we have got the expected increase in e -commerce sales, what we had projected, though we'll not be in a position to give the numbers. Sorry, as far as A&M is concerned, the growth in e -commerce project is in line with what we had expected.

Lakshminarayanan K: What is the cost outlay for that McKinsey project you have? Like what is the number you would

like to spend on the project?

Kartik Muchandi: Sorry, we will not be able to disclose the commercial terms with McKinsey.

Lakshminarayanan K: Another question is related to the gross margin for the appliances. While you actually give the PBDIT, can you just elaborate what has been the gross margins of this particular thing 9 months -- as a percentage term with respect to 9 months of last year?

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Kartik Muchandi: No, sorry, sir. We don't give gross margin indication.

Lakshminarayanan K: I mean, I'm just saying not the indication, but what has actually happened.

Kartik Muchandi: No, no, no, sir. We don't give the gross margin.

Lakshminarayanan K: That will help us to understand whether -- I mean, what kind of material benefit it has come, because all the things that have taken place comes after that, right? So that's the reason of asking this question. It will be helpful if maybe for the benefit of all the investors, we can give this information if it is appropriate.

Another question is that what is the number of units of washing machine you have sold? And what is the market share in front load, top load, and in air conditioners? Can just give the market share numbers?

Ranjan Mohan: So this is Ranjan. The market share in terms of front load addressable market share is touching around 25% plus. And in top loader, it is -- it was 9.6% or 10%.

Lakshminarayanan K: With respect to the last year, how much was it? Like have we increased market share revenue?

Ranjan Mohan: So in front loader, there has been a -- I'll not say substantial, but there has been a good increase in market share. And in front load, it is almost at par, a slight increase.

Lakshminarayanan K: In terms of number of units, can you just give the number of units made in FY -- for the 9 month?

Ranjan Mohan: Sorry, we don't give the numbers. I've shared the share with you.

Lakshminarayanan K: What is the -- do we have enough capacity on both washing machines, the front load and top load? Going forward, as the growth comes in, do we have enough capacity, or how much more is available for us?

C.S. Govindaraj: Hello? Yes, I can answer this. This is Govindaraj here. As far as capacity for front loader is concerned, we have got capacity about 85,000 to 90,000, and we have used about 88%. So still we have got enough capacity to meet the market needs. Similarly, in top loader, we have got a capacity of about 65,000. There also, we are operating at around 90% in the peak months. So we have got enough capacity, and we have already started working on how to increase the capacity.

Lakshminarayanan K: Can you just give the market share and this number for AC also? Market share as well as capacity utilization?

C.S. Govindaraj: As far as AC capacity utilization is concerned, we are in the peak months, we are touching about 80% to 85%. And as far as market share, Ranjan, can you please answer?

Ranjan Mohan: Yes, please. So although there has been a g

rowth in AC volumes, our share is right now very low, which is around 3%, 3.5%.

Moderator: Our next question is from the line of Shreyans Jain from Svan Investments .

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Shreyansh Jain: My first question is, how are you looking at the whole washing machine growth rates for us? Because last few quarters had been weak, and we were hopeful of gaining market share. And obviously, top load as a category was something that we had just recently -- not recently, but we had entered quite late.

And that category, we were given to understand that for us will be a high -growth category. So in that sense, how do you look at 5% growth rate in top load? And our channel check also suggests that you would have lost some market share in the offline market , at least on the front - load washing machines. So what are your comments on these two?

Ranjan Mohan: Yes. First of all, I don't know from where you got this information that the growth is 5%. The growth is much more. And I shared just now the kind of market share gain we have got.

Shreyansh Jain: It is given in your investor presentation, sir.

Ranjan Mohan: No, that is we are talking about the quarter. I was talking about the YT -- I was talking about the YTD growth. I was talking about the YTD growth.

Shreyansh Jain: I'm just talking about the quarter specific.

Ranjan Mohan: So quarter overall, the industry was a bit sluggish. We have been able to maintain our share, rather a slight improvement in some decimals was there in top loader also. But on a YTD basis, there has been an increase both in terms of growth as well as in terms of share also.

Shreyansh Jain: So when you look at some of the other players who had entered the market much later than us,

they have reached about 10% market share in washing machines. So just in light of that...

Ranjan Mohan: You are talking about top loaders? Or you are talking about...

Shreyansh Jain: Washing machines, as a category, overall washing machines.

Ranjan Mohan: So first of all, we are into fully automatic machines. So in top loaders, the growth rate is far ahead of the industry growth rate and is far ahead of any player in the industry. That is for the top loader, I have answered. In terms of front loaders, I said that we have been able to maintain the market share. It has not increased substantially, but we have been able to retain our position.

Shreyansh Jain: So as per our understanding, you are saying the market would have grown below 5%, because you were saying you have outgrown the market.

Ranjan Mohan: In top loaders, yes.

Shreyansh Jain: My second question is what portion of our COGS is imported? Because the impact of forex seems to be really high. So can you help us with that? How much do we procure from out of India?

Kartik Muchandi: Yes, Kartik here. Product to product, it differs. It is between 20% to 30%.

Shreyansh Jain: 20% to 30% of my overall COGS, is it?

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Kartik Muchandi: Yes.

Shreyansh Jain: How much of this would relate to Home Appliances?

Kartik Muchandi: Yes, this is -- I'm answering for Home Appliances, please.

Shreyansh Jain: For overall as a company, how much do you import?

Soumitra Goswami: At the company level, our import content is almost the same as whatever Kartik has told, because Home Appliance division is catering to the 80% of our company revenue. So naturally, whatever import percentage we are having at the company level, the percentage is almost same. It is around 20% to 30% only.

Shreyansh Jain: My next question is, when I look at your investor presentation, our channel schemes and discounts, they have gone up by 100 basis points. So from 25% of gross sales, it has gone to 26 - odd percent. So can you help us understand where will this number settle at or because ACs and rest is slightly new

er category for us, or this will keep on increasing? Can you help us there?

Kartik Muchandi: Yes. During the quarter, we had given higher promotion scheme per customer like cash back, free IFB essential kits. This has increased the cost of schemes.

Shreyansh Jain: Last few quarters, we were talking about rationalizing the spends that we've been doing consistently. And we had also mentioned that we will see something on the A&P front, at least on the ATL side. But I think those 2 things have not actually materialized. So where are we, sir?

Kartik Muchandi: We have started the process. We have put in a full-time team working on this. We expect the gains to come in subsequent quarters. We have started tying up with all the channel partners where the payout will be linked to volumes. The benefits of this will come in Q4 and starting from Q1 of next year.

Shreyansh Jain: Last question, the INR44 crores of cost savings that you're talking about, can you explain to us where -- which line item is this gross profit? Or is this below that? And also, we were looking at INR15 crores, INR20 crores of cost savings on the logistics front. So has that also come through in this quarter or not yet?

Kartik Muchandi: To answer your first question, INR44 crores is the reduction, what we're expecting in material cost. So it will be a part of gross, okay? Logistic costs, we have started the activity, but the full impact of that is yet to come.

Moderator: Our next question comes from the line of Vinod Krishna from Avendus Wealth.

Vinod Krishna: My question is on your ability to pass on the cost. Are we -- like, I understand there's an import component and also commodity prices. So how many quarters lag normally you take to pass on, or it's a function of competition and item to item or you can pass on because we have good market share in micro and washing machines or by Q4, have we already passed on at least some part of the cost to the customers?

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Ranjan Mohan: Yes. We have planned that. This will be a judicial call based on the market scenario. And we have already planned something for the Q4.

Vinod Krishna: Because this is a continuous thing, right? Rupee depreciates around 3%, 4% every year. So if we -- so we have in the business model that we pass on the cost, right?

Ranjan Mohan: Yes.

Vinod Krishna: Second question is on the -- how do you look at competition, sir? Is it like there is enough room

for many players or it's very -- even though there are a few players, it's very intensive. So because Vikram sir has been guiding around -- he's been saying we should grow a minimum 20% on Home Appliances.

So when do we think we will get to a stage in terms of we have done our distribution, we have channel extraction. When do you think we will get into the flywheel of 20% growth in Home Appliances, because that's what is your organization target is what has been communicated in all the con calls.

Ranjan Mohan: So there were some -- last time also, there were some changes which we have brought in, in terms of manning, et c. Plus we are also working on improving our productivity through our counter sales representatives. So we expect that from quarter 4 onwards, there will be a good change, which will be visible.

Vinod Krishna: Normally, if you can give qualitative comments on the -- how do you look at competition? Is there enough room like because from a -- when we see -- when we go to channels and see, we just see too many players. But from your angle, maybe there's room for all of the...

Ranjan Mohan: In the categories we are in, we feel we have got enough room to grow and to consolidate our positions.

Vinod Krishna: Yes. Sir, this is not a question, sir, this is a suggestion. If you can conduct con call immediately after the result because there are 2 days, nobody knows what has happened because some

times

I understand it's -- we are not -- we are human beings, and there's a huge difference between guidance and what is happening. And we don't know and price just keep -- people just react and we have to wait for 2, 3, 4 days. Whenever you can conduct con call on that day, if you can release the results, whatever if you can match it, that there is not a big, huge time gap, it would be easier, sir.

Soumitra Goswami: We will keep your suggestion in mind.

Vinod Krishna: Last question, so we can take that we are going like in terms of distribution channel extraction and all the cost benefits and also the branding that you're planning, we can say in the next 2 to 3 years, we should deliver Home Appliances growth of 20%. We can say that given that now we have...

Ranjan Mohan: I think you are saying 2 to 3 years. We are saying it will be before that.

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Vinod Krishna: No, I'm saying in the next 2 to 3 years, if I take a CAGR, it will be 20%. I'm not saying we'll wait for 2, 3 years.

Ranjan Mohan: Yes, that is what we are targeting.

Vinod Krishna: Then this -- you are -- sorry, sir, I'm just repeating. And I can assume that there's an increase -- cost will be passed on with some time lag and market conditions.

Ranjan Mohan: Yes, definitely. It has to be.

Moderator: Our next question is from the line of Manoj Gori from Equirus Capital.

Manoj Gori: My question would be to Mr. Nag. So we have been talking about cost savings and margin improvement for more than a year. It has been almost -- it has been around 1.5 years or even more than that. So far, we haven't seen any improvement. This was only a quarter-related issue about RM prices going up, INR depreciation. But throughout, there are no signs of any margin improvement, which we can term as sustainable.

Secondly, when we look at the numbers of other companies who have reported, we don't see that impact into those companies. Whether we talk about large appliances, we talk about electrical companies, even there, we are not able to see any such major impact on their COGS.

Third, we have been talking about annual savings of roughly around INR200 crores, and we are talking about INR20 crores impact -- roughly around INR20 crores impact of INR depreciation and material increase. But still, there should have been gross margin improvement and EBITDA improvement. Rather than that, we have seen margin contraction. If you can please clarify on these three issues first?

Bikramjit Nag: Kartik, you first answer, then I will take it.

Kartik Muchandi: On the margin not improving, I had already answered that there are three things. One is commodity forex going up has eaten into cost innovation. During the quarter, we had given consumer offers like cash backs. So those had a negative impact on the P&L. We got a growth, but whatever gross margin came out of the growth, part of that was eaten out by this promo cost.

Manoj Gori: So probably, if you look at other companies which -- and into the category, let's say, AC is a category which has been relatively more impacted as compared to washing machine. And there, the discountings were normally higher versus the trend. Still, we haven't seen such kind of impact on the overall margins?

Secondly, we just talked about 3%, 3.5% market share into room AC. When I look at the industry size of close to around INR1.3 crores to INR1.4 crores, it comes to close to around roughly

around 5 lakh units, which is our present capacity. So how can -- so we are doing some manufacturing for brands as well. So this data, I'm not sure. Can you explain how we have derived at 3.5% in room AC on market share?

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Ranjan Mohan: So the room split ACs, I'm talking about, you might be considering the window AC also, but I was talking about the split AC industry. In split

split AC industry, the share which we currently have is around 3%, 3.5%.

Manoj Gori: So even if we consider 10% would be window...

Ranjan Mohan: We are not into window ACs. Sorry, you said something, I missed out.

Manoj Gori: Yes. I was just saying like if we look at window AC contributes close to around 10% of the room AC market.

Ranjan Mohan: Around 15%.

Manoj Gori: Out of INR1.4 crores -- let's say, 15%, that comes to close to around 12 million units. 12 million units into 3.5% will be roughly around 4.2 lakh units. And we do some manufacturing for brands as well. That number should be around 1.5 lakh to 2 lakh kind of number. So this actually surpass...

Ranjan Mohan: These are not that high. Our majority of the sale is into our brand.

Manoj Gori: Mr. Bikramjit, if you can clarify on the cost savings, because we have been committing and we have been talking about the same for almost 1.5 years?

Bikramjit Nag: I think the first point I would like to state is -- I will explain this. The first point I would like to state is overall end-to-end management has not been up to the mark, which is right from looking at the entire chain, which is sourcing to sales and which we have to tighten, the 4, 5 areas to tighten, which we are doing now.

Actually, one of the points came from one of the shareholders on one of these conference calls, and I'll repeat this point and why I'm thankful for that is, in one of the calls, one of the shareholders said, look, don't try and do everything yourself, use third-party consulting firms, etc., you move faster. And I never did that. And we delayed it. And then we brought in algorithm also. So a lot of delay happened. And that's a mistake on our part. We couldn't get it done internally to the extent desired.

I'll tell you why this point is important for me or for us as a company. We then brought in McKinsey for a different project, which has now really given us traction in e-com. And we are expanding that to marketing cost with like McKinsey also. So profitability will come from the following. And Kartik, you should have summarized this better.

One is good management of scheme, which is both rationalizing a scheme as well as ensuring tie-up with all those 3,000 -odd accounts. 3,000 -odd accounts roughly translates to about 9,000 to 10,000 counters. These tie-ups are not done.

Now what we've done is post this McKinsey document, we have 9 points to work out account-wise or -- account-wise. Account is what? Suppose there is an account called Reliance, Reliance has 500 counters, or there could be a single owner-driven account, which has single dealer or -- sorry, single shop or you might have 2 shops, etc. These tie-ups are not done with all. The tie-

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ups are only done with approximately 10% or 15% of accounts, leading to approximately, say, 30% counters or 25% counters.

We have a full-time team only to do this. This came out of the McKinsey thing. And what to do in that? So McKinsey -- and then we also agreed the team, the team, which is our team and McKinsey together came up with the document, which also said account by account, all products tie up, rationalizing of scheme, rationalizing of cash back, etc., then schemes to be done on higher priced products, etc.

So if pricing is higher, pricing is better or where our margin is better, where we see more scope, we do something extra there and tighten it in areas where the scope is -- where margins are tighter. You understand? So looking at products, etc., these tie-ups need to be done, which we've not done well. Now that work is going on full steam.

So this is for -- one is material cost, other is this. Then comes logistics cost, which we are working with A&M and the logistics tower is being built. The logistics tower will have to control INR150 crores on logistics cost, INR150 crores or IN

R175 crores on logistics cost.

We expect approximately 15% to 20% there. All of these things together is going to give us double -digit margin. I'm confident of that. The team has not been able to execute or project manage the entire thing. That is a problem and that we are correcting.

Not having a CEO has also had its pitfalls. We found our CEO. The CEO has agreed to join by 15th of April. CEO is not from a consumer durable company. Neither is the CEO from a different industry, but very well experienced in sales and distribution and marketing. He comes with that background and comes from a company of over INR20,000 crores sales. The company is very well known and well known for consistent double -digit margin for over 20 years.

So I think we found the right person at least to lead on the volume and margin side. And this has just taken a lot of time. And we have totally seen about 476 people. And the last person who selected did not join at the last minute, but this gentleman has agreed to join and he's a better person, but I can't disclose the name now. But he sent us a letter yesterday confirming this. But he will join, we don't know.

So I think on the margin side, this point on material cost, innovation with A&M, logistics cost with A&M, e -comm with McKinsey and marketing cost with McKinsey. All of this will lead to -- and which will lead to the tie -up of all those 3,000 -odd accounts, et c. All of this will lead to margin. That is my belief.

Manoj Gori: No, sir. It sounds interesting.

Bikramjit Nag: But project management from our side has been bad.

Manoj Gori: So sounds interesting. Just to counter this...

Bikramjit Nag: Your point on margin on -- when you compare us with other industries, you're absolutely correct.

So before this call, we had a call. I said the same thing to my team. Even if you look at, for

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example, Engineering division, Engineering division also faces price increase issues, but they manage it. But our management of this has been not up to the mark in the Appliance division.

And of course, copper suddenly going up has been a thing, but these are things we have to tackle.

Manoj Gori: Now just lastly, when you talked about copper moving up, INR has been under pressure, though it has improved in the last few days. But if you look at copper prices continues -- yes, copper prices continues to remain at around -- already copper at 13,000. And we have not taken -- we are just planning to take price hikes. So how can we...

Bikramjit Nag: That would not help.

Manoj Gori: Yes. So how can we see probably the cost savings actually flowing in, probably not in Q4 also because yet we have not taken a price hike. But somewhere in FY '27 point of view, how can we see actually COGS positive impact because of the cost rationalization measures that you are taking, actually flowing it to P&L?

Bikramjit Nag: The cost rationalization thing our internal -- even though we are saying our internal target is.

Point number 1. Point number 2, point number 2, we are working on certain TAV, et c., to see how we can rationalize things. See, if in AC, for example -- hypothetical, let us take a hypothetical scenario. Suppose copper goes to 16,000 -- 1600, whatever, LME.

Suppose it goes from present, suppose if it goes up by another 20%. Then what do we do? These are scenarios we have to think through. I've told the division this, Mr. Govindaraj is in charge of this. So they are now thinking through on various scenarios. If the commodity prices ABCD happen, then what can we do?

And how should we work on this beforehand? I have said that. So they have to work out scenarios and work out defensive play on what all we need to do. There's no point in the quarter passing and then just reporting the price has increased. I said exactly what you're saying. So that work is still not fully

done.

And this is the same thing I have told A&M also. We have told A&M, if you're going to work on cost innovation and parallelly ABCD happens, we are not like really gaining. So we are involving them in this also to like think it through what else is possible, so that it flows into P&L in a positive manner.

Moderator: Our next question is from the line of Naveen Baid from Nuvama Asset Management.

Naveen Baid: I had a question on the Engineering division. What sort of growth are we seeing over the next couple of years? And which segment is going to be driving that growth? And just some color on the margins?

Jayanta Chanda: This is Jayan. If you will -- on your first question, our growth targets are in excess of 20% per annum. We intend to grow and we are pushing the order obtainment in that direction only. So regarding margins, we are currently at 14.5% PBDIT, which is slightly lower than previous quarters. This is because some start-up expenses we are doing in the electronics sector. We hope to recover that. And Engineering division margin objective is 17% to 18% EBITDA.

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Naveen Baid: What sort of capex are we kind of envisaging?

Jayanta Chanda: This year, Engineering division is nearly doing INR100 crores of capex. We are modernizing our lines. We are adding new presses. There are new businesses from newer customers, which have called for.

Bikramjit Nag: Can I just -- can I just interject, please? Sorry. I need to interject. I think the capex plan what you're telling is not fully correct because this is only possibly Bangalore you're talking. But when you take into account Delhi as well as Gujarat proposed capex, then what is the capex?

Jayanta Chanda: Sir, I was talking what was approved in FY '25, '26, the Gujarat thing that is...

Bikramjit Nag: So that is not the question.

Jayanta Chanda: So we have about INR200 crores of capex plan for our new plants in Gujarat. If I may share, we are venturing we are in advanced talks for EV...

Bikramjit Nag: No, no, don't. We are in advanced talks with the company for a project which is not entirely something that we do now, but it's for the automotive sector. And so we are talking to government of Gujarat as well as to private parties for land, et c. And it is a project with planned sales of how much, I think INR400 crores. About INR300 crores, INR400 crores.

Jayanta Chanda: Phase 1 will be INR200 crores, INR200 crores going up to INR400 crores, INR500 crores in the third year.

Naveen Baid: So INR200 crores of investment likely to lead to peak sales of INR500 crores. Is my understanding correct?

Bikramjit Nag: One second. This investment, so we are now looking at, should we do a leased plant or should we buy the land and do it. So that is being worked out as we speak. If we do a leasehold plant, it has certain advantages as well as disadvantages. And of course, the capex will come down. So we are not sure as yet on that score.

With the plant, suppose if we buy the land and do the building and all, then it comes to INR100 crores or INR120 crores, something in that like region. And without that, I think it will be a INR50 crores INR60. And other is a project in Gurgaon, which will be around the same, about INR50 crores. INR50 crores to INR75 crores, INR75 crores.

So yes, so from that angle, these 2 alone will be INR200 crores, Delhi and Gujarat if we do land as well. And if we just lease and do it, then of course, the capex is reduced. So we are looking into this. And we will take a call on this in the next 30 days.

Naveen Baid: So if I just for the moment, assume that you'll do -- you'll actually buy the land, so INR200 crores of capex in Gujarat and NCR and INR100 crores in Bangalore, so INR300 crores of capex in the division. And you said this could lead to peak sales of what, INR500 crores or more peak sales?

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Bikramjit Nag: No. So only Gujarat will be INR200 crores in Phase 1. And INR400 crores, it will go up to in the next 3 years. The project in Gurgaon should give us INR100 crores plus. Project in Bangalore should give us INR100 crores plus.

Jayanta Chanda: Mr. Nag, if you count the chain...

Bikramjit Nag: Yes. And the chain factory, chain factory in Bangalore.

Jayanta Chanda: That will give us INR150 crores to INR200 crores in the beginning, going up to INR500 crores by fourth of this year.

Naveen Baid: Which plant are you talking about this one?

Bikramjit Nag: For the chain, motorcycle chain. So all of this together then could be with land and all INR300 crores to INR400 crores. And without land, of course, it comes down. But the turnover we are expecting is far, far higher. So we'll give a proper note on this in our annual thing, annual report in the quarter of May, we will give a proper -- or June.

Moderator: Next, we have a follow-up question from Lakshminarayanan K G from Tunga Investments.

Lakshminarayanan K G: From a manufacturing division, can you just explain what is the business breakup between various segments? And in terms of I think -- which are the areas where we have a distinct leadership in those different spheres? That is one thing related to manufacturing?

Second, in terms of our motor division, can you just outline because there has been some -- you're just trying to get the motor stable. There have been some changes you have done. Can you just let us know, I mean, has the product come out well? And then what are your plans for both domestic captive as well as domestic noncaptive? What are you planning to do with that?

Third is with respect to our distribution, how -- in the last 9 months, how we have increased our distribution footprint in the Appliances division? If you can just give answers to this, it will be helpful?

Bikramjit Nag: Can Mr. Anand or Mr. Khanna, please answer about motor? Which is -- or you will answer? Who's there? Anand and Mr. Khanna are there?

Management: No, sir.

Bikramjit Nag: I can answer on motor. I think as far as AC motor goes, supplies have already started to go up. And we are talking to the other companies, which is Voltas, Blue Star, etc. And with Voltas it's gone to the R&D and the discussions have started on the technicalities, etc. I think Blue Star thing got delayed for various reasons that Blue Star and they are now talking to us. And I think our people are visiting them around 14, 15 of this month and samples will be sent. With Voltas, the volumes are very large that we are talking on.

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If you see the AC market, as you said, it's 15 million, 16 million, someone said, and split is about 90% of that, and it's all in water nowadays. So we need to break through against Chinese pricing. And government of India has still not done the BIS thing on motor as yet. Now we started working with the ministry to impose the BIS standards also whilst that is going on, because there is no standard for this. So government is working with us on this. And I think suddenly, you will see there will be a spurt in Atmanirbhar Bharat scheme and domestic thing will go up. And we are well poised for that because we have capacities on the ground. My view is even though this has taken so much time, the project management again has not been done as well as it should have been done. I think we may fall short of capacities in due course, especially in AC. So AC, the plan is to sell to others. In washer, we've reached out to others for plant, but we have not got any favorable thing as yet. We are again reaching out to Bosch in India. And we have also started talking to Samsung again in India to see whether they can take it from us or not instead of importing it from wherever they're

re importing it now. So those discussions are on, but nothing has crucified on it. Ideal scenario should -- 40% should be sold internally, 60% should be sold to others. That's the plan set for them. So we are working on this.

Lakshminarayanan K G: What kind of revenue potential you can actually envisage in this particular division and -- or the addressable market?

Bikramjit Nag: See, the market for AC motor is 5 million or 10 million, whatever it is. And that is the market today. And our -- sorry?

Lakshminarayanan K G: What is the realization for motor? I'm just trying to understand.

Bikramjit Nag: So we are working on those numbers still. But anything less than 10% margin will not work. It's not financially feasible. So that's the target we have every year. We are not achieving it in a separate point. But that's what we need to achieve. The Chinese have done it. The Chinese are very, very good at cost innovation. So we have to compete with the Chinese, and we have to become better than them. There's no point in all Indian companies saying the Chinese prices are very low. We have to compete with them.

Lakshminarayanan K G: Do you have a distribution chart and business mix of motors -- sorry, not motors, the Engineering division? Because you're talking about 20% growth, trying to understand the growth would actually come from organic?

Bikramjit Nag: Which division?

Lakshminarayanan K G: There are two questions. One is on the Appliances division. I want to know how the distribution footprint has actually increased in the last 9 months to the previous year 9 months. And second in terms of the engineering business, we are talking about a 20% growth. How are you going to get that growth organically? And therefore, what is the business mix we have in the Engineering division between 2-wheelers or...

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Bikramjit Nag: I can't understand. What are you asking because it's getting cut on network. Question on the Engineering division?

Jayanta Chanda: His question is that how are we going to ensure 20% growth in Engineering division and what are we...

Bikramjit Nag: Can you answer that, please?

Jayanta Chanda: So sir, we are already supplying to all the OEMs in India, whether in 2-wheelers or 4-wheelers. All of them buy from us in some way or the other. Number 2, we are also actively present in Tier 1 and Tier 2 companies also who are supplying to the OEMs. Now we are increasing our share of business.

Our marketing is driving the increase of share of business with these companies. And also, we

are venturing into newer areas. This Gujarat investment, which we talked about a few -- it's a completely new area. It's a futuristic thing that is going to get us a completely new -- about INR200 crores to start with. That will be an absolutely new revenue stream for us.

Similarly, we are into other breakthrough projects, what we call newer products, which have become mandatory due to government legislation like brake disc etc., we are venturing into that. So these will give us additional revenue streams. So a 3-pronged approach, basically increase the share of business with each OEM and each of our customers, increase -- get into newer revenue streams through investments and just push marketing to get it.

We are quite sure because many of the orders are right now in maturity stage, and we are also preparing ourselves for the investment that will follow. So -- we are more than confident that we will be able to deliver this target which we are talking.

Lakshminarayanan K G: What is the business mix between different segments in this Engineering division between 2-wheelers or non-2-wheeler with us?

Jayanta Chanda: Sorry, your question was what is the business that we are getting into?

Lakshminarayanan K G: No. Out of the business mix, how much percentage is driven by 2-wheeler OEMs and how much is driven by...

Jayanta Chanda: Engineering division, roughly 50% of our turnover comes from 2-wheelers and 50% comes from 4-wheelers. If you -- yes, that's it.

Lakshminarayanan K G: Another question on distribution, how we have done on distribution points, with respect to last year and this year in the Appliances division?

Bikramjit Nag: I can answer that. You see, as I said, post the McKinsey report, we are very focused and this even from before we've been trying to do, but not done a very good job at, which is the 3,000-odd accounts, which are all the Pareto counters, those need to be properly supplied with all our products.

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And most of these will fall under the direct dealer route. I think only about 15%, 18% will fall under the distribution route. And we hope that all these tie-ups will be done by April -- by April end, actually. It may not be done by 31st of March. But we sincerely hope that all this tie-up will be done by April end.

If that is done, if we are able to do this, of course, it's a very big, but I'm hoping now it will get done because real focus has come into this post the McKinsey thing and the team working on this full time, you will see growth across categories.

In each account, if Reliance is an account, for example, today, say we are weak in AC or in refrigerators, or say in 1 of the 2, and we need to talk to all these accounts for all the products and even to a small dealer on all the products. And hopefully, this will get done. So I'm not calling it distribution alone. I'm calling it direct dealer sales as well as distribution.

Lakshminarayanan K G: Mr. Nag, one last question to you. If you just look at for the next 3 years or 5 years, what are the markers of success you have envisaged in your mind, particularly in terms of the Appliances division or the nominal division. When you look back after 5 years, we will say that we have been successful, what are the vectors we are actually taking that you would be satisfied into?

Bikramjit Nag: We thought of 3 years, we've not thought of 5 years. There is an internal thing for 3 years. And in no category should we be below 10% market share, point 1. In no category and especially in washer, etc., our market share should grow significantly from wherever we are today. We are already -- suppose in top loader, we are at hypothetically, whatever share we are at, we should get double the share, etc.

So I think we have an internal plan, but because we don't give guidance, I can't talk about it in that manner. But our thing internally is always talking on exponential growth. We have not delivered on that. We are very well aware of that.

But what we are doing, I'll tell you, apart from these margin factors, which you all have discussed and correctly, I mean whatever we answered, we have answered, this point of bringing in A&M as well as McKinsey, etc., the delay happened. I did not understand the importance of bringing in these firms and making a separate team work on it.

What I mean by separate team, from our operations, we have pulled out people and put them into this setup. So now, for example, McKinsey has 5 people in Goa or something like that, so as A&M. And with them, we have put in another 5, 6 people.

So you see that team working together as one and chasing impact, that is something that has taken me my surprise. And most importantly, my internal people are very, very enthused by this. And whenever corrections are needed, they are like correcting things themselves. So that has been a good thing.

Now coming back to the point on growth, we only talk on exponential growth internally, including in auto component division, for example, we thought apart from the capex, M&A is

on the cards. So far, nothing has happened, but we've seen exactly 57 companies. And we could have bought many of them.

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We chose not to buy out of financial prudence. Many of the companies were extremely good, but they were very expensive. And some we did the deal and then they backed out by saying other things, et c. We had to back out, sorry. So we are aggressive on both these divisions. Especially appliances, no company can be considered to be run well if it's running at 5.5%, 6% margin. I'm very, very clear on this. And what we are doing to correct this is also, if you see at the top level, lots of people we have replaced lots of people in the regions we have replaced. We have replaced people in the branches. We are doing a correction on manning.

And this correction on manning that we are doing now aggressively based on data is helping to rectify things. It will help to rectify things in the time to come. But as a company, let me tell you also and as an individual me personally, it's very difficult when you replace people. And I have gone very, very slow on this. I don't enjoy doing it.

But then we came to the realization that we had no choice. And it's very, very painful, but the process has been slow, and we are aware of that. But we've now started doing it. And we are doing it aggressively now and lots of people will change, which we've never done. I've been in this company for 30 years, and we have never done it, but we are doing it now. And I hope and I'm sure we'll see results.

Unless we get exponential growth -- and for exponential growth in Appliances, it has to be more than 20% CAGR because it is not adequate with the capacity that we have.

Lakshminarayanan K G: I mean I think it's clear that despite of having such a great brand, we maybe are underutilizing it from a profitability point of view, and I hope all these initiatives will follow and this company will do wonderfully.

Moderator: Our next question is from the line of Vinod Krishna from Avendus Wealth.

Vinod Krishna: Sir, can you throw light on your -- what are the kind of feedback that you're getting on your refrigeration, how acceptance, competition, refrigeration? That's a new category for us and ACs also. Is it well accepted or any changes to be made in the product and we are doing it. So if you can throw more light on -- because these are the 2 new categories where we are having very small market share and what are the plans to increase the market share because these are the 2 where you will be having less than 10%, so?

Bikramjit Nag: I think the first thing on the product on refrigerator is, as I said, the team -- many of our team members at the branches were just not adept at handling all the products. That took us time to understand why they are not able to do it. But we just realized some people cannot do it or will not do it. So we've replaced most of them. That's the first thing.

On the market side, the feedback has been, by and large, product is okay. There are certain areas where cost innovation has to be done. The product has been configured for far higher specs in certain cases. So there are cost innovation things there, which we have to work on in certain areas.

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The one thing in refrigerator, which has come out clearly is that IFB should not have gone for DC, but should have gone for higher -end product first. And the thing with that is -- the thing with that if we had come out with the higher -end product like what Liebherr has come out with, for example, then placement would it have been difficult or not in the counters.

You see? So this call was taken then and I was party to that call surely. But clearly, it is coming up now that the channel expected higher -end products from us or not, and not what we have. And there's an issue there. But now we are -- now we have what we have, and we must sell the capacity. Now these tie -ups that I'm talking

about and insisting on with my team for the 3,000 -

odd accounts is very, very essential to sell capacity. So first point is that.

Second point is, will we go as per market demand for capex to make more higher -end products or refrigerator? Answer is no. Today, it's no. We will not do it. We are looking at possibilities of import of CKD and all of that and seeing whether this is something we can do over the next 9 months or not. If not, we will not do it. We'll only focus on whatever we have postponed capex now till it becomes profitable. Unclear on this. So no more capex on this.

As far as AC goes, we have to push the higher tonnage ACs and the higher -end ACs instead of fighting at the lower end. And one of the things we've seen from the market is if you see pricing

MOPs for one category of AC, let's say, sometimes our pricing, we are Number 8. Okay?
So we are between Number 7 and Number 9 in pricing in different markets. IFB should not be there. We have to see how to improve brand recall for AC and improve pricing. And that is something marketing needs to work on. Because that is something that we're getting into. AC product, we have seen some issues, some technical issues we have encountered, but we are correcting those. But by and large, on cooling side, we have not seen much issue. On cooling side, we did, but so me issues on fit and finish, et c., is there. Some issues with the remote we have encountered, but all of those have been fixed.

Vinod Krishna: So you're confident that your market share in AC will go from 3% to 10% over the next 3 years?

Bikramjit Nag: I'm not -- the question is not of my confidence. The question is what the company must do. The company must do it. Otherwise, company should not be in the business.

Vinod Krishna: When I say confidence...

Bikramjit Nag: Every company should have a plan. Every company should have a clear plan on what it must achieve. Your question was, by and large, what we'll have etc., correct?

Vinod Krishna: Yes. How do we go there, sir?

Bikramjit Nag: If you're not that -- how do we go there? We will go there only by fixing the team, by having a very good team, market by market as well as in the factory. There is no other way of fixing organization.

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Vinod Krishna: You are confident -- when I say confident, I'm not saying we give the guidance, sir, sorry. But I was just saying that these are all fixable things. We are not having things that are not fixable, right? That's my question. That was my question?

Bikramjit Nag: Well, I can only assure you whatever question you're asking me on a lighter way, like my mother is asking me the same thing. How come the results are not improving etc.

Vinod Krishna: Share price is okay, but IFB is known -- is a well-known brand. So I don't -- actually, it looks like it's known for a premium positioning, so and there's so much we can actually do. So I'm just trying to understand whether the path is full of frictions or ...

Bikramjit Nag: We will see in the next -- so, Mr. Govindaraj, if you are here on washers, the things we are coming out with right up to 14 kilo, when is that going to be done by?

C.S. Govindaraj: Sir, on the 14 kg we should be -- 12 kg and 13 kg will be there in September and 14 kg, we should be there in November or December.

Bikramjit Nag: By December, I think all the line-up will be ready, top loader also, correct?

C.S. Govindaraj: Yes, sir.

Bikramjit Nag: You will see us coming out with higher-end products, et c., internationally benchmark, if not better. The other thing I told my people is to stop benchmarking and become the benchmark yourself. I told them that. We have to do that. That's the challenge, if you ask me.

Vinod Krishna: Sir, if you do not mind, I just repeat my -- I'm just asking like take ACs because AC is -- you are seeing the path to become 10%, right

? It's not something undoable. That was my question because in some time, we will know...

Bikramjit Nag: No, it is doable.

Vinod Krishna: So that was my question, sir.

Bikramjit Nag: We must do it. If we don't do it, we should exit ACs.

Vinod Krishna: Got it. Because other places you are entering like top loader, front loaders -- yes, because other places you are entrenched and it is more easier. Here, you're not entrenched, so that's what I was asking both refrigerators and ACs. Is a path to 10%...

Bikramjit Nag: Here, it's a failure -- as I'm telling you here, it's a failure to create demand for our product by marketing. And I'm strengthening overall company's marketing ability. And one of the things which I forgot to say is one of the things we are working on is we have this 10 million customer base and et c., and also direct customers, 12,000 we have B2B customers for our industrial products and all.

And how we sell to our customer base directly is a business by itself, which has a huge, huge, huge opportunity. But we don't know how to do it. We as a company, we have all the tools. No, okay. So suppose you are a customer. Let us assume you have, let's say, an IDC, for example.

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But I'm not reaching out to you on a regular basis to find out what you need and for you to know what all we have, just like a bank does with you.

So if you have an HDFC account, they will tell you things on housing loan and car loan and this

-- you understand? That is what we are working on now. We are strategizing this with like McKinsey itself also.

Moderator: Ladies and gentlemen, in the interest of time, that was the last question. I would now like to hand the conference over to management for closing comments.

Soumitra Goswami: Soumitra here. Thank you very much for participating in this call. We'll be meeting again after quarter 4. Thank you very much.

Moderator: Thank you. On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.